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Call: May 2023

Akzo Nobel India Limited
30 May 2023
Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai -400 001
Scrip Code: 500710
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National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
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This has been uploaded on the Company website also and can be accessed from following link:
https://akzonobel.co.in/invcstors.php#im
Yours Faithfully,
For Akzo Nobel India Limited
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“AkzoNobel India Limited
Q4 FY '23 Earnings Conference Call ”
May 23 , 202 3

MANAGEMENT : MR. RAJIV RAJGOPAL – MANAGING DIRECTOR – AKZONOBEL INDIA LIMITED
MR. KRISHNA R – CHIEF FINANCIAL OFFICER AND WHOLE TIME DIRECTOR – AKZONOBEL INDIA LIMITED
MRS. HARSHI RASTOGI – COMPANY SECRETARY AND COMPLIANCE OFFICER – AKZONOBEL INDIA LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day, and welcome to the AkzoNobel India Q4 FY '23 Earnings

Webinar, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the present ation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
Manoj Menon: Hi, everyone. It's a wonderful morning, a fternoon, evening, depending on the part of the world you're joining this call from. Representing ICICI Securities, this is Manoj Menon here. I cover consumer sector here.
It's our absolute pleasure to host the -- as usual, the quarterly results conference call of Akzo Nobel India. It is Q4 FY '23 results webinar today the management is represented by Mr. Rajiv Rajgopal, Managing Director; Mr. Krishna R., Chief Financial Officer and Whole Time Director; and Ms. Harshi Rastogi, Chief Compliance Officer. As u sual, we'll have a brief presentation by the team, the management team, post which we'll open up the floor for Q&A. Rajiv, Krishna, Harshi, over to you, sir.
Rajiv Rajgopal : Thank you. So good evening to all our investors. Delighted to be here for the quar ter 4 and the full year results. We've just announced our results of Board meeting and delighted to be here along with Krishna and Harshi to walk you through the numbers.
Harshi, could we up the slides, please? Yes, can you see the slides now? Anirudh, can you -- Manoj, can you see it, please? Lovely. Okay. So the first slide is really the visit of our global CEO, Greg Poux -Guillaume, who had visited India just a few months back. And you are seeing him along with other senior members of the region and India to sort of walk him through the Thane factory, right? So that's really what the video -- this frame is about, the photo is about, right?
Really what you can see is the fact that Greg had come to India in a 2 -day or 3 -day visit with India, with meeting cus tomers, meeting different markets. And really, this entire story is about saying how we can invest in India. What really delights me is the fact we've got a CEO who is absolutely delighted, and he is really wanting to drive India to the next level.
So quic kly on the slides. For the benefit of those people who joined for the first time, a little about us. Akzo Nobel India is a listed entity, part of the Akzo Nobel N.V. Group. We've got about 1,500 employees, 5 offices. We've got 5 manufacturing sites. And we are doing a lot of work on capacity augmentation as we see and expansion plans to make sure that we are seen as a serious player in the paint industry.
We are focused on scaling our distribution, both online and off -line channels. And really, our intent i s to try and see how we can increase our coverage. When I joined this company in 2020, we were available in less than 2,000 towns. As of today, we are almost in 5,000 towns. And really, our intent is to see that how we really start becoming a very signific ant player as we move forward, right?

We today cover almost about 20,000 paint retailers and about 4,000 B2B customers. We've got a world -class innovation centre . We support the global automotive and specialty colleagues who are working in Bangalore. And w e have also inaugurated 2 years ago what we call the Low -cost Innovation Centre in Thane R&D. What is Low -cost Innovation Centre? To create differentiated products that we'll start bringing to South India, South Asia, Southeast Asia, markets like that, where we will have innovations, where we can start differentiating, and also focus on driving sustainability as we start moving forward, right?
On the business environment, I t

hink all of us sort of read the same newspapers [inaudible 0:03:57] . You've seen that as far as the world is concerned, India continues to be the bright spot . So I must say that, obviously, if I want to look at the predictions or projections about a year ago for the year right now, it's slightly contrasted and that we are seeing it. However, suffice to say that we are seeing a good uptick.
There is a softening of raw material prices, which all goes well as we move ahead. But again, there is still a lot of volatility and uncertainty given the sort of gloom that exists because of the Ukraine war, et cetera. Yes, FX volatilities continue to persist. As all of you know, that currency, besides the entire crude oil price, plays a hug e role in designing our pricing.
To quickly remind all of us on the strategic drivers so that in the AGM I will cover in terms of what next. Yes, really, we've been focusing around six pillars. Focus on brand building. Maybe we need to invest more. We'll s tart seeing that as we start moving there, as I've told you, this is the outlook, significantly over a period from now to 2026.
Yes, so looking downward, in the right, focus on the core, how you create differentiation, how we win in adjacencies, likely to see the work [inaudible 0:05:17] Yes. And if I could request all the participants to be on mute, please. After the presentation, we'll open it up.

On distribution, we've been sort of looking at both online and off -line. Off -line, as I mentioned to you, we will increase our footprint. Well, the good news is, in the first 5 months of the year, our distribution, we've almost covered t he number of retailers we did the whole of last year. It is the first time we've achieved this feat, so it's a fantastic achievement, augurs very well as we enter into the season, which I believe will be quite a swing this year compared to the prior years because of the later Diwali.

We're also seeing a good build up on our e -commerce platform, digitization. As all of you've seen, we are working on global CRM tools, IoT in our manufacturing sites and also digital -first approach for consumers and printers in order to create readiness as more players get into the market.

Yes, initiatives on value creation to continue our double -digit profitability. You've seen the results of the full year. Yes, our profit -- EBIT margins have been significantly ahead. And on people, we are a people business, so we really imbibe people -centric culture. One of the things that I'm committed to has been to move a lot of my team members into larger roles, both in Akzo Nobel and also make sure that people are doing roles they get invest ed in. That's the true value

what we imbibe, individuals who work in this team. And innovation, really how do we bring the power of science to the magic of paint, yes.

Quickly on the quarter gone by before I -- Krishna runs through the financials, and I'll run through it . Yes, so we had a good quarter, double -digit growth, almost 10% growth. The B2B arena saw a little sharper growth, nevertheless, both Paints and Coatings together delivered 10% across different businesses, likely differently. And in the retail business, we saw faster growth this time in the smaller towns than in the large urban towns. Premium has grown significantly high double digit for us. Yes, we had s ome challenges in some of the economy segments which we're addressing as we move forward.

Marine & Protective, phenomenal orders from coastal and navy. And also oil, gas and infrastructure segments have done well. Power coatings, we've seen strong growth i n automotive GTC segments and Interpon Stone Effect range just got launched.

In our Industrial Coatings, yes, we've seen coil which was impacted this quarter because of a high base and also lower exports, largely Sri Lanka and a little bit of APAC. Pa

ckagi ng segment
was driven by our consumer FCG and ink business. And in automotive, we've seen premium growth. And the OEMs accelerated, as you've seen the OEM results, but we have a subdued commercial vehicle over the quarter. Yes, so that's really on it.

On the next slide, you can see some of the launches. I've talked about it in many of the -- sort of each quarter results, some of our growth drivers. As we speak, we are just launching our PU Satin products. We are bringing a lot of products between now and Di wali, which I mentioned to you.

We've also seen our DIY products, which has started getting a good traction on Amazon, right? And we obviously partnered with [inaudible 0:08:30], as you know. And you can see some of the work that we did. Proud of the fact that we are associated with Vande Bharat . We are associated with the Statue of Unity. We are associated with the entire coating of the warship that sort of were designed, right, INS Vikrant, right, where we play a role. It just goes to show that -
- and we are also coating -- we are also a large player in coating essential stuff, right?

So clearly, I think our products are world -class, and that's been the power of it, of why we believe we can stay ahead. And we also start now playing for segments where growt h is coming in, yes.

So I'll hand it over to Krishna and then come back. So Krishna, just sort of high level before I hand it over to you. So revenue saw 10% growth and EBIT margin growth of 32% and a PAT growth of 28%.

Krishna, why don't you answer ?

Rallapalli Krishna : Thanks, Rajiv. The whole performance centres [inaudible 0:09: 36] strong order. We reported around INR951.4 crores for the quarter as top line, which is 10% year -on-year -- okay. So 10% Y-o-Y growth is coming from robust demand in both t he B2B and -- B2B segments and Paints and Coatings. Our gross margin for the quarter was the highest ever, attributed to our timely pricing actions which we took earlier last year and supported by the RM prices, which have seen a downward trend.

And this, coupled with our controls on the cost -- judicious cost management and the controls

on that, translated into 32% EBIT growth. Both GM percentage and EBIT percentage improved on a year -on-year as well as sequential. Profit after tax was at INR 95.4 crores, w hich is up by around 28%. If I exclude the last year exceptional income of INR2 crores in the Q4 of '21 -'22, the PAT growth would have been around 31%.
Coming to the full year performance, it was a stellar year for us with record performance in absolute terms across the revenue, gross margin and EBIT. Strategic drivers, as alluded by Rajiv earlier, enabled us to bring strong product portfolio, increase in reach and improved efficiencies. Decorative Paints growth largely from many launches this year as well as the projects business. Coatings growth has been -- was a key beneficiary of growth in the core sector industries and the auto sector.
While RM price softening started earlier part of this year, earlier part of the calendar year, benefits on margins was slow to come. Nonetheless, we continue to maintain a double -digit profit level of 11.6%. PAT growth for the year was around 16%. However, if I exclude l ast year exceptional items of, what, around -- tax benefit of INR 16.8 crores, like -to-like basis, PAT growth was at 24%.
Moving to the next slide. Happy to report that our OWC as a percentage of revenue remains one of the strongest in the industry and reducing from 10% in March '22 to 6.8% in March '23. Our focus remain on the cash and the improvement in the cash generation cycles. And with this cash generation cycle, under where we see controls, we were able to -- or we ended the year with a liquidity of a round INR314 crores.
Our record performance has also translated into the stronger shareholder returns. For th

e current
year, the final dividend of INR 40 per share was proposed, which aggregates to the total dividend of INR65 per share.
Rajiv Rajgopal : Yes. So first and foremost, big thank you to the entire team for a fantastic performance. But clearly, one of the strongest years we've had and laying the foundation for what I call is going to be establishing us as not just a serious player or serious conten der but making sure that all our investors understand the sort of work that we are putting in ahead of the serious competition that we see ahead.
On ESG, again, another area that we take with great seriousness and pride. We've already moved to 10% recycled plastics in containers, ahead of the PW M Rules. We are progressing towards 50% renewable. And we are trying to get our targets by 2025, 34% currently. We are already zero liquid discharge and zero waste to landfill.
We are -- as you all know, we are certi fied as a Great Place to Work. We've come among the top manufacturing companies. We've also worked very closely in our CSR and great work being done by the team there, led by Harshi. 3,700 -plus youth and painters trained in 2022. We provide education for 6 ,000-plus children. It's something that I'm really passionate about, which is not mentioned on the slide, is the fact that we are empowering women through a project that we've talked about or in the news, where we've really started moving into three states where we started

providing livelihood to women through our paints and painting opportunity services, right?
We've been conferred and commended for significant achievement in CSR at the CII- ITC Sustainability Award 2022. And you can see Harshi, along with the colleague, receiving the award from Mr. Nitin Gadkari.
In terms of governance, we pride ourselves of having the highest standards of corporate governance. For those of you who've seen our results today, and you see some of the initiatives, you clearly see that we will -- and auditor that we have, we eventually bring it in a very transparent manner. We are -- I think our auditors also love that.
We challenge ourselves in terms of saying how we're building a safer model and how we're creating stronger governance for making sure the organization is sustainable. So 50% we've got independent directors, 100% independent audit committee, and we are governed by the AkzoNobel Code of Conduct, which in my view is gold standard, right?
So with this, I would just li ke to conclude. But before I conclude, I also would like to take this opportunity to give a big thank you to Harshi Rastogi. Harshi Rastogi has been our Company Secretary, as all of you must have read. She has a personal ambition of moving back into the finance area and also has got a fantastic opportunity. And as we believe that we like individuals to grow and fly, sad for us, yes, but we are right now looking at a successor. And we will try and find, make sure that we find someone to fill Harshi's shoes, though they're very big. So a big thank you, Harshi, for all the wonderful work that you have done.
And really happy to take any questions that all of you will have now. So back to you for the Q&A.
Moderator: Moderator Instruction.

Manoj Menon: Faizan, Manoj here. I'll take a couple of questions which we have in text option. Team, there's a question from Mr. Heman t Shah. How was the demand in T1, T2, T3 towns in Q4?
Rajiv Rajgopal : Yes. So as I mentioned to you, Manoj, if you look at for us this time, normally, our growth historically for the full year, the first 2, 3 quarters are very strong in T1, T2. But in the quarter, that's gone by, the quarter 4, with the results that have been declared, we saw a sharper demand come also most likely because of the base effect coming from the T3, T4, T5 towns. Manoj, have I answered your question?
Moderator: Sir, you're audible. Ma

noj, sir, we are not able to hear you.
Manoj Menon: Yes, yes, Rajiv. Actually, I think -- For Heman t, I think you probably got the response what you wanted from the management. Let me move on to the next question in the text option, which is from Rahul Kumar Paliwal. He says, Akzo -- so I'm just reading it out. It's a long one.
Akzo Nobel is considered the finest paint in India and t he world. But the brand image, particularly in India, Asian paint has an edge with reach, distribution and reference points. What is stopping Akzo Nobel from cracking the code? Why is that super quality having relatively low

mind share and market share? An d how, as a leader, you are handling it? Sir, I just read it verbatim.
Rajiv Rajgopal : Yes, no problem. Thank you for that, Rahul. Well , if I had the secret mantra, trust me, I would have already deployed it. But suffice to say, look, I think we share to the leader in the market, it's a journey over the last 2, 3 decades. I joined in 2013. Market shares are pretty much where they are, maybe a couple of points lower, 50%, 52%, right?
So I think the question which is in our mind is really how do you get that brand . Now the strength of this brand, since you are referring to Dulux, is about quality. So we started a program called Dulux Assurance 1.0, where we gave a money -back guarantee to consumers. We've got some fantastic response. And after launching that p rogram, we've not seen that. We are going to bring a 2.0 very shortly, and I don't want to talk about it because it is not material. But suffice to say, in a few months, we are coming with even more profitable, right?
Now when we do that, and you are absol utely right, our A&P as a percent of our revenue had dipped over the years to almost 1.7%, whereas the other players are about 3% or 3.5%, right? I think our intent is to get back to 3%, 3.5% immediately so that we are seeing, we are visible and not just o n media spend but also on visibility in the market; and then over the next 2, 3 years, try and sizably grow it.
The third is 70% of the growth over the last many quarters, last 2, 3 years, have come in from 3 categories, is coming from mass market, waterpr oofing and economy. If you look at -- if I take 5 years ago, we were not really playing aggressively in mass. We have not even started with waterproofing really. And we were very weak in economy, right?
In 2018, when I got back, we put the waterproofing ra nge. And now we have serious with the economy with exact numbers. But suffice to say that we are rolling at almost 40% CAGR in that category.
Mass market, we've had good growth. But in the last quarter gone by, it does not me et my expectation. Yes, we coul d -- I think we could have done a little better, which is where some of our competitors are a bit better. And on economy range, honestly, I think there's a lot of growth here.
So we are working on this plan. We are clear in terms of where the growth is com ing from, which is the segments it's coming from, which are the players which are relatively doing well. We've been troubling ourselves as a management team and also keeping our ears to the ground. So we believe that, we will have the sort of winning formu la. But again, we are going to grow given the fact that we are number four player. And for us, as we do it, as you've seen over the last many years, profitability is an important parameter. One of the things I don't want to do here is the fact that I dilut e significantly the profitability.
When I joined the business in 2013, the return on sales was 5%. Currently it's almost 12.5% including royalty. When you compare that with some of the other players in the market, you'd

see what I'm seeing. We want to remain profitable because that's what will give us the energy and

power to be able to reinvest in our brands and business.
So I think it's not an easy answer particularly when you're coming from a position that you were.
But what I can suffice and say is I've got great confidence as I have in the past many quarters.
And you've seen in our full year results that we are a serious player. And you will see us bouncing back with all the ingredients that you say we have, right, really coming back, yes. So that's what I want to really say.
Manoj Menon: Thank you, Rajiv. Faizan, I find Chanchal there on the question queue. Can we take the questions in the audio, and then we can step back to anything in the text. Thank you.
Moderator: The next question is from the line of Chanchal Khandelwal from Birla. Please go ahe ad.
Chanchal Khandelwal : Firstly, let me congratulate you because the company, at what position it is today, is basically because of the best people make the company. That's my firm believe . So congrats on a good set of numbers which you have been delivering and the turnaround is actionable that you've seen.
Now my question, Rajiv, is that, firstly, in public domain, so your contract with Akzo continues still how long? It is important for us to k now. You are here for the next 5 years or how long it is, important for us to know.
Secondly, on the growth part, you spoke about economy and value segment and waterproofing.
All this put together is how much as a percentage of sale? How much is the indust rial business as a percentage of sales? Because where I'm coming from is that given the increase in competition in decorative, a lot of people eye industrial as a market, including your MNC competitor. So I'm just trying to understand how -- because that m arket is growing well, industrial is doing well for now, how big you are and what is your right to win there?
That's the second part of the question. And third question is that the support from the parent, has it changed in the last 3, 4 years? Or you are getting that more confident that you are getting big support from the parent? Thank you.
Rajiv Rajgopal : Yes. So let me start in the reverse order. If it's okay with all of you, so I'll start in the reverse order. First, in a more local market, your parent s don't bless you or you don't have the blessing of your parent , it's not easy to win, right?
Akzo had a journey well before Thierry joined, our previous CEO, Thierry Vanlancker. And no doubt he was committed to it because when he took over, his predecessor left the position because of ill health. And as a result, some of the actions we took between 2019, 2018 and 2020 were action of 15% by '20 of how to move the company to a 15% growth by 2020, something that the company achieved superlatively.
Now coming to your second one. As I mentioned to you, Greg was in India for a couple of days.
He is the first CEO who has chosen to come to India before visiting Europe or even China, I think that sends a message. If not to the Street, at least to me, right ? He spent 2 days. I must tell I've never seen a person who's been so excited to run a business in India.

By the way, just for the record, Greg used to be the CEO of what is called GE Alstom business, which is the power business of GE in India. So Greg knows inside and out of India. My biggest challenge was what do I tell him about India, which he doesn't know because he seemed to know the big business houses, he seemed to know cities, he seemed to know what is doing well and he seemed to know that in a ver y detailed manner, very granular manner.
His message for me was, Rajiv, you asked me the money I'm going give you this. It's very different in terms of tonality from what I've heard in the past, or whatever constraints they were because of the strategic op tions that Akzo Nobel was perceiving. Greg is taking time around craft his strategy. He believes th

at India, we can play a serious role and before really looking at a massive M&A or any other option, he wants us to demonstrate that we are able to invest in our business and grow our business which is something that we are also committed to. So that's the last question.
Second, in terms of the reverse order, Industrial business accounts for about 35% to 38%, almost 40% of our overall turnover. The business is doing well. But do we have a right to win? Yes.
Remember, I ran the largest business of B2B in Middle East, Africa, Dubai . We've got the same relationships in India. What I'm glad is our team is building on some of the relationships and needs.
We are all working as one Akzo Nobel now. We've got one Akzo Nobel in India which works with me and with Krishna to really bring out the power of the top 15 business. And we are very confident of these businesses over the next few years as India builds infrastructure. Just to give you an example, many of you have been to the Bangalore Airport, new airport, just to let you know, we've also done that, right?
So just suffice to say, when I look at some of the projects we are winning and some of them being wor ld-class we are right up there. So I see no reason. Our right to win is our technology, our right to win is our global expertise, our right to win is brands like International, Interpon and

Sikkens, which we believe are world -class brands . I've had the experience for 2.5 years working with the brand. I've seen strong customer alliances that we have. We are really taking out some of our customer relationships really meaningful. So that's on the other part.

On the pa ints part, yes, suffice to say that we are doing well. There are certain challenges. And I think my view is as far as paint is concerned, Chanchal, as we move forward, you will see that some of the journeys that I have been walking through to all of you on investor meet calls will start showing profit.

Coming to the last part which was one of your question to me. Look, my contract with Akzo Nobel as a managing director is a separate part. I'm a full -time employee, right? So now in terms of tenure, my tenure ends only in October. I'm sure Akzo Nobel has its heart in place. They understand India is a serious market. They understand the intention of competition.

And let me also give all the investors that two people who've trained under me are getting ready for future roles because also from a next 2, 3 year horizon perspective, there are people who are

sort of working with me, who are getting international exposure and India exposure at this point of time, strong leaders, etcetera, and we'll sort right?

So on my stuff, it's procedural. Don't worry. This is a very professionally run company. And believe you and me, Chanchal, I will fail in my duty if this company is completely depending on one man only. So to me, apart proof of the pudding that you've set small process in the procedure where teams af ter you were able to take it and sustain it.

I'm very much here, and I'm going to engage with all of you along with Krishna very soon in a physical meet in the investor phone. So hopefully, I've answered all the questions , Chanchal .

Moderator: The next question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta : Congratulations on this performance, Rajiv. Thanks for the earlier clarification. Honestly, that was one of the questions that I also had, what Chanchal asked about whether you are kind of continuing or not. But I think your answer is clear on that.

I just wanted to kind of delve on two specific aspects on your strategy. One, you have -- last few quarters have been great in terms of your ability to drive profitability back up. But you pointed towards the need of focusing on raising ad spend to levels that you have seen in peers. In such a scenario and g

iven this changing entry of a new player plus our parent's guidance, how should we look at margins going forward from where we e xited at 4Q? Is that a run rate that we can sustain? Or do you feel the need for investments will probably mean that further expansions likely to be limited? I would love to hear your thoughts on that.

And associated, if you could also -- one of the strate gic drivers that you pointed to was -- sorry, I'll probably ask the second question later. Maybe you could kind of give your thoughts on the first one, please.

Rajiv Rajgopal : Yes. So look, at this point of time, it's not fair for me to give a forward -looking statement. But we will want to hold EBIT margin . So we are in that zone where now for us building scale takes precedence or driving one leg, which is driving profitability.

Suffice to say with some new competition, we do like other players, expect a couple of margin points pressure or basically improve things, the rational disruption of pricing in the market. But we are working strategies there. How can we avoid it? Stronger positions in premiums.

Yes. So I'm saying that look, so as far as EBIT margins are concerned, we've committed to double -digit profitability. But yes, we do see a bit of challenge. Our endeavour is to hold the margins where we are right now, right, with -- and not really with improving EBIT, for example, [inaudible 0:34:11] etcetera, we want to now really focus in terms of winning in the market. That's really and growth to you. That's where the focus of the team is. If I answered your question, Avi.

Avi Mehta : No, no, that's clear. That's clear. The second bit that I wanted t o kind of just delve on was on one of the strategic drivers that you pointed to was distribution expansion. Now I understand would you have any targets in mind in terms of city count or in terms of reach that you would like to

reach, say, 2 years down line or a year down the line? I don't know how do you kind of look at this just to get the team focused on a particular number if you have something in mind?

Rajiv Rajgopal : So I can give you some broad numbers. See, when you look at number of outlets for ever y company, the definition is very different. We are very stringent in putting a revenue measure, okay? The reason I put a revenue measure, ICS, for example, minimum INR 50,000 from an

outlet for an update to be considered active.
So if I give you a number o f outlets, it's very different from another player who may not have similar definitions. So when I also have now started realizing that when people look at -- the definitions are different by it, it's not a standardized definition .
So let me put it in term s of number of to wns. I think in terms of number of tow ns, as I said, our endeavours to cross 8,000 tow ns in a couple of years and then say, how do we really start moving to close to 9,000 to wns. So really, I think in the next 2 years from the current 4,800 to 5,000 towns to really say how we really mean in a meaningful amount reach the next 8,000 to wns.
As I mentioned to all of you, we started what is called hub and spoke model . You've seen we meet our distributor journey since 2015, right, 6 years ago we have done it. I set it up started setting it up in 2013. So '14 to '23 is a long journey, 10 years, right? And now we are doing the version 2, which is getting into the smaller … to the rural markets, right? So that's what we are working on. And hopefully, that answers your question.
Moderator: The next question is from the line of Tejash Shah from Avendus Spark. Please go ahead.
Tejash Shah : Rajiv, thanks for the opportunity. Yes . So Rajiv, if we see the evaluation of product portfolio of most paint players in the last few years, it has been largely around, I would say, on adjacency side in terms of waterproofing in terms of construction chemical.

So I just wanted to know where
are we in that journey? And how do you see adjacency playing role in growth ahead for us?
Rajiv Rajgopal : Yes. So as I said, waterproofing, we entered pretty late in 2018. We have a CAGR growth since then of almost 48%, 49%, to be honest. And in the last qua rter of almost 39%, right? We have started entering many segments, whether it's waterproofing, whether it's supply systems. So other than the rains, we will see some action on it between now and early next year, right?
So we do -- we believe that we -- our challenge was -- there are two things in this sort of a business. It's not just about the sale, it's also the service. And one of the good things we learned from the new player in this market is probably a really set up the service model to be able to be very meaningful in this business, right? So given some of our background, right, and some of the team's members that I hired, we even have a good system to be able to make sure that we are completely sort of able to capture the customer voice and be able to address customer queries rapidly. We have started this in a meaningful way only in a few cities , because we want to run in big techs for us before we grow it.
Are we a serious player? Yes, we are a serious player, and you will see us participating in this category very meaningfully . Our attempt is like in most things, we want to be in the top 3 in the next 3 years. That's really our endeavour , right? It's not that the other three existing top two

players are also I'm sure will be very aggressive. We are mindful of that and very respectful of that. But we are very serious that we really want to get into the top three bracket. And as a result, whatever we do in our adjacencies in other categories have to be accretive to our eventual goal.
Tejash Shah : Sure. That's very helpful. Second, we have kind of an inherent strength on the premium side of the portfolio. But at the same time, there has been a long -standing kind of vacancy in the mass end of our portfolio. And we have attempted in the last 10 years, I have seen two, three attempts which have been made to correct that deficit in the portfolio. So where are we in terms of today in terms of catering the mass end of the demand? And what w ould the saliency of that part of the portfolio in overall revenue today?
Rajiv Rajgopal : So look, I don't talk about category contribution to revenue because that's, I think, something that we don't talk about. But I'll give you sufficient information in terms of what we've done.
You're right, when I joined the company, we had two brands. We have Promise and Rainbow . Coming with the sort of background I have; you cannot pin any marks to play with a single brand. So we moved to Promise. And in 2020, we move to launching Promise SmartChoice paints economy.
Where we believe that we started getting huge inroads , which is -- the reason why we've been able to access or gain ingress into many small towns and into many outlets . So that's really been the success. I generally think it's going to be very attractive. I do think that that's one category that we are keeping in. It is the profit pool of many of the larger players. So obviously, for us to play a meaningful role and even dream of being in the top three, we have to have a meaningful market share. I hope that answers your question.
Tejash Shah: Yes. But would that be margin dilutive, that journey of gaining market share in that part of the business?
Rajiv Rajgopal: Look, you know, I think what we've done over a period of time, our margins when we sort of started the journey to now, we've really been able to address and bring it close to our average contribution margin. So, you know, when I started the journey and I joined this company, the margin used to trade at almost 15 points lower. Now it's almost coming c

lose. So don't worry. I
think that's something that we will try an d maintain. Even if it's a little dilutive, as I said, we are
very clear of the EBIT guidelines.
Tejash Shah: Perfect. And then last one, if I may. A very broader level question on how the industry is
evolving and the kind of competition we are seeing from adjacent players and new players also.
So do you think that this calls a very, like makes a case for some consolidation in industry, either
incumbents like you acquiring smaller players or there has to be some consolidation between
big players? What are y our broader thoughts in the industry looking at next 5- 10 years from here
on?
Rajiv Rajgopal: Look, I can't talk specifically of this industry because we have to wait to see how the future pans
out. But, you know, all I can say is that look at different se ctors that have been privileged to
work with, like telecom, etc. Or even in the FMCG space, if you look at those events, there is
some consolidation happening. But again, consolidation has to come with what is the strategic

advantage that that will bring i n. So once that is answered and it makes sense, then it's worth
doing it. Otherwise, then it's adding more without any meat in the water you dry out. So we'll be
careful.
As a player, we are very choosy in what we do. We've taken the harder journey of movi ng to
organic growth and working on our top line. And that's what we'll continue to do. And we will
keep all options open. And certainly our global parent is also keeping all options open. As you
know, we have acquired Kansai’s paints business in Africa. A nd that's a case in point to say that
we are an agile, focused player. And we want serious positions in markets like in India.
Aniruddha Joshi: Thank you. Yes. So Aniruddh a here. Some questions from my side. So in this quarter, we have
seen there was extreme winter in early part of January. And also there were unseasonal rains,
especially in north India. So has that impacted our exterior paints offtake during this quarter?
And do we see some shift of revenues happening to, let's say, the coming quarter? And the
second question is, now with, obviously, with correction in input prices, it is expected that the
rebates or the trade discounts are likely to increase significantly.
So how do you see the on -ground situation as far as this is concerned? And third is, some of the
paint companies have also announced that they want to get more closer to the influencers, that
is painter and contractor. And some of the schemes, trade discounts will be directly directed
towards these influencers. So what is the Akzo's strategy in this regard? That's it.
Rajiv Rajgopal: Yes. Okay. So let me just try. So the first question was around the winter. Yes , winter was there.
Yes, it rained in a few pl aces. And how about the exterior paints? On an average, if you look at
our premium, which exterior is a large part, premium did very well. Exterior, we had some
challenges in a few states in the mass market, not so much in the premium side. So that's the
first. The second, really, your second question was around the, no, no, the second question was,
I don't know the third question, but what was the second question? Just remind me.
Aniruddha Joshi: Sir, with correction in input prices, there is likely to be a rebate?
Rajiv Rajgopal: Yes. No, so that was the third question. Anyway, so rebates, yes, look, there is a regression by
some of the players. Obviously, we will respond in a measured manner and in a sensible manner.
See, when you run a business, you have to go through the long term. So we will take positions.
There are certain parts of the portfolio where you will need to respond. Certain parts of the
portfolio will play to the frame. So that's what our approach has been. We've not shy away from
taking pr ice increases ahead of the market.

And we will continue to look at making sure that
what we do is a long term play, not a short term play. I missed one question of yours, which,
Yes, your painter and contractor.
Look, I think we've br ought now systems by which direct pay- outs can happen. We've started
bar code. We've got a painter app. So we've got, we are very digital as far as painters and
contractors are concerned. So, Yes , I believe that's the competitive advantage. I hope I've
answered all your questi ons. Can we have the last couple of questions, please? Because I'm
mindful of the fact we just went about seven, eight minutes.

Manoj Menon: Sure. Manoj here. Sir, let me take a couple of questions from the Q&A. So we have one from
Shivika Srimal of FSSA.
Okay. She asks, with new competitors coming in, all incumbents are focusing on the premium
end of the decorative paints, which has been a sweet spot for Akzo being over -indexed with
Dulux. Are you seeing any changes in competitive intensity or in the margi n structure of the

segment?
Rajiv Rajgopal: So in premium, look, the competitive intensity has always been high. I think you were right to win because Dulux stands for the best in class quality international. And to me, those are the optimizations which gi ve you a competitive advantage. So, really, honestly, discounts are dramatically going to change premium sales as much as it does in the market economy. But really advertising and the brand building does impact. So those are areas we're working on to still bring the magic of Dulux back.
As I said, for us, the entire focus is about really seeing how can we bring the magic of paint into the can? So really, how do we get that magic of paint sort of quickly into a growth ambition is what we are really working o n. I think we've got some solid plans by which you will see some thought leaderships coming in the premium segment as we move ahead on both innovation, product innovation, product differentiators that we start looking at. Hopefully I answered your question .
Manoj Menon: I reckon yes. Shivika, if you're there, listen to the call, you can message me. You know, if there is some follow -up you need. Let me just check, sir, is there anything else on the Q&A? Okay, so there's a question from Utkash Solapurwala. What's your current capacity utilization and capex plans for FY '24?
Rajiv Rajgopal: So our current capacity utilization depending on the number is close to around 60%. The reason is because we've got a lot of automation into our plans. We've automated significantly. We are only running two shifts now. It's best in class, if you visit any of our plants and see some of our -- the other peers etcetera, you see it's a true blue M NC. In fact, I would say, I know that India plants will be even in Asia will be some of the best in class in terms of automation. We've got things like IoT, AI already included in our plants. And hence, we believe that we are carrying capacity over the next couple of years to increase volumes. We'll come by spreading our assets and hence improving our return on capital employed.
In terms of expansion, we are obviously, as I said, increasing our footprint in both paint and some of the other businesses as we move forward. Capacity utilization is not a challenge for us. We'll be able to do it fast. As I said, we are running two shifts. We can plug and play our third shift and then we can plug and play additional capacity as we go. Our focus is really staying updated, automated, how do we make sure we are spreading our assets really fast. Manoj?
Manoj Menon: Yes, sir, I'm just browsing through the Q&A. Maybe we'll take one l ast question. Okay. So Lakshmi Naryanan KG from Investments is asking you, what are the top 3 strategic priorities for Akzo senior management for the next three to five years? Please help with some quantitative

as well as qualitative inputs?

Rajiv Rajgopal : I think that's a very difficult question and I'm not sure that I should be addressing such questions in public. But suffice to say, we want to be a meaningful player in the Indian market. We are a number four player. We are perhaps one of the few players in any industry in India at number four, which is significantly profitable. Our profitability in the year has even been ahead of some of our senior players.
I do respect them. They have incredible business, solid businesses, which we also envy, but still want to fight in the market. So I would say, we really move our position from four to three and then slowly upward. That's again organically. In terms of EBIT margin, I've already told you, we want to remain in the current regions of the profitability. We believe that we've got the right ingredient , the right mix.
I think for us it's about the single mantra is growth. How do we really start growing in a strategic manner as we start moving in? So the growth should be something that is sustainable. So it's sustainable growth and that's where really me and my team and Krishna are spending a lot of time saying that it's not about this quarter, next quarter. That will come and go. We've seen many quarters now. I've been on the investor call since 2018. November when I took over with Guha first and then with Harshi in 2019 -'20 with Guha, Harshi and then with Krishna. So I've been doing that. It's about building a sustainable business.
Manoj Menon: Thank you, Rajiv, Krishna and Harshi, exactly dot 5:00 now. Apprec iate your time. Any further questions, we will relate to you. Thank you so much.
Rajiv Rajgopal: Thank you. Thank you, all. Thank you for taking time out to join. Wish all of you have a wonderful day and week ahead, and thank you for taking out time. Good luck.
Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes the webinar. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

Akzo Nobel India limited
8 August 2023
Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai -400 001
Scrip Code: 500710
Dear Sir/Madam,
Sub: Investor Call Transcript The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra-Kurla Complex
Sandra (E)
Mumbai -400051
Symbol: AKZOINDIA
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investor call conducted by the company on 4 August 2023 regarding the standalone and consolidated financial results of the Company for the quarter ended 30 June, 2023.
This has been uploaded on the Company website also and can be accessed from the link: Imps:// akzonobel .co. in/investors.php# im
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P age 1 of 17 "A
kzoNobel India Limited Q1 FY24 Earnings
Conference Call"
August 04, 2023
MANAGEMENT : M R. RAJIV RAJGOPAL – MANAGING DIRECTOR
MR. R. KRISHNA – CHIEF FINANCIAL OFFICER &
WHOLE -TIME DIRECTOR
MODERATOR : M R. MANOJ MENON – ICICI SECURITIES

Moderator:
M
anoj Menon:
R
ajiv Rajgopal: Ladies and gentlemen, good day and welcome to Q1 FY24 Earnings Conference Call of Akzo Nobel India Limited hosted by ICICI Securities.
As a reminder, all participants' lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manoj Menon from ICIC I Securities. Over to you , sir.
As always, i t is our absolute pl easure represen ting I -Sec to hos t the result conference call o f AkzoNobel India.
Today, the management, a s usual, is represented by Mr. R ajiv R ajgopal - Managing Director and Mr. R. Krishna - Chief F inancial O fficer & Whole- time D irector.
Before I pass on the baton to Rajiv fo r the presentation and post that the Q&A etc., I do want to congratulate Rajiv for the board proposal to reappoint him for 5 more years as the Managing Director. Sir, in the last few years of tracking your company as an analyst, we are very excited to note the guidance what you have given, the timelines what you ha ve given, and also the milestones, etc., have been met. And in my opinion, consensus is pleasantly surprising and we

look forward to your stewardship driving more stakehold er value for AkzoNobel India in the mediu m-term. Over to you, sir.
As you all know that my first tenure was ending on October 31st and I got a formal confirmation yesterday, in f act, the day before evening.
In terms of tenure , I am also told I am the first Managing Director after many many years between ICI and AkzoNobel w ho has got reappointed. And that should give a lot of confidence to our investors who had one major grouse in terms of the fact that the top management, the CEO and the MD, changes between 3 to 5 years. I somehow see that as a bit of a positive if a person goes to upper echelons within AkzoNobel to be able to do more for India. But for the moment, I am very much here and focused on the India journey. What I want to do today in the next 15-20 minutes with Krishna, our CFO & Whole -time Director, is to run you through a few slides. I am not going to bore all of you by running through the slides again, as these have already been shared . So, really this is to walk you through the slides . For those of you who were in the AGM yesterday, maybe a couple of slides are a repeat, but this slide -pack is more focused on the quarter that went by compared to the AGM which was on the year that went by. That's how we will do it. So, please indulge me in just the next 15 minutes.
First about Akzo Nobel India. We have approximately about 1,500 employees. We have got 5 offices, 5 manufacturing sites. Capacity augmentation and expansion plans are in place. I have talked about it in all the investor calls. Our focus - our priorities - is on scaling up distribution both online and offline. We are now in about 5,000 towns. And our real focus is to say that, look,

how can we try and make sure that the distribution 2.0, which we unveiled, is really yielding results as we start entering into the smaller towns. We did a district -wise analysis and we saw that at least in 290 districts, we have almost a negligible or zero presence. So, our endeavor is that in the next couple of years, how do we really get that, how do you build our brand. Dulux, when we did research with consumers, it comes across as the best in class quality. How do we leverage on it? How do you really start dialing up marketing? And those are things that we will talk about later in the call today. We today cover more than 20,000 retailers and we have about 4,000 customers with whom we enjoy a great relationship. We have a world- class A SC Center in Bengaluru. We will look at hosting an investor cal

l for those analysts who are interested once
in Benga luru. An invitation which , unfortunately, got derailed because of COVID and a few other things. And we have also started what we call the low -cost innovation center in Thane where we are also building to drive differentiated products. In fact, India is goi ng to be the hub or test center for a lot of these products that we may want to do within the region or even outside.
On the business environment, I am just going to quickly run through. I think most of you know this since we all read the same newspapers, but personally for me, I think if there is any place to be in the world right now, it is India. India is on the cusp of the next 5 years going to see some tremendous growth. India will continue to be the fastest and growing at between 7% to 7.5%. I genuinely think the macroeconomics is favorable from an India point of view. And we see also that reflected in the last quarter in the core sector growth at 8.2%. you have seen the results and one of the things that is aiding our results, is the softening of cr ude prices . Of course, in the last 2 weeks, crude prices has been inching up. Crude and forex (the US dollar) are the 2 variables that impact the profitability and impact the pricing. That is something that we will keep our eyes on. And one of the things t hat we also note is the fact that the interest rates are at elevated levels, and all of us who have got home loans know that today it is much higher than the last 2 years. So, I do still think it is favorable compared to many years ago.
Let's move to the n ext slide. If you look at the key strategic drivers we have outlined on the slide, you can see our new CEO, Greg Poux -Guillaume. Greg has worked for McKinsey and GE, and he ran the Alstom business for GE. So, he knows India very well, as he told me. He set up GE Power in India; and many of you may know, it is a very robust business. And even through his McKinsey days and also Sulzer where he was the CEO and he turned around the company. He is a Harvard student and Harvard educated. What I really see in him is a person who is very laser sharp in terms of what he wants to do. There are 4 global principles that he has enunciated - margin management; operating expenses in terms of adjusting costs to the market reality; how do you really reduce working capital to enhance cash flow, which is an important need from an AkzoNobel global point of view; and how do you really make sure that the integrated supply chain is far more responsive to the business. These are the four, pretty much this is what is being driven all across. And it is very relevant from an India point of view because we in Akzo India enjoy a very high share in the premium part of our business. And really what I have seen in the last few months is a bit of a K -shape recovery where premium consumers hav e not reduced spends. But you can see companies, both FMCG and in paints, and you have seen the largest players who have got a higher component of mass markets, which typically was the fastest

growth driver, obviously has seen a bit of a blip. It is also because of a base correction, because last year the consumptions were at elevated levels and so I think a couple of months between June-July- August, one should expect that you cannot read into it. But I do believe that starting September -October with season ality coming and one of the best Diwalis, I do think that you can see good growths really bouncing back. This is what we are really working on.

In the slide you are seeing now, Greg is here with me and the chairman of the company, Oscar, at our Thane site . The reason I am showing this slide is because it was the inauguration of our robotic palletizer. This shows the level of automation we have done. The Head of manufacturing is standing next to Oscar, between Oscar and me, Sumit who is f

rom IIT Delhi. One of the things
that we have done is bringing technology, IoT, etc., into our factories. Really, the level of automation in Akzo India, I think, is second to none. Forget in the industry, I would even argue it would be best in class if you were to look at th e best FMCG business.

Now on paints, just to run you through, because I know some of the questions will come, we have had double -digit growth, specifically very high double digit growth in premium and projects. That is one of the reasons our mix is a littl e better and has improved and we have seen a strong finish to the quarter with premium leading the category growth after a few quarters where we saw the otherwise, the mass and the economy leading the growth. We continue to see healthy demand in the projec ts business. Our projects have grown in double digits and we see that are tier -3 and tier -4 towns. We embarked on distribution 2.0 while the contribution is much smaller. Obviously, we have had rapid growth there. And this quarter, the quarter that is gone by, we have seen slower growth in the metro. Again, that is a base effect, but when you normalize it, if you look at a moving annual total, we see no major issues. And we have seen margin expansion led by RM softening and mix improvement.

In our coatings business, we have seen double -digit growth coming across many of our businesses except one where we had a bit of a challenge. Automotive specialty, again, had very good growth because of good demand in auto. So, we are in the aftermarket. And some good work being done on both the premium and value brands. Our powder coating saw a double -digit growth across segments. We have seen a n uptick in the automotive, real estate, and consumer durables. Marine & protective, I must say it is a cyclical business and we are now riding the other end of it, which is the big up. And we have seen both in marine & protective infrastructure, oil & gas, and navy, we have seen a n uptick. The one business which was challenged a bit was industrial coatings. While coil grew, we had a bit of a challenge in packaging because last year in the base, there was a huge one -time consumption by one of our customers. That obviously is only goi ng to start after a couple of months again. So, you will see that uptick in the next quarter perhaps. Also, exports were a little lower to Sri Lanka and Bangladesh in the preceding quarter and that is also getting corrected. By September, we should be able to get back there.

That's rather on the businesses. The other thing really is in terms of financials, and I will request Krishna to walk you through the financials.

R. Krishna: We began the financial year FY 23- 24 with a high note. We have achieved an abs olute record in terms of the absolute matrices across the revenue contribution, margin, EBIT, and the PAT. Revenue grew around 7% driven by our B2B businesses and the details of which were shared by Rajiv in the earlier slides. One of the things which I wo uld like to call out here is that the previous record was in the Q3 of last year, which was driven by the seasonality. And in a non - season quarter, we were able to break that record. That's a positive news. How we have done is that we remained focused in t erms of our execution and also the strategic priorities alluded by Greg are embedded in our internal systems which has translated into margin expansion and then our product mix improvements as explained by Rajiv and the premium being continued to enhance o ur margins and margins expanded by around 400 basis points. And then cost prudence resulted in the EBIT growth by around 40%.

That's largely about the financial results. It is an extremely satisfactory quarter. Back to you, Rajiv.

Rajiv Rajgopal: I will qu ickly go through it. We have had a record in absolute revenue in terms of EBIT and PAT. Yes, a li

ttle disappointed. As all of you can see, we did Rs. 999 crores. I was telling Krishna
that if I knew I was going to touch Rs. 999 crores, maybe we should have just stretched a little more to hit the thousand mark. It would have been the first ever, but I am certain that we will

achieve it very soon.
We will skip the financial slides , which Krishna has already walked you through. For me, the critical one is the last slide which is the ESG slide. This is what we are really driving hard in the company. We want to be the best in class, not just within AkzoNobel , but even globally to say that how do we really move to zero? We are already zero liquid discharge. We are zero waste to landfill. We are 100% compliant to now plastic waste management rules. But how can you move from just being compliant to leading edge? How do you really become the company that sets the rules for the future? We are right now working in terms of, we have already started recycled plastics for our paints, etc. We are already on 34% renewable energy. How can you really take that further? On social, we have done a lot of work. I think all of you have seen the CSR awards that we have won and credit to the team. But it is not just about policies also, but how we are making an impact. One of the projects that we have done is a project called Indradhanush where we have actually gone to about 4 states. We realized during COVID, a lot of women, particula rly in the lower economic strata, were not getting an opportunity. We provided them with a means to open a shop and many of them sell Dulux - only Dulux - in those shops in those 4 states. It is something that we have started and we are delighted because s ome of these ladies have started getting revenues of almost about Rs. 30,000 to Rs. 50,000 a month and really imparting them the skills of painting and understanding how to run a business. And this is something that we really want to do to bridge the equal ity gap and gender gap in the country - not just within the organization, but even how we can influence outside.
In terms of governance, I don't think I need to talk about it. One of the reasons I love this organization is it is best in class in terms of s afety, integrity, and sustainability. All our

employees are completely at it, and we have got a 100% independent audit committee and 50% of our board comes from independent directors. That is broadly what I am really proud of. It is around these vectors if you are able to really make a reshape and be the best in class and also redefine standards, that is something that we really look forward to.
That's really pretty much from us. Of course, after that, you would have the safe -harbor statement, etc. Manoj, b ack to you for the Q&A. I think this is the session that we enjoy the most. It also adds huge value to us and gets us to think a bit.
Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the ques tion queue assembles.
Manoj Menon: As the question queue assembles, can I just go ahead and ask a few things?
Moderator: Sure, go ahead, please.
Manoj Menon: Rajiv, 2 -3 things actually. 1) Let's start with the short term one, very short term rather, which is not usual for a conversation. This quarter, there was delayed rains for about a week or 10 days. One of the commentaries which you mentioned and also we heard from some of your peer group who have already reported till date, most of them except Indigo and Berger, it is actually the non-deco outperforming deco, mostly. The question here is, does delayed rains conceptually benefit painting or is it just an academic expectation?
Rajiv Rajgopal: I think it is just a change of dates, Manoj. You are talk ing about the quarter that went in June. In June, India had a deficit of about 6% to 8% to 10% of rainfall. In July, we ha

d excess of 7% to
9%. When you hear the next quarter commentary, it would get more adequately compensated.
Let me address your fundame ntal question. I think the fundamental question is true. What's really picking up is infrastructure and real estate. Those are the places where the revenue uptick, L&T, etc., large customers have been fantastic. As far as decorative paints is concerned, I would only say that, look, as I mentioned, our projects business and our premium business which is really the gut of what we do, the bulk of what we do, have been very strong. Yes, it was a tad lower than what I would have expected because we were gutting for a double -digit growth sometime in the mid of May. One of the things that we have seen is, and you have seen now 3 players announce their results which, I think, must be roughly about 67% to 70% of the industry and what the other 2 players who will take it up to 80%. Obviously, you are also looking at elevated levels of last year's base and also some price increases during the period of time that was taken. You have got to keep all those factors which we have taken. It is fundamentally demand sort of, off I would say. That is why I call it a K -shaped recovery, Manoj. I see premium consumers with a certain upper strata of income and you can see it in the FMCG play. It is very similar when you look at the companies. The companies which have got a higher pre mium play, some of which are not also listed and of which I know results have outperformed and the companies which have got a larger mass play. I think in this quarter, we have seen a little bit of a slower growth, but again, this will get corrected becaus e the more closer…. This time Diwali is fairly

late. It is in November. So, you are getting perhaps after almost close to about 7- 8 years a solid run for the next 2 to 2.5 months. So, we are optimistic.
Manoj Menon: Sir, the second question - in fact, you answered part of it in the recent commentary. Given the K-shaped recovery which we call it, which is visible in most of the consumption, whether it is staples or discretionary, given the over indexation which you have at a portfolio level in the premium en d of it, in the deco, is it fair to expect that your growth should be far higher than the industry average? At least for a time like this?
Rajiv Rajgopal: On the premium end, I would say that I do expect it to be because we at the segment level, we do our own analysis now in the last year or so in terms of what is segment level. But I do expect that it would be a tad above the industry. But again, Manoj, there are drivers to this and the drivers to this are basically the innovations, the differentiation and the products that people bring in, pricing, etc. In the last quarter if you ask me, yes, I do expect on the premium and I do expect…. We really thought when we looked at the quarter results, because intuitively, when you speak to large dealers, one got a feeling that the numbers are higher. But we broadly know now the market growth. We still believe in the last 2 years, we have been gaining market share. We have been a little low key on it because it is good once the full year is over. We have done it beca use the last year got over and we have really gotten and informed all of you that we have started gaining market share. We believe that in India, in about 6 -7 key states, we are still gaining market share. There are 3 or 4 states we have had some issues in the last quarter, which we are working on, we are correcting, and we know where we have lost and we are putting plans that in a couple of months we will bounce back.
Moderator: We will take a question from Nikunj Doshi from Bay Capital Investment Advisors . Please go ahead.
Nikunj Doshi: Congratulations on a good result as well as for being reappointed as MD. If we go through most of the analysts' reports

on the paint industry, and even after the current result, despite results being good, most of the analysts are skeptical putting buy recommendation because of the Grasim's entry into the paint sector. What is your view on Grasim's entry into the paint sector and how you see dynamics changing for the industry going forward?
Rajiv Rajgopal: Nikunj, my view do esn't change. Firstly, thank you for your wishes. Of course, my appointment is subject to all shareholders' approval. I don't like to count my chickens before they hatch. I will wait for the formal closure of the process, but thank you in advance.
Let's ju st go back. We have had about 2 or 3 formidable competitors enter the industry. Let's not demean any company. I think these are all companies in the segments and these are powerful business houses, all of whom I respect, have come into the paint industry i n the last few years. I don't think the industry rankings have changed at all. If at all, from our point of view, we have really bounced back which was really a concern when I came into the job in 2018 and very clearly I knew that there is an issue; we nee d to work on it and we correct it and we have been

really putting our head under the ground and really putting up our teams to really focus on correcting the core issues and making sure we are there. As far as Grasim's entry is concerned, again, they come from a very powerful business house. They have made some phenomenal launches in products. So, I am doing scenario planning between myself, Krishna, and our teams. We are looking at 3 or 4 scenarios that could be there, which is not to be shared right now. I am not in a position to talk about it. And we will look at it. We believe that because we have got a premium position, we are the only multinational company with a phenomenal product. Why do people buy Dulux? Because of the quality of the product. We are focused on saying how can we make it and people like yourselves fall in love with us and paint your home. Because, what we have seen is 9 out of 10 people who use Dulux or even to be on the conservative side, 8 out of 10 people who use Dulux, after 3 to 4 years, come back only to our brand. Pretty much the users are fairly solaced in nature. That is where I would see on the paint side. Grasim is coming on the paint side, coating side, so is unscathed for the moment. And we have got great technology, workin g out there, great relationships with customers. People look at our products as innovation; like powder, we have launched metallic bonded powder which is typically used in very advanced markets - Europe, Middle East, etc., where you get phenomenal consiste ncy of paint and you get a metallic finish, etc. We are focusing on our journey right now, Nikunj, to be honest and we will see. We have to look at it holistically - how they will enter, what are the price points they will enter, are they going to play a branded route versus a pricing route. Already some pilots are on. We picked it and let's wait. We will have to go step by step, to answer your question. I think this would be more relevant if you ask me this question maybe after 6 to 9 months.
Nikunj Doshi: Because analysts are more concerned rather than the companies.

Rajiv Rajgopal: I understand, but I think you will have to trust the people who are doing their jobs. Our strategies - and we have got a presentation to our board in a couple of days - are crafted keeping all the new entrants in mind. If I look at all the other players in the market, I would say the same. You have got people of very high pedigree running these companies. I don't think if I were an analyst…. As an individual outside the job looking at buying stocks, I think I look at the pedigree of management, what is the lineage. Our lineage is AkzoNobel . At the end of the day, the key concern for you is, is AkzoNobel interested

in India? And that is answered, because India is the first country that Greg Poux -Guillaume has visited. And let me be honest, he has made it very clear to me that even if 1 month's revenue drops because of some issue, we are going to continue to invest in India. And I have not heard that commentary for a long time. So, I am personally highly excited. I almost feel 22 years of age now really to be h onest. Bring it on, let people come in. I am very sure I have got a capable team. The industry players, they are very strong drivers of this business - brand, distribution, tinting machine and technology, painters, customer connect. It will take a while to build. That's what I would like to say. Again, I don't like to belittle any player. I think all the players who have entered have all tried their best. It will continue to happen. Hopefully, I have answered your question.

Nikunj Doshi: And just another one on the industrial and coating side. Are there any major breakthroughs, recent breakthroughs which you would like to highlight or which can help us in growth going forward?

Rajiv Rajgopal: Breakthroughs, we are doing a lot of work on sustainable products. I won't be able to tell you more because then it will no longer be a trade secret. Some of our coatings, the formulations on International, Interpon, etc., are focusing on sustainability, are looking at beyond color. If you look at pains and coatings, we are housed on being a driver of innovation. We are looking at, let me give you one example, Intersleek which is there; what we do is we have got a product which is a bio -grade product which prevents the hulk of the ship from getting seaweeds. We are coming with many such technologies. We are looking at platforms, we are looking at propositions which are going to be fairly enticing. And our global team and our local innovation teams are working in terms of best -in-class technology.

R. Krishna: I think you ar e clear, Rajiv, in terms of that. Our focus is to provide the improvised solutions to the customers and also ensure that value proportion is met and we grow together.

Rajiv Rajgopal: Also, we are using very powerful global tools on CRM and key account mana gement. Frankly, I can vouch for one thing that if you look at our key account management, I think it is at a different level.

Moderator: We have our next question from Gaurav Nigam from Tunga Investments. Please go ahead.

Gaurav Nigam: Sir, one question on the industrial side of the business. I think a lot of discussion happens generally on the decorative side. Just wanted to understand a little more on the industrial side because I keep on hearing about the 35% contribution that you have been highlighting in the past as well on the industrial side. Can you give me a flavor? May not be a quantitative number, what has been the growth in this industrial side of the business in the last 2 -3 years since you took over? And historically, how do we differentiate i n this business? And maybe not a forward - looking statement, but historically, how do we differentiate which has given this kind of growth in that industrial part of the business?

Rajiv Rajgopal: Let me take a very simple example. If I were to just look at the CAGR of the last 5 years versus the previous 5 years, the CAGR has moved from approximately 6% to closer to about 9.5% to 10%. That answers the first part. In terms of what are the drivers? I think the industrial coating, whether it is automotive, spec ialty coatings, or powder, etc., is really built around technology and the quality of our products and the relationship we have with our customers. Why do these customers come with us? Because, we have got products which are uniquely differentiated in the market. If you look at our powder, globally, we have a 32% market share, and the number #2 player has got a 16% market share. And that t

ells you the quality of products where we do almost everything. It is architectural. We look at what we call the general appliances. You go into pipes, the pipes which carry high value products like oil, etc., which are powder coated. We do a plethora of products. We do vehicles, rims of vehicles, etc., automotive. If you look at our

brand, Sikkens, it is the world's most p remium brand. We also do McLaren Mercedes, as all of you know, for F1. We have got a 70% share of the aerospace. Of course, in India, we are yet to have big hangers. That's MRO business, which is maintenance and repair, yet to come in, which is a phenomena lly profit -accretive business. We enjoy great positions in our coatings business globally. As far as India was concerned, the focus was really first building the customer relationships. Because, you may have a great product, but if you are not able to get customers who genuinely believe in your products and believe that you are world- class, yes, the rest is history. When I came and I still remember a lot of customers, while they knew about AkzoNobel , they really didn't understand it. And I must compliment a ll the teams who have really driven it hard and even more recently in some of the businesses. I will say that the teams have really been focused in trying to communicate that our products are world -class and key account management has been really brought t o fore. That's why I genuinely think we have got a proposition which is going to be a win- win and which is going to take us to the next level.

Gaurav Nigam: Just a clarification; when you said 6% to 9.5% to 10%, this is very specific for the coatings divis ion, right?

Rajiv Rajgopal: Yes.

Gaurav Nigam: Sir, one more question. We have been hearing a lot from the government on the focus on CapEx and infrastructure development. I think a lot of focus is coming on the projects business. I was wondering how Akzo is thinking about it. And have we taken any initiatives on that front to grow that part of the business and is that a sizable part of the business? I am sure you must be, but just want to understand some thoughts on that front as well.

Rajiv Rajgopal: I won't be able to share the specifics on that because, again, that is confidential. But why is the government attractive to Akzo in the last couple of years? Because, everything has come through e-tendering where the government is now going for specifications and I think that is where we bring in a huge amount of…. We can't do, we are not good at, and we don't want to do any other stuff like lobbying, etc. We genuinely want people to use world -class products. If you look at whether it is Central Vista or INS V ikrant where we have been provided our coatings, it really starts telling you today. I think the government is also believing in great quality. They understand the value of having a great brand and great quality, Chartek, which is a fire protection which i s typically used in oil rigs. It is also getting used in key defense installations, etc., not just in India but even in the United States, the UK, Europe, etc. To me, it is the quality of products that you have, how well can they live their promise. That's really what we are focusing on.

I do think that the government is a sizable business. In the last few years, it has dramatically changed in terms of building on specifications, looking at proper rate contracts, it's all e -billing. It's a very formal proce ss and I do think that will be a good channel for us as we even move forward.

Moderator: We have our next question from Nirav Savai from Abakkus AMC. Please go ahead.

Nirav Savai: My question is regarding the distribution spends which we had highlighted in the last quarter that we would be scaling up our distribution spends for deeper penetration. How mu

ch did you
spend this quarter - the A&P spend for better penetration and appoint ing new distributors?

Rajiv Rajgopal: Appointing distributors, the spend is nothing because it is a breakeven of 6 months. I have a very simple formula. I don't anywhere share these numbers, but the appointment of a distributor as far as we are concerned w ith the velocity we are now generating compared to 5- 6 years or when I embarked on the journey in 2013 where the breakeven used to be about a year or 2 years is negligible. So, really I think that it doesn't. On the A&P, we had, during COVID, brought it down to about 1.8. I think going forward, I had mentioned that we will dial it up to 3.5 to 4. On distribution spends in the new markets that we are entering, what we need to do is to build brand visibility, contractor programs, etc., which are fairly cost e ffective. We are also using digital platforms now to build it. So, we do see a lot of productivity in some of the work that we did compared to sometime earlier. Hopefully, that answers your question.

Nirav Savai: I was just trying to understand this quarte r, we had very good performance as far as margins were concerned. These were the best ever kind of margins consecutively in the second quarter, after the 4th quarter. What do we see sustainably going forward? How do you see these margins panning out looking at the kind of competition intensity ahead?

Rajiv Rajgopal: Let me answer the first part and I will request Krishna to add. The margins are comprised of mix and comprised of softening of crude. Yes, how do we see it? As I told you, we will continue to aggressively play in the premium because really that's what is our strength and we are not going to let go of it. Also, it is in terms of composition of decorative versus the industrial part of the business. That also has a confluence and that varies quarter by quarter for all the companies, to be honest. So, it is very difficult to be able to select because, for example, in some quarters it is 65:35, some places it is 63:37, it depends. As you enter into deco season, obviously deco sales start zooming through. That has been the pattern.

R. Krishna: It all depends on the product mix.

Rajiv Rajgopal: And also value creation programs. We have embarked on a lot of value creation programs that we are working with as a team. Some of the productivity measures and some of the value creation programs that we have unleashed will also add to this.
Nirav Savai: Lastly, about this non -premium segment. What would be the contribution? Any plans to scale up there in that segment as we are planning to penetrate deeper?
Rajiv Rajgopal: From a growth perspective, obviously we need to play in it because a large percentage of the market growth is coming through segments like mass, economy, putty, and waterproofing. In waterproofing, we are very aggressive, I think, both in terms of quality of product and in terms of growth. Where we are lacking is putty, to be specific, and also s ome economy segments. We are looking at it, we are dialing in. I think there are some price points that we need to address.

We want to do something which is going to be accretive to what we do. We are not going to do something for the sake of doing it. Our focus is saying how we can strategically do things which, from not just next quarter but from 1- 2 years, are going to be the right thing to do. That's where we are working.
Manoj Menon: Can I take 2 questions in the chat window, please? Sir, we have the f irst question, or rather multiple questions actually. I will take one at a time from Shirish Pardeshi of Centrum Broking.
The first question is, has there been any consideration to pass on pricing benefits to trade and consumers?
Rajiv Rajgopal: The passin g back has gone through elevated discounts which have happened because of competitive pr

essures in the market. At the end of the day, this started sometime in June and we did see some of our competitors getting more aggressive, maybe because also of a trun cated demand in the first 2 months relatively to the previous quarters. So effectively, the pricing has got a bit corrected through that, Manoj, to answer the question.
Manoj Menon: The second one is, do you expect the industry to behave differently once G rasim products hit the market in October -November?
Rajiv Rajgopal: I think this is a fairly mature industry. It has been a very disciplined industry. We will have to see what Grasim comes and does. I would assume they are not going to sell their products f ree. If that is the case, then it is going to be a very different answer. But assuming that they are going to charge even Re. 1 for it, I do think it is going to be a competitive one where companies like us will focus on making sure the brands are far more entrenched in the mind of the consumer. Try Dulux because I think a lot of these questions will get answered the moment you use it once. And when I use that product inside my home, I really know what it is about. I just genuinely think I am intoxicated by the quality of product because what are my scientists doing? I hire from the best IIT universities if you have heard of these institutes. The team is really focused on converting the magic of science into the magic of paints. And for that, you need passion, the ability to think, and that's what Dulux is all about. That's why when consumers…. And this is not manufacturer's speak, Manoj and to all of you. This is a consumer's speak. I am sure many of you've used it. I ask TV anchors who have used it. They sa y, I have used Dulux, I have used it 4 years ago, etc. That's what we really want to drive. And I think there we have got a journey ahead. To be honest, we have got a long journey ahead. I have been saying this for the last 3 years, I am focused on that. L et's look at what the new player brings in. It's a formidable player. We all understand. They will come with their own disruptive strategies. We will address those disruptive strategies when it comes..
Manoj Menon: Sir, the third one from Shirish is, could you spell out if the consumers are now downtrading to economy?
Rajiv Rajgopal: I don't see consumers downtrading to economy. If at all, I see more premiumization happening in the market. Downtrading means supposing I am a consumer, I use a premium product , e.g.,

either Velvet Touch or Dulux SuperCover or SuperClean and I downtrade to Dulux Promise Interior. That's downtrading. But what we are seeing is a new set of customers coming into economy segment who are using either local players or distemper or som ething of that sort and this has been happening for the last few years. We were not present. We are getting some new consumers from other brands despite the fact that we are not at a huge price advantage or we are not at a huge discount to other players, p rimarily because of the quality of our products. To answer you, no, I am not seeing too much of downtrading. This view can change if the market changes or the economy or income level changes.
Manoj Menon: The 4th question from the same participant is, its market share? I presume he is asking about deco market share.

Rajiv Rajgopal: We don't give out market shares because these are not available in public domain …. Unlike the FMCG industry, we don't have Nielsen or somebody really tracking us. You can see the quarterly results, track it, use your judgment. You have been telling us that we are in the region of about 5.5% to 6% in deco. I think we have been moving up and we are pretty pleased with the fact that last year we ended up in the top 2 of the fastest growing companies in the sector . Am I happy about it? No. My endeavor is eventually to start seeing how can it be t

he fastest growth? But it
will take a while. Castles are not built overnight, they are built brick by brick. We are in that process and we are determined to make it happen.
Manoj Menon: There is one question from Lakshminarayanan Ganapathi, two questions rather. 1) Is your non-decorative about 35% of your revenue? I think you responded to that a little earlier. Yes, it is confirmed. 2) How do you manage such good working capital despite being 35% in the industrial segment?
Rajiv Rajgopal: If I told you the secret, it would no longer be a secret.
On working capital, we put some fundamental principles in place to say that we have looked at some le arnings that we have had in different industries and said that how can we manage it, which is the reason why it is there. But we are very focused not just on revenue, EBIT, EBITDA, PAT, but on ROCE. And what delighted me is the fact that we moved to 36% re turn on capital employed last year and that journey will continue upwards. We are sweating our assets, we are using technology. Those are the things I have talked about it, Manoj, in a few banters . If you really go through what I have said, I think you wou ld be able to arrive at how it is done.
R. Krishna: The strategic priorities which we have, we meticulously follow. As far as the B2B segment is concerned, we do have a fair amount of discussion in terms of when we enter and renew the contracts, what are c ertain negotiables and what are non -negotiable.
Rajiv Rajgopal: Also, our buying is done very scientifically. Maybe that is the only thing I didn't say. Our buying is very very scientific and very programmed.

Manoj Menon: Presumably you have scale benefits because of the MNC linkages.
Rajiv Rajgopal: I won't talk about anything beyond that.
Moderator: We have a question from Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Sir, is my understanding correct that we are looking to strengthen our premium positioning in the paint space? That's how I am looking at it from a strategic perspective in the decorative segment. In that scenario, would it be possible for you to kind of g ive us a sense on where we are on marketing spends to sales versus the pre -COVID level? And how do you see them trending going forward?
Rajiv Rajgopal: We were at about 1.8% A&P to revenue at a point in time during COVID and we are scaling it up. We are ab out 2.2% to 2.5%. Our endeavor is to move it closer to about 3.5% to 4%. We believe that that is good enough. Technology has changed. The way consumption and feed is happening is very different. Traditional media is no longer the only media where you are visible . We are seeing it. We have got living examples where we have proof points of the fact that we have tried certain new media channels and it seems to be working for us. And it is a continuous journey as far as we are concerned.
Avi Mehta: In a way if efficiency of those spends is what is being worked on, not look at a pre -COVID number, but probably around 3.5 is what we should look at going forward.
Rajiv Rajgopal: That's right.
Avi Mehta: The reason why I asked is basically it was on the margin commen tary. We have seen 2 quarters of almost 16% plus EBITDA margin. You are looking at benign input cost, and there is a healthy decorative growth expectation for the third quarter. I was trying to kind of appreciate what would be wrong in assuming that FY24 i s broadly similar to the 16% plus mark at the least. Or what is it that I am missing? Because, the mix as you rightly said, 35 becomes 37, but that has kind of panned out, and 3Q is a relatively better quarter. Maybe you could help me understand what in the equation could be wrong if I make that assumption. Or is that a fair assumption to make in the first place?
Rajiv Rajgopal: The only thing I think in the assumption that would change is our endeavor

to say that what is
now priority. We have been through different phases. I think we went through globally 15x20 where India obviously had to contribute . We have gone through a grow -and-deliver strategy period. Now, the focus is on saying that - without eroding margins terrifically - can you really start now ge tting back to a stronger top line, which is a healthier and sustainable top line. To me, that's the part you are missing. Of course, it is not that we really want to drop the EBIT or EBITDA margins at all, but what we want to do is to balance it given our market position? And those are things which are a bit confidential. We are not going to talk about it because we have

got our journey cut out. I have always told the street that I will be in double -digit EBIT margins

- not EBITDA, EBIT margins. We have bee n very consistent to our promise. And I don't see any real reason to dilute it. But that said, because I do think it is not OR question, it is an AND question as far as I am concerned. But I also realize a nd sense, we know what is coming. We know the elevated competitive intensity which is there. So, we will wait and watch and do the right thing. We are a company that if you invest in us, we believe in making sure value grows. I don't want to take a name, but I can tell you when I got into the job, I went and met one of the marquee investors with us. I think the share price was about 1,700 that time if I remember. I met the team, a fantastic team, who had belief in us. Today I can say one of the things I am gratified and I am thankful to God is that at leas t I have lived my promise. That's where we are. We don't make big promises, but what we say, we like to do, and we like all of you to have that faith that we are here. You are parking serious money in investing in our business. We believe that we look at i t very seriously. It's like putting our money in our business, because I draw my salary and everything else from it. You can rest be assured that what we do, we will do it with a lot of thought process and a lot of thinking strategically and granularly bef ore we do any aberrations. And we will talk about that at a later time. I don't think today is the apt day for that.
Manoj Menon: Sir, there is a question from Utkarsh Solapurwala. What are the plans on waterproofing and construction chemicals? What is AkzoNobel 's current strategy in these segments?
Rajiv Rajgopal: We are playing very aggressively. It is one of my fastest growing segments, but I can't talk more than that. Why do I believe we will win? Because the quality of products we have got like Dulux AQUATECH is unbelievable. I don't think the top 2 players have got products which are equal to my quality. My research & development team is working on a lot of innovation in other products, which will further take it to the next level. But we want to be ca reful because some of the products are also slightly margin dilutive. So we are taking time. We want to understand that industry segment because, Manoj, some of them have also got long gestation times. You have to spend a lot of time with customers. Some of them are very customized. It is quite a different way of doing business compared to we have been doing. There is a lot of after -sales customer service required. We want to build those capabilities before we ramp it up. We are doing it step by step. What I can assure you is that we are a serious, meaningful player. If you go to the market and do a dipstick, you will see that the dealers will acknowledge the fact that we've become quite serious in it and we are growing fairly well. We've moved to integral w aterproofing , but have not looked at categories like membranes which are being used, for example, large industrial units , etc. That, again, is a thought for later. We will look at all the segments, everything else on the waterproofin

g side and work our str ategy; grout, sealants, everything.
Manoj Menon: There is one question from Rishi Mody. He says, did I miss? What was the volume growth in deco paints? Was there a comment about this?
Rajiv Rajgopal: Our volume growth was a little higher than our revenue growth. It was absolutely high single digit. I can just tell you Manoj that we didn't sell too much of putty.
Manoj Menon: And you follow valuated volume, right? It is not tonnage growth.

Rajiv Rajgopal: Yes.
Manoj Menon: Absolutely. That is absolutely the right thing to do.
Aniruddha Joshi: Sir, we have done 3 super innovations, starting with waterproofing, then economy emulsions, and then third, the floor paints. Which are the other gaps that you see in the overall paint segment where Akzo can have a good right to win? And any more colors that you can share what the R&D team is working on? And overall, how do we see the new launches? Also, is there any plan to launch, let's say, 1 product or 2 products every year? What are our thought process on that?
Rajiv Rajgopal: Innovations have been the route to our success over the last 3 years. If you look at India, our innovations (NPIs) account for anywhere between 6.5% to about 10% of our revenue on a stated period. Eight out of ten, and I am giving you some absolutely honest truth of the launches have done well or I would say even 7 if I include DIY. Because, DIY, while the products have been great, obviously consumers are still not ready for doing- it-yoursel f except for young consumers and people who want to paint one wall. So, 7 to 8 out of 10 is our track record. Our products are doing very well. Some of it was catch- up, to be honest. We also realized we live in an industry where we have got a lot of intell igent players and a lot of people applying their intellect. In some places, we say, look, we don't earn brownie points by being the first, but when we put it in, how can we beat the best? That's what we try and say. Like, for example, PU Enamel; there was a new player who did an incredible job and built a phenomenal staff. What we did is, when we

brought it, we brought a different proposition and said our product when consumers or customers try, typically people should say, yes, this is phenomenal. And that 's what we are focused on. I think our approach is very different, or as they call it, "zara hatke" from the way others look at it. I don't like to stress my teams on saying everything has to be first because when you are a challenger brand, you've got oth er issues to address. But what you do? Bring in global expertise, bring in global leverage technology, bring in best in class. That's what we are focused on. Because, Dulux is about international best -in-class technology, great quality. Keeping those things in mind, we start looking at what is there.

Aniruddha Joshi: Some of the peers have articulated the strategy for projects business that what they are going to do in metros, then maybe tier -1 cities, and then further smaller cities, etc. And they have appointed special teams for projects also. What is our strategy on the projects business? I know that you have shared some details earlier too, but what is our real strategy over here? And is the projects business really expected to last at least 3 -4 years be cause of the recovery in the real estate?

Rajiv Rajgopal: The answer to your last part is yes. Unlike the other players, we are fairly serious. We are a large player in the projects business. In fact, we've got a significantly higher share than our average share because of projects and the way we had built it was really to bring in the best in quality to our large B2B customers and we've got marquee customers. I understand where others are coming from. They are trying to see whether they can get a share. Th ey are welcome. But as far as we are concerned, we see

no reason - we've got a good CAGR of double digit and that is

something that we will continue to do. We've got great offerings. For us, it's about tools, about ensuring that we are able to bring in the best in class in terms of presentations and the product array, etc. We've got Dulux Professional series which is very unique in this industry where we've got warranties, etc., for different products which are quite unique and specific to customer needs. That's what we are focused on. We are focused on our needs of our customer, understanding what the customers and consumers want and really trying to dial up propositions for that for the moment.

Moderator: I would like to hand over the conference to Mr. Raj iv Rajgopal for closing comments. Over to you, sir.

Rajiv Rajgopal: All I want to say is thank you so much. This is something that I've always promised you. Irrespective of our results, we will always be there in front of you. I really want to thank each one of you for your unstinted faith in all of us. Our company secretary process is just getting closed. We have the company secretary joining towards the end of the month. Obviously, at the appropriate time, when the individual finally gives us a joining da te, etc., we will notify and Krishna and I will work around. In the process, also got the person who mentored me into this job, and I have no shame in mentioning, Mr. R. Guha - and Manoj, you know Mr. Guha - to support us in this interim arrangement. And w hat I have requested Mr. Guha to do is also to help us. We will set up an investor meet and Krishna will work it. I wanted Krishna also to have a face to face with all our investors. So, we stay connected. We want to thank you for all your generosity and s upport. We want to let you know that for all the investors who are with us, we take every rupee that you have invested or every paise that you have invested with us seriously. We know it is a serious business and we are here to give you that assurance that we take our business very seriously. Thank you Manoj. Thank you to all of you for setting this up and wish all of you a great weekend.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. And you may now exit the meeting.

Call: Nov 2023

Akzo Nobel lndla Limited
9th November 2023
Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai -400 001
Scrip Code: 500710
Dear Sir/Madam,
Sub: Investor Call Transcript AkzoNobe■ /
The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra-Kurla Complex
Sandra (E)
Mumbai -400051
Symbol: AKZOINDIA
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investor call conducted by the company on 3rd November 2023 regarding the standalone and consolidated financial results of the Company for the quarter ended 301h September 2023.
This has been uploaded on the Company website also and can be accessed from the link:
https:// akzonobel.co.in/investors.php#im
Thanking you,
Yours truly,
For Akzo Nobel India Limited
Rajiv L Jha
Company Secretary & Compliance Officer
Membership No. F5948
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"AkzoNobel India Limited
Q2 FY '2 4 Earnings Conference Call "
November 03, 202 3

MANAGEMENT : MR. RAJIV RAJGOPAL – MANAGING DIRECTOR – AKZONOBEL INDIA LIMITED
MR. KRISHNA R – CHIEF FINANCIAL OFFICER AND WHOLE TIME DIRECTOR – AKZONOBEL INDIA LIMITED
MR. RAJIV JHA – COMPANY SECRETARY – AKZONOBEL INDIA LIMITED

MODERATOR : MR. NILESH PATIL – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '24 Earnings Conference Call of Akzo Nobel Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Nilesh Pat il from IC ICI Securities. Over to you.
Nilesh Pat il: Thanks, Yashashri . On behalf of ICICI Securities, we welcome you all to Q2 FY '24 Results Conference Call of Akzo Nobel Limited. We have with us Mr. Rajiv Rajgopal, Managing Director; Mr. Krishna R, Chief Financial Officer and Whole -Time Director, along with Mr. Rajiv Jha.
Now I hand over the call to management team for their initial comments on quarterly performance, and then we will open the floor for question- and-answer session. Thanks, and over to you, sir.
Rajiv Rajgopal : Good evening to everyone. This is Rajiv Rajgopal, joined by Krishna, my CFO; and Rajiv Jha, who is the Company Secretary.
Mode rator : Sir, I request you to be a little bit louder, please.
Rajiv Rajgopal : Can you hear me now? Is it better?
Mod erator : It is better, sir, yes.
Rajiv Rajgopal : So good evening to everyone, joined by Krishna, CFO; and Rajiv Jha, Company Secretary. What we will try and do in the next 5, 10 minutes -- and I'm not going to use the deck, the deck that we intended to use is already loaded on the website, I thought we will keep it more for Q&A and any questions that any of you may have. But I just thought I'll just quickly outline how the quarter has been.
Indeed, as all of you have seen, both the industry numbers and our numbers that it has been a relatively tougher quarter. But despite the headwinds of erratic rains in new consumer sentiment, we continued our journey on profitable growth. We reported a revenue of close to INR956.3 crores, a 3% growth, coming largely from the B2B segment, projects in Paints and the Coatings businesses. The retail sales was relatively muted.
The gross margin percentage improved by 600 bps, which was mainly attributed to raw material cost seasoning, coupled with favourable mix. With increasing scale and efficiency, we continue to deliver on our double -digit growth profitability with a 33% growth in EBITDA.
And our profit after tax was INR 94.2 crores, up 44%, right?
So really, for me, I believe that as far as the first half is concerned, we continue to be in the top 2 in incremental growth. We've achieved new records across most parameters in absolute terms. All the strategic drivers, including product portfolio, is reached. And efficiencies are working well.

The PAT for the 6 -month period has grown 43%, strong -- obviously supported by stronger EBIT, operating profit and other income, yes. Our OWC -to-revenue percent remains one of the strongest in the industry, reducing from 9.6% in September '22 to 5.7% in September '23.
In fact, I must be proudly say that our Paints business is almost now on a negative working capital, perhaps something that I had only achieved during my FMCG days. This has contributed to a healthier cash flow, which is supported by our capex and dividends. We ended the year with liquidity of almost INR 612 crores, yes.
So that's what I have to say in substance on behalf of Krishna and myself. I thought we will use this time to take your questions and answer any specifics. I'm also mindful of the fact that this is an open call. And hence, when in an open call, you have a lot of open -- people who are openly invited, so bear with me that I will not be able to share any competitive details. I think that's the nature of our business.
And given the fact that there are a lot of people who are making a

lot of inquiry, you would appreciate the fact that I will be a little guarded in some of the comments that I make, yes?
I want to -- before I hand it over for the Q&A, I want to deeply thank our investors, who stayed -- had been a great support. And thank you to all of you. As all of you know, I've been re-elected for the second term as Managing Director, and this would not have been without the support of all of you and all the employees at Akzo Nobel. So once again, a big thank you, and back to you, Yashas hri, Manoj Menon and team , Nilesh and team for the Q&A. Yes. So over to you.
Mode rator : Thank you very much sir. We have a question from Atharva Bhutada from Purnartha. Please

go ahead.
Atharva Bhutada : So actually, I had two questions. One was regarding that all paint companies did have a slowdown in rural spending and downgrading in paints in the rural sector. So, have we seen any uptick in demand in rural after the September quarter? Or has the market share been lost to local players?
Rajiv Rajgopal: Okay. So let me answer your two questions. First, as far as we are concerned, and I said it perhaps also in some of the interviews in the morning, we've actually grown in rural in our paints portfolio. And I assume you're talking largely paints here, right? Which is about 60% of our overall sales. Yes, so yes, in paints, we've grown in rural in Q3. And this is largely coming out of our distribution efforts, which has been ongoing for the last almost a year, year and a half. Right? So that's the first.
But remember that we are starting at a much smaller base than some of our larger competitors. So, I just want to be fair that yes, if you look at an aggregate level, rural is because of the erratic rainfall and spend, etcetera, having a bit of a challenge. But we've seen a growth because of the distribution gains that we've made in many cases.
The second question, I think you've seen the, you know, last full year, we were the second fastest growing player in the paints business. And even if you look at the first half, we're still,

you know, even if I keep scoring aside for a minute, I see no reason why we've sort of, yes, if you look at specifics, we would have lost some market share in mass market, which constitutes about 35% of the market. But in all the others, we significantly gained.
So, at best, we would be gaining about 0.1 to 0.2, because the market size is so big. But, you know, for me, you know, I'm between 0.1 to 0.2 gain, largely coming out of a premium because a premium grew quite significantly in the last quarter, very high single digit growth in premium. Yes, hopefully I've answered your question.
Moderator: Atharva? We can't hear you. Since there is no response, I'll announce for the questions again. Ladies and gentlemen, to ask a question, please click on the raise hand icon available on your toolbar or on the Q&A tab available on your screen.
Manoj Menon: This is Manoj Menon . Can you hear me? Can I ask a question? Rajiv, Krishna, apologies, I had some connectivity issues initially, I'm sorry for that. Yes. So, sir, a few clarifications. One, when you mentioned you're the second fastest. So, in that calculation which you do internally, are you counting non- Paints also? Let's say, the putty and other sales kind of -- is it a Decorative comment or it's a Paints comment?
Rajiv Rajgopal: No, it's a, it's a, it's a paints comment, but we don't include, you know, anything which is non - paint, I mean, it includes waterproofing, it includes putty, but it does not include the fabric, furnishing, lighting, kitchen, adhesives, adhesives too, because we don't participate. In our portfolio, adhesives is not there. So, we look at addressable market, because otherwise, it's not a core paint and coating from our perspective. So, we only look at those.
Manoj Menon:

Sure. So that was very helpful, actually, and good luck. Sir, and secondly, it's not really about urban and rural. But generally, there has been stress in consumption on the bottom of the pyramid, which you had observed in the last, let's say, a couple of years. And there's a comment that it is bottomed out. While it's a short term -- what I'm trying to understand from you is that we started seeing some stress in the restaurants and about a year back; apparel retail, maybe 6 months back. What's your sense on Paints business, whichever way you cut it actually, urban, rural, premium, mass?
Rajiv Rajgopal: Yes. So, look, you know, firstly, overall, you know, I'm also a little surprised as much as the rest of the industry. When we started the quarter that went by to what ended, obviously, the narrative was slightly changed. If you were to ask me in the month of June, July, we were looking at, you know, at least a good double -digit growth because we said it's an extended season. But two things that dramatically changed. One, the erratic rainfall, but that's not the bigger reason.
I think the bigger reason is, like you rightly say, a bit of slow demand. And we started seeing this from more pronounced in September than we saw it in July and August. Right. So, I think that's the two where we started seeing credit in some of the markets, particularly in the eastern part of the country, really coming under credit, huge squeeze. So that's the way we see it. It's something which is, you know, Manoj Menon , I just said it.

We actually, in the paint part of the business, had a slight decline in the metros last quarter. We actually grew very well in the rural markets. Now, obviously, it doesn't compare with the larger companies because they already have a significant high base in the rural compared to us. And obviously, you know, contributions are smaller. But that said, nevertheless, you know, this has been an effort of last one and a half to two years where we've driven distribution, led gains. And obviously, the acceptance of the brand in some of the, you know, the smaller towns here, two, three, four, five is obviously starting to pay dividends.

And obviously, Dulux is getting some significant market share in those markets because we are starting also from a smaller base. Right. So, in net -net, to answer your question, how do I see it going forward? Look, I see pains. Obviously, you know, this quarter will have a bit of festive tailwind. But I need to wait and watch till December to see how much of the tailwind is going to translate to, you know, getting back to 1.2x to 1.5x GDP.

What we see is, if you remember in pains, I always used to present in all the investor shows that we are about 1.2x to 1.5x GDP. What's happened now is if you look at the last quarter, we've come to half of GDP. If you ask me, I've done some stochastic analysis with Krishna and we see that this kind of moving to about one first before getting back to 1.2 to 1.5. Now, what is the time frame? That's something that we will take a little three to six months before coming in. But it will take a bit of time before we really get back to the heady growth.

Also, the competitive intensity is going to increase early next year. So, we just should be mindful. However, it doesn't mean that, you know, the industry is going to see no growth. Not at all. I still think it's a pretty growth, high growth industry. It's just that the contours will change. There's election next year in May.

And as we've seen in the past, during the election year, particularly the in fra, you know, work was slightly slowed down from March, April. So those are things that we have to be meandering. Today, if you look at our business in the last quarter, just to give you some highlights, Paints sales was pretty much flat, literally flat.

And the Coatings business grew hi

gh single digit. Not only Coatings , even within Paints B2B business, project business, which constitutes 20% of our business, actually grew very high double digits. So, you know, that clearly tells you what's happening is it's reflected in the core sector index of the country where you're seeing the companies which are in real estate, infrastructure like L&T, etcetera, some of the people we work with and all doing very well. You're going to see that continuing in my view till March, April next year. Then you will see a bit of a hiatus till the elections are done. And irrespective of what happens, hopefully it will all be positive for Indian economy. And, you know, I think then start picking up again in June, July next year. So long term, I don't see an issue. I still see in India, the GDP growth story and the Paints growth story being intact. Yes, there will be intensifying competition, but we are ready.

Manoj Menon: Interesting. Thank you. Thank you for the detailed response, Rajiv. The third one, you know, before that, let me make an announcement. So, anyone, investors, analysts who wants to ask a

question, please do raise hands, you know, use that option. Rajiv, another one, your observation on the negative working capital. That's a brilliant achievement. Is it fair to say that you're the first probably Indian Paints company to achieve this?

Rajiv Rajgopal: See, Manoj Menon , I mean, look, it's not to compare with others. Everybody has got their strengths. You know, let's be honest. There is a leader with a 55% market share. So, you know, let's give accolades to all the people who deserve it. From our perspective, the negative working capital being a challenger brand, a number four player, enables us to give us the license to be on a profitable growth journey. Right. Are we the only one? Yes , probably. When you look at the numbers that have got reported, yes, we are at about 5%. And I'll ask Krishna to just run you through some of the meetings. But what are we focusing on? We are focusing on mainly collecting overdue, keeping our, you know, slow and obsolete inventory, etc. So, running the, what I call the integrated business planning process in a pristine manner is what we are really focusing on. I think that's our strength. Krishna, you want to add some numbers?

Rallapalli Krishna: Just an additional clarification, Manoj Menon . In terms of the negative working capital commentaries pertaining to the Paints portion of the business. Yes , it's negative for Paints.

Rajiv Rajgopal: Overall, it's about 4%, 5, 6%.

Manoj Menon: Yes. Sir, within paints, actually, what has been the key drivers for this? Is it that your distributor -led business has now reached the significant size, which is mitigating the working capital, otherwise positive working capital as well?

Rajiv Rajgopal: No, it is. But let's be honest, one of the things I always work and we always work as a team is

to make sure our distributor stickiness is very high, right? So obviously, we keep to inventory by distributors, typical FMCG model, right? So, to that extent, it's also good credit management that given our distributors have managed to upend. It's also making sure the right portfolio, etcetera, comes.
I think it's a suite of stuff. A lot of what we've done supply chain management, actually, where we've used iconic -- marquee people to help us to put the right agenda, and then Krishna and the team, leveraging on what I call ways of working and war on waste to make sure that we are able to drive our costs efficiently. Yes.
Manoj Menon: Understood, sir. One clarification on this from the other side of the table is that any -- which way, let's say, working with positive working capital constrains or constricts growth?
Rajiv Rajgopal: Well, as long as the working capital are directly deployed, I think what it helps us

in return on
capital employed. Look, this industry has got a 20%, 22%, if you look at the market leaders, 25% return on capital. We may be at about 30%, 32% right now. 33%, right? Now look, I think beyond a point of time, ultimately, it's about how you use it to unleash growth. So, we'll take it as a one step at a time. We've -- from where Akzo is coming when I came in back into the business in 2018 to now, the focus has been to how do you really accelerate growth .

I remember many of the investors, who were today on the call, really telling me -- it's not about what you say, it's what you do. So, I think hopefully, in the last couple of years, we had -
- this quarter and the quarter gone by, we've demonstrated what we can do.
Manoj Menon: Understood, sir. Let me take a question which has come in the text window -- sorry, sorry, sir.
Rajiv Rajgopal: Krishna, you want to say something?
Rallapalli Krishna: Just to add on, Manoj . The working capital management and growth, we are trading it carefully. We are not doing anything crazy to hinder the growth.
Rajiv Rajgopal: Yes, that's right.
Manoj Menon: Fair enough. Absolutely. Understood. So let me read a question that just came in the text window. This is from Dhiraj Dave from Samvad Financial. He's asking,
Dhiraj Dave: I'm just reading it out verbatim , what is the share of new products launched in the last 24 months earned during the second quarter of FY '24?
Rajiv Rajgopal: I think that's quite similar most people, it's around 10%. 10% is the revenue contribution coming from new products in the last three months, four months. It won't be very different for any player, Manoj . We are there. I think I'm pretty proud of some of the work that we've worked on the new product and portfolios. So, we are currently at about close to 10%, 11% of the portfolio.
Moderator: We have a question from Nirav Savai from Abakkus. Please go ahead.
Nirav Savai: My question is more on the project side of the business. Now here we have said that, we have grown by higher double digits and have a significant contribution to our overall Decorative revenue. So, am I right in understanding that it contributes about 40% of our Decorative business?
Rajiv Rajgopal: 20%.
Nirav Savai: 20%. And we have grown high double digits with -- in this 20% of the business?
Rajiv Rajgopal: Yes.
Nirav Savai: So, despite that, we have seen a flattish kind of a Y -o-Y growth on the Decorative business. The retail part has actually declined?
Rajiv Rajgopal: That's right. That's a very low single digit. I mean maybe, basically, almost flattish to low single digit. Very low, decline, yes.
Nirav Savai: Right. And on the industrial side, how do we see demand panning out for the second half? Or do we see improvement there? Or this is something...

Rajiv Rajgopal: We did grow high single digit in the last quarter in the industrial businesses pretty much. I see that continuing. Yes, can we get to double digits? Yes, I do think so. It also depends on the execution of a few orders, stability, etcetera. If everything's going good, I think we should be looking at close to early double -digit numbers in the -- for the second half in our businesses.
Nirav Savai: Right. And in Paints side, do we see acceleration in the second half? Or would it be more or less similar to what it was in the first half?
Rajiv Rajgopal: You tell me, I hope you're watching India matches on the cricket...
Nirav Savai: No, I mean you have your internal assessment in terms of demand and...

Rajiv Rajgopal: My internal assessment is okay. So, look -- so let me just tell you. I think we were at about 1.5% of the revenue. We said, we'll take it to 3.5% year on that journey. And we are now slowly moving in 3% to 5%.
Look, what I'v

e not said and perhaps even to -- when Manoj Menon asked the question, last quarter, we grew volume at a high single digit in both our Paints and Coatings business. And we have taken some small price corrections in some parts of the portfolio because Dulux is one of the more expensive paints in the market, right?
So, we had to do it because in some of the categories that I mentioned in March specifically, etcetera, obviously, when you come with a lower share, you were able to -- you are not able to sustain the premium, so we decided that we need price corrections.
So, a combination of that is what has happened. And volume growth is a good way because net of putty also, our volume growth is pretty high single digit. So, all I would say is, we seem to be going in the right direction. Let's see. We'll have to keep our fingers crossed, even taking one step at a time. No point predicting, how it's going to be ahead because you don't know whether -- what the steps ahead are going to entail.
Nirav Savai: Right. So, 3.5% to -- or 5% kind of spend is over a period of time...
Rajiv Rajgopal: Yes, and we are pretty active on World Cup front. For those of you who are seeing it across, it’s omnichannel stuff. We are also on Hotstar. Now if you are watching it, you’ ll obviously agree that you ’ve seen a lot of Dulux. At least the TV anchors in the morning seem to suggest that we are the most visible brand.
Nirav Savai: Right. All right, sir. That’s it from me’ sir. Thank you.
Rajiv Rajgopal: Thank you, Nirav.
Moderator: Mr. Menon, would you like to read the text question? Or should I go ahead?
Manoj Menon: Yes, you can – I’ll take it, actually. There ’s a question from Laxminarayan Kg from Tunga Investments. Laxmi is asking.

Laxminarayan Kg: Sir, since the start of the year, we are halfway right now, which aspects of your business performance has positively surprised you ahead of your expectations and why? And there ’s further, which aspects of the business have disappointed you? And what are you going to reinforce the positives and address the disappointments?
Rajiv Rajgopal: Very good question. Thank you, Laxmi. I think that ’s a very good question. Look, what is really the positive part? First, look, in our sort of a business in Paints and Coatings, we are a people business. We just recently finished global survey, done across all countries, called Voices.
This is a survey which any – all our 1,500 people can take it and all the line managers, about 250 of them, can see the results immediately. It ’s not like you have to wait for two months to get all the results and share it. People get online. What I ’m pleased is that India has got one of the highest scores in the Voices survey globally. And our team leaders have got – we need to give them a huge pat on the back.
Why is this important? Because you talk of results and business, but if people are intrinsically not happy and not doing – feeling stifled, then I think it ’s a very short -term growth that we are talking about. So, to me, that ’s the first. The second, it was a positive surprise because I did expect a reasonable number but not as high as what eventually happened.
Second, I think on the B2B businesses, while, yes, the core sector index is a reflection of the fact that B2B business is all across, you can see it in infra, you can see in the real estate company, results are doing well. I think the upsides sort of helped in some of the innovations that we put over the last couple of years, and the investments that we put sort of were gratifying, and I was pleasantly surprised to see that there ’s a bit of a tailwind.
And what has really been a bit of a disappointment? I think on the retail side, of course, there is a bit of a demand uptick. But given our market share, I keep telling the team there ’s only one way to go, which is

up, right? So, execution in certain geographies should still be world -class.
That’s what is a bit disappointing, and we ’re working on it.
Second is in our portfolio, mass market and economy needs to be readjusted. As you ’ve seen the commentary of all our competitors, obviously, they ’ve been there longer and they ’ve got a higher share and higher wallet share, etcetera. But I think about driving the brand there, building customer intimacy, making sure the painter engagement, etcetera, stronger order is something that we are working on. We are mindful of it. I think these are the places.
The last but not the least is in new categories we've entered. These categories have now started contributing to almost 10% of our revenue, waterproofing, woodcare, etcetera, which is

significant from our side, given that we ’ve not made any M&A unlike any of our bigger peers, maybe except one, the market leader, we ’ve not made any M&A.
So, it’s all in -house done. I ’ve not fired or hired anybody for it. It ’s basically using the existing set of people we ’ve got in our R&D centre from IIT, UGC, etcetera, some of the best engineers we’ve got to deliver the results. So, to me, I think we need to continue that. So yes, there are lots of things that we need to work on because when you are a challenger brand, you got to run

faster, right, and you got to make sure that you solve customer issues and you are on top of things.
So, I think obviously in many parts, there are challenges. In the eastern part, for example, Manipur, we ’ve got a relatively large business in the paint industry and unfortunately, it ’s almost zero for the last few months because of the challenges there. But hopefully, it should start bouncing back in this month or in a couple of months.
So, I think there are some internal challenges too that we face. I don ’t want to illustrate everything here, but suffice to say the team is working on it. We as a leadership team are committed to making sure that we start building it back bit -by-bit to deliver double -digit growth.
Manoj Menon, hopefully I ’ve answered the question.
Manoj Menon: Yes, sir. There ’s a question or a comment actually from Utkarsh Solapurwala from Damos Capital.
Utkarsh Solapurwala: Congratulations, sir, on your reappointment. What are some of the key strategic objectives that you would like to achieve in your second term?
Rajiv Rajgopal: Thank you. I think the strategic objective is single -minded. I think that ’s the belief that I ’ve got from the Global Parent. I’m hoping that they will invest in India more -and-more, which I'm seeing with the new CEO. I think that's something very exciting. Really is how can I start getting market share in a profit, continue to gain market share significantly in a profitable manner.
So really the focus is around building around, working around the adjacencies, working on our gaps in distribution, working on our portfolio, and making sure the brand is far more visible.
So that's broadly it. I think for me the personal milestone will be to really say how can I build scale, because I think we've got the right cost structure now, and with scale we'll be able to make it a creative. Of course, we'll continue to reinvest in our brand, but the single -minded objective is how can I drive market share gains in the second term.
Manoj Menon: Yashashree , if you can announce and hold for a minute or two, please?
Moderator: Sure. Ladies and gentlemen, to ask a question, please click on the raise hand icon tab available on your tool bar or on the Q&A tab available on your screen.
Analyst: Manoj Menon sir, while the question queue assembles, I think I probably have one question. So, if I can go ahead.
Manoj Menon: Yes. Go ahead.
Analyst: Yes. So, thanks for the opportunity. So, I just wanted a clarification that at Akzo we

have
streamlined our strategic priorities on margin supply chain and working capital management.
So just wanted to hear more about on that front, and just wanted to clarify or you can say that more information on the point that. In your first phase, sir, you had achieved a distribution and

portfolio expansion in your first term. So just wanted that will it be the second kind of part two where you are trying to achieve more on margin supply chain and working capital management? So, will it be kind of part two for you? And are there any internal targets or timelines for the same?
Rajiv Rajgopal: Yes. So yes, it's a part two, because you know, for making sure distribution 3.0, which is currently on 2.0, which is really going into smaller towns, absolute smaller towns, right? And we are doing some pilots on something which is really going to be -- what's good for India is going to be good for Akzo Nobel India, right?
We are testing some pilots where we are trying to do something very different in the industry. I can't talk about it now, but tha t is going to be the third leg.
But to do that, our supply chain needs to be efficient so that we cater to our customers in 2.0, right? So, you're right. I think building an efficient supply chain using AI, using the latest tools, digital, to try and make sure supply chain is ready for the next 2030 and beyond is one of

the things that I'm focusing on.
And on working capital, I think we're pretty good. I think on working capital, it's fine tuning it, understanding the drivers and levers of growth and saying how can I deploy working capital and sweat my assets with good return on investment, right? So, because my focus is that how do I put money where my shareholder value can significantly get enhanced in a specific time period, right?
Now, what are we looking at? Look, some of the supply chain projects will take at least about two years to three years because we are doing it in two phases or three phases. We are right now in the design phase. Then we get into a planning phase, planning and preparation phase, and then into an execution phase. Each phase typically takes about eight months, seven months to eight months if you want to make it world class. And India is going to be the pilot for some of the world class thinking and projects that we unveiled for Akzo Noble.
So that's the way I'm approaching it. I'm not in a rush because when you want to also attend to the smallest towns, you want to make sure that you do it in a very digitally cost -effective manner. So that's really where we are driving it. Hopefully, I've answered your question.
Analyst: Yes, sir. Thank you.
Moderator: Mr. Menon, we do have one more text question. Should I read that?
Manoj Menon: I'm just going back just a second. Yes . So, this is from Atharva and two questions rather. So first is again a follow -up from Atharva Bhutada. He says.
Atharva Bhutada: Can you please explain how did we manage to get a negative working capital in the paint business?

Rajiv Rajgopal: So, Manoj Menon, I think you already in a way answered that question. Beyond that the day Atharva tells me what is the secret formula of coke, I will tell him the secret formula of negative working capital.
Manoj Menon: Okay. Fair enough. Okay. There's a follow -up from Lakshminarayanan KG from Tunga Investments.
Lakshminarayanan KG: In terms of portfolio gaps in the Decorative and home Coatings, which are the areas you are indexed lower? If one takes the leader at 100%, where are you now? And what is the plan for the next three years?
Manoj Menon: He's asking for decorative and home coating separately. Yes .
Rajiv Rajgopal: No. So, look, let me focus on decorative home coatings. We are not -- I mean, I assume you're talking o

f the performance coating, in the coating business, I'll talk about it. See, in Decorative, it's basically, we're under -indexed, because we've got a, imagine our share is about 4.75%, and we've got about a 17%, 18% share in premium, which is what drives our profitability of our business. And despite a lot of people try to pinch a lot of shares, obviously, the brand Velvet Touch , and Weathershield still remain in the minds and hearts of the consumer.
So really, that's where we have a challenge in the mass market and the economy. We've introduced a brand for D ulux Promise Smart Choice in 2020. We've significantly gained market share from some of the players in the industry, including local players, as we did it. But it's plateaued, because when the price hike went in, perhaps we took a little more aggressive price hike compared to the rest of the industry.
And these were selling at premiums, and as you know, in that category, in the economy, you cannot be at premiums, particularly if you're a challenger brand. So, we are resetting that base. Hopefully, we should start seeing some gains, but it'll take two months, three months, two months of distributor stock, etcetera, to try and do that, right? So, we're not doing a price drop, but we are finding tweaks of how to get that issue addressed.
Now, if you look at the coatings business, we've got strong positions in automotive, very strong positions in marine and protective, and we are now building a position in powder. We are very strong in powder in the premium part, but not so much in the mass part. As you heard our CEO, Global CEO say, I think what we are trying to do is, we are trying to say that can we start becoming more significant in mass across all businesses, right?
So, it's not an easy one. It's something that we have to work through, because the expectation is we are going to do it in a profitable manner. And you've got players with great positions who will also not easily surrender the positions.
So, we are looking at innovations. We are working on certain things, quite dramatic stuff, with some of which we are leading the thought process. So, we will need time, because these are not things I can share in public domain, because we don't know what takes off and what doesn't. Because in our pilot, some of these have taken already 16 months and still not yielding results even in a pilot lab. So, it'll take time, but we are clear, Lakshmi, that we know what are

the gaps. And I think in the next three years, I believe that our market share will be significantly higher than what we have. At least 2% -points is what I want to add in pain ts, and at least 1% -points in the coating s business.

And I think we are here. I think if you see our performance from 2021, we are taking baby steps, and we are not worried about it, but we want to do the right thing and make sure we become a meaningful player in the country. Manoj Menon, hopefully you answered the question.

Manoj Menon: Yes, sir, largely. Let me just check. Is there – Yashashree , any other question in the Q&A? I can't find any.

Moderator: No, sir.

Manoj Menon: Okay. Rajiv and team, so maybe there's one last question from my side. Would you be able to give some colour on, let's say, the concept of same -store growth versus new -store growth, which in your business, essentially the new geographies, how much of, let's say, the growth has come from the numeric reach expansion, geography expansion, etcetera?

Rajiv Rajgopal: So, see, typically the same -store growth, let me first give you, if I take a three, four -year CAGR, right? It's approximately about 3% to 4%, and about on a 10% growth, about 5%, 6% comes from the new -store growth. That's the sort of ratio, three, four, and the balance six, seven coming from the new store .

I think what we've seen in the last quarter, and if

you're talking about the quarter that went by,

obviously, we've seen flattish. In some markets, even decline in the same -store, but we've seen significant uptick in the new -store. Because obviously, our distribution gains over the last two years are paying huge dividends.

And that basically is a premise in which, which also addresses my point that we need to really get, look at mass and economy significantly, because discounting has gone up significantly in the market. And we are very prudent in these categories, because we are much smaller, we want to make sure that we are doing it the right way. You know, these are the fundamentals in which we work, we believe in creating a sustainable business model and also category development in these categories.

So, that's this answer, Manoj Menon. From a long- term perspective, I see us getting back to our CAGR growth. So hopefully about 3% to 4% and then 6%, 7% coming from the new store , right? But at this point of time, in the quarter that went by, we were flat to slight decline in the existing stores, and we grew largely in the new store .

Manoj Menon: Very clear, sir. Just checking Q&A again. No, there's nothing. Yes , Rajiv, any closing comments? Rajiv and team, before we close?

Rajiv Rajgopal: No, firstly, thank you. I'm really thankful because I'm aware, Manoj Menon, there are multiple calls that you guys are doing at this point of time, multiple companies. But really, firstly, thank

you all for the support, the unstinted support that you've given us. We are on a journey. We are on a journey, as you can see.

I've been repeating that since I started the first investor meeting and call. I think we want to be a meaningful player. We want to be in the Top 2 and then slowly, once we are confident that we've got the right footprint and it's what we're doing is sustained, then slowly start becoming, moving to becoming the fastest growing paint player in the industry. And hopefully that, Lakshmi and Atharva, since you asked me a number of questions on that in this term, right? So that's what we are looking at.

But till then, thank you. You know, we are mindful of the fact that we are playing in an industry which has got multiple leaders and also move with great speed. So, it's an interesting time. Thank you.

Manoj Menon: Thank you, sir.

Rajiv Rajgopal: Thank you, Manoj Menon.

Manoj Menon: Thank you, everyone. Have a wonderful evening and a great weekend. Thank you.

Rajiv Rajgopal: Thank you. Thank you, everyone. Bye.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now exit the meeting.

Call: Feb 2024

Akzo Nobel India Limited
9th February 2024
Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai -400 001
Scrip Code: 500710
Dear Sir/Madam,
Sub: Investor Call Transcript AkzoNobelJr_ /
The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra-Kurla Complex
Sandra (E)
Mumbai -400051
Symbol: AKZOINDIA
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investor call conducted by the company on 7th February 2024 regarding the standalone and consolidated financial results of the Company for the quarter ended 31 s1 December 2023.
This has been uploaded on the Company website also and can be accessed from the link:
https://akzonobe l.co.in/investors .php#im
Thanking you.
Yours truly,
For Akzo Nobel India Limited
Rajiv L Jha
Company Secretary & Compliance Officer
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"Akzo Nobel India Limited
Q3 FY '2 4 Earnings Conference Call "
February 07, 202 4

MANAGEMENT : MR. RAJIV RAJGOPAL – MANAGING DIRECTOR – AKZO NOBEL INDIA LIMITED
MR. KRISHNA R – CHIEF FINANCIAL OFFICER AND WHOLE TIME DIRECTOR – AKZO NOBEL INDIA LIMITED

MR. RAJIV JHA – COMPANY SECRETARY AND
COMPLIANCE OFFICER – AKZO NOBEL INDIA LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day, and welcome to Q3 FY '2 4 Earnings Conference Call of AkzoNobel Limi ted, hosted by ICICI Securities . As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manoj Menon, ICICI Securities. Thank you, and over to you, sir.
Manoj Menon: Hi, everyone. It's a wonderful good morning to all of you. As always, it's our absolute pleasure at I-Sec to host the conference call of AkzoNobel India. Today, we have, as always, the senior management of the company, represented by Mr. Rajiv Rajgopal, Managing Director; Mr. Krishna R., our Chief Financial Officer, and Whole -time Director; Mr. Rajiv Jha, Company Secretary and Compliance Officer.
Before I hand over the baton to the management, I just wanted to highlight a couple of things about our paints sector view, and how it has evolved over the last few months, few quarters, few years and also our take on AkzoNobel .
So we had a negative stance on paints industry for a fairly long period of time. And recently, we've changed that stance to recommend investors that for the contrary investor, time has come actually to avoid -- continued rather avoid Asian and Berger and have a neutral to marginal positive stance on Akzo, Indigo and Kansai for a variety of reasons.
Specifically, when it comes to Akzo performance, it was pleasing to note in the current quarter that the higher brand spend product quality improvements, and more importantly, a lot of product upgrades as well. So congrats team for the performance and wishing you good luck as we are entering maybe slightly choppy waters over the next 12, 24 months, etcetera.
And one request to Rajiv would be also to touch upon the recent organizational change. One thing I observed was that of India is separate business unit, which repor ts directly to the parent. And I would recommend, as an analyst, that that probably brings in a lot of focus and advantages. I request the team also to touch upon some of these qualitative aspects including org change aspect. Thank you. And over to you, sir.
Rajiv Rajgopal: Thank you, Manoj, and thank you to all the investors who've taken time out to join us on what I would assume is a very busy morning. So thank you. I would like to thank you for all the faith that you've sort of kept and invested in us.
Let me start with what Manoj has said. Yes, there's been an organization change. Effective 1st January, India used to report into what is called Southeast, South Asia, where Oscar Wezenbeek was the Chairman of the Akzo India entity, as you know, and he was also the Managing Director -- BU Managing Director, running Southeast Asia.
We've decided, I think our CEO, Greg has decided to split it two regions. I fully second it and support it because I think what happened in this was only the larger countries of India, Indonesia and Vietnam were getting adequate focus. And I think the idea in these markets is to how do you still grow not only in the key markets, b ut also in the smaller markets.

So what we've done is we've created two new BUs - ASEAN, headed by a colleague of mine called M y Lan. She's based in Vietnam , and South Asia headed by me, I'm based in Gurgaon, Delhi. And really, how can we bring speed to market. So really, the organization change now. I'm going to run a BU team, which is inclusive. So we'll have obviously a few people who worked with me in the India team, but also people from some of the other countries in South Asia as a part of the team.
And our agenda is very simple. How do you empower and drive growth. And the purpose of this structure is to mult

iply the growth over the next few years, right? I also then come to the point that Manoj made in terms of choppy waters. I think if you look at the quarter gone by, let me just quickly qualitatively run you through it. We will tell you what we've done , and I will ask Krishna to add in terms of some of the quantitative stuff, right?
So first, if you look at the last quarter, I think at a very headline level, if you were to look at

growth, you would say that, look, it's not very differentiated. Everybody seems to have done well. But if you really go beneath the surface, yes, you will s ee we've had a sharper performance. We've had one of the highest contribution margins in the industry. We've had very strong growth in the luxury segment in paints, continues to do well.
Also, some of the adjacenc ies water proofing in particular, we continue to do very well. Our products are definitely getting rated by customers and consumers is superior. We've just had a brand study, which we just came in a few days ago, less than a year ago, where very clearly, we've got t he highest brand score that we've seen in perhaps a decade, where consumers -- one of the greatest achievements really is the brand preference has dramatically shot up and which basically means th e intent to buy has strongly gone up.
We've never seen this sort of a sharp rise in the last many years. So I think that's the positive. And the reason for that is very simple, that when you ’ve got a good quality product, which is relatively well distributed and well marketed, and you run a program like Dulux Assurance, you give consumers peace of mind because I ’ll give you a money guarantee back if there is a problem in quality , consistency of coverage, then I think chances of you adopting it is very high.
If you look at our super premium brands, Dulux Velvet Touch and Dulux Weathershiel d PowerFle xx. These are iconic brands. Dulux Valvet Touch advertising received some of the highest scores, and you will see some more new work that we are working on in the next quarter when we present to you on these flagship brands as we move forward. I think where we've had a challenge in the paints business has been in the mass and economy, where the industry has had very strong growth.
This grew because of distribution growth, but at an average level we -- in what we call we track all the value per outlet or same -store growth as sometimes in some of the industries, you call it, right? We didn't fare that well. And there are certain reasons we've identified in a few key states, where we need to sort of look at it. The competition has been fairly aggressive in terms of discounting.

We are a little constrained there, not because of budgets, but because of the fact that we don't want to create practices, which are not going to be sustained, right? So I believe in the fact that I think distribution is a strong leverage. We've almost cro ssed 5,500 towns .
Now 5 ,700 is the target -- immediate target which the team is working on. -- and I believe now with the India now headed by Rohit brings in far sharper focus. With me also now also additionally adding weight with Krishna and team also not just at the operational, but at a strategic level, we believe that we've got the right to win.
On the co ating side, I must say, again, very strong growth. We've seen very strong rebounds of our Industrial Coating s business with high double -digit growth. We've seen our automotive and vehicle refinish business, again, having strong growth. And our powder coatings business. We had a one -off in our marine and protective, which was on a 9 -month basis is actually growing one of the fastest, but in the quarter because of some orders which have got postponed and now a very high base.
So -- and in all, is what I would say, if you look at our margins, there are two, three reason

s why
we've done well. One obviously, there's been a raw material deflation, which has been seen by the industry, but we've also worked on certain programs in terms of driving cost efficiencies. Krishna leading a program in terms of war on waste, looking at certain operating leverage and also in terms of our factories where we are looking at digitization, not just digitization, it's not something that we only look at the front end, but also in terms of the manufacturing part, how we can do it. And I think Krishna and our teams are working in t erms of how we can create over the next few years, be one of the companies that brings in factories, which are going to be carbon neutral, right?
So really, I think we are really, I think, delighted to see that we are able to sustain the momentum, and this despite the fact that we've had some players coming in, in the industry, as you know, some of the players have come and started pilots in differe nt geographies. But we continue to sort of do well. And I think for me, I think the sustained growth is what makes the difference.
So that's what I would say, Krishna, if I could just request you to add your comments with a few numbers and...
Krishna : Yes. So if I have to sum up the quarter gone past, we have achieved the new records across all the parameters in absolute terms for both the quarter and for the 9 -month period. And how we have done is that our focus on the strategic drivers, which has been alluded repeatedly with investors and the stakeholders.
We remain focused on this. And which is building the results consistently. And topline growth of 5% and 9 months with the topline growth is in line with that. And we also improved the GM

percentage by 500 basis points, while EBITDA grew by 27%. So that's l argely some of the
efforts that translated into results. And back to you, Rajiv.
Rajiv Rajgopal: So thanks, Krishna, a gain, delighted that we won an award on sustainability in the midsized category recently, again, shows that the work that we started putting in place with sustainability and governance is what we stand tall and in order, yes? And just to come back on the structure.

So India is now a BU. We report directly to Amsterdam. What that helps us obviously speak to market.
Our decision -making is now pretty much in India. And so we are going to get the best of both the global leverage and the India leverage moving forward. I think our focus is very simple. We are in an industry where we've got a highly respected leader, how d o we really make sure that we all continue to hold our market shares and could drive growth.
I think that's a very simple thing. So Manoj, with that, let me now pass it on to all the investors who we have questions to ask. And really, I think this is a time for them to ask. So let me pass the baton back to all of you.
Manoj Menon: Moderator, could you announce the modalities for asking a question. I know the cha t part of it, but yes, or could you please announce for the benefit of the larger audience, please?
Moderator: Thank you very much. We will now begin the question -and-answer session. First questio n is from the line of Arkopratim Pal. May I request you to go ahead with your question from Sanjay Agarwal Broking Limited.
Arkopratim Pal: Based on your latest results, sales growth currently stands at approximately 5%. In this scenario, what is your corresponding volume growth rate. Additionally, how will product pricing will be adjusted in influence volume growth? Could you share your expectations for volume growth within the current quarter?
Rajiv Rajgopal: Yes. So look, I think we've had a double -digit growth -- volume growth. Is there in our results pretty clearly. And we continue to see that we will get a double- digit volume growth. Right now, whether it's 10, 14, 15, 18 is a matter of conjecture, I be

lieve that we should now start getting
leading growth, volume growth in terms of the industry.
Look, the price drops have been more or less equalized across all the players. So it's not a point of conjecture or debate because it's all pretty similar. So to answer your question, we're looking at its double -digit growth, volume growth. We believe that, look, this is the quarter before the elections. So we believe that whatever investments in the country happen will happen in this quarter.
We do believe that the month of April will be a bit different , because that's what we've seen in every election year, '14, '19, right? So we believe that it would be -- it could be second half of April when the election dates are announced and it runs across a month across the country. It is a bit tepid in those 2 months .
So we believe that, look, I think these months will start. Jan was relatively not as aggressive because of various reasons. We had the carry fall of excessive rainfall in South, which was unseasonal and a little bit of heavy winter in North, but still has been reasonable. So I do think that, look, we are maintaining a volume growth stand, as I mentioned.
Arkopratim Pal: Yes, yes, sir. Your operating profit margin is currently around 17%. Could you please elaborate on any potential changes in OPM that might be anticipated for this current quarter?

Rajiv Rajgopal: Krishna?
Krishna : Arko normally, we don't give forward -looking guidance in terms of the financial metrics. However, as we explained our intent is to deliver the profitable growth and enhance the shareholder value, yes? Thank you.
Rajiv Rajgopal: So just to -- Krishna saying is, I think they are very comfortable for us, when you look at EBIT margins, et cetera, we know where we are as a challenger player. For us, really, it's about holding it and then saying, how can we reinvest in our brands, people, and business.
Arkopratim Pal: Okay, okay. And I'm talking about all while actually your company's recent PBT growth reaching approximately 15%, is also nothing that competitor like Asian Paints have achieved 32% growth. Similarly sales growth sit s at around 5% compared to JSW Paints ambitious goals of 2,000 crores in just 3 years.
In light of this comparison, could you elaborate on the factor contributing to your compa ny’s current growth trajectory. Additionally, what are your expectation of the current demand

scenario and your roadmap for achieving more competitive grow th?
Rajiv Rajgopal: Okay so look -- so I said, thank you. Can you hear me?
Arkopratim Pal: Yes, yes, I hear you.
Rajiv Rajgopal: I said, thank you. We cannot comment on ot her's expectations or illusions of what they will do, right? In fact...
Arkopratim Pal: No, no, no...
Rajiv Rajgopal: Please allow me to answer. Please allow me to answer.
Arkopratim Pal: Okay, okay.
Rajiv Rajgopal: I'm saying players have come in the last four years. They will do certain turnover in 2 to 3 years. We've seen 3 years have gone by; we've seen where we are. So I'll -- please allow. I think, look, we are living in a market, which has everyday challenges. Our job is to make sure t hat right and continue to grow.
What you've seen in AkzoNobel India is what I can talk to you about. If you look at the last 2 years, we've moved into the top two in terms of growth, something that I promised the investors 5 years ago, right, that it will take me 2, 3 years, speak to all the investors, and if you would have attended my road shows, you would have seen very clearly, I have said it, and that's why we've achieved.
And we will continue to make sure that we earn the right to win in our Paints & Coatings business. So I think that's not a concern. Look, I think you've got to understand when you talk about AkzoNobel and brand Dulux. You're talking of a brand, which

is the best -in-class quality,
brings in best -in-class international leverage through R&D, etcetera, right? So -- and you're talking about a company who has the highest levels of governance in the country, right?

So I also feel very proud of being a part of this organization also. And I can say that from a growth perspective, we've put a strong map. Unfortunately, we cannot share specifics now. But yes, we are very confident that we put a roadmap to address some of the challenges that the market will see in the coming times. Hopefully, it addresses your question.
Moderator: Our next question is from the line of Nilesh Pat il from ICICI Securities. Please go ahead. Nilesh, may I request you to unmute your line from your side, please?
Rajiv Rajgopal: Nilesh, are you there?
Moderator: Mr. Nilesh, may we request you to unmute your line from your side please.
Manoj Menon: Operator, I can take -- Manoj here. Can I take a couple of questions in the chat window, please.
Moderator: Yes, sir.
Manoj Menon: Rajiv, just allow me to read out. I think this was -- and the previous participant did ask, I'm not sure it's appropriate . Let me read out because it's something which is there in the public domain.
So Mayank Toddi from BMC is writing and said, look, despite being an aggressive and old player and having many technology and innovative products and increasing coverage to new companies like General Paints has already reached INR 2,000 crores in a span of 4 years. Why are we having a sluggish growth? And what can we do to achieve?
Rajiv Rajgopal: So I think Manoj first the question to that is, let's understand and we have to break the two parts. I think our Coatings business, our growths have been very robust, in line and ahead of the industry. So let's come to the paints part, which is where I think the question then sort of is. If you look at the bulk of the growth has been coming in terms of economy, what people say value segment, is a new English term that I picked up, but basically, it's ma ss economy cat egory.
So we participate in these segments. Our strategy is very clear. We participate in the segment so that we keep growing our core business, which is our premium segment, which is what we are going for, right? So to my mind, that's been the strategy. I would beg to argue that if you look at the 9 months results .
If I look at our results, we've had a growth, which is -- and again, take a 2- year CAGR, okay, or 3-year CAGR, yes, we are in the top two in the industry. So yes, if you compare it to a 15 -, 10-year period, you may call it sluggish, I take that point, right? But I think that what you're seeing is a renewed AkzoNobel India, yes, and not just 2.0, but maybe 5.0 because I think here, we are here to make a difference.
And I think what we are trying to do is to bring a lot more granularity in the way we run our business. Look at our premium portfolio, look at our propositions, look at the adjacencies that we've launched, right, and reinforce that we are a solid company t hat offers great value in terms of best -in-class quality and international to our consumers. So that's the answer, yes.
Manoj Menon: Yes, yes. Thank you, Rajiv. There is a bunch of questions from Laxminarayanan KG from Tunga Investments. Can I take one by one?

Rajiv Rajgopal: Yes, sure.
Manoj Menon: Yes. I think you answered some of it, but still help me to read it out. So how many tinting machines you have now? If I heard you correctly, you said 5,700, right?
Rajiv Rajgopal: Tinting machines, no, no. We have got much more. We...
Manoj Menon: Sorry , stands corrected. So that's the number of towns, yes, sorry. Yes, sorry. Let me read out the questions. Sorry, sir. How many tinting machines you have now? And second is, w

hat is
your dealer count. Point number three, you were available in 4,700 towns in FY '22. On a previous call, you mentioned you will scale to 7,500 to 8,000 soon. Where are you in the journey? And what is the dealer margins you give now, the range?
Rajiv Rajgopal: Yes. So let me go one by one. Our total outlet coverage, we are crossing almost about 23,000 to 25,000 is the range that we should be in a year's time . Tinting machine hence is almost about 18,000 to 20,000 because you see our capture of tinting machines, Akzo got very strict capture. We look at our revenue -- threshold revenue, which is not the way all players do. So it's not a like-to-like definition for players, right? I'm giving you a definition, which is a global definition, which is very stringent that machine has to give a certain throughput to be call ed active machine, okay?
So in that any outlet, if you now come down, it comes to about 18,000 to 19,000, that's the sort of efficiency. And yes, we have crossed 5,000- odd towns. What I said is 8,000 towns in 2 years' time, we are on that journey. Our endeavor is using our micro d istributors, what I used to hub and spoke. We are on that journey, and we will continue to sort of invest in our distribution to reach there.
So I think these are the 3 questions you asked. In terms of dealer margins, look, dealer margin is a very difficult question to answer because it's a competitive play, right? The margins -- the dealer margins are, for us, are pretty much in line with the i ndustry, I would say, right, in the sense that if you look at our competitive rates, yes, we -- I think the market leader and us may be a little more conservative compared to some of the other players in the industry. If I answer the question.
Manoj Menon: But is there a range, Rajiv, would be able to mention, the industry practice?
Rajiv Rajgopal: It's a very wide range, Manoj. It depends on the category in which you sell, right? It could start from 9%, 10% and go all the way up to 16%, 17%. So it's a very wide range. It depends on the specific product, market. That's a very wide range though.
Manoj Menon: Yes. Understood. Secondly -- okay, I'll take one at a time now. The sales mix on industrial and home. I believe he is meaning decorative there. So it's for industrial and decorative, and how it has changed 9 months fiscal '24 to 9 months fiscal '23?
Krishna : It's largely in line as we disclosed previously 65 % is decorative than the industry is somewhere around 35%, which is largely in line, and it stands today.

Manoj Menon: But I would assume that you would have -- the industrial -- the non- deco would have increased in salience, right, given that it has been growing faster.
Rajiv Rajgopal: So very marginally, Manoj. You're right. So when you say 65%, 35% over a longer timeframe, when you take -- that's why when you look at a specific quarter right? If you look at the current quarter for which the results are announced by the prior quarter, y es, in the one quarter, it was even 60 -40.
But on an aggregate, it's between 65 and 63 and 35 and 37, yes, that's the range in which it is it's not dramatically different. Paints is also doing well. It's not that paint is not doing well. That's what I think. Particularly, the B2B business in for us in the decorative side has done very well.
Manoj Menon: Basically, understood. Second, again, sales mix in decorative by premium, standard and economy, 9 months this fiscal versus 9 months last year.
Rajiv Rajgopal: We don't do that -- give that, Manoj. But suffice to say for us, I can share is that our premium super -premium, what we call the market now calls Luxury has been one of the drivers of growth. So that's been the driver of growth. I think we were growing in the last few years in terms of the value segment, mass in the economy, led by distributio

n initiatives.
We're doing some more work there to try and get that back, where the industry has seen a better sort of growth primarily because of the historic market shares and obviously, the consumer reach, right, customer reach, right? So that's something that we are still working on, and we will have some sort of ways to address that, too.

Manoj Menon: Understood. And then project business versus non -project business mix.
Rajiv Rajgopal: So the projects business, look, it now constitutes to about 23% of the overall space -- of the decorative space has been doing very well. Again, the reason is because that's where we sell all our premium propositions. And it's primarily because of the quality. Today, a lot of the people who come to us. If you look at all the iconic buildings that we are coating, it's largely because of the quality of the product that we offer. So we don't need any brand & advertising there. It's basically quality that gives us the volumes.
Manoj Menon: Very clear, very clear. and Metro top cities salience versus non -metro mix?
Rajiv Rajgopal: So there the metro salience is slowly coming down relatively because; a, for us, the metro performance has been slightly weaker over the last 2 quarters and also because of our distribution initiatives, etcetera, the non -metro growth have been fast er, but that's expected, right?
I mean that's expected when you drive distribution that the non -metro contribution will start increasing over a period of time , Manoj. So that's built into our plan. There's nothing which is a bit of a surprise or concern at this point of time.
The concern is the fact that a couple of states, and I think some of the other players have also mentioned, whether it's some of the Eastern states and Kerala more a bit of a challenge. Kerala started slowly getting back. We still have a few challenges in some of the eastern states. I think

that's the only concern for us. And we put an action in place there, both in terms of structure organically, we are going to do some work and also in terms of investments, so that will address it.
Manoj Menon: Very clear. And lastly, in this segment, where have you gained market share?
Rajiv Rajgopal: So we believe -- look, we've continued to gain heavily in the premium segment. But at an overall level, we also believe because of adjacencies, etcetera. We continue to gain share. Primarily, that's what our internal numbers estimates that we pull and that 's fairly accurate because it also shows us when we were d ropping a few years ago, right?
So we believe that's a time and tested study for us now. And we believe that we are gaining shares now a little higher than about 9 to 10 states now, which is a good relief compared to the fact that many years of Krishna used to come from 3, 4 states, right? So that's where we are, I believe. Yes, we are really doing well in geographies now.
So I think that's the thing that we are pretty pleased with. But we've yet to move forward, Manoj, to really getting it across the country. I think that's the execution excellence part that we still need to as our team get the teams to completely align to.
Manoj Menon: Understood. Operator, I found Mr. Mayank Todi there in the voice queue. Is he still there? Otherwise, I can continue with the chat questions?
Moderator: No, sir. He's not in the voice queue anymore, sir. Do you want me to announce?
Manoj Menon: No, no, which is okay. You can announce actually, so then I can get back to the chat after that.
Moderator: Okay, sir. one moment. Sir, you can go ahead.
Manoj Menon: Okay. In fact, this question is from Mayank Todi of BMC Advisories. Will this 5%, 6% growth rate continue, or we are aiming to achieve higher growth rate, and how can we achieve?
Rajiv Rajgopal: So look, I think the answer is a bit mixed, and Krishna, feel free

to answer the question. Look,
there will be a gap between value and volume primarily because you've just seen the sort of price drops that have got announced. So that's obviously not going to apply for the full year, Manoj, okay? So whatever price drops have happened in December, Jan...
Manoj Menon: Hello?
Moderator: Sir, we are unable to hear you.
Rajiv Rajgopal: Manoj, can you hear us?
Manoj Menon: Yes.
Moderator: Yes, sir, we can hear you now.

Rajiv Rajgopal: Okay, okay. So all I was saying is, look, there will be a bit of a gap between value and volume. Our challenge is, how are we're bridging it, largely through better mix realizations and driving some actions in some of our key categories, making sure that we are able to partake some of our new product innovations that we'll bring during the later part of t he year. Those are ways that we are looking at addressing it. Krishna, you want to add something?
Krishna : No.
Rajiv Rajgopal: Yes. So that's, Manoj, to my view of the way we are going to sort of look at it. We believe that

we should continue to sustain good double -digit volume growth as we move forward.
Manoj Menon: Very clear. Next one is from Rohan Kale of Ingrid Capital. How much does project business and premium rates contribute to decorative sales currently versus 2 years back?
Rajiv Rajgopal: No, I did answer that question. I think projects, I just mentioned, Manoj. We moved from 2023 right, that's the answer. And premium, we don't answer because that's -- we don't give segment -wise results...
Manoj Menon: Absolutely, absolutely. And in fact, your disclosure standards are one of the best in the industry. Okay. The next one is from Alisha Mahawla . She's asking -- from Envision Capital. She's asking to have we taken any price cut during the quarter or in 9 months fiscal '24?
Rajiv Rajgopal: Yes. So we took the 2 price drops that we have taken recently in December. And we've just taken one in January, which works out to approximately 3%, right?
Put together, 3%, yes. Both price drops, that's broadly in the paints side. Coatings side, there's been very little price drop. That is based on...
Krishna : It's a contract specific.
Rajiv Rajgopal: It's a contract -specific pricing.
Manoj Menon: Yes, yes. Fair enough. Sir, one question from my side on this pricing bit. Given that you're over -indexed on premium and luxury, is it fair to assume that the price actions requirement for you as an organization decorative would be far lower versus the peers?
Rajiv Rajgopal: Look, we are very clear here. We will sort of match pricing. We're not going to give any operating leverage to any player in the market, right? And we will continue to build and grow the brand, right? And that's the way I want to drive the business. We are not going to give anybody any unfair advantage in terms of room to play.
Manoj Menon: Very clear. Understood, understood. And getting back to the questions from Lakshminarayanan KG. He's got couple of questions on strategy. One, what are your strategic priorities for fiscal '25?
Rajiv Rajgopal: So I think in terms of strategies, I would only call the same things that I've been saying over many years, which is build the brand, make the brand a little more iconic, really how -- strong

distribution network because the business is there. How do you accelerate growth in the categories will drive the growth.
So for us, still work to do in the mass and economy segments, particularly, which the market now calls value segments, right? Those are the 3 key priorities really. And more importantly, how do you make sure that your people agenda you're doing well. In fa ct, Manoj, what I fail to answer because the question didn't get asked is that we've had one of the highest scores.
W

e've done an internal people study called Voices globally and India got a score of 4.2, which is one of the highest scores. So I think also tells you in terms of the mood of the people, right? So there we realized that, look, the market is going to get a little volatile in the months ahead. We, as a team, I think, we believe that we really want to thrive during such an opportunity. It gives us an opportunity to bring to the market the best of what we have, and again, showcase how each of us can add value to the company and to the industry.
Manoj Menon: And lastly from Laxmi, is when compared to the industry leader in decorative, where are the portfolio gaps for you? And when will you address this?
Rajiv Rajgopal: Look, when you compared to some company, which is a fairly big growth -- look, I always believe in life when you fight a battle, don't look at the size of the company, right? You focus on terms of your strengths and your -- so we will continue to build on our strengths. Obviousl y, when you look at the -- I think the question that there's a huge gap in terms of the ma ss and economy segments, right?
And we are building a portfolio. But we are -- we've crafted a differentiated pa th for ourselves, Manoj, right? In fact, in the brand research, one of the things -- we are the only brand, which is now seeming differentiated. And I would be delighted if you guys also do a survey and tell me what your findings are in the industry.
Very clearly, the consumers are telling us that yours is the brand, which is differentiated in the industry. So very clearly, that's what we wanted to do. That's what we are see ing consumers facing to tell us that we are doing, and that's what we'll continue to do. Our job is to bring the best of some of the global brands and some of the best -in-class quality international, right? And the fact that Dulux is also about lets color. How do we bring color to people's lives.
Manoj Menon: Understood, sir. Next one is from Dipen Sanghvi from E nam Asset Management. Two questions there. One, considering the raw material cost deflation, product mix change and recent price cuts in industry, do you believe that gross margin has peaked out at 44%. Where do you see it trending in the near term?
Rajiv Rajgopal: Look, it's a very difficult question to answer because what the unknowns are far higher, as we

speak, the impact of what's happened in the rates is still unknown for me. We live in a very fragile world today, Manoj. Every day, the new headlines keeps changing.
So if I assume everything is going to be as is, and there is no further disruptions, then I would agree. But I don't think that's the way it's going to happen. I believe that, look, there would be

certain drivers because you're seeing certain global large economies also having challenges in terms of growth, yes?
So those will add pressures to it. So which way the crude oil is going to go, which way the forex , the currency, is going to go is a million- dollar question. I think even some of the best brains in the country are going on trying to figure it out.
So I would leave Manoj, myself, and my team to what we are good at, which is to say that, look, we can't predict the external world, but let's know what best we can within what we can control, right? And that, to me, I believe that, look, the current margins are the sort of right to win margins, and we should try and sustain it.
Manoj Menon: Understood. But is it fair to say that the risk is actually on the downside and not really margin expansion is a very low probability wise?
Rajiv Rajgopal: Absolutely, yes. Primarily because of the portfolio. Because the contribution of premium is very high compared to the industry in the Paints business, right? So as you start going to the question that earlier was asked, by your other -- the other colleague

, right, that if you start playing more in the mass and economy, obviously, the margins will sort of obviously come down. So yes, you're right.
Manoj Menon: Secondly, Akzo has taken -- this again is from Dipen from Enam. Akzo had taken some price cuts in the mass market. It's a question mark. What is the progress on regaining the market share.
Rajiv Rajgopal: Yes. So absolutely fair question. I think the reason we took the price cut was because we were -- we had at one point started touching 5% premium versus even the market leader, which is not sustainable, right? And we had to do that because of the sheer commodity cost inflationary pressure that hit us.
And as a challenger brand, it's very important to be very profitable when you grow, because otherwise, your ability to reinvest in people and business starts dilut ing, right? So that's something that we wanted to do. And as we started reading the tea leaves and started seeing the deflationary pressures, we wanted to correct it. How have we done? Look, we -- in a quarter, we didn't -- if I take 9 months, we are doing okay. Last quarter, we didn't do well. So there are certain challenges we need to fix there, and we hope to address that soon in the coming couple of months .
It's not something that I'll be able to immediately address in 1 month, but it will take a couple of months because there are certain geographic challenges, pricing challenges in a few markets, right? We also don't want to unnecessarily aggressively do a trade spend, which is not a sustainable solution in my view. So we are looking at it a little more holistically and working on the right way to address.
Manoj Menon: Okay. Next question is from Mayank Todi. He is asking what was the volume growth of this quarter -- for this quarter, rather? And how much volume growth we are expecting in the upcoming year?

Rajiv Rajgopal: So Manoj, I said double digit. I think in the overall commentary and even in the results, we've been very upfront on it. We expect to continue to be in the same region if not higher in the coming quarter.
Manoj Menon: And in the next 3 to 4 years, where can we ourselves, given that we are achieving by 5%, 6% growth. Understand the question, so I'm just reading it again. In the next 3, 4 years, where can we see ourselves given that we are achieving 5% to 6% growth?
Rajiv Rajgopal: Look, I think 5% to 6% is a this -year phenomenon, and that's happening because your volume growth is leading the value growth primarily because of the price gap, right? See ultimately, what is value? Value is volume, price , mix, right? These are the three variables, Manoj? So the volume is going up.
But your problem is your price has come down compared to the last year. That will end by December this year. So if you look at a 2 -, 3-year phenomenon, we should be back. I think, look, pricing will come back right? Because the company has to also have bet ter inflationary cost, people salary cost and other inflationary cost that need to bear. So pricing will come back.

I believe that both in this industry, right, it will be bearish for a year because of new players, everybody wanting their positions . But over a period of time, I don't think -- I think we will get back to the scenario that we've seen in '15, '16, Manoj, when some of the world's largest companies came into the -- try to come into the market, and we re not able to craft any road map left.

Manoj Menon: Yes. The next question is from my colleague, Nilesh Pat il, the investments towards premiumization of product portfolio has been stepped up with multiple new products. You have upgraded multiple products in decoratives. What are the further opportunities for premiumization within decorative segment?

Rajiv Rajgopal: So maybe I should answer this question in the next investor call because otherwise, I will be

--

but suffice to say that, look, it's right on top of our agent, right? We believe the reduction in consumers really have money spent. See, ultimately, whatever you do in terms of premiumization has to add value to consumer and must have relevance to consumer.

If only consumers -- we're only going to buy things if the propositions are relevant to us, and we find it appealing. So the challenge for us is really to find those insights because in this industry, differentiation is not something which is very huge, ri ght? In any industry, differentiation also can be matched over a period of time.

So we are working on it. We are working very strongly with our global teams. What I'm also pleased, Manoj, as a part of this, and I forgot to mention earlier when you asked me about this structure is, our R&D center in Thane is now going to be a global sort of feed, right? And so we are putting some o f the best tools, analytics, et cetera, there so that we are able to also work on propositions, which are going to be in periods of time really differentiating.

So that's what we are working on, let's see, keeping fingers crossed, right? Some of these things are very difficult because some of the tests, sometimes you do in the lab, how it really responds in the market, sometimes is very difficult to predict.

Manoj Menon: Understood. Two more questions in question chat. Nirav Savai of Abakkus is asking what are the levers on the cost side, which can ensure that current margins are sustainable? What has been the volume growth in premium , luxury and value segment?

Krishna : Okay. Thanks, Manoj, I will take this qu estion. And what is our strategic intent is to deliver the cost line, which is to support the growth. And we have a continuous improvement program, which is running in the multiple formats in terms of different functions.

And whatever is the cost, which is there, we are only spending where it is needed, be it on people front or on the media and the brand spend. Apart from that, all other costs are largely stable, and we are trying to bring the efficiencies in optimizing the cost structures, yes?

Manoj Menon: Yes. The second one, you want to take it, but let me just read out still, what has been the volume growth in premium , luxury and value segment?

Krishna : I think Rajiv has explained it.

Rajiv Rajgopal: We don't break it, we don't it. But Manoj, if you do a double -digit growth and the fact that we have not done well in one -- couple of segments, then you can put two and two together...

Manoj Menon: Yes, fair. Fair enough. This is also partially addressed, but still, let me read it out. Dhiraj Dave from Samvad Financial is asking you, a ny research activities carried out in India, what are expected new product applications, which shall be expected? Any idea about share of product launched in the last 5 years?

Rajiv Rajgopal: What do you mean by share of product launched in the -- so look...

Manoj Menon: So I think the NPD contribution is what I think he's asking. Let's say the product is done the new product…

Rajiv Rajgopal: So for us, maybe -- again, it's a definition of NPI. So I just wanted to find it that what we launched this year, we look at till -- because once you complete 1 year, it's no longer than NPD. Typically, these contribute to about 8% to 10% of our revenue.

And how have they done in the last 5 months, I would say about 65%, 70% of our growth have come from products, which have really been launched because we launched the economy segment in 2021, which is a driver. W aterproofing categor ies in the last 5 years, right?

And also revitalize some of our premium brands. So obviously, hence the large percent of our growth came from these part, and they continue to do well, Manoj.

Manoj Menon: Understood, sir. That brings me to the end of the chat question queu

e. [Please announce once again for the voice part of it, else we can close the call.

Moderator: Yes, sir.
Manoj Menon: Krishna and Rajiv, over to you for any closing remarks, and we can close the call, please. Thank you so much.
Rajiv Rajgopal : Thank you, thank you. Really look forward to listing to more questions from the investors. I think some of the regular people who ask questions seem fairly either they've understood or maybe -- and we look forward. We do plan an investor meeting some time, and we will get in touch with all of you, and let you know.
But till then, stay strong. And if you have any further questions or any other thing to ask, please do reach out to Rajiv Jha, our Company Secretary, and we would be delighted to sort of answer you. Thank you, Manoj, and team, for hosting us, and I wish all of you a wonderful da y ahead.
Thank you. Good day. Bye -bye.
Manoj Menon: Thank you.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

Akzo Nobel India Limited Al<zoNobel
21st May 2024
The Listing Department Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra-Kurla Complex
Sandra (E)
Mumbai -400 001 Mumbai -400051
Scrip Code: 500710 Symbol: AKZOINDIA
Dear Sir/Madam,
Sub: Investor Call Transcript
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investor call conducted by the company on 17th May 2024 regarding the standalone and consolidated financial results of the Company for the quarter and year ended 31st March 2024.
This has been uploaded on the Company website also and can be accessed through the link:
hnps://akzonobel .co. in/inreslors. php#i m
Thanking you.
Yours truly,
For Akzo Nobel India Limited
Rajiv L Jha
Company Secretary & Compliance Officer
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“Akzo Nobel India Limited
Q4 FY '2 4 Earnings Conference Call ”
May 17, 202 4

MANAGEMENT : MR. RAJIV RAJGOPAL – CHAIRMAN AND MANAGING DIRECTOR – AKZO NOBEL INDIA LIMITED
MR. KRISHNA RALLAPALLI – CHIEF FINANCIAL OFFICER AND WHOLE TIME DIRECTOR – AKZO NOBEL INDIA LIMITED
MR. ROHIT G. TOTLA – WHOLE TIME DIRECTOR – AKZO NOBEL INDIA LIMITED
MR. RAJIV L. JHA – COMPANY SECRETARY AND COMPLIANCE OFFICER – AKZO NOBEL INDIA LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to Q4 FY '24 Earnings Conference Call of Akzo Nobel Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.
Manoj Menon: Hi, everyone. As always, it's an absolute pleasure and privilege to host the conference call of Akzo Nobel. We have the senior management from the company today, represented by Mr. Rajiv Rajgopal, Chairman and Managing Director; Mr. R Krishna, CFO and Whol e-Time Director; and Mr. Rajiv Jha, Company Secretary and Compliance Officer.
Without much ado, over to Rajiv for the opening remarks, post which we'll open for Q&A. Over to you Sir.
Rajiv Rajgopal: Good afternoon to everyone. I just want to firstly thank all of you for taking your valuable time out and joining us for the investor call. As always, for me, the investor call is about giving an opportunity to all of you to ask. I'm here joined by the tea m today R. Krishna, who is the CFO of the company; Rajiv Jha, who is the Company Secretary. And for the first time, more as a participant and observer. We've got Rohit Totla, who is the Whole -Time Director, who is looking after the decorati ve paints business. So he has just come onto the Board. So really will sort -- be sort of just observing the proceedings, and it's a part of building talent for the future, pretty much what I went through when I joined the company in 2015 and '16 before I went to Dubai. Yes.
So really pleasure. What we want to do today is really to give time to all of you for the Q&A. We've loaded the presentation onto the website. So for those of you who are very curious too, I don't think this is about -- the investor call is about my presentation skill set. So I'm going to spare you the trouble of running through all the slides. But I'll just use the -- just talk about a few things which are contextually important for Akzo Nobel NV. As all of you know, our CEO, Greg has announced a new comp any purpose called Paint the Future .
And we used to have the company purpose, which was more around people planet paint, and we decided to use Paint the Future. As many of you may be aware, that India is one of the countries that also ran a pilot for Paint the Future, and we wanted to bring look at futuristic innovative solutions and how we could get digital in the way we go. And we partnered with NASSCOM, and we were very fortunate to have Debjani Ghosh, who is the President of NASSCOM and her team helped us in doing that entire work and we will, at a point in time, well relevant bring you some of the outcomes of it we've already shared it earlier.
So the company purpose is really moving to Paint the Future. This is about really creating the world of possibilities by looking at sustainability -driven innovation, superior quality and customer service, and most importantly, empowering our teams and collaborating for growth. I

think for Akzo Nobel, it's not just about innovation and our brands, but it's also about putting people and society first as we move ahead.
So that's really the first thing I really wanted to talk about. It's there in the deck, in the early slides. And how could we really move to some of the things which are likely to become big themes as we move forward, whether it's in terms of sustainable s olutions, paints and coatings, the 2 verticals. How can we move to a completely renewable energy, 48% to 50% of our sites already use renewable energy. How can we move to 100% in India and put a flag there. How do we really move to re

cycled plastic, not just in terms of what the government expects
regulations, but be the thought leader, and that's what we are working on. And most importantly, in our CSR, how can we connect with communities to try and make sur e that we are empowering more women. So, one of the projects that we are very proud of is a project called Indradhanush, where we've trained women painters and livelihoods in about 5 states. We started it small , today we've got about 1,000 - 2,000 women l eader painters in our organization and some of them are, in fact, running their own stores .
So really, how can we move it? How can we get a large part of our portfolio life cycle assessment? And most importantly, personally for me, how can you create a culture of diversity and inclusiveness in this organization as you move forward. On sustainable solutions, we've done a lot, whether it's in terms of the HullCare products for our marine ships. As many of you know, today, we coat most of the Navy around South Asia, and we're proud of it. We've also done the INS Vikrant as all of you know, where we had a large share. We are also driving performance of electric vehicles using our powder coatings products. And in some of the world -class airports that you see, whether it's Delhi, Mumbai and Bangalore, it's all coated with Akzo Nobel.
And I'm really proud to be a part of the Bangalore new airport, where all the 3 products our powder coatings, decorative paints and our industrial coating, coil coating has been used and even to a small way, even our protective coatings . So really, that's what it is about. And we've got world -class products particularly brands like Sikkens and Lesonal, which give a lot of

productivity and lowering energy costs in our workshops .
We've also signed in, as they call a brand ambassador, Rocking Star Yash, needs no introduction.
The first celebrity who has really made it very big in just 2 movies across INR 1,000 crores.
Yash, as he is endorsing a brand called Weathershield Powerflexx. And as you would expect, the idea was to really make inroads int o Southern market s - Karna taka and AP where we are present.
We've had a great start. And you've done a lot in terms of launch of whether it's in our premium portfolio or even in our projects portfolio as we move forward. For me, a moment of pride is really around saying that we won a trusted brand award -- and for the second time in a row, and that's to be really heartening because that's really what really this organization is all about.
So that's what I really wanted to cover. I think the financials are there for you. Krishna can just talk through the financials in a couple of lines, and then we'll open it for Q&A. Yes, Krishna?

Krishna R: Thanks, Rajiv. Good afternoon all the people who are on the call. And Q4 was as alluded by Rajiv, it's slightly difficult quarter from the industry per se. And we have seen the muted demand and prices corrections . On this backdrop, we could be able to – we managed to achieve over top line growth of 2% and which is also driven by the double -digit volume growth.
What has led to this is the focus and the discipline of execution. Post the pipeline conversion of the B2B businesses and the new customer wins, which has supported to cont inue with outgrown the market. Raw material prices have been soft during the quarter and which has also led to the margin expansion despite the price drops. Margins -- gross margins expanded by around 110 basis points. We continued our investments in the brand building and growth initiatives. At the same time, we are cognizant of the other cost control measures, which are non- growth related costs. And this has resulted in terms of improvement of profitability and the profit after tax was at INR108.8 crores, which is an increase of 14% on a year -on-year basis.
I think these are

the highlights and our focus in mind in terms of the prudent work capital management, which is also resulting in the free cash flow improvement this is also resulting into higher payouts to the shareholders. That's a key summary of the last quarter and the full year, Rajiv?
Rajiv Rajgopal: Thank you, Krishna. So I think we've given you all our financial numbers. What really I'm proud of is our EPS for the year has moved -- if you look at 2021, we were at INR 63.8 to INR 73.58 to INR93.7. Our return on capital employed now is almost at 45%. And subject to shareholder approval, we've also announced an interim dividend now of the additional amount that we've given INR25. So making it INR75 and these for me is really to say that we really want to make sure that our investors are also reaping the benefits of the performa nce of the company.
So that's in a nutshell what we had. Manoj, over to you and the team to help us moderate the Q&A.
Moderator: Thank you very much. The first question is from the line of Lakshminarayanan K.G. from Tunga Investments. Please go ahead.
Lakshminarayanan K.G : Yes. A couple of questions. So first, I would take the projects business. I just want to understand what has been the revenue growth of the projects business? What has been the volume growth of the business?
Rajiv Rajgopal: See, we wouldn't be able to split it, but suffice to say, as I keep saying, our Projects business is growing double digit, both in volume and value.
Lakshminarayanan K.G : Got it. Got it. Because you mentioned that it's around 23%, 24% of your decorative business. So I just wanted to check whether that...
Rajiv Rajgopal: That's correct. It's about 20% now, Retail has also now done well. So it's about 20- odd percent of our decorative business.
Lakshminarayanan K.G : Is it fair to say that the Projects that -- you're number 3 in the industry?

Rajiv Rajgopal: Look, the Projects business, as you can imagine, because of the segments, there is no clear reporting in what it is. We would love to believe that we are also possibly number 2. But yes, we will take it with a little bit of humility and say, possibly a number 3 for sure.
Lakshminarayanan K.G : Got it. And what kind of growth this business would have? Is it like a sustainable thing because you had certain airports, which you signed up some of -- I think some of the Delhi project also you alluded. Is that something which can have like a double -digit growth in the next 3 to 5 years?
Rajiv Rajgopal: So India GDP is getting powered by public investments and public investments largely is around

infrastructure. So as long as the GDP is getting powered by public investments, which is an inflection of the real growth -- underlying growth of the GDP in the country. I do believe it's here to stay . Because I believe that, look, the India of tomorrow is going to be from the -- very different from the India today. If you look at some of the airports, the railway stations, at least the photographs that are coming to all of us, are world class.
The fact is, over a period of time, we are fortunate to live in an era where we are seeing super fast trains, at least in some of the towns, cities. Of course, some of it high -rail, et cetera, is yet to come in, but at least the thinking is there. And to m e, the thinking is there that tells you directionally that people will make it happen . So I think my belief is, yes, to answer your question, it will be sustained. So again, I cannot talk of outliers, but otherwise keeping things as they are. I do think t hat, yes, I think this is here to stay. The infrastructure is going to lead the growth of this country, even for the next 5, 6 years.
Lakshminarayanan K.G : Okay. So on the coatings business, what has been the revenue growth and volume growth of the business? Was it also in double digits?
Rajiv

Rajgopal: The volume was double digit, the revenue was mid- single digit because our overall revenue growth you've seen is approximately 2.3% . And that's largely because of the price drop of 4.5% of the payment.
Lakshminarayanan K.G : No, I'm talking about the full year. I'm talking about the full year.
Rajiv Rajgopal: Okay. You're talking about the full year. The full year, yes. The answer is yes. Both were double digit.
Lakshminarayanan K.G : Got it. And in the Coatings business, what -- which are the key industries you're serving and do you see some kind of an improvement in any particular industry is doing? So for example, wind energy sector for -- I mean, do you want to call out some sectors that is actually doing well in the industry?
Rajiv Rajgopal: I think on all the growth horizon sectors of India, we are adequately partaking it, whether it is energy, wind, EV, solar in some way or the other, we are there infrastructure largely high -value infrastructure, in particular . Again, downstream oil. So, we are present in almost -- now as a company, we have far more ubiquitous in our offerings and in our customers than we were in the past, maybe even 5 years ago.

Lakshminarayanan K.G : Got it. The reason I'm trying to understand this business because globally in the global conference call, it was mentioned that there's a huge difference between number 1 and number 2 in Coatings business and Akzo is number 1.
Rajiv Rajgopal: That's correct. Globally, we are number 1 because...
Lakshminarayanan K.G : I mean how is the standing improving in India in the Coating business?
Rajiv Rajgopal: Yes, yes. So look, I don't want to -- for the various businesses, Coatings is just an aggregate. It's -- the 2 different businesses. And really for us, globally, we are number 1 in powder. Powder, as you know, paint is either liquid or pow der, and we've got almost 30% market share with number 2 having a 15% market share. So I think that gives you the answer there globally. In India, of course, you remember that we participate in largely the premium segments and not in the mass segment. And t hat's the correction we are doing. For that, we needed capacity. Our plants are almost running full in powder.
And we are opening a new capacity in our Gwalior factory very soon. In fact, in a few months' time, the plant will be commissioned . So we will start getting very aggressive once the capacities are available. The same was true for our protective business. Marine business, we are doing remarkably well, not just because of India because many of these -- the fleets -- the shipping fleets are running all over the world and even including markets like Dubai, India, Singapore, et cetera, where we've got a lot.
There's only 1 part of the business, which we are globally a leader, which is yet to come in India is the aerospace which is very attractive business, hopefully, with the Delhi new airports coming in, et cetera, the MRO, which is the maintenance and repair will come in. And as a result, we should also partake in that business. We are very clear that we will build that business because we are globally working with both Boeing and Airbus to do it. We are, again, by far, the market leader there. So I think, l ook, in the next 4, 5 years, my view is that Akzo Nobel has a huge chance. Not just in the Coatings business, you'll see us fight tooth and nail on the paints business. We're going to use a lot of stuff in terms of our global thought leadership, et cetera, to make sure we win this market.
Lakshminarayanan K.G : I have 1 or 2 questions in Decorative. Manoj,, can I go ahead?
Rajiv Rajgopal: I think we should just give others the chance. But sure, if you have 1 question, I'm more than happy to answer.
Lakshminarayanan K.G : Okay. So in the Decorative business, I think a couple of weeks back, there is an inte

resting
interview in CNBC as you mentioned that in 56 to 60 districts of India, you are number 1. And you also mentioned that in the premium segment, you're almost like 16% to 17% of the market and you are number 2. So just on that count, I want to understand in those country -- districts, you are number 1. What's the revenue contribution? So is these districts where you are number 1. They have about 80%, 90% of your Decorative business contribution.
Rajiv Rajgopal: No. If they were 80%, 90%, I would be overall number 3. Look, we don't want to get into that. The reason I made it is to just let you know that both historically and over a period of time, we've

been working on our brand distribution, et cetera, and we believe that we have a right to win. Now what gives you a license to a right to win is to say that, look, does the brand have presence which is significantly higher than your average m arket share in any geographies.
And when I joined this company and when we embarked on the journey as a team, we realized that there are many districts where you were either number 1 or number 2. And that's really to say that what creates that and what do we need to replicate there. Now the challenge in that is when you look at it, we realize that our presence across the segments in the Decorative paint business was different. In the mass market , for example, we are underrepresented as you are aware .
And the second is that over a period of time in the transition from ICI to Akzo, we lost the innovator tag. So our attempt has been to say that, look, how do we really start putting things back. And it is in that context, it is not a few 6 weeks ago. It wa s after the last investor call. And even I've been saying this, if you see my interviews ever since I took over the job, we have formula that is working. The question is how can you replicate it?
And this was obviously work done by a lot of good people. How can you replicate it because that gives you. Despite all the competition everywhere in those places, we still continue to be number 1 or number 2. So how do you really replicate that magic across? So really, that was the thought behind that question. And it suffice s to say that in those markets, it's fairly representative. But at an aggregate level, yes, it is significantly higher than our market share. There are certain regions where we are actually double -digit market share . So -- and that gives you a sense of where I was coming from.
Moderator: The next question is from the line of Arko Pratim Pal from Sanjay Agarwal Broking Limited.
Arko Pratim Pal: My question is -- my first question is already answered by you, the volume growth. One question I have to say that Grasim paints is also joining the market. In Indian market, there is so many competitors. So therefore my question is what is your expectation for the present demand scenario? And what is your strategy for further growth?
Rajiv Rajgopal: Look, I think my strategy is something that I've been working on for a period of time, and that is to pivot around our brand, the quality of the product. We continue -- we want to continue to be the best in class. How do we demonstrate it, we've done it by launching a program called Dulux Assurance, which is a money -back guarantee, which we run in many of the key markets and now across Akzo Nobel, and bringing innovations into the market, which are a little ahead of time.
And continue to increase our reach, our distribution footprint in a very meaningful manner . While doing that, make sure that we are able to address our painter challenges, the issues. How do we get a larger scale with them and how do we really make sure that we've got a larger retailer footprint. And how do we really move seamlessly in a digital manner. So quite a lot to do, to be honest Pratim, but for me, I think the strategy seems

to be working. If you take the last 2 years,
full year results, we've jus t completed the last year results.

You can see we are in the top 2 group for the third year in a row . So I think it seems to suggest that some of the things that we are doing is working. At the same time, with all humility, I think there are certain things that we may need to tweak . That to make sure that we continue to sustain and do better. So that's what we will continue to do. And the reality is, look, I can only -- let me put it. I can only control what's within my control . There will be more players coming in, the bigger names coming in. I cannot get deflected to whether thinking whether Sachin Tendulkar is playing against me or Virat Kohli is playing against me, I can only improve my performance on what I do. So that's wha t I would say.
Arko Pratim Pal: When the sure -- definitely got the answer, I guess.
Rajiv Rajgopal: I am definitely privileged that so many players are coming in because it also gives us an

opportunity to learn a lot of things. And also challenge some of the -- our own mindsets in being able to really see whether we can compete effectively in a hypercomp etitive environment.

Arko Pratim Pal: I understood. My second question is, is there any change in raw material prices that may affect your operating profit margin in part of current..

Rajiv Rajgopal: Turning it over to Krishna. Krishna?

Krishna R: As far as the last quarter is concerned, raw material prices continued to be soft and which is also resulting -- this is also leading to the margin expansion. And what we are seeing yes, the trend is likely to be stable over a period of time, unless there is some amount of further disruption happens in anywhere in the world which impacts the supply chain.

Moderator: The next question is from the line of Umang Shah from Banyan Tree Advisors.

Umang Shah: So we see that the market leader in the Indian Decorative segment has increased its retail touch point significantly over the last 2 years. I think we understand that some part of it is also coming from using the distributor model as opposed to a dealer mo del, something which you started many, many years back. So just wanted to understand, going forward, will a significant part of our sales and distribution happen through our distributor channel? Or would we also expand dealer channel?

Rajiv Rajgopal: No, look, ultimately, distributors serve dealers. Today, a large part of our paints business is through distributor. And it's not to say that we don't want to -- we believe that for us, that's the right model. We reached a very high stage of maturity. And we are pretty happy the way the model is working. It's giving us terrific gains in terms of reach, lead time, being able to supply products at a faster pace than even in some places where the market leader is. That said, look, we are right now in the business of paints and coatings. We are not into other products. So our model will continue to remain as is, unless there is a distinct strategic need for a change.

Umang Shah: Sure, sir. Sir, and the second question -- yes. Okay. Sir, and the second question was you -- when I look at the numbers, Akzo has the highest payable days in the industry. Your creditor days. So any reason why that is the case?

Krishna R: It's based on the terms of trade, which we agreed with our suppliers and the combination of supplier payment terms, yes.

Umang Shah: Okay. Okay. Right, sir. And sir, and the last question would be, would it be of your industrial paints business, what percentage would be coming from auto?

Rajiv Rajgopal: So we don't divulge the number specifically by segment. That's something that we don't do. But suffice to say that -- as I said, there are 4 coatings businesses and auto is 1 of the larger businesses we have in that vertical.

Moderator: The next question is from the line of Sonal Minhas from Prescient Capital.

Sonal Minhas: As an end user as well as an investor, I think I just wanted to understand like in the decorative premium paint segment, there is a clear choice between -- amongst painters, between Asian Paints and your product. And I think I just wanted to understand mor e from a product details or chemistry perspective, that where is the gap in terms of quality of the product, if at all, between you and the number 1 player and you and the latter essentially. And what have you been doing to actually improve your product quality from a longer -term perspective? And is this kind of a sustainable differentiation edge that you versus let's say, Berger or somebody else you have versus the other players? So long question, I can split it, but just wanted to understand your take on that.

Rajiv Rajgopal: Look, our -- I think you partly answered by saying you and the market leader, so that takes out everybody else. But -- and that's the truth. So the reality is what we do is we do market research, where we look at people who've used Dulux and we s plit it into 3 types of users. So let's use our products on every purchase occasion. Remember that in paint a purchase occasion will come in 3 years, 2 years, depending on interior, exterior and usage . And then we look at non -core who are people who are using 50% of that purchase location in a span of 3 purchase cycles and 4 , which is more than -- which is around 50% of the purchase.

You'll be thrilled to know that w e've got the highest amount of solace users, which basically means that in our brands when consumers use us, and that's the human truth or the moment of truth. So the truth is that when people use our products because of the quality of products, it is people do tend to ask for it. And that's the reason that's been the raison d'etre for this brand. That's the reason to exist as far as Dulux is concerned, not just on the walls but also in the hearts and minds of the consumers we serve.

The second part of your question, look, on the formulations, et cetera. Obviously, look, we do benchmarking versus our competitors. I don't want to speak ill of anybody I think let's be -- let's understand if there's a leader with the market share that the leader has, I have to give complete respect to every player in the industry. We are not here to criticize anyone. What we are here is to set a journey for ourselves and say, how can we be the best. It's not easy, but we believe that there are 3 things th at we b elieve that we can be the best.

One, Dulux stands for best -in-class quality and not only Dulux any product of Akzo Nobel, whether it's I nternational, Interpon Sikkens, all stand for best -in-class quality. Second is international . There are very few brands which can call itself truly international. If I were to ask

you, think about the beautiful cities in the world . You will come and tell cities like London, Singapore, Switzerland, what we've done is we've done a survey where we've seen in the top 15 cities, most beautiful cities of the world in almost 10 to 11, Dulu x has the highest market share. It's not coincidental that it's happening. Some of the places, even in places like Gurgoan, where our office is registered that we have the highest usage of DLF . So I think it's about the chemistry of our products. We've got fantastic engineers who do it, both globally and in the country. So kudos to them that they have been working on this over years. It's not something that has turn ed overnight.

And of course, there is a secret sauce that we are going to put in into the Indian market, which I can't tell you because it's like the formula of Coca -Cola. An appropriate time when we think it's right, we will discuss

. But there are certain secret ingred ients that go into a paint, which is -- which are also available for us to really up the ante and that's what we are doing. In an intense market, we believe that a better product is going to serve us longer, and that's what we are focused on.

Sonal Minhas: Got it. Second part of my question, sir, if I may just ask is that like -to-like for similar quality of the product, how much would you be selling at a discount or to, let's say, the market leader or as we speak? Just trying to get a ballpark essentially.

Rajiv Rajgopal: My problem is I sell at a premium to the market leader. That's the biggest challenge that I've been facing in many places.

Sonal Minhas: The same products we look?

Rajiv Rajgopal: Yes, similar products. If you look at across categories, we've been the highest priced portfolio. That's been the biggest challenge for us. And one of the things that we've been trying to do is to come close to the market leader on pricing. Now what happen s in the market is slightly different. There's a concept called loss leader. It basically means that a leader passes on his profitability to do it.

And that happens because the velocity of the brand is not commensurate with the market leaders of date . Now those are very old cases in our brand. We are not a wholesale brand. We are a very retail -led brand over the years. So it really doesn't matter for us. So to answer your question, the challenges, both in perception and in reality, we are seen as a bit of premium even in categories which are mass and economy. So I think that's the bigger challenge to be honest.

Moderator: We have a text question from the line of Dhiraj Dave from Samvad Financial Services. How many dealer we added in Q4 and total dealer as on 31st March 2024?

Rajiv Rajgopal: See, look, we don't -- let me put it -- our number of dealers are not just count of dealers. Akzo Nobel has got very stringent measures when we look at dealer additions in terms of saying there's a certain revenue say INR30,000, INR50,000 revenue per outlet to really look at them in terms of retained outlets, yes. So we -- our definitions are far more stringe nt so it's not like -to-like. But suffice to say that we add anywhere close to about 3,000 outlets in a year, yes, and there's a certain fall -through.

We also do a lot of refurbishment of our existing tinting machines, not just add new machines, but we also do it and move the refurbishment there. Our focus, as I mentioned earlier, has been to really drive penetration into the next level of towns. They ar e very strong in Tier 1, Tier 2, moving into Tier 3, Tier 4, the team embarked in 20 -- in a very meaningful way in 2017, '18, but really started in 2019, unfortunately got stuck by COVID and we really pulled it through in '21 to now . So that's what we ar e focused on.

To me, also remember that we are not in categories where count of dealer can increase by certain product offerings, e.g., we are yet to enter construction chemicals, tile adhesives, grouts, et cetera. We are getting ready for that. And believe you and me w hen we get ready our products are going to be world class, and we believe we'll shift. We're already growing in waterproofing more than 30% -- 25% to 30% year -on-year. So -- and the reason we do that is not because we have the best advertising or the most advertised bank, of course, advertising is good, but because

we've got great quality products that consumers buy again and again.
Yes. So that will give you a direction of what I'm trying to say. As we start getting into businesses which are more where you can add outlets to make a difference . you would start seeing it. But for now, we are focused on the paints business and really getting into the adjacencies of the paints business. And for us, meaningful outlet is more valuable than any o

utlet. What is -- when
I say meaningful, what is the tur nover of the outlet or what is the volume that the outlet does with us at a monthly level o r annual level.
Moderator: The next question is from the line of Amit Purohit from Elara Capital who says, sir, can you please provide insights into your distribution reach, how this has grown in FY '24 in terms of tinting machine and outlet reach. What is the share of premium? Sorry. Please, Go ahead.
Rajiv Rajgopal: No, go ahead.
Moderator: What is the share in the premium segment of the company?
Rajiv Rajgopal: Yes. So premium I have already said, I think somebody already are 16% to 17%. Outlets also got us. It's 20,000 plus, 21,500, 22,000. Again, these numbers don't -- are not meaningful unless they understand contextually because we've got a scientific way of measuring it, not just in India, but it's a global sort of definition. Again, we look at what is the throughput outlet we get, what is in a tinting machine, what 's the drop size we get .
We look at productivity of a tinting machine in an outlet, so our measures are a little more stricter and more stringent than it is globally, which is the reason I also want to tell all of you if we've not observed, that's the reason why our operating working capital is the best in the industry. I mean, you look at in the paint industry and look at us, it, I'm saying there's such a huge difference in the way Akzo Nobel used to operate 10 years ago and today. It's not just a reflection of our distributor mo del. It's also a reflection of the way we run the business .
So to me, it's about effectiveness is more important than just numbers . It's about making sure that we are being meaningful, and we are able to provide the entire assortment in a more meaningful manner . So 20,000 -plus outlets. And we obviously are trying to sharpen it. Our endeavours to in the next 2, 3 years to move to 30,000. We believe that with all the portfolio

additions that we are adding in the next year or so, we will start – we are well on that journey. We've already crossed 5,000- odd towns. We will start getting meaningful to our 8,000 -town journey. I think that 's really the split in which we are working on distribution.
Moderator: We have a question from the line of Mr. Saket Kapoor from Kapoor& Co.
Saket Kapoor: Sir, my question is regarding capital working progress. If you could kindly explain where this money has already been spent .
Moderator: Sorry to interrupt, sir. May I request that you use your handsets. There's a slight disturbance from your line, Mr. Kapoor.
Saket Kapoor: Sir, I was alluding to the capital work in progress of INR 119 crores. What will you attribute this to? And when will this money get capitalized?
Krishna R: Saket, thanks for the question. We have explained that we are undergoing capacity expansion trend for the powder coatings plant in Gwalior, which is predominantly the capital working progress. We do expect the commercial capital and the commercialization, commercial production commitment somewhere in the July, end June and July campaign, yes.
Saket Kapoor: Okay. And what kind of volume increase, sir, are we expecting for the next financial year?
Rajiv Rajgopal: Double digits.
Saket Kapoor: Okay. And double -digit means, 10, it starts from 10.
Rajiv Rajgopal: I can give you a number, but the sanctity of the number is a function of a lot of variables. Problem is after that nobody looks at the assumption of variables. People look at the number. So to me, it's like saying, what is the colour of the sky today, what I see what you see will be different. But we've given a range of around 12%, yes.
Saket Kapoor: 12% should be the volume growth.
Rajiv Rajgopal: Volume growth and the revenue growth will lag volume growth simply because for the rest of the 9 months, there is still

about a 3% carry forward of the price drop, right, 3% to 4% that we
talked about. So that's -- you can easily pull the maths . With the commodity prices now firming up, we don't expect any further price drops. But yes, let's be clear, we will defend our market position. Akzo Nobel is very clear. Yes, we will defend our market position. We believe if you look at the EBIT marg ins, return on sales, right, we are number 2 by far in the industry.
And for the market size, share we have, you'd realize that very few companies, in fact, there'll be very few companies worldwide with this market share who have that return on sales. Clearly, tells you the quality of the business we run and the fantastic w ork which is happenin g between

various functions, et cetera, that we get to play. And this was deliberately planned because in a hypercompetitive environment, I'm fine to lose 1% there, but to make sure we continue to gain top line in a manner which is sus tainable. So that's what the focus is.

Saket Kapoor: Right, sir. And sir, I missed your earlier commentary. On the growth prospect, if you could just allude once again, what -- how are we seeing the current financial year? And then on the valuation part, sir, when we look at the peers, they command a significant premium toward our entity, although all of them some are aligned in some way or the other, but you can look at the valuations the top 2 enjoys, and discount at which A kzo Nobel trades, I'm talking about the market cap currently, which is more of a significant importance to your investors and the analyst community. So what's the thought process of the management in terms of tha t. And the growth which we are taking into account the current business sentiment?

Rajiv Rajgopal: See the growth very clearly, I think, between all of us, me, Krishna, Rohit, Rajiv, we're very clear that we want to be in the top 2 in growth. So that answers your growth question. In terms of the price value, let's be clear, what we control as a team is our performance. After that, I leave it to people like ourselves to decide what's the best value. We've shown you what the earnings per share is over the 3 years . It's there in the investor d eck, we've moved significantly.

I don't think company -- and look at our return on capital employed, I don't know how the companies of our size, shape, have a 40% return on capital employed. So that, I think, is a testimony of what we bring in you've seen -- you're seeing cash in our books. You've seen the dividends we give. We are giving sustainable dividends. We are giving it in a meaningful manner.

There were a lot of questions on why I think when I joined the company and some of you have educated me during the journey, whether there is adequate one of the thoughts was when I joined the company and some investors are on the call, they've been very fr ank to say the biggest problem in A kzo Nobel is leadership changes. I've been now running this company for a very long period of time. And my journey is to also make sure that the next group that takes talent comes to the floor and get -- we get the right talent to run this organization going forward. Because this organization is not the organization that I joined, which is a INR2,000 crores company with a INR150 crores PAT. Today, we are talking about being INR 4,000 crores company with a INR 420 crores PAT . And we -- our desire is to move significantly. We are not here to give numbers. We are not here to paint a vision which we cannot achieve. What we believe is, look, I think this comes through a lot of hard work. We come to putting brick by brick. I've learned that there are a couple of times when we've had huge challenges particularly during Covid because we followed and complied with every rule. We are top class in governance. And I think the people sitting around this ta

ble drive in the fact that we have world -class on governance. We do not allow any compromise on ethics, values and governance.

Saket Kapoor: A very concluding remark.

Rajiv Rajgopal: Concluding remark, look, so I would only -- sorry?

Saket Kapoor: Yes, first, you complete then I have 1 concluding question.

Rajiv Rajgopal: Okay, please go ahead. You please ask your question.

Saket Kapoor: Sir, when we look at your other expenses Q -on-Q, that has shown a dip, whereas year -on-year, that has increased. So what should -- what are the core element of this and what should be mentioning in when we mention our number in terms of -- as a percentage of revenue, what constituted?

Krishna R: That's a good question and a detailed observation of financials. As I have explained previously, the focus is in terms of the brand building and how do we make our brands more relevant and present in the market space and also which will unlock the long -term growth prospect. That's where we are spending and which is also yielding the growth and the results. Yes.

Rajiv Rajgopal: So certain elements of costs which have gone up on absolute are around A &P, FTE, okay? Because what we're also doing is we are now entering what are not traditionally paint outlets from a paints business perspective. We are going to -- we are in the process of reorganizing ourselves a bit, not huge cost, but maybe a onetime to really m ake sure that we are able to seize opportunities .

And also, let's be honest, on the flip side, how we are containing that cost is by becoming far more productive through value creation programs, driving -- sweating our assets, both tinting machines as well as spreading of factories. Today, the amount of a utomation we have in our factories, we are actually virtually running 1.5, 1, 1.5 shifts and creating capacity for the future . So we are into building world -class stuff, putting a digital infrastructure for us some of which is we do. I hope that answers t he question.

Saket Kapoor: Yes, sir. And if I permit to ask 1 more. On the cost of material consumed, as you are mentioning that the raw material prices are hardening. And I think so we are referring to the crude derivative and crude has also been in a consistent band of INR 78 to INR85. So what are you pencilling in, in terms of sustaining your margins with respect to your cost of material going ahead. And on the value proposition also, sir, I think so in the branding aspect the AP cost in all as a percentage of sales n eed to spend to create that market size and market awareness. But how are you seeing the same going forward for this year as a percentage of your sales? So both the question on the outlook on the raw material and the expenses on advertisement?

Rajiv Rajgopal: So firstly, as far as the expenses are concerned. Look, brand building is going to continue. Our problem is not in a balance. A problem is in conversion. So our problem is right at the end of the funnel, where when people start switching to brands, from consideration to purchase.

That's the problem, and that's what we are trying to address. The second to your question on material prices, look, we've been through much harder times on raw materials. I think if there's 1 example, 2021 would also tell you that we took the right decisio ns as far as the raw material costs were concerned. When the industry and many people thought that we had lost our brains . We believe that, look, we are working on certain things to make sure that we are able to compete a hypercompetitive inflationary env ironment if required.

At this time , we don't see it. I don't want to exaggerate the situation as if it was going to happen. We believe that this situation, the plus/minus will not be huge. Of course, there are variables which are outside our control. But other than that, which will impact eve

ryone. But other than

that, there is nothing significantly that we need to. Of course, there are certain projects which we do, which are a little under embargo. I don't think it's appropriate for me to speak on our investor call on that. Thank you.

Saket Kapoor: Thank you, sir, for all the elaborate answers and we hope for future interactions again sir.

Rajiv Rajgopal: Thank you.

Moderator: The next question is from the line of Lakshminarayanan K.G. from Tunga Investments.

Lakshminarayanan K.G: Sir 1 feedback because we talked about market capitalization just earlier, my belief is that when it comes to media interviews, you are on the strong front foot discussing. But in the investor presentation, we are extremely modest. For example, we have don e extremely well in terms of our portfolio improvement. We have done extremely good in terms of our distribution both in terms of number of distributors, tinting machines, the districts you have actually gone through from 1,500 towns to almost 5,000 plus. I wish you can actually put these things in 1 slide so that as investors, we also get to know what has been the increase in all vectors. So that's just 1 feedback for you to consider.

Rajiv Rajgopal: No, thank you, Lakshmi. Thank you. But I love a cricketer who ones -- whom I admire who told me that the bat does the talking. When the bat does the talking, you don't need to really talk about the performance. And for me, really for the investor community , it's not about a quarter. It's not even about a year. It's about sustained improved performance of the metric. And Lakshmi, let me tell you when I joined and took over the role.

And many of your colleagues on the call. I can tell you with hand on heart, perhaps, my heart was raising 5x because the sort of questions were your predecessors have all come and m ade promises and left . So it's even important in leadership to be able to have a narrative which is consistent and not overpromise, but over -deliver? Hopefully, with all your support and everyone's blessings, we should be on that. So it's on the television, it's slightly differ ent. Media sound bites, people start getting aggress ive.

So you want to make sure that your voice is also heard. And again, it's not from a perspective, it's because that's a wider reach medium . Where everybody hears. And the idea is not to communicate in terms of what we do, but also who we are . So it's also share of voice as they call it. It's also about saying how we run the company. If you've seen over the last 5, 6 years and even over the last 2, 3 years, our endeavour has been to bring you the reality to exactly tell you where we are.

We have never given volume growth. We've started doing that because we realized that necessity. The reason is because we are making a shift from value growth to -- price -led growth to volume growth in India. And we have -- the assurance we want to give to you and all the investors is we are here to stay . We are not bothered about what people write about us. We are here to stay. We believe we've got the ingredients. We've got the people. And more importantly, we've got the mindset. And that's not my commitm ent to you. It's my commitment to Akzo Nobel.

Lakshminarayanan K.G: Got it. Sir, another question from a slightly different angle from a supply chain point of view. I understand that paints is all about supply chain and lost sale is like a loss forever . So in the last 1, 2 years, how you have actually improved your supply chain in terms of getting the right product because 1 feedback which I hear from some of the painters I anecdotally check is that okay, we don't get the entire -- X is there, Y is not t here. We don't get all the 3 kinds of stuff from Akzo Nobel. So I don't know whether it's anecdotal or

representative. Just want to understand from a supply chain point of view, how do we have ensured that the right quantity of paint is there in the right distribution and the right SKUs?

Rajiv Rajgopal: Good question, very good Yes. So Lakshmi, it's like this. See, when we embarked on the distributor journey in 2013, '14, we had our hands in amount because the world told us we will not succeed. Fast forward 10 years later, 2024. We've got a robust busines s where about 160 of these distributors and our partners actually run this business and have been running it with a fantastic work which has been done by the team led by Rohit, which is why he's also here now on the Board .

And it's -- I think we've got that model right. I think what we've not been able to do is to get all the other businesses into the outage of some of our competitors have done. Also in terms of range availability in certain markets where we are structurally weak . Like Andhra, we are structurally weak . I get this myself from customers. What -- how we are trying to address it is to identify those gaps and try and make sure that we are able to have a couple of large dealers converted in those areas so that we are quickly able to as and when we get it. We do that wit h lightning speed today .

We were earlier not doing it. And we are planning to look at embarking on certain programs, including on need generation, hopefully a more digitized way of working, which will enable us to do that in a far more structural manner. So that's one. Second is, we have embarked on a journey on distributor to look at replenishment model, where what an outlet sells today, the distributor is able to catch through a replenishment model, which is FMCG done . And that will also enable us to be able to exactly know whic h markets, what product is required, and we are able to get it immedi ately at head office instantly.

We look at today technology permits us to look at what is the cut order on a daily basis, but it comes with the lag. The idea is how do we really get it on time so that we are able to address it in a structural manner. Having said all this, it's not easy. Our challenge has also been having the right portfolio at the right price point and also the fact that in certain structural markets where we've not been strong, to be meaningful to the outlet to able to address this issue. So those are challenges we are working on, Lakshmi, and we will cross it.

The reason I'm confident is because we move the needle significantly over the last decade. And I have every reason to believe when the hard work has got done, the incremental effort that is now required is much lesser than the initial work that was require d in setting this up. I hope you understand.

Lakshminarayanan K.G: Yes. Bookkeeping question. So in terms of your freight cost, last year, it was around INR 152 crores or so. I just want to understand what is it number now. And in terms of ad spend last year,

last year, I mean FY '23, it was around INR 92 crores. What is the value in FY '24? And how do you think, given that you are actually embarking on a brand ambassador, et cetera, how you think this would actually pan out in the next couple of years?

Krishna R: Thanks for the question. We will be publishing all the final details in the annual report. Please hold on some time. I know I'm not answering you right now, but we will share all the details which is required as per the disclosure.

Rajiv Rajgopal: And Lakshmi, drop an email to us we'll send you the report. The reason is because, obviously, there are certain things which we right now believe is still in the realm of confidentiality. Yes.

And suffice to say, at a very high level, look, we are looking at least a 10% to 15% increase in A&P. Again, see, these are functions of what market or the market behaves. So it's ve ry difficul

t

to predict .

I mean, none of us would have predicted early last year that the industry would have a price drop of 4%, 4.5% between December and January. That's what happened . So sometimes market forces also necessitates you to take action . The fact that we signed Yash is also because, obviously, now the industry is getting it so really, you want to make sure your brand stands out and you wanted to use an ambassador who really stands out. And we believe -- obviously, Yash, if you've seen his following, it's mind -boggling . So we -- that's the journey we have embarked and we'll continue on that journey, and we'll answer your specific questions, as Krishna said, as soon as the annual report comes in.
Lakshminarayanan K.G: The supply chain, in terms of sales laws or product assortment, not there, from a quantifying perspective, how we have improved if you index 100, we had -- just want to get a sense of how you're improving. I'm sure we have improved. Just want to understand that.
Rajiv Rajgopal: No, look, we moved the journey significantly. We see if I look at 2014 and worthy you can help. If you were on a scale of about 75 to 80, we moved -- we are not -- nowhere close to 100, but I would say we are closer to the 90s now . But we've still got a journey to transit. We will get on to that journey as we move forward.
Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co.
Saket Kapoor: Sir, I have a small question on margin expansion or the margin outlook as you have sounded cautionary on the RM, and again, we need to improve our ad spend to gain market share. So what's the trajectory for the margin outlook for the current year on the 1 where we exited the Q4, what can we expect going ahead? And what factors would rather influence your margin trajectory going ahead?
Krishna R: Thanks, Saket. One of the disclaimer figure is that we will not give the forward -looking guidance here. And of course, we do expect our margins to be stable and then we ensure our growth is profitable by way of various means and measures like mix improveme nt and innovations in the product value.
Rajiv Rajgopal: I have addressed in the earlier question, Saket, because we -- I said that we will hold our margins, but our focus is really how do we really play -- consolidate our market position.

Saket Kapoor: Right, sir. And on the competition part, sir, with the -- with the new players totally coming up with a huge size, what kind of volume pressure, do you think you can expect when they ramp up their capacity going ahead? I think sir 2 players are now particu larly becoming very active. And the bigger 1 Grasim, which will be contemplating, I think so coming up with huge capacity. And they have also drawn big plans. So what's the thought process of Akzo Nobel going ahead in terms of this intent of new competitors?
Rajiv Rajgopal: Look, I think it's very difficult to hypothesize what's going to happen. As and when players come in, we will be in a more -- all this is factored in the growth that we've indicated already for the full year in the questions already asked, Saket . These are already factored . If there are any discontinuity on pricing, et cetera, that's there, we will look into it . As I said, I want to repeat that our endeavour is to consolidate and grow our market position in India.
Manoj Menon: Operator, in the interest of time, we've already told the audience , management has kind of hard stop here.
Moderator: Ladies and gentlemen, due to time constraint, that was the last question. I would now like to hand the conference over to the management for closing comments.
Rajiv Rajgopal: So thank you, really enjoyed the interaction with all of you. Lakshmi, your point is taken. This is not to say that there are 2 different personalities on the television set and the investor call. W

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are more than happy to share with you. We have a fairly transparent company. But we also believe that, look, ultimately, what we say we deliver. I think that's more important. And if you go back to 2, 3 years ago and you -- I think you should hold people for the promises they make. I have been very clear in my narrative, even if you go to some of the stakeholders, including on a lighter way to a stakeholder, I said you will not get this share price at this price again. And the share price, if I remember, the company was 1,800 then. It's true. It's not happened again. So my endeavour -- as our team endeavour is to say that we give you greater value. We make sure that you sleep well if you're invested in our company.
We believe that the power of Akzo Nobel, with the leadership of Greg, I am certain and the dynamism and his thought leadership that he brings into the company I'm certain this company will grow great heights and under his leadership, each of us will make s ure that his vision of what India should be, will be delivered. It's -- and I'm delighted because it's in line with what my vision for India is . So thank you very much. Thank you for taking time on a very busy schedule. I do understand your multiple calls to attend. We really appreciate each of you for your time. Good luck. All the best. Stay safe. Thank you.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you

may now disconnect your lines.
Rajiv Rajgopal: Thank you. Thank you so much.

Call: Aug 2024

Akzo Nobel India Limited
51h August 2024 Al<zoNobel
The Listing Department Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra-Kurla Complex
Sandra (E)
Mumbai -400 001 Mumbai -400051
Scrip Code: 500710 Symbol: AKZOINDIA
Dear Sir/Madam,
Sub: Investor Call Transcript
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the investor call conducted by the company on Friday, 2nd August 2024 regarding the standalone and consolidated financial results of the Company for the quarter ended 30th June 2024.
This transcript is available on the Company website and can be accessed through the link: https://akzonobel.co.in/investors php#im
This is for your information and records.
Thanking you.
Yours truly,
For Akzo Nobel India Limited
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“Akzo Nobel India Limited
Q1 FY '2 5 Earnings Conference Call ”
August 02, 2024

MANAGEMENT : MR. RAJIV RAJGOPAL – CHAIRMAN AND MANAGING DIRECTOR – AKZO NOBEL INDIA LIMITED
MR. KRISHNA RALLAPALLI . – CHIEF FINANCIAL OFFICER AND WHOLE TIME DIRECTOR – AKZO NOBEL INDIA LIMITED
MR. RAJIV JHA – COMPANY SECRETARY AND COMPLIANCE OFFICER – AKZO NOBEL INDIA LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '25 Earnings Conference Call of Akzo Nobel hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi, ICICI Securities. Thank you, and over to you.
Aniruddha Joshi: Thanks, Yashashree. On behalf of ICICI Securities, we welcome you all to Q1 FY '25 results webinar of Akzo Nobel India. We have with us today's senior management represented by Mr. Rajiv Rajgopal, Chairman and Managing Director; Mr. Krishna R., CFO and Whole Time Director; and Mr. Rajiv Jha, Company Secretary and Compliance Officer. Now I hand over the call to Mr. Rajiv Rajgopal for his initial comments on the quarterly performance, and then we will open the floor for a question -and-answer session. Thanks, and over to you, sir.
Rajiv Rajgopal: Thank you Aniruddha. Thank you very much, and thank you for hosting the call. So look, first and foremost, good afternoon to all the -- all our investors and all the people on the call, wonderful to again speak to all of you. For those of you who are there on our AGM, some of it will be repetitive; for others, I'll quickly run through.
Look, as far as the quarter has gone by, we've had a -- I would call, a reasonable quarter. We've had a double -digit volume growth. We've had a high single digit in paints and a double digit in the coatings business. Coatings business' verticals have reall y dialed up well last quarter, and we've had very strong double -digit growths in many of them.
Paints, of course, continue to be a bit muted as you've seen it with some of our larger peers, who've already reported. From our perspective, we continue to be focused. And obviously, we are executing our strategy relentlessly. And that's what really we are looking at a bit like horse with blinkers. As far as decorative is concerned, we had a bit of a tough month in April, but we sort of bounced back in the last 2 months, more prolonged in June, and that's how we sort of managed to sort of touch the bar and making sure that we have at par sort of a performance.
In coatings, the value growth is in line with what we expected. But what we've really seen as a trend is look, I think value is lagging volume and that we will see it till almost end of the year. I believe that, look, the volume value catch -up will start g etting seen in early next year. As you've seen -- we have seen an increase in the raw material prices, which we had already picked up and hence, we've taken some pricing actions of close to about 1.5% between July and mid-August, which we've already annou nced to the market, right?
So our endeavors, we already had price premiums. We want to make sure that we are competitive, and we are also driving significant -- as you've seen from our 160 bps increase in the gross margin, which Krishna will explain, we are focusing on making sure w e are leveraging all our functions and working as a team and really gearing to make sure that we continue to be not just a relevant player but a meaningful relevant player as we move ahead, right? Krishna, if you can just give color on the financials, and then we can get straight into the Q&A.

Krishna R.: Thanks, Rajiv. If I do some of the quarter gone by, it was a tough quarter as far as the industry per se is concerned. I think we were also part of and we witnessed several headwinds like heatwave, labor shortages and then limited demand conditions.
Despite of all these challenges, we achieved a double-digit volume growth. And the revenue grew at around 4%, which was constrained by the earlier price cuts, w

hich we took, which are roughly around 4%. Growth during this quarter largely come from strong performance of the B2B businesses. We have also witnessed the stiffening of the raw materials somewhere in the mid of May and onwards.
And despite that, we were able to improve our gross margins by around 160 basis points through improvement in the mix -- product mix and sourcing efficiencies. Growth remains a priority, and we continue to invest in our brands, people and the distribution, to ensure sustainable profitable growth.
The profit EBIT percentage was around 14% plus, which is almost at the last year. PAT at INR114.6 crores in the quarter, which grew by about 4%. It's worth noting that this was the highest ever absolute performance across the revenue, gross margin, EBIT and the PAT. Thanks, Rajiv, back to you.
Rajiv Rajgopal: Yes. So thank you. I think -- look, from our businesses, I think what has been our focus is really focusing on our existing customers because we've just taken -- decided to take a bit of a backstep saying that, look, we will just sort of go in a more careful, measured manner and really focus on increasing share of wallet of our existing customers. That's really what we really started doing as a team.
We started this exercise actually towards the end of last year, but we are now starting to see that the results of paying dividends, where we are saying how can we have solutions which are there. We're also looking at sources of growth, for example, in EV, et cetera, where our coatings businesses have already got world-class solutions.
As all of you know, we are the only paint manufacturer in perhaps the world, which has also participated in creating a solution for not just the earth, but also outside the earth. So we've

obviously coated Rover, which went to Mars, as all of you know, with both powder coating and liquid.

So I think for us, now we are looking at saying, how can we bring some of those meaningful products into our ambit and really create a space that I think we will be able to sort of carve out a niche for ourselves and really get a head strength over our competitive. So I think that's where the focus is. I think this is about using the high-end technology and doing it. There's a small team working wit h me directly on this and really saying how can we really dial up some of the propositions we have in our dec orative paints.

We've just launched Dulux VT Eterna. And for all our investors on the call, I strongly suggest if any of you are getting into a painting cycle to at least try one room with it. You would see --
and I can promise you, you will not come back to me with any c omplaints because I've just used it in my home for at least all the premium products.

I personally ensure usage and signing off with the management team members, me, Krishna, Rajiv, Director of HR, Neelima, some of the senior members in the team to make sure that we ourselves are signing off these products before it goes to the market. So l ook, I think some of the innovation pipeline, the 8-quarter pipeline or 12 -quarter pipeline that we have, it's coming into fruition.

As I mentioned last year, during the call before Diwali that between last Diwali to next Diwali, we will see a flurry of products. Even on sustainability, we've got products like A600 0, really some of world-class products that sort of addresses. We've also launched Interpon A3000, which is one of the first product, single -layer pow der co ating for 2 -wheelers.

So we are dialing up certain products. Yes, we are -- I think we are trying to create a phenomenal position for ourselves in our coatings vertical and also making sure that our paints vertical work side by side. We also are trying to leverage some of our coatings position for our decorative business and trying to see how we can be very relevant from a customer

perspective.

Yes, so that's really what I have to say. Anirudh -- our presentation is -- I'm not running through a presentation because it's already there on the website so that we keep more questions answers. I just want to be honest, we will -- given the competitive intension in the market and the curiosity,
please pardon us, we will only be able to share something, which we generally believe which we can share, and I would not be in a position to share something which is competitive or a strategic advantage for us.

Because you will appreciate that this performance has also come because we've been able to keep secret sauce and that secret sauce is only with a few people in this organization, right? So that's something that you have to be mindful of when you ask questi ons. Thank you. Back to you, Anirudh, and back to -- for the Q&A session.

Moderator: Thank you very much, sir. We will now begin the question-and -answer session. The first question is from Jayvansh Mehta from Care PMS.

Jayvansh Mehta: Congratulations on a good set of numbers. Sir, my first question was basically on -- can you share the number of tinting machines that we have currently? And also in the same line, can you -- if you share the retailers -- amount of retailers that we have and target retailers that we have
for FY '25?

Rajiv Rajgopal: No, I think that those numbers have already been shared, but I'm happy to reshare it to you. We are looking at now getting to almost about 16,500 plus outlets to 17,000 outlets. Look, our yardstick on tinting machine -- this question is going to be a diffe rent one because we've got internally very stringent measures in terms of what is the productive tinting machine.

So the first point is what we've embarked on is to look at which are the nonproductive tinting machines we have and either redeploy them or put a program to sweat them. So that's the first.

Second, in terms of distribution, look, as I mentioned earlier, we are looking at crossing -- hitting the 25,000 as early as we can before next year.

Currently, we are hovering at about 23,000, 23,500 outlets, but our endeavor and -- I think Rohit and the team are absolutely focused on ensuring that we start doing it. Our focus is really now to -- as I mentioned in the call, is really how can we be more meaningful in the outlets we are, right, given the competitive intensity. So really, for me, the first preference is, how can I start increasing our presence or make sure that we don't have too much of dealer attrition during this headwind and become a m ore relevant player. That's really the objective -- what we are trying

to do. Hope I've answered your question.
Jayvansh Mehta: Understood, sir. My second question was, sir, can you share the B2B versus B2C volume growth for this quarter?
Rajiv Rajgopal: So look, I think the B2C has been approximately about, as I said, high single digit, yes. You could put a number there, almost 9%. There is nothing to hide. And B2B has been -- blended B2B has been at about 12%, right? So that's the reason we quoted a good double -- early double -digit growth.
Jayvansh Mehta: Sir, last question, sir. Sir, if we see -- compared this quarter versus last quarter...
Rajiv Rajgopal: Just one more point. When you say B2B, the paints B2B is also included in the B2B, not in the B2C so just wanted to confirm. Go ahead.
Last question because otherwise -- please allow the next person to come in otherwise.
Jayvansh Mehta: Okay. Okay. So, sir, this quarter, if you see the EBITDA -- gross margin was grown, but the EBITDA margin has slightly -- has not grown because of the increased brand spends. So can you share the brand spends for last quarter versus this quarter?
Rajiv Rajgopal: No, we would not be able to share because that's a little competitive for a simple reason that it also includes signi

ng of the celebrity. As you know, we have signed up with Rocking Star, Yash.
And one of the parts of the deal is that we do not share his e ndorsement fee, right? So I'm not in a position to be able to share that with you because that's a privileged information. But you can imagine that how much really Rocking Star, Yash, who is one of India's biggest celebrities, would cost so you can quickly sort of work on the number.
Moderator: Thank you. Next question is from Aniruddha Joshi from IC ICI Securities. Please go ahead.
Aniruddha Joshi: Yes, sir, 2 questions from my side. So we have seen market share gains happening for almost more than 1.5, almost 2 years in a row now. So yes, we can understand definitely distribution differentiated launches. And in a way, aggression in the trade, all th ese things -- more investments in brand building spends, all of these things are working for us.
So what are the additional things that we are trying to do to increase the tempo of market share gains? And in a way, what are the market shares in industrial paints. I understand it is B2B, but if any ballpark figure that if you can share, where are we in different some segments in terms of market share? And what are the strategies to focus on gaining market share in that part of the business as well?

Rajiv Rajgopal: Yes. So look, on the decorative side, as I said, we've got a slew of programs. So it will be very difficult to embark on one. But really -- if you really go in and some of these are -- obviously, as I said Aniruddha, I will not be able to share with you be cause that's a bit privilege, that some of the parts of the secret sauce that we have.
But what we've done is we put for a large dealer specific programs to make sure that it's very attractive for people to be with us during this current headwinds, right? And our focus, like you rightly said, has been dialing up Dulux Assurance because that' s what we say is, look, we are the best -in-class quality, any customer who can, who can either through a website or through what can reach us while buying our product to ensure that if there is any complaint on stated coverage, the color, yes, -- our cons istency of application, you can sort of write back.
And customers -- the fact is customers have really appreciated that the brand is really dialing in and sort of taking this head on, right? So these are some of the things that we've done. Otherwise, very frankly, there are a few more things that we are doing in dialing up on 2, 3 categories like particularly on the waterproofi ng and construction chemicals.
We will be entering the construction chemicals part of the business towards the later part of the year, towards the early next year if everything falls well, right? So we are dialing up into certain segments that we've not -- the reason we are taking time into this is, look, when you get into some of these segments, you must have an offering, either which is differentiated or you must be the best -in-class quality to be able to charge the premium because we're not going to enter any category where we cannot charge a premium.
So that's a very clear no from my end, right? So how do we really enter into fast -growing sectors that are there. On the industrial segments, Anirudh, I will not be able to share market shares. We have market shares at a level because these are not regular ly tracked, but suffice to say that in many of our businesses, we've got high single -digit to double -digit market shares.
And what are we doing there? As I said, we are bringing in propositions, which are very relevant to customers. So if you look at sustainability, so the products that we've got are all -- as it is powder is very sustainable. But even within that, we are dri ving dialing up products, which are very sustainable.
Even on the architectural side, metallic bonding

has got very high acceptability. We are the only
player here offering while some of our competitors do it outside India but being one of the first
to launch it and the quality of products, people know the sort of buildings that we've done use metallic bonding, whether it's -- even if you take sites that I've covered in my earlier roles like
Burj Khalifa, Burj Al Arab or the Dubai Eye, people know what our products are, right?
So I think that's where we are getting a higher acceptability. On the coating side, look, I think our strength of our products is now giving us confidence that we can enter into sectors that we
never were playing in, right? So we are entering into certain strategic sectors that globally, we
have got strong positions. But in India, we have not.
And as I said, Anirudh, picture abhi baaki hai mere dost . I mean, let's understand all our planes,
et cetera, coated in Singapore or Dubai and those are all done by Akzo Nobel. So as the MROs

come in Delhi or Mumbai, one year from now, we will be -- we've got a 75% market share
globally on that. So I'm excited. I'm super excited because I think the products at Akzo Nobel
will now start bringing into India world -class right?
So even on the decorative side, I'm quite excited, given the sort of headwinds, I think we are
trying to hold our own. And we are trying to make sure that we also dial into categories that
we've not been very active, particularly in the mass economy segmen ts, et cetera. But what we
want to do when we launch it, we want to make sure that some of those products are doing well.
And I must say this is an industry which is tough, it's not easy because all the established players
have strong propositions. They've got good people, et cetera. So let's understand it's going to be
a heated bucket for a while. We understand that, and our strategies that we are working on
already includes that Anirudh?
Aniruddha Joshi: Sure. Sure, sir. That's very helpful...
Rajiv Rajgopal: Yes, I have given you a trailer...
Moderator: Rajiv, sir, we can't hear you.
Aniruddha Joshi: Rajiv, sir, you are on mute.
Rajiv Rajgopal: Sorry. Yes. So I think that gives you an idea of what we are really focusing on. We are working
on a lot of global innovations right now of how do you really make paint form of meaningful?
How can the application be there in a very sustainable manner, dial ing in on sustainability,
dialing in on cutting -edge innovation.
So let's wait for some of it. Some of these things are, as they call it, still in the lab in stages of testing. In Akzo Nobel, we are very clear. We don't launch products in a hurry. We take time.
Some of the products you are seeing now actually have start ed work in 2023 -- 2022 and '23.
They go through a rigorous lab testing. So we are not the sort of people, who will announce that
we'll launch today and launch tomorrow.
It doesn't work like that. We need to make sure -- because we stand for the highest standards of
governance, right? So when we say sustainable, we have to get all the approvals that we globally
do, which is not easy.
Aniruddha Joshi: Sure, sir. Just one more question from my side. From the gross margin expansion, it definitely seems that the premium part of the portfolio has done definitely well. And we have also
introduced a new paint in over luxury space. So if you can indicate where the launch has
happened and how big is the size of the market, how fast it is going? And again, means a more
about that product also. Yes, that's it all from my side.
Rajiv Rajgopal: So I don't think there is a -- it's -- we're just 2 months into launch, but I just wanted to give you
a glimpse on -- in the AGM, et cetera, of the fact that we've put this and you would see some
more products coming in, in the next couple of months across all the categories. We believe that
our innovatio

n contribution to the overall portfolio, which used to hover around 3% to 4% over

the last couple of years was moved to about 6%, 7%. And we are moving towards a double -digit
contribution from our new product innovations, as we move forward Anirudh. That gives you a
sense of what I'm talking scale.
Moderator: Thank you. Next question is from Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Sir, I just wanted to kind of double click on what is happening on the ground in the decorative. We now know a new entrant is on the ground. So I wanted to get your initial impressions or
thoughts on -- versus what we were when there was -- there's clear u ncertainty in what they will
do. And now we have some clarity, I would love to hear your thoughts on how exactly are things on the ground? How are you seeing this? Any update over here? Because you could appreciate

we would -- we have limited -- we'd love to kind of gain that understanding from you, please, if you could.
Rajiv Rajgopal: Look, Avi, each of you are going to be making choices and the choices...
Avi Mehta: Sorry, sir, I can't hear you. Sorry. I think you've gone on mute. No, sir, you're not audible.
Moderator: Rajiv, sir, you're on mute. We can hear you now sir.
Rajiv Rajgopal: So look -- Avi, all I'm saying is, look, the way each of you as individuals and as companies make choices is going to define. All I want to start with the preface before I get into the specific answers. Look, I joined this company as a Managing Director in 2018. I made promises to investors. Many of the people who I made perhaps are on the call and som e not, right? I can only tell you that I think my performance and the team's performance in Akzo Nobel speaks louder than words.
Yes. I was brought in when my predecessor had resigned, the CFO and CEO of the MD of the company in 2018 and thereafter, the journey has started. So first, I would say that please verify the track record of what I've said versus what I've done as a team and not as an individual and I think that's the first thing.
Second, let's understand, we are not talking of any normal competitor. You're talking about a well -- established business house, and I normally give every competitor a complete respect,
yes? So I think first thing I want to preface because I think they're all run by very fine individuals.
So let's assume there are people who are as smart as us and maybe even smarter. So let's keep that in isolation, right? Too early, Avi, to pronounce any verdict, yes. Our results are what they are. You're seeing -- I think it's for people like you to tell me who are evaluating us on a day-to -day basis by deciding whether to buy or not to buy the results?
All I can say is, look, I think the real intensity of the battle will be seen in the last quarter of the fiscal or first quarter of the next fiscal. That's when the steady state will come, right? And the winners will get separated. I would believe that it takes brand distribution to really succeed in the market.

And can you build it? I think it will be a case study somebody can show us how it is because it will also be a lesson for me to say how -- maybe what we could have done a little faster and earlier, right? But this is not -- in my view, having worked in dif ferent sectors like telecom, not a capacity game. This is a game of consumers and customers. So it takes time, right?
And pricing is important, but not the most important tool. And I think will the stack of the market shares change? I mean, let's wait for the final results. I think it's too early to call it a day and too early to give you any feedback based on 2 -- couple of months. I think it would be very naive on my part to make any comment.
Avi Mehta: Fair enough, sir. So okay, if I can try -- but,

sir, I understand your point about judging, maybe
I'll rephrase. It was not a judgment. You clearly have done very well. And I mean kudos to you and the team for that. But I just wanted to kind of better unde rstand that as things crystallize, you have a better hand. You will not have a complete handle and that I completely agree with you. But it was just trying to get those initial sense on how...
Rajiv Rajgopal: No, no. Avi, look, I think each of the companies are focused on their strategies, okay? Again, I don't judge a book by its cover. One quarter doesn't define any individual or a company. My view is one has to look at it over a few quarters and to see what i t is.
Well, market shares dramatically change. I think let's also flash back to a couple of players who come into the industry, see the time they've taken and some -- 1 or 2 good brands have got
created of the new players have come in, right? Now when those new players have come in, and I'm not talking about the latest entrant, but the entrants who have come over the last many years, what has been the performance?
The CAGR of the industry has still been in double digit and -- of all the established players, right? So I think we've got to look at the sources of growth. Sources of growth, there is -- it's still a large market. When you're talking about a market which is INR60,000 crores and the turnover of all the top 4, 5 players, don't add up to that. I think that gives you the answer. So I think there is a large market.
Perhaps what will happen initially is that the incremental growth will start getting a little muted, which is what started seeing perhaps, right? But what will then thereafter happen is the stronger brands and brands which have got better distribution, et cetera, and are working on a particular strategy and sticking to it will come out as winners.
Yes. So again, I won't be -- Avi, too early for me to comment on specifically what Grasim is doing, right? They have come with a campaign. It's been a very high-decibel campaign. We've noted, right? We knew that it's going to happen. We came with our campaign with -- and that's
the reason for me, after many years to take a celebrity like Rocki ng Star, Yash, has obviously really cost the wallet as you've seen in the opex inflation. Our opex has been driven by -- driving top line, yes. So that's really the focus. Krishna, you want to add something?
Avi Mehta: Perfect, sir. That's -- and sir, just following up on the last question, which Anirudh asked about

the competitive intensity in the industrial side. Has -- is it more steady? Is it rising? We're seeing new entrants or anything of that sort? .

Rajiv Rajgopal: No, I think within the established players, it's getting a little more heated because obviously when the decorative side is seeing a relatively lower growth, you are seeing some intensity come on to this side. But look, I think we are fairly -- I wouldn't use the word insulated, but we are fairly clear that our products are world -class, and our customers understand that.

All our customers who are -- who've got a footprint, not just in India but outside India, like Middle East, parts -- different parts of the world, understand what Akzo Nobel is and hence, we get as a preferred vendor supplier to them. So as a result, it's a relationship which we have globally, regionally and we are leveraging that.

Avi, around Middle East also along with South Asia now and India, so I can tell you that we've got phenomenal positions there where some of those businesses are now pushing teams to make sure that we are leveraging a common customer, say, the largest const ruction business houses, et cetera. So we will get very aggressive. We will -- we are focusing on our customer. We are focusing on what we have, and that's the plan.

Avi Mehta: Got it, sir. Would that -- would you be a

ble to give us some sense on what is the premium product saliences where we're obviously building brands and brands become a lot more important? Would you be able to give us a rough sense how much would that...

Rajiv Rajgopal: You're talking on the decorative side?

Avi Mehta: Yes, sir, for us...

Rajiv Rajgopal: Yes. So look, I think that I mentioned many times. So our salience is anywhere between 45% to about 50% depending on the quarter that we play. So it's a very high salience that we have there.

Avi Mehta: No, sir, in decorative, the premium products, which is essentially where the brands obviously will matter. The consumer is a lot more brand conscious, I would assume so...

Rajiv Rajgopal: Yes. So that's precisely what I -- I know it's a bit of a surprise for you, but our salience is very high in the premium part of the portfolio. Our challenge, Avi, is that we are very underrepresented in the mass and economy segments. We have less than 1% of share so that's the issue.

Moderator: Thank you. We'll take our next question from Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: So 2 questions. The first one was at a broader industry level, it will be useful if you could share some nuances for decorative paints from a geographical standpoint. We're kind of getting these inputs that southern part of the country is a little more slower than the rest. Just wanted to check with you, are you sensing any kind of variations in the growth trajectory across the key regions in the country. If anything, where you start to call out?

Rajiv Rajgopal: Latika, I think all of you actually get these details far better than me, but -- and you know exactly how we've done. But I think suffice to say what you've said is absolutely bang on. I think the southern states -- and these things differ quarter -to-quart er. So it's very difficult for me to give a

trend in a particular geography or region, et cetera. But suffice to say that, yes, the South states in the last quarter had a higher headwind compared to some of the others.

We, as I've always mentioned in the investor call right from the beginning, usually represented in the western part and the eastern part of the country, where we've had lesser headwinds. So I must say that's also to do with the baseline because last year t his time, we were having some terrific headwinds in the eastern part of the country until almost the previous quarter -- not the quarter that just went by, the previous quarter, right?

So I think there's a combination of the 2, right? We believe that, look, I think there are some -- the west and the parts of north are sort of really bouncing back faster. I expect south to start coming back. I mean we've had some challenges for us, states like Karnataka, where we were growing hugely double -digit, came under a bit of challenge, but we are slowly putting back.

Latika Chopra: That's useful and good to know. The second question was on price increases. You pointed out 1.5% price hike in Q2. Just trying to understand it from the cost inflation trends that you see right now and basis what the inventory days that you work with on ra w material front, do you anticipate the need for more price increases in the coming months? .

Rajiv Rajgopal: So look, first and foremost, we -- if you look at our working capital, on the decorative side, we are one of the few companies who have got almost negative working to zero negative working capital, which is very unique in this industry. It's taken us years to blend it, more started towards

2018-'19 journey and something that we're really proud of. So really, to me, that's not the concern.
To answer your question, look, we've seen some headwinds come in terms of some of the raw materials. We don't compromise on our quality products. And as a result, we are ending up sometimes paying a bit

of premium. And so we just want to make sure that whi le being competitive in the market, we are also managing our P&L very carefully.
So our 1.5% is a reflection -- a very careful judgmental reflection of what we need to ensure that we cover for the year. And we will see. At this point of time, the situation is a bit volatile.
Krishna, do you want to say anything more? Please add.
Krishna R.: I think it's evolving over a period time. I think you need to see where it does start...
Rajiv Rajgopal: And Latika, what we are doing is, I think, between Krishna and me working with our procurement team and seeing what are the sourcing efficiencies, some of which you've seen in the last quarter. Some of these are one-offs, but some of these, we do plan to put measured ways of trying to ensure that we derive value creation without touching the quality of the product.
Moderator: Thank you. The next question is from Nirav Savai from Abakkus. Please go ahead.
Nirav Savai: My question is primarily on the project business side. So how was the project business performed this quarter and what would be its contribution on the overall decorative piece?

Rajiv Rajgopal: So Nirav, I think, I mentioned it in the earlier investor calls, just nice to speak to you. It's -- 20% is a contribution of the project business, and we've grown -- we just touched double digit at the end of June in the projects business. So it is a doubl e-digit growth, and that's what it is.
Nirav Savai: And secondly, in your initial remarks said that B2B portion has grown by 12%, which also includes the decorative paint. So I understand it's a project part of it. So what would be the growth purely on the industrial side on the B2B? .
Rajiv Rajgopal: Look, we don't give the verticals because that's why I was trying to tell, then we'll start getting into subsegments. We don't do that. We broadly tell you, but I give you a broad headline of how some of the businesses have done when I told you that you've got approximately a volume growth of 12%. I think if you quickly calculate, we've had less price declines there. That will give you a quick indication of how we've done.
Nirav Savai: Got it. And also, it would be helpful if you can just elaborate more on the launch of mass and economic products where our market share is lower. And what will we be doing on the strategy side? It's a highly competitive industry, and the forte has been lar gely on the premium and the luxury side. So what's our strategy for next 2 to 3 years to scale up that segment?
Rajiv Rajgopal: So we are looking at products. We are looking at -- working at what could be the innovations that are there. We've already got a brand called Promise and then we launched -- 2020, we launched the Promise SmartChoice, which we entered into the lower -- the mass market sort of variant. We are currently working on something, which hopefully by early next year, we will be able to -- if not late this year, we'll be able to bring to market.
Suffice to say, I think, what we are looking at is from our current 2%, 3% market share. Can we get equal to our overall market share, which is in between 5% and 6% now. So really, that's the first attempt. And so first, I think we need a proper product wi th the sort of global quality standards that we have, and we are working on that right now.
So it will be too precocious for me to right now talk about it, but that's really the focus and how can we really drive, dial up and gain share from some of the competitors as we do.
Moderator: We'll take some text questions. The question is from Lohit Saini from Jay Ram Stock Brokers. Can you share the advertising spend as a percentage of revenue during the quarter?
Rajiv Rajgopal: Krishna, would you...
Krishna R.: So it should be roughly around 5%.
Rajiv Rajgopal: Yes, you got that to appro

ximately 5%, yes.
Moderator: The second next question is from Nilesh Patel from ICICI Securities. Could you just insight on the company's strategy over super premium segment business? What is the pricing, peers and indicative contribution to decorative revenues?
Rajiv Rajgopal: So look, if I start dissecting it -- the secret sauce, so I'm not going to dissect it. Apologies for that, but I have to draw a line somewhere. On the strategy, look, I think super premium, we

believe there are 3 reasons why we will win. We believe that we've got global formulations and some world -class products that are being sold in many other markets, China, Latin America, et cetera, that we are looking into, where we believe there are propos itions that we can dial in. Already work is on. I think it's about seeing the relevance to the India market before we bring it in. So Deluxe VT Eterna is one such example. This -- equivalent of this brand sells very much in the U.K., and we've sort of taken that learning and brought it here. As we start dialing it up, you would start seeing that we are bringing some offerings, which a re very close to it. We're also going to do similar stuff in our exterior portfolio and wood portfolio.

Moderator: Thank you. We'll take a question from Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Sir, two questions from my side. One, we have also seen from the parent that there is going to be a full throttle effort on the 2-wheeler paints. So -- and India is going to be a major market as per the parent also. So just some clarifications, what are th e strategies that we are having to gain market share in the 2 -wheeler paints?

What is our current status? And how do we see the opportunity? Also, whether the 2-wheelers includes electric vehicles and how should we read more on this? Because that's a very strong --

Interpon is a very strong product. So definitely, we have a right to win, but what are the strategies to execute the plan?

Rajiv Rajgopal: So I think Anirudh by asking me the question answered some of it. So first and foremost, yes, globally, we are one of the very few vendors which are -- which have got sustainable solutions for the EV market. And it's now formal. As the EV players are coming in, they are dialing in to us. We've got very strong relations with the 2-wheeler players in the market, and we already supply the largest -- the 2 large players in terms of liquid paint and also more than liquid also the powder paint, to answer your quest ion, yes.

So I think what we are doing is, as I mentioned in powder, A3000, is a first single -layer powder coating for two-wheelers. We've launched a lot of products for the EV space, specifically. And we will continue to work on certain solutions to look at in term s of durability, lightness, et cetera, on that. These are all being done both at a global level and at India level. We also know that the India market -- when I say market, I mean the conditions in the -- are different from some of the global markets.

So we need to make sure that some of the paints both liquid and powder are going to be applicable here. So a lot of rigorous testing is happening in the labs and the teams are working on it, and they're doing a brilliant job. So we will be a very meaningful player in the 2-wheeler to sort of answer your question.

Aniruddha Joshi: Okay. Sure, sir, that's very encouraging. And second and last question from my side is now we have seen the Promise brand also is now offering 10% extra grammage. So whether it's a pan - India launch and how has been the response so far? And how do you see c ommunicating that with the painters, the trade dealers as well as the eventual consumers also?

So how do we see the, in a way, overall opportunity pann

ing out in this? And whether consumer offers or in a way such kind of offers have really worked in paint industry, if you can share from your global experience also because it's more of an influencer suggested product, which is purchased maybe once in 5 years or once in 6 years. So how should we read about these aspects of the business?

Rajiv Rajgopal: Yes. So 2 things. Have we done it outside India? We've done it both in India and outside India many, many years ago. I think the first thing in Promise was to establish a proposition. And the proposition is about better coverage and then, say, we're giving you 10% more. So it's not just giving you a better coverage. It's giving you twice as much. So that's the core, right? Now the difference is, unlike many players who give 1 plus 20, we have given a 10% extra within. We are the only player which has done that.

Is it a pan -India launch? We are currently operating in many markets, some of our markets, and we'll see how the response is. The response has been quite reasonable so far. If it continues to be good, then we will sort of move towards it completely. But too early for me again to give you because 1, 2 months some of it is channel pipeline filling and all Anirudh but that is going to be -- so we have to wait and watch how much of this channel pipeline filling versus real offtake and then we will do it. It's also true for some of the new launches that we've done. We are being very careful in terms of what is channel pipeline filling versus offtake to really look at what really pulls the muscle through.

But we've got a few things up firstly, I think towards the end of the year during -- and again, as I always tell you, you will see a couple of launches before Diwali. And from this Diwali to next Diwali again, you will see some more stuff coming in, which -- we've got a calibrated program, which will hopefully keep us in good speed.

Moderator: We'll take that as the last question for today. I would now like to hand the conference over to management for

closing comments. Over to you, sir.
Rajiv Rajgopal: So first and foremost, to everybody on the call, really appreciate, thank you. I have to personally thank many of you for the huge support because it's very easy to feel very related after a quarter. But sometimes, we have to also have a head on our shoulders. And remember that we've been through difficult times, particularly during COVID and the early 2018 when I came in, when things were tough. Many of you stood by us.
I think -- so really, I think you should feel proud. I think the performance is due to your support, your encouragement and you pushing us saying, you've got faith in us. And that's a testimony you too continuing to support us and engage with us. Thank you so much for being there for us
and look forward. As far as Akzo Nobel is concerned, look, we are going to play in this market. We are here to win. We are not here to lose, right? Now I'm not an astrologer, et cetera, to predict the future, but all I can say is as far as Akzo Nobel is concerned, we will be a very meaningful player.
We built fantastic positions in both our coatings businesses and also in our paints business. We've got a reasonable very strong proposition. We believe that we've got, with the R&D, a very

strong pipeline. And it's the confidence in our quality of our products that gives us the confidence to say that we will be able to deliver strong performances.
But again, it is an aggressive market. It is -- a tough competition out there. And we really like a horse with blinkers stay focused on what we do. So I would like to thank each one of you for your incredible support and in case any of you have further que stions, we do contact Mr. Rajiv Lochan Jha, Company Secretary, who will then engage, yes.
Hopefully, sometime this quarter, I'm also looking forw

ard to seeing some of you personally,
again, something that Rajiv Lochan Jha and Krishna will reach out at an appropriate time. So thank you. Thank you all. I wish all of you a great day and look forwa rd to being connected. Thank you very much.
Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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Dear Sir/Madam,
Sub: Investor Call Transcript
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the group investor call conducted by the company on 7th November 2024 regarding the standalone and consolidated financial results of the Company for the quarter and half year ended 30th September 2024.
This has bee n uploade d on the C ompany websit e also and can be accesse d through the link: https://akzonobel.co.in/investors.php#im
Kindly take the aforesaid information on record.
Thanking you.
Yours truly,
For Akzo Nobel India Limited
Rajiv L Jha
Company Secretary & Co mpliance Officer
Members hip N o. F5948
Encl : A/ a

"Akzo Nobel India Limited
Q2 FY '2 5 Earnings Conference Call "
November 07, 202 4

MANAGEMENT : MR. RAJIV RAJGOPAL – CHAIRMAN AND MANAGING DIRECTOR – AKZO NOBEL INDIA LIMITED
MR. KRISHNA RALLAPALLI – CHIEF FINANCIAL OFFICER AND WHOLE TIME DIRECTOR – AKZO NOBEL INDIA LIMITED
MR. RAJIV JHA – COMPANY SECRETARY AND COMPLIANCE OFFICER – AKZO NOBEL INDIA LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '25 E arnings Conference Call of Akzo Nobel Limite d, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you.
Aniruddha Joshi: Yes. Thanks, Yashashree. On behalf of ICICI Securities, we welcome you all to Q2 FY '25 Results Webinar of Akzo Nobel India. We have with us senior management represented by Mr. Rajiv Rajgopal, Chairman and Managing Director; Mr. Krishna R, CFO and Whole -Time Director; Mr. Rajiv Jha, Company Secretary and Compliance Officer.
Now I hand over the call to Mr. Rajiv Jha for his opening statutory statements. Thanks, and over to you, Mr. Jha.
Rajiv Jha: So good afternoon, once again, everyone, who have joined this call. Let us begin this call with a safe harbor statement from our side. So this media release contains statements which address such key issues as Akzo Nobel's growth strategy, future financial results, market positions, product development, products in the pipeline and product approvals. Such statements should be carefully considered, and it should be understood that many factors could cause forecast and actual results to differ from these statements.
These factors include, but are not limited to, price fluctuations, currency fluctuations, developments in raw material and personnel costs, pensions, physical and environmental risks, legal issues and legislative, fiscal and other regulatory measures as well as significant market disruptions. Stated competitive positions are based on management estimated supported by information provided by specialized external agencies. For a more comprehensive discussion of the risk factors affecting our business, please see our latest annual report.
Also, the company has been making the required disclosures and clarifications from time to time to BSE and NSE pertaining to Akzo Nobel NV's, which is our parent or promoter entity , media release on portfolio review with initial focus on Deco South Asia, and the management would not be responding to any general and/or specific query in this regard in this investors' call. However, the investors and public at large would be kept informed of any updates in this regard as per the listing regulations. Over to you, Krishna.
Krishna R.: Thanks, Rajiv. Let me quickly capture the brief highlights of last quarter gone by. We delivered strong double -digit volume growth for a fourth consecutive quarter despite of the challenging market conditions. Revenue growth of 3% was led by our B2B busine sses. The impact of rising RMC is felt on the gross margins. There is a margin erosion of around 100 basis points led by the RM inflation. However, we continue to invest in our growth and branding while optimizing the cost and improving profitability. The profit after tax for the quarter was at INR 97.9 crores with a growth of 4%.
And while coming to H1 performance, so far, the year was challenging. But we remained -- we maintained a healthy growth and a double -digit profitability. Working capital remains efficient

and as a percentage of revenue stood at 5%. This has helped to generate healthy cash flows and it supported our capex plans and dividend payout. We ended the September quarter with a liquidity of INR623 crores. This is the brief highlights of what has happened in the last quarter.
Now I would ask Rajiv to share the insights.
Rajiv Rajgopal: Good afternoon, everyone. Delighted to be with all of you. We've put the investor call deck onto the website, and you can see

the details there. But suffice to say, Krishna has run you through the financials. The decorative paints vertical for us had a hig h single -digit volume growth. The revenue was flat primarily because of the fact that we had the exterior part of the portfolio, which is a sizable part of the premium emulsions, which contribute a lot, was impacted.
We have seen, I would say, a different trajectory this quarter from all the earlier quarters. We've seen a little bit of rebounds of mass market mid -tier. And we've also seen basically the growth still for us coming from our larger towns. For us, we still believe that the rural markets, the rural -- the inflation impact is still lingering. However, of course, we see some marginal improvements that we'v e seen in the month of October. Our B2B part in the Decorative Paints grew well, double digit. And in our coatings verticals, marine protective and powder had some phenomenal performances while we had some challenging situations in our Automotive and Specialty Coatings business.
So that's broadly to say. We've had some good launches. Rohit and the team have been sort of executing our strategy well.
We've seen a couple of results by some of our peers in the last couple of days. But I would not -- I would refrain myself from holding to a market share commentary till we see all the results. But so far from what we've seen, we believe that we continue to gain market share as we go across some of our -- all our flagship -- large flagship business, yes.
So that's what I have in substance. We don't want to spend too much of time on the deck. I also wanted to inform all our investors that we are delighted that as we conclude the 70th year of Akzo Nobel's business in India, we are delighted to make sure that we give onetime interim

dividend in view of the occasion. And we wanted to first celebrate this with all our investors before we also celebrate this with our employees.

Just as a part of the process, I want to be very clear that given the responsibilities of the role that I have, Krishna and myself are completely recused from the process that Akzo Nobel N.V., the parent company is sort of actually anchoring at this point of time. Suffice to say, as the global parent has already mentioned, right, at this point, everything is in and all options are being looked at. And at any point of time when we believe that there is a material event, we would like to follow the appropria te protocols that we've been following now informing our Board and then informing our investors in the appropriate manner.

So with this, I think we've already concluded 15 minutes. So I think in the larger interest of time, what I would like to do is to open it up, Aniruddha and Manoj for any question and answers that people may have. I would like to state that this has been -- when I look at it, when I look at not just the peer set, but when I look at FMCG in general, we can see that the growth has been fairly

sluggish. Obviously, we were quite worried when the first couple of months went by, but we are happy to see that we managed to grow and also maintain our profitability.

And we've done that while investing in our growth. So it's not that we've cut corners. You've seen our advertising quite recently. I've been traveling the markets extensively. I was in just in Calcutta a day ago. So we've been between Rohit, myself and the team, we are extensively traveling, looking at what we can do. And our focus is to continue to grow the business as we move ahead.

So with this, Aniruddha, Manoj, Yashashree, we open the floor for questions.

Moderator: Thank you. We'll take our first question from Avi Mehta from Macquarie.

Avi Mehta: Thanks for this opportunity. Congratulations on the healthy performance in decorative business. I just wanted to appreciate if this...

Rajiv Rajgopal: Avi, can you be a little louder, please?

Avi Mehta: Okay. So I wanted to basically understand for the retail market. Is the second half...

Moderator: Avi, I'm sorry to interrupt. Avi, can you turn on your webcam? Your signal is weak. So if you turn your webcam, your audio will be better. Please go ahead.

Avi Mehta: Maybe I'll do that. Okay. So I just wanted to understand, sir, that are we seeing any signs of a pickup in the retail market versus the flattish trend that we saw in second half? This, in particular, given the festive is also shorter this time. That would be the first question. And second, I just wanted to -- while I understand you've recused yourself from the process, could you just help us understand what is the process going to be? Is this only for decorative? Is industrial also part of it? Ju st all the steps and how would this kind of go about? It would be useful to understand that.

Rajiv Rajgopal: So look, as far as the market is concerned, we've seen a slight pickup in our secondaries in the retail part of the business. What we are seeing very clearly is that as we approach Diwali, the first half -- the last part of September had unusual rains, whi ch all our peers have reported. So I don't want to go over it again, which also included the first part of October. But we've seen a huge uptick in our secondaries. However, what we've seen is that the retail ability to stock up, which is o ur primary sales to the -- in the direct market to the retailer or our distributor sales to the retailer has not been of the level that the offtakes have been there in the second half.

And I guess that's also to do with the fact that we still believe that while our collections is very good, we believe that in this industry and many of the other peer industries, overdue and collections ha ve become a bit of a challenging because of some money crunch that we observed in the market. So our focus has been and my focus as a challenger brand is always a sale is a sale when money is collected. So really, that's what sort of drove our actions and business.

But to answer your question, Avi, yes, there is a slight uptick. But it was towards the last 2 weeks. It's too early for me to pronounce and say everything has turned around. It's hunky dory.

As I mentioned to you, right, the blended growth of paints plus coatings is almost -- is a very high single digit, almost close to double digit actually.

So really, our volume is picking up, where we see a bit of a challenge is the fact that because of the price drop at the beginning of the year, there's still an impact of almost close to 3%. And obviously, a mix because of the industry, where the growth is coming in the industry continues to be a bit of a challenge. And that's where there's been a bit of a blended stuff when the revenue, we look at a flat trajectory compared to a high double -digit or a high single -digit volume growth, a 9% to a flattish growth, right? So that's the first part of your question.

The second part of your question, and I'm being very honest with you. We also are writing on a periodic basis to Akzo Nobel to keep us informed if there is any material event. And to the last message that Rajiv Jha got because he's anchoring the process fo r Krishna and me and for Rohit as Board of Directors, we have been told that nothing has got concluded. So is it decorative, is it coatings? And my answer will be consistent, not just to all our shareholders, but to all my employees, at this point of time, it is be ing run by the global business.
We are running a strategic review across various businesses. They are looking at what exactly are the sort of things that they really want to do? How can we -- the idea is how can we move this company into a winning position given the competitive intensity in the market. And so they're going to look at all options. A

nd when we have some material information, Avi, I'm sure we will come back to you.
Avi Mehta: Fair enough, sir. Just if I may, just a small clarification on the second part about collections rising. So is this something that is specific to a few players? Or are you seeing this more broad? Because there is an entrant and we hear some things about th e new entrants. So but I just wanted to understand any specific...
Rajiv Rajgopal: See, I don't want to comment about any specific player because I think that's not appropriate at my level. And I'm not -- I would not like to talk about -- when I look at it, I've seen this across FMCG because when I looked at paints as an industry, I want ed to see whether it's unique to paints. I've also seen a couple of large cement players, and I'm not naming, but people having similar issues because what I wanted to do when I work the market is to see is it unique?
Again, I must tell you that I would assume that we are still best-in -class in terms -- because our focus is to make sure the collections come before the sale is recognized. And second but I wanted to understand what exactly is the impact on the market because I'm also trying to deconstruct the India revenue growth versus the paints growth and versus our growth.
So really, that was my hunger of learning and trying to disaggregate that information that led me to this. My belief is that, look, a few -- obviously, a few players will get more impacted. Brands which have got higher velocity will be less impacted, right ? That's obvious. But other than that, I would not like to disclose. I don't think it's appropriate for me in this call to mention any...
Avi Mehta: No, no. Sorry, sir, I didn't mean it specifically to account player. I just wanted to understand if it's broader -based or is it specific to markets. That's what I wanted to...

Rajiv Rajgopal: No, it is slightly broader based. But I believe that we should start seeing when I speak to many retailers by the second week of November. But remember last year, Diwali was in November '9, '10, '11. So you would start seeing that correction happening by t he second half of November.
People are expecting a better quarter this year. But again, we've been sort of -- we are putting up years absolutely into the ground, Avi and seeing how we really play in this and where to play, how to play. And we are looking at our strategies, our portfolio very, very carefully.
Moderator: We'll take our next question from Jayvansh Mehta from Care PMS.
Jayvansh Mehta: Congratulations on posting good set of numbers, sir. Sir, first question was basically on -- can you share the volume growth for B2B versus B2C? And also, sir, do we see any improvement in our B2C going forward because our anchor growth driver has been B2B lately? And lastly, sir, if you can share the share of B2B to the overall revenue for the quarter?
Rajiv Rajgopal: Look, when you say B2B, I want to say 20% of our decorative business vertical is also B2B. So when I say B2B, I'm going to include not just our coatings, but our decorative paints B2B because then it's similar, and I'll be able to answer better. All the B2 B businesses are going double. I mean, I would say the larger part, almost 70% of -- by revenue of our business are growing double digit. We've had 2 businesses where we've had some challenges. One is in our coil coating, primarily because of some pricing pressures, et cetera. And secondly, in our automotive, which I think the industry players have also reported, right? So other than that, I think all businesses are doing well.
On our B2C business, look, your question is we will see green shoots. Remember that the B2C -- the revenue was under pressure after the price drops in December last year. By December, January, that price, that 3% will start getting negated. So we believe i t's just a few

months, and
it will start growing. Are you seeing a tailwind, if that's also your question, the answer is we are not seeing material tailwind, but we are not seeing the sort of headwinds that we saw in the past. So I think we need to wait a nd watch for November and December before we move ahead. I hope I've answered your question.
Jayvansh Mehta: Yes, sir, it was very detailed. And sir, second on the same lines was like what is the main reason for good growth in the B2B? Is it company-specific? Or is it industry tailwinds that is going on?

Rajiv Rajgopal: No, no. I think I would be -- I think it's a combination of both. I don't think there's only industry tailwinds. I think there would be a bit of tailwind, but I think it's also because we've focused and we've been working hard on our order book across our businesses, right? So I think that with a specific focus in certain sector s is giving us better growth.
Jayvansh Mehta: Yes, sir, last question after that, I'll join the queue. Sir, like given the -- considering the capex that we are doing and also the government policies in terms of Atmanirbhar Bharat and everything, do we see double -digit growth in B2B going forward?
Rajiv Rajgopal: Yes. The answer is yes.
Moderator: We'll take our next question from Mihir Shah from Nomura.

Mihir Shah: Congrats on continuing to post better than peer set of numbers, sir. So firstly, I wanted to check with you. Most of the peers have witnessed a sharp increase in staff cost and not so much on A&P cost. I wanted to know your view if it would be a requirement for Akzo to beef up the feet on street going forward in line with peers? And how do you see A&P cost shaping up for you in the near to medium term?
Rajiv Rajgopal: So look, A&P, we have been hovering around the 2.5% to 3% of revenue. As I said, our stated intent is to go closer to 3.5%, 4%. You will see various initiatives that Rohit and team will deploying starting January, more pronounced towards March next year. So there, you will see a bit of an uptick because the focus is really -- we've seen some significant improvements in our brand scores.
We do a brand health check on a periodic basis. And in recent times, we've seen a huge uptick in our brand, after a long time, we've seen a good uptick in our brand. We also had taken Yash, if you remember, the Superhero Yash as a brand ambassador for exterior, and that's paying us dividends, right? So that's on the brand.
The second question -- part of the question that you had was on the FTE. Look, remember that before I joined this company, I came from a digital world. So for me, I think we will definitely look at adding FTE provided we find appropriate or as we work on digitized solutions, which are able to offer better customer experience. So the focus is how can we strengthen our digitized work on enhancing customer experience, lead management, et cetera, et cetera. And we are going to look at some breakthrough solutio ns.
Again, Rohit, Vandana and team are working on various initiatives there, and we will come back to you. You will see some initiatives. Again, by more pronounced by the first quarter of next year between the fourth quarter and the first quarter, you would se e that we are -- so for me, it's about -- remember, Mihir, as you know, we are a challenger brand.
So for me, as I organically grow, not adding huge weight is a part of the game because that's important for me to be able to continuously fight the battle ahead. So I'm absolutely careful on that. I stick to the EBIT margin guidances that I've always given . We don't want to deplete our profitability other than 0.5% type of stuff depending on competitive intensity. But work smartly, think intelligently, work smartly principle, which is what we and the team are trying to do.
Remember that we are one of the few categories

. If you -- and I request all the investors to go to the market. And one of the things dealers tell you is there's no product which is close to Dulux in terms of quality. It's unbeatable, right? And I'm telling you, verbatim, even some of the dealers who are very small for us in terms of their overall outlay of revenue, the dealer outlay, they also acknowledge.
So we are now working on saying, okay, we get it if our product has got this unmatched experience, how can we make it a win, a clear win? And what are the things -- 3 things that we need to do that can take us to it. So focusing on launching some flagships, taki ng our best propositions ahead like just recently, we have launched VT Eterna, which is, in my view, the unbeatable interior paint, unbeatable, right?

We've done product testing. There's no player that comes even close to us. I can tell you, at least from our field testing that we've done. I'm sure others will do it and have different results, but I'm telling you what we've experienced, right? And our endeavour is to come with absolutely top line products and offer services to customers, our dealers, our distributors to make sure that we are able to move ahead. That's on the paint side.
And coating side, it's really what we are doing is how can we increase our wallet share of the existing accounts. So we've got -- see some of our -- we've got very marquee customers. So how can we increase our wallet share? How can we come with products and solutions, which we are able to offer. We understand what are the pain points of our customers, listen to their stuff and see how we can bring a

difference to the way they run their business, yes.
Mihir Shah: Got it, sir. Delighted to hear the efforts that are being put in the marketplace. Sir, second question I wanted to check was on the gross margin. Raw material prices have softened. We believe can one -- would it be safe to assume that going forward, there can be some support to gross margins, at least in the deco side. However, I wanted to check with you on the other industrial side, coating side, would it require any price cuts to be taken from the client side basically?
Rajiv Rajgopal: So Mihir, let me answer the second part, and Krishna will quickly reel to you in terms of the procurement raw material movement and index. See, in my view, we are living in a very volatile world. What we have seen is we saw the crude a few months -- a mont h ago coming as low as $67 and then we start rising up to $78 with what's happening in the Middle East neighbourhood and a lot of other external parameters beyond our control. Remember that, that's only one part of it. The second part is th e fact that dollar has been stronger, right? And for most of us, we buy all our raw materials in euros and dollars. So that's another challenge.
So keeping this in mind, I don't think we are looking at price cuts at this point of time because I think that will be naive because then you will have to take significant price increases next year to cover the cost of any wage inflation and other things t hat you -- NFT or whatever you ask, right? Krishna, on the gross margin, do you want to just give a...
Krishna R.: Yes. Thanks Rajiv. Mihir, when we see the raw material prices, it went up somewhere peak somewhere in the mid of August kind of stuff and then it started to taper . And once the inventory dilutes, I think we will see the uptick in the margins, which is expected in the November onwards. Unless there is eventually further surprise as alluded by Rajiv, FX is the wild card, which is -- we need to handle it as appropriat e.
Moderator: We'll take our next question from Mrunmayee Jogalekar from Asit C Mehta.
Mrunmayee Jogalekar: Sir, my question was with respect to the product mix and how you expect that to move going ahead? Because I think you had mentioned earlier t

hat you would want to increase your focus on some mass or economy products. So from that perspective, how do you look at the mix going ahead?
Rajiv Rajgopal: So look, I think the mix will be balanced as we move ahead. I believe that, look, we still got scope to grow in premium because in India, the premium consumers tend to consume. I don't see any issue in terms of income or it's more in terms of usage, primar ily because of, say, issues

like rain or any external challenges that we have faced in the recent times. So that will continue to grow.
And look, we are underrepresented in categories like mass, et cetera. So -- but I do believe that, look, I think the mix will at best, see a very marginal adverse impact because our endeavour is to try and make sure that we keep it balanced as we move ahead. I hope I've answered your question.
Mrunmayee Jogalekar: Yes, sir. Thank you.
Moderator: We'll take our next question from Saket Kapoor from Kapoor & Company.
Saket Kapoor: Sir, firstly, my question is regarding the inventory buildup, the change in inventory line item...
Rajiv Rajgopal: What is the question?
Moderator: Mr. Kapoor, we are not able to hear you.
Saket Kapoor: One minute. Now you can hear me, sir?
Rajiv Rajgopal: Yes.
Saket Kapoor: Sir, firstly, we have seen this increase in inventory for this quarter. If you could just explain the nature of the same since -- and how do the second half generally shape up? If you could give some colour on the same?
Krishna R.: Thanks, Saket. The inventory buildup is predominantly ahead of the festive season. We beefed up the inventory, and that has resulted in a spike in inventory, as of 30th September, we were at INR741 crores. It will get normalized over a period of 1 month to 45 days period.
Saket Kapoor: And sir -- your voice is not clear. Sir, come again, sir, what you mentioned?
Krishna R.: So we have beefed up the inventory ahead of the festive season and which is likely to correct in 30 to 45 days from the September 30. By now the inventory levels have come back to normal levels. Yes.
Saket Kapoor: Okay. And sir, taking into account how we have done for first half, what kind of volume growth can we expect for H2? And since the festivities in terms of Deepavali and all are behind in this quarter -- would be done with the third quarter. How do we see H 2 currently shaping up in terms of the volume?
Rajiv Rajgopal: Look, in terms of volume, we didn't see any additional change in the trajectory between the 2 quarters, right? Despite relative muted demand, our businesses have at a blended vertical level, done a double -digit growth. We believe that we should be between a high single -digit to a double -digit growth. Where exactly we land to answer your question, it's going to be very

difficult. But more importantly, I think the next quarter, if you're asking me, I don't see any material change that we see b ecause of the fact that we are a brand that consumers ask for because they want a great experience inside and outside their home.

So really for consumers, which is a large set of India, we generally think that normally Dulux is for the upper echelons that's not true. We've been -- you can go to many markets in many parts of India, whether it's in Gujarat, East, parts of North, West, right? Our focus is really saying how can we increase our market share in our underserved markets, right? So my view is that's going to give us a bit of a delta and we'll hopefully compensate for any further adverse reactions. Now
this notwithstanding any unprecedented competitive activity or any external event which may change the course. But otherwise, I hold to this number.
Saket Kapoor: Okay. And sir, we have -- in one of the notification to the exchanges, we have al

so spoken about
our promoter giving us some guidance of how to expand or to increase our penetration in the South Asian market. If you could just elaborate where are we in ter ms of what's the message from the promoter side to the Indian entity ?
Rajiv Rajgopal: The promoter has told me, look, you better ensure strong delivery because that's your license for your role, your job and making sure that you continue to make Akzo Nobel India a place of pride in the global Akzo Nobel jewel , that's the brief. And I'm being honest, it's a recorded call. I'm sure my promoter will also hear this. Let me be honest. In any job that I have done, my focus is on what I and my team can do. I don't allow myself to get distracted by external events.
Saket Kapoor: Correct, sir. Okay, sir. So we are looking for similar growth for H2 that should be penciling in, in terms of...
Rajiv Rajgopal: Absolutely. Yes, absolutely. And I assume you are an investor in the company, yes.
Saket Kapoor: Yes, sir, I am an investor, sir. And sir, so that is what should be the outlook going ahead.
Moderator: We have our next question -- yes, go ahead please.
Aniruddha Joshi: Sir, Aniruddha here. Sir, 3 questions from my side. So first of all, can you indicate about the performance of the waterproofing product that we had introduced, also floor paints and again, the low -priced emulsions because these have been the mark ed innovations for us. So how do we see that?
Secondly, in terms of the new distribution that we had -- expansion, distribution expansion that we had started. So update on that? And are you looking at any revised guidance on that, et cetera, also? Where do we -- where are we in terms of distribution? And how do we see the distribution rollout happening? That is the second question. Yes.
Rajiv Rajgopal: Aniruddha, let me go one step at a time. In terms of portfolio, I will not be able to give you exact numbers for obvious reasons. But suffice to say, if I look at waterproofing, we are growing high double digit. What's our license. It's the same as the exi sting portfolio where our product
performance is seemed to be better than the other offerings in the market. So Dulux Aquatech and it's had one of the sharpest trajectories in entire Asia actually on the waterproofing business .
In terms of floor paint, it's not been a success. I also have to be honest enough in saying, I think that's something that we and the team are working on. I -- because not every product that we launch, we do expect a 10%, 12% going back to the drawing boar d. So this is one of those 10%

that has gone back to the drawing board because what we've launched is good, but it's not magnetic enough to get a massive shift from some of the larger players, right?
So we are back to the drawing board. Our R&D teams are working very closely with the marketing teams and our sales teams to try and see how we can create a magnetic product that sort of pulls and wins away consumers from the existing offerings in the market, yes.
In terms of economy, look, I think we had a dramatic run in economy on Promise SmartChoice between 2021 when we launched till 2024, maybe the end of the first quarter, right? It's been a little flattish, to be very honest, after that. I think, again, we are going -- we are a bit back on the drawing board saying, how do we really accelerate.
Now there are two ways to accelerate. One is usage and second is users, right? Now usage is going to come through some differentiated offerings, which I cannot elaborate. But within the
next 9 months to 12 months, you will see that we are addressing the us age part in a very dramatic manner with some learnings that we've taken from some of our global countries.
The second is users. Now within users, there are users within the existing outlets and new outlets.
Existing outlets, we are try

ing to see how we can get a higher painter adoption because we genuinely believe that when we gave a 10% extra that the reason w e gave it is we believe that
even without it, we would have better coverage than our peer set. And with it it's unbeatable, right? But as you know, we put the 10% in can. We didn't give it as a separate pack because we
didn't want retail to discount, righ t?
So the adoption, it takes time for this to build. So that's what Rohit and team are working on
seeing how best we can drive this user in existing outlets and new outlets, I think the team has
done an incredible job on distribution, right?
So we -- as you know, if you look at the number of towns that we were present, we are on the
anvil of getting close to 5,700 to 6,000 towns between -- in the next couple of quarters. So our
journey on distribution continues. Our definition compared to othe r players is not looking at any
outlet where paint is available. It is an outlet which does a minimum threshold business of
painting at least a house -- a 1 room house, and we take that value close to INR 30,000. So it's a
very different definition because we want to make sure that we are sweating our assets as we
move forward. So that's the way we are breaking it up, and that will give you an answer of how
we are driving economy, yes.
Moderator: Thank you. We'll take our next question from Bhavdeep Vora from Franklin Templeton Mutual
Fund.
Bhavdeep Vora : So 2 questions from my side, sir. So have you seen any change in competitive intensity in the
industry in the last 6 to 9 months? And second question is about the channel partners. Is there
any change in the channel partner behaviour , dealers, distributors? Are they expecting more
discounts, credit period? And what's your experience about this factor?
Rajiv Rajgopal: So the answer on competitive intensity is, of course, it's increased. I mean, frankly, it has increased over the last 6 months after the new entrant has come in. And I think that's the fun of

this job, right? So I think it's welcome, it's welcoming. They teach us a lot. Every player comes
with a lot of propositions and a lot to learn, right? So yes, competitive intensity has gone up, but
more from 1 or 2 players, not across, right, of the new players who got into the business.
The second, has discount gone up marginally? It has. Yes, the answer is yes. But what is the
dealer behaviour ? Look, we are -- this is a weighted industry. And at the end of the day, our
dealers who've been with us for years know the value of the relationships that they have with us, right? Whether it's Rohit, our regional managers, et cetera, we are completely ears on ground.
And our endeavour is to try and make sure we get with differentiated offerings. And we use
digital solutions to be able to provide offerings which are not visible easily at a bare eye level. I
think that's the trick of the game.
Our endeavour is to keep creating solutions which are digital in nature and trying to differentiate
by understanding different players, their approach to the market, the type of conversations that
they have, the humility that they provide or not provide, right, and the route to market and the
sort of push versus pull that they are creating in the market. And that's where we are trying to seek and create a bit of a niche for ourselves. I hope I have answered your question.
Bhavdeep Vora : Sure, sir. Sir, just a small follow -up on that, on the point of the competitive intensity. So are you
seeing that increase in both the B2B as well as on the decorative? Or is there any meaningful difference? Or what's your experience?
Rajiv Rajgopal: No. Look, it's largely B2C -- decorative B2C.
Bhavdeep Vora : Okay. Okay. Not so much on the institutional and the B2B.
Rajiv Rajgopal: No. Our institutional products are world-class, So it's going to tak

e a while.
Moderator: We'll take our next question from Jayvansh Mehta from Care PMS.
Jayvansh Mehta: And sir, one question was basically like exactly we heard from our competitor as well that the demand scenario in the southern region, especially in Andhra Pradesh, where we are also present
is somewhat subdued, and that has been for a while now. So has the situation improved?
Rajiv Rajgopal: Look, our presence in Andhra Pradesh, and you said Andhra, I'm differentiating it from
Telangana, is relatively low. So we are not as impacted. But yes, to answer your question, it has
been relatively muted, but our presence is low, so the relative impact on us has not been very
high.
Jayvansh Mehta: Okay. And sir, last question was basically, although we are not allowed to officially comment on the situation, but like due to this acquisition -related rumours that has been spreading around,
have we seen any focus -- shift in the focus on our business?
Rajiv Rajgopal: Let me tell you, I'm not -- you said there's -- we cannot comment officially. I cannot comment
unofficially.
And then -- right now, my focus is on my business, my friend. I don't have the bandwidth to be
able to absorb and play with rumours .

You look at the -- between 2013 and now you look at the business, I think I can take pride that from a single -digit EBITDA margin of 5%, this business is at 14.5% EBIT margins with royalty. So you can imagine the shape and size. Yes, if you take a 2000 to 2024, where maybe at revenue levels 1 or 2 -odd percent points lower than our industry, but you look at the shape of the business we've delivered.

And I can tell you my parent is very proud of this business, and they want to make this business into a winning position, right? That's the Akzo Nobel, and I'm a member of Akzo Nobel. So I'm proud of what this business, the global team and us have created.

Moderator: We'll take that as the last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Rajiv Rajgopal: Thank you, Yashashree. Look, first and foremost to all the investors on the call, a big thank you. You've been a great support to many of you. I still remember in 2018, when I came into the business, there were a lot of concerns. Hopefully, even before the announcement has gone off, even when you saw our results, I told you that we believe, if you look at the last 4, 5 quarters, we are moving the needle, right? And our endeavour is to continuously move the needle and do our best and bring forward the real value of what Dulux stands for.

What Dulux stands for is international, best-in -class quality, colour expertise and really sustainability. And I believe that the team -- it's a magical team. I'm really proud and privileged to be a member of this team. Every member working in Akzo Nobel India is giving 200%. We understand the value of what has got created. We understand the value of what lies ahead. We understand this is a tough battle. We are going to fight tooth and nail, right? That's what we are going to do. And hopefully, in the proc ess, we continue to win. Thank you. Thank you very much.

Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now exit the meeting.

Call: Feb 2025

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Dear Sir/Madam,
Sub: Group Investor Call Transcript
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the group investor call conducted by the company on 7th February 2025 regarding the standalone and consolidated financial results of the Company for the quarter and nine months ended 3 1st December 2024.
This has been uploaded on the Company website also and can be accessed through the link: https://akzonobel.co.in/investors.php#im
Kindly take the aforesaid information on record.
Thanking you .
Yours truly,
For Akzo Nobel India Limited
Rajiv L . Jha
Company Secretary & Compliance Officer
Membership No. F5948
Encl : as above.
 “A
kzo Nobel India Limited
Q3 FY '2 5 Earnings Conference Call ”
February 07, 2025
MANAGEMENT : M R. RAJIV RAJGOPAL – CHAIRMAN AND MANAGING
DIRECTOR – AKZO NOBEL INDIA LIMITED
MR. KRISHNA R. – CHIEF FINANCIAL OFFICER AND
WHOLE TIME DIRECTOR – AKZO NOBEL INDIA
LIMITED
MR. RAJIV L. JHA – COMPANY SECRETARY AND
COMPLIANCE OFFICER – AKZO NOBEL INDIA LIMITED
MR. ROHIT TOTLA – WHOLE TIME DIRECTOR – AKZO
NOBEL INDIA LIMITED
MODERATOR : M R. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Q 3 FY '25 Earnings Conference Call of AkzoNobel Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you.
Aniruddha Joshi: Thanks, Yashasvi. On behalf of ICICI Securities, we welcome you all to Q3 FY '25 and 9 months results webinar of AkzoNobel India. We have with us today senior management represented by Mr. Rajiv Rajgopal, Chairman and Managing Director; Mr. R. Krishna, CFO and Whole Time Director; Mr. Rajiv L. Jha, Company Secretary and Compliance Officer.
Now I hand over to Mr. Rajiv Jha for initial regulatory comments. And then we will have comments from the management on

the quarterly performance. Post that, we will open the question -and-answer session. Thanks , and over to you, Mr. Rajiv Jha.
Rajiv L. Jha: Okay. So good evening, everyone, to this Q3 investor call of AkzoNobel India. And before we start, we are having with us Mr. Rohit Totla, the Whole Time Director as well, who is representing the management team. Let me -- as per our process, let me start with the Safe Harbor
statement, which is this presentation contains statements, which address such key issues as AkzoNobel's growth strategy, future financial results, market positions, product development,
products in the pipeline and product approvals. Such statements should be carefully considered,
and it should be understood that many factors could cause forecast and actual results to differ
from these statements.
These factors include, but are not limited to, price fluctuations, currency fluctuations, developments in raw material and personnel costs, pensions, physical and environmental risks, legal issues and legislative, fiscal and other regulatory measures as well as significant market
disruptions. Stated competitive positions are based on management estimates supported by
information provided by specialized external agencies. For a more comprehensive discussion of the risk factors affecting our business, please see our latest Annual Report .
Also, the company has been making the required disclosures or clarification from time to time to BSE and NSE pertaining to AkzoNobel NV's, which is our parent promoter entity, media
release and portfolio review with initial focus on Deco South Asia and the management would
not be responding to any general and/or specific query in this regard in this investor call.
However, the investors or public at large would be kept informed of any updates in this regard
as per the listing regulations.
So I'm handing over the floor to Mr. Rajiv Rajgopal.
Rajiv Rajgopal: Thank you, Rajiv. Good evening to all the members who've joined, all our investors. First and
foremost, thank you for joining us on a late Friday evening. What I thought -- our entire investor
deck has already been uploaded in the afternoon on the website. So between me, Krishna , we
are not going to be -- there's an echo, yes. So we are not going to be repeating or sort of running

through the deck, but I'll give you quickly some highlights, and we'll move straight into the
Q&A.
We also will, I'm sure, over the next few weeks, months, have an opportunity to interact with
many of you for various reasons. So what I thought is it's better we quickly keep this to largely
the performance of the quarter. And if there are -- of course, t here will be open questions, I'm
happy to answer them.
First and foremost, as the top line for the quarter ended, as all of you have read, we've done an
income of INR1,05 1 crores, which is abou

t 2%. We believe that this is a strong performance
given the sort of performances that the market and the industry would see otherwise. In the Paints
business, we've had a very low -- almost touch base, a low single-digit growth in va lue. In
volume, we registered growth. In the Coatings business, we've had a high single -digit growth in
value, and we also had a mid -single digit growth in volume. So overall, volume is a very positive
story. It's after many quarters that we are seeing a bit of a surge.
Remember that one of the challenges we've had in this quarter is that from a mix perspective,
particularly in segments like putty, in decorative paints, we've not very aggressively participated
given the prevailing market conditions and the discounts that are operating in that segment, yes.
So that's the first part.
On the coatings vertical, all I would like to say is we've had very strong performances in the Marine & Protective and our powder coatings business. Our automotive and vehicle refinish
obviously had a few challenges, more from a quarter point of view, but fundamentally, the
business is strong with very sharp margins.
And we also had a bit of a challenge on the coil coating part of our industrial coating business, primarily because we've had large supplies to export markets where we had to take a bit of a correction, primarily because of certain economic challenges in a couple of those countries.
So that's all-in -all as far as revenue is concerned on the profit, as you've seen. At an EBIT level,
we were flat and at a profit level, we were down 5%. One reason for that, of course, if you really
look at it very closely, is also the income, primarily given the fact that we had given a special
dividend during November last year.
As all of you know, AkzoNobel is celebrating 70 years in India. And as a result, we, as a management team with the approval of the Board decided to do it. So when you look at the
income that is normally generated from the funds, the fixed rate funds, you c an see a slight drop,
which is the reason why there's a slight decline in PAT. But otherwise, we believe that the
company is in great shape.
We believe that despite pretty adverse market conditions in our Paints business, we've been able
to hold fort. We still believe that with the launches that are being done at the top end of the

portfolio and a few launches in the waterproofing segment, whic h was done towards the end of the quarter, we believe that we've still got a right to win. And we, as a team, are completely focused on making sure that the business delivery continues to be strong, yes. So that's what I would like to say.

Let me now open it to Q&A. And what I would do is I would now pass it back to Yashasvi and to Aniruddha and open the floor for question and answers . Between me, Krishna and Rohit , we'll do our best to sort of address some of the concerns. And Rajiv has already been kind enough to read the Safe Harbor statement. So I'm sure that all of you would be understanding on the same. Yes. Thank you. Back to you, Yashasvi.
Moderator: We will now begin the question -and-answer session. We 'll take the first question from Jayvansh Mehta from Care PMS.
Jayvansh Mehta: Sir, my first question was basically in the latest budget we saw that there has been a consumption boost. So how do we see the impact of that on the industry going forward?
Rajiv Rajgopal: I think first and foremost, we really thank the government. I think the consumption boost is a very welcome move. I think, frankly, it's something that in the industry, all the CEOs during the IPA had also -- were all together . We believe that this is going to give you a tailwind. First and foremost, the tax is effective from April. So to expect that the results of this quarter would start seeing a difference when the money is only going to come

in April is something that we hav e to recognize.
Secondly, in my belief that it will take about a month or 2 for people to digest that they are seeing a delta income in their hands, right? And once that starts kicking in, in a month or 2, and remember that we are moving in the month of May and June to th e holiday season, right? So you would start first seeing to me the key consumption sectors, which are essential pick up. Remember, paints is discretionary. So we lag a bit in terms of it. But I believe that starting from the second half, we should start really seeing an uptick, which is what we had already plugged in. And we believe that the second half this year, with other things being equal, we'll see a very sharp rise.
This sector, if you look at the Paints and Coatings business over the last few quarters, when you look at the industry growth, including the growth of the new players, we believe that the GDP multiple, which used to hover around 1.5 to 2 had come down all the way to about a 0.6 to 0.8. You may argue even 0.9 or 1, right? We believe that this is slowly going to catch up. The catch-up is going to be a little slow because the monies are kicking in now.
Remember that there are 2 parts. There is a central government disbursement and a state government disbursement. We also have a few state elections. And as and when the state elections get complete by the end of the second half, we should start seeing a sharp uptick.
So to answer your question, welcome move, sharp uptick. We believe that we will be particularly on the real estate and infrastructure segments, seeing a sharp boost. And as a result, we are very confident that this is what is going to drive back double digit volume growth towards the second half for the Paints and Coatings businesses.
Jayvansh Mehta: Okay. That was a very detailed answer. And sir, my second question was on the line that we saw a decrease in the employee benefit expense in the latest quarter on a sequential basis as well as on a Y -o-Y basis. So would there be any explanation to that?

Rajiv Rajgopal: Krishna, would you like to?
Krishna R.: Jayvansh, what we normally do is that we do get the review of the employee provisions and get the actual valuations done in the December quarter. So that we drew up the cost lines there, which has resulted in the reduction in the cost. The underlying employment cost isolati ng the actual valuation impact on the reversals is intact. And that's a long and short answer for the question.
Rajiv Rajgopal: Jayvansh, that hopefully answered your question?
Jayvansh Mehta: Yes sir. And sir, just last question on -- can you just share on the thought process behind the restructuring that we are doing, obviously, not only specifics and all, but just a thought process that what -- that we have while doing the restructuring of the entity that we are currently going under.
Rajiv Rajgopal: Yes. So look, I don't know what you -- you're talking about the strategic review, when you say restructuring?
Jayvansh Mehta: No, sir, like the plans that we have at the Industrial Coatings business and R&D will be under

the parent entity going forward, so...
Rajiv Rajgopal: Okay. Look, to be honest, these are very initial thoughts. These are not final. In the spirit of true disclosure, when the parent got in touch with us and said they wanted to carve out the powder coating business and the R&D business, the thought was to ke ep the 2 distinct businesses, liquid coatings and basically what the globe believes that they can continue -- if they continuously -- they own, they can see a higher value add, which is in the powder coating business, where there's a lot of R&D development, which is done centrally and the global -- what we call the International Research Center.
What the International Research Center in Bangalore do

es, it does the color development for the automotive and specialty coatings. Remember that we also support McLaren Mercedes F1 and
a lot of the color testing because these are very difficult conditions in which we have to paint a car is all done throughout, used -- Bangalore Lab is used as a test bed. So which is the reason
why they have carved out.
But again, to answer this question, this is a request which has come from the globe, and we've been upfront as in the spirit of true governance to immediately notify first to bring it to the Board, inform the Board and the Board has then asked to notify to the stock exchanges, which we've done. This doesn't mean that this is the first step.
And obviously, this is undergoing various evaluations, and we'll come back to you as and when we believe that we are in a position to do it. The thought is very simple. The powder coatings business, globally, we are number 1 with a huge market s hare over the -- lead over the number 2 player, and that could be possibly the thought process behind it, at International Results Center, I've explained to you.
Moderator: We'll take a next question from Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Sir, 2, 3 questions. One, we are doing extremely well on B2B side, and we have seen good favorable data in infra, power, mining, marine as well as real estate sector. So what are the key things that we have started doing differently or superior, which is leading to the higher momentum in Paints as well as Coatings ? So that is one question.
Question number 2 is regarding Dulux Promise Freedom, the new latex paint we have introduced. So indicatively, how big is the market and what is the strategy over here? So whether it is, first of all, a pan -India launch or it's a trial launch at this stage or it is launched in any region specific? So how big is the product, et cetera? That is the second question.
And third question, now you have gained market share for 12 straight quarters in a row. So is the distributor model is really working or in a way, what is driving the market shares in the
decorative side of the market as well? That's it from my side, three questions.
Rajiv Rajgopal: Aniruddha , I'll do the first part, and I'll invite Rohit's thoughts on the second and third, but I'll obviously then end the answer once Rohit gives his thoughts, yes. So on the B2B business, look, I think on the paint side, the B2B business has been growing now for almost 2 years. We had a bit of a blip in between primarily when the elections happened because remember that a lot of the real estate investments, so we've got basically in the B2B business, repainting, we've got building and co nstruction. We've got commercial properties and government , right?
And one of the largest drivers of the business, which is both government and commercial properties took a little bit of a dip in the last 6 months, that started slowly obviously inching back. And the real estate, as all of you've seen, you're seeing the numbers of all the players. We cater to the marquee builders. We're very fortunate that we've got a fantastic relationship with some of the key marquee builders, and they have been doing well. A nd hence, our share of the business has gone up.
Similarly, on the Coatings side, our B2B in both -- if you look at -- you talked of Marine, we are delighted that we got an opportunity to paint the 3 ships, Surat and the other 2 recently. Similarly, we -- as you know, we've done INS Vikrant. And based on the work that we've done, we've got a lot more from the Indian Navy. We also do a little bit on coastal, not just the Navy side in terms of dry docks. And that business has seen a bit of an upsurge.
We've also -- on the protective side, we've obviously enhanced. The team has done a brilliant job, not just on the relationship management, but al

so on certain products, which have come in,
which are slightly improved versions of antifouling on Marine, on lining and on fireproofing, right? So these are some of the things that the team has done, and they obviously have cracked
a lot of accounts, including certain high-gro wth areas like data centers, et cetera, which I've alluded to in the last quarter, yes.
So all -in-all, I would say that, look, the overall -- and it's something that you're seeing across --

consistently across when you look at the building material players, the B2B part of the business still is fairly robust. It's seen a good support. And obviously, we 've had a little bit of headwind during the election time, general election and months till the Maharashtra elections were over. But now we believe that the key markets are slowly coming back, and we have got every reason

to believe going forward. And if I were to look at, for example, January as an indicator, we've a good start, right? So I believe that that B2B businesses are doing well.

On the B2C side, just before I hand it over to Rohit, of course, we've had a bit of challenges. But we've made terrific progress on distribution. As all of you know, we've got now -- we are the only player perhaps which has launched the distributor model way back in 2013, '14, and we've got about 160-odd distributors with almost about 90% of them being with more than 10 years with us. It's a deep relationship that we've built. Rohit and team have then taken forward to hub and spoke where we decided to go into the next set of towns. And now I invite Rohit to walk you through why we are getting share gain in the decorative side of retail and also the latest latex paint launch.

Rohit, over to you. Aniruddha, you can hear him?

Rohit Totla: So let me start with your question on the latex paint, which is Freedom. Basically, it was again a test of concept, which we typically started doing that in Uttar Pradesh and Rajasthan. And your question number 2 and number 3 answers are the same because our distribution is expanding, and we are moving into lower pop-strata towns as well as into -- we are increasing our reach.

Typically, Dulux was considered as a premium player, but we are now offering across the spectrum all the products and with the best -in-class quality. And this is where to really ride on our distribution wave, what we have launched is this concept. We are testing this concept as of now in last 2 months in Rajasthan and Uttar Pradesh. And depending on the outcome, we will expand pan India.

On the retail side of the business, what we are doing a lot of activity on digitization and automation to give a better customer service and a flurry of product launches across the categories, including the waterproofing and the innovation of our product p ortfolio, which is typically helping us in reestablishing our presence and reinforcing our quality promises in the market.

Rajiv Rajgopal: Yes. So just to add to Rohit and Aniruddha, just to summarize, 2 things. Latex paint, obviously, we are not the first in the industry, but we believe that we've got a proposition using the brand Freedom to really exploit the market. We are testing it for 3 months. We are looking at it because the market adoption for some of the other industry players was not very sharp.

So we've sharpened it a bit with a bit of R&D work on it, and we are test ing to see what is the adoption. Initial early stages, sure, it's doing reasonably okay. But obviously, we've got a very ambitious plan. So let's see how it progresses and we'll keep you updated. Distribution, as Rohit said, look, the idea was that -- our challenge when I came in 2013 to now, and if I look at even from 2009 when Akzo acquired ICI, there were a lot of fixes that we had to do. We had to first get the quality mojo back. And it took us a long while because of the challenges

during the transition from ICI to Akzo.

And really, the focus was really how can the market tell us and not we tell the market that we are the best in class. If you look at it, the needle really changed in the last 3 years, post COVID, in particular. And we launched the Dulux Promise, Dulux Assurance program, right, where we

said we are willing to give a guaranteed money back offer on this coverage, quality and consistency.

And with that, we started seeing a sharp uptick across our premium brands because obviously, it gave a vote of confidence on the brand. We plan -- you will see a very short 2.0 happening in the next few months on this particular program. And to build that, we had to launch the entire assortment, which is what Rohit and the team have been working very hard along with the marketing team, right?

And we believe that, look, our challenge was that we never had the assortment, so which is the reason why we entered segments like putty and mass. Our purpose of playing in mass is to make sure that we get the rightful share gain in premium. A 15%, 16% mar ket share in premium is not enough. We want to -- we are ambitious. We want to drive -- dial it more. But to do that, you have to now be present in the smaller towns where premium is consumed, right?

And obviously, when we guys travel, we see a lot of premium consumption in smaller towns.

So the idea was to build a portfolio, do it. And that's the logic with which we have launched some of these categories, including Promise SmartChoice, which has done brilliantly for us. And really changed the game.

And to answer your question, yes, I mean, the fruit of that labor is the fact that we've been able to clock market share gain. We had done an external survey and the external survey has also come back to us quite recently, validating the market share gains . I want to be also with all humility say that this is not happening across India. There are about 7 states which are leading it. There are a few other states where we still need to drive it further. And that's work in progress, and we will keep you updated as we move forward. Aniruddha, hopefully, that's answered your question.

Moderator: We'll take the next question from Lakshminarayanan Ganapathi from Tunga Investments.

Lakshminarayanan G: Sir, my question is related to -- there has been for the last 90 days or so, there have been enough media as well as company communications saying that your business would be restructured, right? Now my question is that how is the employee morale and the distribution morale because it puts in kind of uncertainty and how as a company you are actually handling it. Are you able to rope in new distributors …?

Rajiv Rajgopal: So first and foremost, look, I think, I would like to state, and I think we've put a clarification as and when required when we really think it's material. Look, market rumors will continue. This is a part of life.

We have been very upfront to our employees, and we've said that these rumors will come. I was in the market in Kolkata 3 months ago when one name of one player came, then 3 weeks ago, I was in a different market, another player.

So dealers also understand when you tell them that, look, now you're telling us so many names, you guys decided to come back, they all laughed . So look, I'll tell you, Lakshmi, what we are doing, okay? We have a regular weekly, monthly, at least twice or thrice catch -up with all

employees. My spirit is to tell the employees that you will be the first to know. And if any material conversation happens, we follow protocols, right?

So I've requested our parent that if there is material information, given my role as Chairman and Managing Director, anything that's told to me has to be informed to the Board, stock exchanges. And as soon as we put on the stock ex

changes, we inform -- we immediately similarly, at the same time, have call with the employees with maybe a 5 -, 10 -minute lag to make sure there is no issue, right? And we have honest conversations.

The leadership has been traveling to most of the markets, have been traveling across to locations, speaking to employees, the functional leaders are also reaching out. I believe that there was a lot of anxiety in the first 3, 4 weeks, but now everything ha s died down, right? People realize that the outcome may or may not also happen, yes. They also realize that, look, because remember that the market cap in India has slightly fallen. And finally, it's up to the parent to decide w hat is the value they see, et cetera. And our job has been to keep the business focused, and you're seeing it in the results.

The other yardstick I look at is look at the attrition. I mean, normally, when these announcements happen, you have a lot of resignations of the top team. We've had 0 attrition at key managerial level. Yes, our attrition in the front line continues to be t he same as that was there even 12 months or even 24 months preceding the announcement, right? So nothing has changed. We've got strong programs, which are to keep all of us focused on the business. We love this company. We love this brand. You've seen it on the website. I love Dulux is something that's not just a logo, it's something that's deeply embedded in us.

And I think if and when a material information is available, Lakshmi, we will be the first to inform you. As far as the dealers are concerned, similarly, we -- fortunately, this -- the dealer community, we -- Rohit has spent 15 years, I've spent 12 years in the company. People know us by name. We know families of our more than top 2,500, maybe 5,000 dealers by name, right? And hopefully, another 8,000 with a little bit of a nudge, right? But the reality is that initially, there was a lot of fear, I'm saying that what will happen. But I think over a period of time, now people have realized that, look, this is a strong brand.

What is the purpose of doing this strategic review? The purpose of the strategic review, if you look at what Greg said, our global CEO, is to take AkzoNobel India to the winning position for various reasons, right? The globe believes that given the global assortment and portfolio, the ability to invest now with the sort of competition you're seeing in India perhaps needs a little bit of a local hand, rig ht? And that's what we are trying to do. Can we combine forces and that's -- there are various options, which are still in discussion and thought, to say, can we combine hands to try and move this brand to a winning position, right? It will take a lot of humility to also -it's a brand that I have now managed for 10 years. I can tell you, it's a brand that is very infectious.

For consumers, 90% of our consumers who have used our brand, and there's again a study on that to prove it, have come back to use the brand, right? So the challenge is to get more and more people to use it. That is the reason we are playing in now a larger sense in the last 5 years on portfolio. But we are very clear that we are very disciplined in the way we execute.

We do not give things free. We do not drop pricing. And hence, while people are adopting different practices, and I'm fine with that because we've seen that in different industries, we believe in this industry, running things in a very mature manner, as we 've also seen from some

of the new players is very important and a critical success factor for the future.
Lakshminarayanan G : Got it. I think in terms of new recruitment and -- I mean taking -- empaneling, getting more distributors, is it business as usual on those 2 fronts?
Rajiv Rajgopal: So distributors, Rohit, you want to answer?
Rohit Totla: Let me put it this way. Rajiv has already alluded that

most of our distributors have played a long journey with us and that's the testimony of a transparent relationship, which we share with them. Still close to 5% of our distributor, we keep on changing during the journey. And because these distributors who are there for a long time with us, they only give the references to us saying that this is the good guy. And most of the time, the references are coming from the market rather than we going in and actively looking out for any distributor. So that's where the beauty of entire relationship lies.
Rajiv Rajgopal: And also same for employees. So what happened is, of course, we've had -- so let me put some numbers there. If I take a number of, say, 10 of the number of new recruits during the first 2, 3 months because of the announcement, we had almost 50% dropouts, right, Rohit, in a very transparent manner, right? But what has happened is in the last 3 months, that has dropped to about 10% because we are now going upfront telling people that there is a strategic review. This is a thing. We are giving the stories of people who've grown in this company.
We've had a huge amount of success stories, sales officers who have grown up to regional manager and even beyond, ASMs who've gone right up to it. So you don't get that in many companies where people have come in, and had great exposures, have been able to grow very well. And hence, with complete transparency, we are now getting in a lot more people coming in. Yes. So we don't see that. It was a challenge, Lakshmi, to be very honest with you in the first 3, 4 months.
And we were a bit concerned on, but I think between our HR, business teams and all of us, we've put our heads together, and we believe now things will start normalizing and people realize that this is a good company, good brand. And I'm sure if and when if the global parent were to pursue an option, it will als o go into good hands. We are very confident of that.
Lakshminarayanan G : Got it. Because I think if I look at the last 8 or maybe even more quarters under your leadership, the company has been very, very stable and consistent and has been really among the top performers in the industry. So the question as an investor was to ens ure that there is no disturbance on the 2 important stakeholders other than investors, be it employees as well as your distributors are undisturbed. I think thanks for the reassurance.
And second question is that if I look at your overall business in the last 9 months and compared to the previous year 9 months, what has been the growth across home decor and decor B2B and the industrials. I understand that industrials is around 35% of the business and 10% is B2B decor

and the balance is home decor. In these segments, what has been the performance in terms of volume or value? Some kind of a directional view would be helpful.
Rajiv Rajgopal: Yes. So I'll give you value because anyway value this year got corrected down by about 4% even despite a couple of price increases, it got negated with the discounts which are currently running in the market. So look, I think, the B2B part of the decorative business is still high single digits.
The retail business because of a strong performance in the first 6 months is at a flat to single -- low single -digit growth. But yes, obviously, we've had a tepid last quarter and maybe last 4 months. But if you -- again, if I were to look at January, things are slowly coming back. The B2B part is double digit. Hopefully, that answers the question.
Lakshminarayanan G : Got it. And last question, there has been a price thing that happened, I think, Q3 of last year or maybe Q4. And I think there will be -- I mean, you will have a base effect playing out, right? But when do you expect that to happen, whether it will be happening from Q4 or Q1?
Rajiv Rajgopal: So look, the base effect -- the price drop hap

pened in December and January, and there was a slight price increase in the months of July and August. But again, January this year, there has been a slight margin -- price drop. Rohit, do you want to just add to it?
Rohit Totla: Yes. Last year, there were 2 price drops. One happened in November '23. Second happened in January '24. I n July, August, we took a price increase and in last year, which is December and January of '24 and '25, we again took a small price drop. But what your question is, base effect will start from January.
Lakshminarayanan G : Got it. So you took a price drop or increase in December '24?
Rohit Totla: In December '24 and January '25, we took some price correction in one of our categories, especially to do with the mass market. And that's where...
Lakshminarayanan G : So index to last November '23 before the price corrections till now, if you index to 100, what would have been an aggregate price correction?
Rohit Totla: So right now, if I take out the base effect of it, we wil l be positive by close to 1.2%. If you take out the November '23, January '24 and all put together.

Lakshminarayanan G : Sorry, November '23, before the correction, it was 100 and now we are 1.2%...
Rohit Totla: It is 1.2%.
Lakshminarayanan G : Minus 1.2%?
Rohit Totla: It is actually minus 1.2%, correct, yes.
Moderator: Next question is from the line of Santosh Keshri from SKK Huf.
Santosh Keshri: Okay. So I have a couple of questions. One is in the commentary just now you said that we are expanding on B2C front and a lot of action is happening with the distributor with the retail chains

also. So my question is that despite all this, we are not seeing any rise in expense. So how is it that we are able to do it so cost effectively? Or we can expect some cost enhancement in the next few quarters? The costs are yet to come within the profit and loss account.
Krishna R.: The cost of distribution expansion is part of the gross to net in the revenue line, which is a variablized model. So hence, it will not be below the cost lines. Hope this clarifies.
Santosh Keshri: No, sir, my question is that compared to the last year, we are not seeing any increase in the other expense line. Like for the 9 months, you can see that the other expense is INR 597 crores vis-à-vis INR 594 crores in the last year's 9 months. So how is it that we are able to manage without much of cost range?
Krishna R.: Okay. So there are 2 areas where we are absolutely focused is that our cost development is confined to the revenue under both initiatives. And we are absolutely critically evaluating and in the process or we are reviewing the cost lines very closely wherev er discretionary spend. So it's re -channelizing the cost base to protecting the profitability and enhancing the growth.
Rajiv Rajgopal: Also, what we've done, just to add to what Krishna said, we've looked at various things both from a supply chain perspective about 1.5 years ago to relook at the entire supply chain, which is one of the largest cost areas. We've also looked at productivity of our teams, which Rohit and team are effectively driving and put in certain stronger metrics to make sure that we are able to improve productivity. So our goal has been to say that how can less be -- less is more, right?
And how do we re ally drive it.
We've also relooked at our structures. When I came in, remember that we had -- that was the first time when we really wanted to look at key account management, etcetera, with maturity of channels. Some of these roles have got embedded within the existing s tructures itself. So we've looked at various productivity and cost control measures, which the team has done very well.
But like Krishna said, on the distributor side, it's a variable part. It's a part of the gross to net, yes.
Santosh Keshri: Okay. Great. That's -- and

my second question is about the demand situation that you had in the last quarter, the quarter that just ended because we are seeing a lot of commentaries from other paint companies, the demand is not good, the consumption situat ion is not so healthy and some have almost sounded disappointment. So what is your take on the demand situation.
Rajiv Rajgopal: So my view is, look, if you -- look, I think we've got to look at it from a long -term perspective.
From a 5 to 10 years, we used to say that the paint growth -- industry growth, when I say paints, paints and coating industry growth will be about 1.2 to 1.5 x GDP from that lens, okay? So it depends on which lens you're looking at from. From that lens, yes, it is disappointing because even with this growth, it's barely coming to about 1x GDP, right? So from that lens, I would say, yes, there's still a bit of catch -up and demand has been. But let me tell you, this has to be addressed in all granularity.
We are seeing a very sharp uptick in our premium segments, and we've still seen -- which is the reason which is reflected in our contribution margins. We've seen that, look, there's been a good uptick in our premium segment. Our challenge has been in the m ass economy segments. And of

course, in adjacent, particularly waterproofing, we've been doing very well, right? Now again, India is not one homogeneous market. It's a country, which is very different. Even within a state, it is different.
So our performances of different geographies have been different. If I were to look at last year, we had some challenges in one of our largest or highest market share regions, which was East, which got fixed other than one state. which is Manipur, which where we still have a bit of a challenge. You'd be surprised that we are very -- our contribution is fairly large from the region.
And then what we've then seen is a few challenges in a couple of the southern states where we've had historically high competitive pressures. But there, again, the competitive pressures seem to

be weak. So in states like Tamil Nadu and even more recently i n Kerala, we've started coming back. But we also see a lot of challenges in states like particularly Telangana and Andhra, etcetera, where we believe that we are on the cusp of doing -- we are resetting the organization.
And to answer the question that you earlier asked, yes, you will see some costs going up because we are going to put some investments on people and on technology -- in some -- technology across the country and people in some of these states to drive slight ly higher growth. So when you break it through a lens of looking at it at a granularity of geography, there are challenges, and we need to address them. It's not a one -size-fits all strategy.
We believe that the demand will start coming back. Look, I think I don't want to talk too much of January but it's been encouraging. But suffice to say, we've seen it in the past that the first month is good. Unless you see 2 months in a row, we can't real ly comment. Yes, but I do believe that I think the bottom of the table has played out. We believe that, look, with now the right announcements coming in, we believe that, look, in the coming months, we should start seeing strong upticks.
First move towards a mid -single -digit growth and then towards a double -digit growth back. And I think it will take about 4 to 6 months for it to completely pay out because as I told you, the tax regime is effective from April. So you'll start seeing some o f the money circulation slowly coming in and first going to essentials and then to discretionary.
Santosh Keshri: Yes. So sir, are you seeing the competitive intensity from the new players particularly or...
Rajiv Rajgopal: Yes, competitive intensity, look, has been happening in this industry. In 2013, we were 4 players. Today, wh

en we were presenting to the Board, Rohit alluded to this. So I remember distinctly his slide. Then we had 7 players by 2015. Now we've got almost 1 4 players in the industry. So competitive intensity will be there. Some of us have seen it in different industries when we worked many years in the past. So it's something that we have to live with. Look, I think it's good because that also reaffirms the strength of what you do and enables you to put stronger actions in place.
Moderator: We'll take our next question from the line of Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi: Just one question. Waterproofing, we have been doing extremely well. And we have seen one more launch even in this quarter also with almost 8- year warranty. Again, it seems to be a pretty

differentiated product considering it can be used on vertical as well as horizontal wall surfaces also. So if you can share more details about this brand. And lastly, whether waterproofing will be in high single digit as far as revenue breakup is concerned?
Rajiv Rajgopal: Rohit?
Rohit Totla: Thanks, Aniruddha, for the question. Yes, we are consistently growing and product innovation and execution in the market were the key highlights for our continuous development in integral waterproofing. This 2-in -1 product is again a unique offering from D ulux where -- why we say 2-in-1 because not only on the dead walls, which we say vertical walls, but on horizontal surfaces also, it will work.
And that's why unique and also hardly any product come at this price point. And that's why we are very, very gung ho about this product. And the initial launch wherever we have that, shown great encouraging results about it. We are doing decently well in w aterproofing segment.
Volumes are growing double -digit plus.
Rajiv Rajgopal: So the answer is we are growing high double digit in waterproofing. And I think the team has done an excellent job and we've got plans. We will increase that portfolio in the coming few months also.
Aniruddha Joshi: Okay. Sure, sir. Understood. That's very helpful and encouraging. This was the last question. Now I thank the entire management of AkzoNobel for participating in the investor webinar. And I will hand over the call back to Mr. Rajiv Rajgopal for his closing comments. Over to you, sir.
Rajiv Rajgopal: Thank you, Aniruddha. First and foremost, once again, thank you to all of you for taking time on a Friday evening and joining our call. We are really thankful for your support, encouragement and for all the questions that you have, please do feel free to b e connected. If any of you have any reach out, please do reach out for any questions to our Company Secretary and Compliance Officer, Mr. Rajiv Jha, and we will be happy to answer your questions.
As and when we have any updates on the strategic review, as you always know, we've done, we would be the first to inform first the Board, the stock exchange, our employees and each one of you, right? So you can rest be assured the idea is very simple. How do we really take Dulux to a position. We believe that the brand has got the inherent strength. I have seen it with my eyes.
I have great belief in the power of this brand, and our endeavor is to take it to the next level. And we are sure that we will cont inue to do strong growth. And thank you all for all your support.
We stay connected. Thank you so much. Good luck.
Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may

now exit the meeting.
Rajiv Rajgopal: Thank you very much.

Call: Mar 2025

Akzo Nobel India Limited
Magnum Tower, 9th Floor T +91 124 485 2400
Golf Course Extension Road, Sector - 58 www.akzonobel.co.in
Gurugram – 122 011, Haryana, India

Registered office: 801A, South City Business Park , 770, Anandapur , E M Bypass , Near Fortis Hospital, Kolkata – 700 107
CIN: L 24292WB1954PLC021516

12th March 2025

Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 500710 The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra -Kurla Complex
Bandra (E)
Mumbai – 400051
Symbol: AKZOINDIA
Dear Sir/Madam,
Sub: Group Investor Call Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the group investor call conducted by the company on 7
th March 2025 .

This has been uploaded on the Company website also and can be accessed through the link:
https://akzonobel.co.in/investors.php#im

Kindly take the aforesaid information on record.

Thanking you.
Yours truly,
For Akzo Nobel India Limited

Rajiv L . Jha
Company Secretary & Compliance Officer
Membership No. F5948

Encl : as above.

Akzo Nobel India Ltd (AKZOINDIA)
Group Meeting
March 07, 2025

MANAGEMENT: Rajiv Rajgopal - Chairman and Managing Director
Rajiv Jha - Company Secretary and Compliance Officer
R. Krishna - Chief Financial Officer
Rohit Totla - Wholetime Director

Presentation

Rajiv Rajgopal : Good evening. Wonderful to be here. My name is Raj iv Rajgopal . I'm
the Chairman and Managing Director of AkzoNobel India Limited.
One of the reasons we are here, of course, thank you all for taking time and coming. Good to see all of you. Good to see a lot of smiles

on the faces, particularly your time .

Look, the purpose of today is first, if I can request all the shareholders within this group to kindly put up their hands so that at least we know how many is there only one shareholder in the entire group? Are there any other shareholders in the group, holding shares of A kzoNobel ? Two. Okay. So listen. What we've got is we will just take 10 minutes, one, two, or recent things so that our shareholders get an idea of what the transaction is and then we will quickly finish this.

It will take about 15 minutes since only two people are there. If you have any questions, do reach out to Raj iv Jha, the Company Secretary and Compliance Officer. So first, good evening, and welcome to all of you. I'm joined in this meeting by R. Krishna , CFO, AkzoNobel India Limited, Rohit Totla, who's the E xecutive Director and is also what we call the M arketing and S ales Unit Director for the decorative paint business.

Rajiv Jha is the Chief Compliance Officer and Company Secretary of your company. Our attempt today is to first just talk about the recent post that we did on the BSE and NSE stock exchanges and notification in terms of our interest to sell off the powder coating business and our international research cent re and buy back the IP rights to decorative paints .

But before I do that, let me hand it over to Raj iv where we quickly run through a safe harbou r statement , right and Krishna will thereafter run through the slides. Yeah, Rajiv over to you.

Rajiv Jha: Thanks , Rajiv. So as per our process, we are starting with this safe harbour statement that whatever is going to be stated in this meeting, that may vary depending upon many factors. And as far as the strategic review from our parent entity is concerned, we keep updating

the stock market as well as the sha

reholders about any updates. So, nothing to be relied upon as far as this meeting is concerned. You have to apply your own data analysis. Over to you Krishna.

Rajiv Rajgopal : Thanks, thanks all for joining us in terms of this thing. Couple of ground rules in terms of these conversations. Rajiv has clearly stated what is the safe harbo ur statements. And, we will confine ourselves to discussing on the proposed transactions. That's the object ive of this conversation. And in case if any questions revolving around the transaction, which we are intended to do, which is, then we will take the questions. And then we, of course, we can complete the session.

R Krishna : Thank you. So coming to, previously last time we came to the investors, seeking their special approval in terms of mandate is that in 2017- 18, and we intended to diverse the chemicals business with their object ive to focus on the core of the paints and coatings businesses. Thereafter, in line with what we explained to the investors during that meeting, we continued our revenue growth trajectory of around 6% in the last five years, C AGR of 6%.

EBIT CAGR had been up from 12% to 15% post divestment. And if you see, we ended up EBIT at around 13.9% in '23- '24 against the 8.8% of the 2017- 18. So there is a continuous improvement on a year - on-year basis. It's not built on one year, but it's set of the years. There is a continuous improvement there. And, EPS has significantly shot up from 44 to 94 for a period of time.

And then, we do strongly believe, with the dataset available in the industry that we are best in class industry in the paint scenario in terms of return on capital employed . All these translated into, stronger cash flows, which has been shared with the investors by way of the dividends. And the overa ll, if I had to get across the period of time , is last five years seems around ■13.8 billion which stands based around ■303 per share.

Moving forward, to what has happened during the last year and the last nine months and how well we performed versus the paint industry of the listed space, the top five would have taken. Industry in '23- '24 has grew by around 3.8%, whereas we grew around 4.2%. But clearly shows that we have outpaced the investing and the market share base.

And, as far as the current fiscal nine months is concerned, industry has declined by around 2.7% on back of rainfall and soft economic market conditions. And whereas we continue to go through up albeit, there is

a slight decline, slight gap of the growth percentage, but we still continue with the full position in terms of growth of 2.7%. E BIT percentages, minimum dilution that happened on a year -on-year basis, just 50 basis point versus the 50 basis points of the industry as a core for the nine months.

Moving to next phase in terms of the, what we are trying to do now in today's conversation is that, as you are aware in October '24, AkzoNobel has announced that its intention to do a strategic portfolio review, which was disclosed to the stock exchanges. And the intent of that review is to redeploy the capital towards growing its core paint and coatings business. And with the initial focus of South Asia, this was disclosed.
And there is also a strong clarification which was given during that development . A kzoNobel and we recogni se that India is outperforming the industry. It's in the sweet spot in terms of this thing. At the same time, there is a strategic mismatch between the group ’s priorities versus the India operation. So that is the India operations or the decorative paints for that matter, that has led to this.
And there is, then moving forward, the initial outcome of the okay, so the strategic review continue with the internal assessments in terms of how does the portfolio fix in, where does it fix, what are the ga

ps?
What are the things which needs to be? But then as outcome of that, parent has come back to India entity somewhere in early January asking that they would like to buy out the Powder Coatings business. And at the same time, they would like to buy out the International Research Cent re, which is situated out of Bangalore. And they also proposed that intellectual property along with the brand would be sold to the India subsidiary. So these three things, then, we promptly disclose it to the exchanges and discuss with the board internally.
Then board has authori sed the key management person in terms of exploring, taking the necessary next steps and appraisal. So we did started the process in terms of engaging with the consultants and the regulators in terms of what it would entail in terms of the valuation piece. Okay , the rationale piece, another stuff, Raj iv, then I'll come back to the valuation.

Rajiv Rajgopal : So look, I think powder coatings we are designed to keep it , because globally we are a market leader with a market share twice the number two player. And it's got a lot of distinctive technology, raw materials,

etc. which we obviously want to keep it internal. So that's the reason we decided, AkzoNobel decided that they will create another unlisted company in India eventually, yeah, which will house the power coating business.
And along with that, we also told them to keep the R&D centre

because it's a cost cent re which only does 99% of the work for the
global paint, automotive and specialty coatings business uni t. And
they don't do anything for India. The R&D labs for India in each of the business are separate. Like, decorative is in there, each of the coating
business, MPY, marine and protective or industrial coating, the whole VR is in Bangalore. It's a separate team , right?
So this is another team, we said that we had spent about ■50 crores, etc. So we got two agencies as suggested by the board, by the C hair of
Audit, get two agencies. So we got the KPMG and Grant Thornton.
Both are very reputed companies in India. And they came with the
valuation and moved to the next step.
And, we started working through the valuation, but what to say, what we wanted to do is to sell the two, top one which is in light pink and
buy off the one which is highlighted in purple and the net proceeds of
that will be given to us. That's why I asked who are our shareholders. Shareholders are going to get quite a bounty. We just gave a huge
dividend of, as you know, ■70 per share for our 70 years of
AkzoNobel in India. And over and above this, before the transaction,
the global transaction of the company, then the initial dividend that'll come in. And Krishna will walk you through the rationale of how this
is done. Kr ishna?

R. Krishna : Okay. So the valuation exercise is done by two independent SEBI
registered value rs, KPMG and Grant Thornton. And while coming to
the powder business, it was valued at ■20.7 billion in a blended source
of the market multiple and the disc ounted cash flows for the future
investments. And the range came between ■20.6 billion to ■20.7
billion. So we chose the highest from that to get us say consideration
for the transaction . And then coming to ■20.7 billion, then what ■20.7
billion translates into around 24.5x of EBITDA. It's not the last
reported number.
Rajiv Rajgopal : Almost 5x, 4x to 5x.
R. Krishna : 5x.

Rajiv Rajgopal : which does about 10% of the overall company, s o less than sort of 4x

R. Krishna : And the R&D centre as Rajiv has explained, it's a captive R&D centre
who does the development activities for the automotive and specialty coatings .
Rajiv Rajgopal : It's not research, it's more development. There is one only on

e S enior
Manager. Rest are all basically young staff who do a lot of the
programs that are written outside. They do it in India, because it's like, obviously, India is a right place for global business in India. They do all the tests in it. That's basically…
R. Krishna : So the valuation range is between the…
Unidentified Speaker: What was the EBITDA performance for the powder coating business?
R. Krishna : EBIDTA multiples is around 25X , 24.5X
Unidentified Speaker: Is this trailing EBITDA?
R. Krishna : Trailing EBITDA.
Unidentified Speaker: 24X now.
R. Krishna : So for, as a governance process, the detailed valuation reports are available on request for all the shareholders.
Rajiv Rajgopal : For shareholders, if you write to Rajiv Jha , then he give you a copy.
Unidentified Speaker: Okay.
Rajiv Rajagopal : So together, you have to be a shareholder.
R. Krishna : Coming to the valuation of R&D centre, it came landed between the it's a discounted cash flow method and landed between 579 to 700
million , took the highest of that thing.
Rajiv Rajgopal : So we've taken the highest of what we sell and the lowest of what we buy. Because we said that's the best for the minority shareholders,
right?
R. Krishna : Moving forward to the Decorative IP rates , the brand valuation ended
up at 11.5 billion. The method here is that royalty relief method.
Presently, we do pay a royalty of around 3% of the revenue. Post this

approval and the execution of the transaction, we need not have to pay
any royalty. And range of valuation is between 11.5 to 11.8, and decided to be 11.5 by all the process. I do pause here and seek any clarifications, questions in the topic for which we have gathered here through this.
Unidentified Speaker: So the IP rate of decorative paint business, which is what it's for the lifetime or any type of…
R. Krishna : It's a full transfer for perpetuity
Unidentified Speaker: Perpetuity.
Rajiv Rajgopal : And India, it covers Nepal, Bangladesh, Bhutan also.
Unidentified Speaker: AkzoNobel in future will never enter a decorative business as a fact that…
Rajiv Rajgopal : That's nothing to do with the listed entity. We have only done powder.
So at the time of the powder business, we had put that there's no compete for three years. That's what we…
Unidentified Speaker: for listed company?
Rajiv Rajgopal : For the listed company, one we because they are selling that to us. On
the other part of the transaction, it's a global transaction. So we have…
R. Krishna : So the question is, clear, as far as the IP transfer is concerned, it is coming to the AkzoNobel India Limited as a listed entity, okay? The question of non- compete doesn't arise as AkzoNobel holds 75% of the
listed entity.
Unidentified Speaker: So when we say IP rights, what are the brands which are coming to?
R. Krishna : It's Dulux, predominantly, and there is a list of…
Unidentified Speaker: That industrial…
R. Krishna : No. Industry. It's only decorative paints.
Unidentified Speaker: Okay. Thank you. So the ■990 crores inflow into AkzoNobel listed
companies, pre -tax?
R. Krishna : yes, pre -tax.

Unidentified Speaker: What is the taxation impact?
R. Krishna : Taxation impact could be around 14% of the purchase consideration or the sale consideration. Yeah.
Unidentified Speaker: 14% of the sales consideration, purchase consideration you don't…
R. Krishna : No. That's due of tax.
Unidentified Speaker: Clear.
Unidentified Speaker: Can you throw some light on how have we arrived at 11.5 billion for
the IP rights?
R. Krishna : It's a relief from royalty. As I explained, we do pay a royalty of 3% on the decorative paints sales value. And post this arrangement, once the
compl

ete perpetual transfer of the brand and the royalty brand and the IP rights comes into the picture, the royalty cease to exist. So there is a valuation metrics, which has been arrived at based on the future projections and how much is the benefit which comes from that discounted cash flow plan.
Unidentified Speaker: What is the asset base of forward projections , which is going along
with this?
R. Krishna : Rajiv can you come with the detail for valuation, please.
Rajiv Rajgopal : When you say asset base…?
Unidentified Speaker: The powder business is getting…
Rajiv Rajgopal : It is there in the detail, Krishna is right. Like, for shareholders, you could just write to Rajiv Jha. He will submit you.
Unidentified Speaker: Okay. One question. In the powder business, does it have any dependency on other businesses ? That's for the industrial business?
R. Krishna : There's no dependency in technologies, with completely different
manufacturing process.
Unidentified Speaker: Facilities as well.
R. Krishna : Facilities as well largely.

Unidentified Speaker: Is this the one which was there in Bhopal?
R. Krishna : Gwalior. So we have three sites , one is Bangalore, Thane and Gwalior.
Gwalior is a recent one.
Unidentified Speaker: Sorry and there's no non -compete estimate, like in the case of powder coatings?
R. Krishna : The Powder C oatings business is concerned. Business transfer agreement would be AkzoNobel India Limited as it's divesting the powder coatings though AkzoNobel NV would not be participating in the powder coatings business for the next 36 months post execution.
Rajiv Rajgopal : Yeah. That's a transaction between the parent and us . The other transaction has nothing to do which we are completing.
Unidentified Speaker: I feel it 's only until brand transfer, not, let's say, any knowledge transfer.
Rajiv Rajagopal : What do you mean by that?
R. Krishna : Including the knowledge transfer?
Unidentified Speaker: Just in terms of…
Rajiv Rajagopal : Oh, everything is included.
Unidentified Speaker: Incrementally, what would be parent, let's say in that time share with you? Would they guide you any manufacturing know how excellence?
Rajiv Rajgopal : Currently there is no knowledge transfer , over the last three years, our R&D , we've built a very strong capability in R&D India. And suffice to say, the R&D India today needs the thought leadership, on many of the new products, formulations, et c. So it's been a reverse brain. So there's limited. Like, for example, the entire Aquatec h, Dulux Aquatech waterproofing portfolio has been created and crafted in India. There's no knowledge transfer that's happening.
Rajiv Rajgopal : Any other questions on the topic? Happy to clarify.
Unidentified Speaker: The R&D facility that we now sell to the listed subsidiary. Was it the cost of making entity or was it…?

Rajiv Rajgopal : It's a completely captive consumption centre. So it's the cost of the R&D facility which we run in Bangalore. The entire cost gets recharged to the Netherlands pass through.
Unidentified Speaker: Pass through is a markup.
Rajiv Rajgopal : So the 12% markup is a profit which was reali sed in the listed entity.
Unidentified Speaker: But not a very significant markup.
Rajiv Rajgopal : Any questions, particularly from the two shareholders? Of course, good happy to take the questions from everyone.
Unidentified Speaker: Yeah. Yeah.
Unidentified Speaker: But it's not as simple as it is because remember that it's not really from royalties. It's not just 10 years, because the decor royalties approximately ■68 crores or ■69 crores. It's also growth. So there is a factor of growth for the next five years of 11%. The rate of

market and then the technical. So there's a calculation. That's why, i n the interest of time, it's better that Rajiv sent that note. You read that note. It will explain to you how it's selected.
Rajiv Rajgopal : Yeah. Good. So are we done with this? Then we can sort of close this session and move to any other questions that you may have. As just Rajiv mentioned in the beginning, we are not going to talk too much about forward statements, etc, because the purpose was really to meet all of you and run you through what our thinking is.

But happy in since we are here to take questions that you may have. Any other questions of the business or anything else with us? We are also having interaction with all our investors on opportunity basis, we'll start do that, right?

Call: May 2025

Akzo Nobel India Limited
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Gurugram – 122 011, Haryana, India

Registered office: 801A, South City Business Park , 770, Anandapur , E M Bypass , Near Fortis Hospital, Kolkata – 700 107
CIN: L 24292WB1954PLC021516
20th May 2025

Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 500710 The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra- Kurla Complex
Bandra (E)
Mumbai – 400051
Symbol: AKZOINDIA
Dear Sir /Madam ,
Sub: Group Investor Call Transcript
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the group investor call conducted by the company on 15
th May 2025 with regard to the financial
results of the Company for the quarter and year ended 31st March 2025 .

This has been uploaded on the Company website also and can be accessed through the link:
https://akzonobel.co.in/investors.php#im

Kindly take the aforesaid information on record.

Thanking you,

Yours truly,
for Akzo Nobel India Limited

Rajiv L Jha
Company Secretary & Compliance Officer
Membership No. F5948

Encl: as above.

“Akzo Nobel India Limited
Q4 & FY ’25 Earnings Webinar ”
May 15 , 202 5

MANAGEMENT : MR. RAJIV RAJGOPAL – CHAIRMAN AND MANAGING DIRECTOR – AKZO NOBEL INDIA LIMITED

MR. RALLAPALLI KRISHNA – CHIEF FINANCIAL
OFFICER AND WHOLE TIME DIRECTOR – AKZO NOBEL
INDIA LIMITED
MR. RAJIV L. JHA– COMPANY SECRETARY AND
COMPLIANCE OFFICER – AKZO NOBEL INDIA LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '25 Earnings Webinar of Akzo Nobel India hosted by ICICI Securities. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, Mr. Joshi.

Aniruddha Joshi: Yes. Thanks, Michelle. On behalf of ICICI Securities, we welcome you all to Q4 FY '25 and FY '25 results webinar of Akzo Nobel India. We have with us senior management today represented by Mr. Rajiv Rajgopal, Chairman and Managing Director; Mr. R. Krishna, CFO and Whole - Time Director and Mr. Rajiv L. Jha, Company Secretary and Compliance Officer.

Now I hand over the call to Mr. Rajiv Jha to take through the initial statements. Then we will hand it over to Mr. Rajiv Rajgopal for his initial comments on the quarterly as well as annual performance. Then we will have question-and -answer session. Thanks and over to you, Mr. Rajiv Jha.

Rajiv Jha: Yes. Okay. So a very good morning to all participants in our Q4 and A nnual Investor Call. And as per our process, we are starting with that s afe harbor statement, and I'm just reading out to you. This presentation contains statements which address such key issues like Akzo Nobel's growth strategy, future financial results, market positions, product development, products in the pipeline and product approvals.

Such statements should be carefully considered and it should be understood that many factors could cause forecast and actual results to differ from these statements. These factors include, but are not limited to price fluctuations, currency fluctuations, d evelopments in raw material and personnel costs, pensions, physical and environmental risks, legal issues and legislative, fiscal and other regulatory measures as well as significant market disruptions.

Stated competitive positions are based on management estimates supported by information provided by specialized external agencies. For a more comprehensive discussion of the risk factors affecting our business, please see our latest annual report and the a nnual report that we will be dispatching very soon for financial year 2024-25.

Also, the company has been making the required disclosures or clarification from time to time to BSE and NSE pertaining to Akzo Nobel N.V., which is our parent and promoter entity. Media releases on portfolio review with initial focus on Deco South Asia and the management would not be responding to any genera l and or specific query in this regard in I nvestors call. However, the investors or public at large would be kept informed of any updates in this regard as per listing regulations.

So with this, I'm handing it over to Mr. Rajiv Rajgopal.

Rajiv Rajgopal: Thank you. Thank you, Rajiv. Good morning to all our investors on the call and thank you to the ICICI Securities team for setting this up. I'm not going to run through the deck. I think that's a passe old style. We've loaded the deck on our portal and on t he stock exchanges for all of you

to have a look. From my perspective, if you look at the last quarter, we've had industry- leading growth of 5%.

The good news as far as decorative paints is concerned is that we move towards a revenue which was flattish, led by premium and urban towns. So it's slightly different from what the industry has seen. We've seen good growth coming back in premium and also in our urban towns. Our challenge was really in the mass economy putty categories where really we saw a huge amount of price erosion , discounting and we chose that we will not actively play in the last quarter. We've just d

ecided to be sensible and we've seen that some of the volumes that we lost in March came back in April and at a YTD level back in these categories. So really just want to reassure the investors that, look, there's no specific change in strategy or anything. Our strategy remains

to drive market share gain and do it in a relatively profitable manner without diluting EBIT margins hugely.
On our coatings business, we've seen double -digit growth. We continue to see very strong growth and that's because we are seeing rou nded performance, whether it's m arine and protective or our i ndustrial coatings, which has had a sharp comeback through some excellent execution by the team and our powder c oating business. Our a utomotive and s pecialty coating business has had a little weaker demand, partly from the retail side of the business, yes. But I think that's also -- there is an uptick, particularly on the premium side, which is where we've been really focused, yes.
Overall, I would say when you look at the performances -- the brand, distribution, I think we are making significant progress. We have also incurred some costs in the last quarter, starting from the prior quarter actually, where we made serious investments on reshaping the way we work with investments in digital.
Yes, what we are trying to do is to enhance consumer experience or customer experience and also make sure that we have a way of working that not just enables us for enhancement of say leads or customer experience, but also drive productivity in a meaningful manner. With this, let me quickly hand it over to Krishna to give you an overview of the financials and the performance. Krishna?
R. Krishna: So thanks, Rajiv. And as the deck has already uploaded, Rajiv has given the over view in terms of how we shaped up our business in the last quarter. Happy to report that we have struck a balance between the growth and the profitability. We largely protected our profitability despite incurring the growth project costs, which has been me ntioned by Rajiv previously.
And our focus remains in terms of ensuring that we do invest in the business, which will have a significant presence for the long- term sustainable growth trajectory of this company. And we are committed to deliver the superlative performance in terms of th e operating working capital by churning the cash efficiently, which is also reflected in the results which we shared.
With that, I would hand it over back to Manoj and Rajiv. Rajiv, back to you.

Rajiv Rajgopal: Yes. So that's it. I think we've loaded the deck. I think there's no point running slide by slide. I think all of you know the numbers and have seen the highlights. You've had enough time, I guess, to also munch it. So I think it's best that we brace for the questions. And I hand it back over to Manoj and Aniruddha and to all of you to open the Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. The first audio question is from the line of Mrunmayee Jogalekar, from Asit C Mehta Investment Intermediates . Please go ahead. Ladies and gentlemen, the participant is not answering. We will move on to the next text question, which is from the line of Pratik Soni from Go Digit Life Insurance Limited. And the question is -- I'm sorry, sir, he was unable to hear you for some reason. So that is what he said.
We'll move on to the next question, which is from Darshit Vora from Asit C Mehta Investment Intermediates. And the question is GM was impacted due to mix. Which segment has this impact come into? Because you have also mentioned that you have stayed out of the mass segments?
Rajiv Rajgopal: Yes. So look, I think there are two types of mixes in our case. Obviously, when our coatings vertical does better than paints, obviously, that's a slight margin shift because decorative is one of the higher margin profile businesses that we have. So that's one. Two, the carry forward of the pricing of last y ear almost negated. There were two price drops that happened. And as a result and because of the competitive intensity, obviously, the market discount has marginally gone up. So I think t hese are the two factors. Krishna, do you want to add something?
R. Krishna: I think this is largely driven by the B2B and B2C product mix. And we held our efficiencies in terms of the raw material sourcing and which is also largely protected. Of course, the forex volatility continued, which has some amount of impact in terms of the margin development.
Rajiv Rajgopal: Thank you. We'll take the next question.
Moderator: Thank you. W e'll take the next question from Manoj Menon from ICICI Securities. Please go ahead.
Manoj Menon: Sorry, I think there were some connection issues at my end. I'm audible, right, Rajiv and team?
Rajiv Rajgopal: Yes.
Manoj Menon: Okay. Rajiv, so just wanted to just pick your perspective on one particular aspect that of industry growth. If I take a step back and go, let's say, 12, 15, 18 months back, there was a consensus narrative, honestly not our view. We had a honestly very diff erent view actually at an industry level.
There's a consensus narrative or expectation that, let's say, the -- given the expected heightened competitive intensity of Birla entering at that point in time, it was assu med that the market leader

will be largely fin e.
Moderator: I'm sorry Manoj, your voice is breaking.

Manoj Menon: players 2, 3, 4, 5 will actually get impacted and I do find – I will come back in a minute or two .
Thank you.
Rajiv Rajgopal: Okay. Let's proceed with the next question until Manoj gets his line right.
Moderator: Thank you, sir. W e'll take the next question from Lakshminarayanan Ganapathi from Tunga Investments. Please go ahead.
L. Ganapathi: Sir, two questions. The first is that when I just look at like -to-like, so in a sense that there has been some divestment of certain businesses, which has already been announced. So if you just remove it from our top line and bottom line for both last year and thi s year, what has been the growth of the going concern, which is the divestment part . So that is the first question. FY '24, what is the revenue and FY '25 like -to-like, what has been the growth both on the top line and in terms of EBIT?
Rajiv Rajgopal: Yes, Krishna is answering that Lakshmi for you. Yes, Krishna.
R. Krishna: I think the IndAS 105, the assets held for sale accounting has not triggered anything in the P&L portion. And it's only reflected in the balance sheet where we classify the fixed assets into th e current assets. So the P&L disclosure of 5% growth is on a like -to-like basis.
L. Ganapathi: Got it. I have a next question. So if I look at -- I think Manoj was also mentioning the same thing. So when we look back a year or maybe 18 months back, there is a kind of a narrative that the competition will find it difficult to come in and therefore, it will be -- we have seen competition from various players, Sherwin- Williams had come, PPG had come, so it's not going to be a major issue.
But now I see that it is being documented across the presentation that competitive intensity is making inroads and therefore, top line is having problem, bottom line is having a problem. So there's a narrative shift that has actually happened. Just want to hear your thoughts on...
Rajiv Rajgopal: Your voice is breaking a bit.
L. Ganapathi: What is the reality, what is the noise. Yes. My question is that what is the reality and what is the noise in this particular thing of competition and where it is more visible? Is it rural, urban? Is it low end, high end? So your thoughts are welcome, Raji v.
Rajiv Rajgopal: Okay. Got it. So look, I t

hink -- look, the narrative is not written by us. We are very focused on what we need to do. And perhaps that's why our performances have been what they are. Our focus is to continue and I've been maintaining this over the last four quarters, five quarters when you talk of competitive intensity. Th at our focus is to continue to drive market share gain without diluting hugely the profitability.
And I think we are pretty much on our objectives of what we said, Lakshmi. You will agree to that, I'm sure. The second. On the specific question of the new entrants, etcetera, look, I think the larger comment was made that in this category in paints and it's not us, some of the people

who really understand paints as a business even amongst the newcomers have said it's not capacity that drives a new business.
Frankly, it is brand distribution and it's a classical FMCG sort of model in the paints part of the business, which is slightly different than in the coatings part of the business. I stick to that. Yes.
I think, look, what you've seen in the market in term s of erosion of market share is what I've worked now in three different industries in telecom, in FMCG, where we've seen these type of huge attacks by a price warrior or by a new entrant.
In this game, I think you have to give credit that you're trying to build a brand and trying to -- and while doing it, going at pricing, which is way below what the industry operates, 15% even in certai n markets, 20% is unheard of. I think -- and I think that there will be obviously a point of time when this will all start seeming to come back.
So in the short run, there has been an impact. Obviously, when a lead player adds upwards of INR2,000 crores and a couple of these players have done well. Let's give credit to people who've done what they've done. Yes. I think the reality is, obviously, what we've done in terms of strategy is not -- has to be further sharpened to make sure that we ar e able to actively participate.
So what we've seen is a short -term erosion of volumes, I would say. But if you look at it from a long-term perspective and even decorative, the fact is we are bouncing back. Ultimately, the brand strength has to be very strong. If you go and do a market, w e've just done a brand equity

study just a few months ago.
Clearly, the top brands are coming out still very strongly in the minds of the consumer. So it's not easy to displace. And I think we've been very focused on decorative, on our coatings vertical
and we've not digressed in terms of what we need to. And as a result, we've been very disciplined in terms of execution in the market. And to me, that's why I think we've been per forming what
we have.
Even if we were to go off track, I would tell you that the performances will fall and that's our job as leaders and as a management team to make sure our teams are completely following the
script and really executing to what we ask for, yes. So Lakshmi, that's the answer. So the
industry, if you ask me, the reason why some of the other -- some of the players, I think Manoj
also tried to allude to it, so we couldn't hear him clearly.
I assume the question he was asking is the narrative was that the players who are growing seem
to be different from what the narrative is. I think that's because each player has got a strategy. We are looking at customers, consumers. We are trying to see h ow we can create a meaningful
differentiation and do it in a sustained manner. This is not about 1 quarter. You look at the full year performance, Lakshmi.
I think by far, amongst all the listed players so far released the results, our numbers are way
ahead compared to rest of the industry. And that tells you that what we are building is a long
sustainable growth business. We are not doing short terms. Hopefully, answers your question.

L. Ganapathi: Yes. I mean exceptional growth in the times with 5% growth. Just one last question from my
side. In the last 6 months, did you see any kind of an attrition numbers in your sales and
marketing and A SM level people? Has the attrition gone up or down, especially in the last 6
months?
Rajiv Rajgopal: No, the attritions haven't really gone up. I think the industry numbers are now more or less firming. Our challenge has not been in the attrition, but I'll also be honest in saying our challenge
has been that in the recruitments we've had, we've had a bit of dropouts. So it's in filling the
positions, but that's also getting addressed.
L. Ganapathi: Got it. And in terms of your distribution reach, what has been the increase in the last 1 year in
terms of either machines or absolute shelf spaces/retail counters? What has been our expansion?
Rajiv Rajgopal: When you look at competition, they look at gross adds. They don't look at net adds. And so I'll stick to the gross adds. Otherwise, you will wonder why my numbers are what they are. So from
a gross perspective, we continue to add 3,000-plus machines. Look, Lakshmi, our definitions are
a little more stringent because I look at productivity, I look at what we call the tinting machine
productivity. And what I've seen is an uptick of 2%.
Let me explain this to you. See, earlier, if you take a 5 -year average, if we were growing at 6%,
yes, only 1/10 came from existing stores and about 5% came from new stores or newer outlets.
What we are trying to do is trying to reshape it. And why do we need to reshape it? Because in
the intensified competition, it's very important that your own stores, you first protect before you
start now investing in the new store.
Otherwise, you will start having lapsed dealers over a period of time and that both in terms of
money you spend on distribution, discount, everything will go waste. So there's been a slight
tactical change we've done in some of the key markets, which is wh at I think we are benefiting.
Secondly, over a period of time, Dulux never played in parts of the portfolio. Even today, our
numbers are without construction chemicals. We've not yet started our construction. We are
ready to launch, but we've not entered it. The moment we enter it, you can imagine what you're
seeing alread y what other players are talking of in terms of growth. And the reason I didn't want
to do it is we are doing a lot of testing because we -- I want to make sure that in the products we
play, we are significant ly superi or to our competitors and not just iffy.
So that's why we are taking time. We are ready. We could have launched, but we want to make sure that both -- and we also want to make sure it's margin accretive, not dilutive as we move
forward. So it's structurally growing the business in the right manne r. As we do that, we will
start -- you will start seeing further uptick in our performances as we move forward in the
decorative part.
In Coatings, we are doing well. I think the key is to make sure that we continue to grow well.
Our performances in Marine & Protective, whether it's in our Marine business or in our
Protective business has been strong. The order book is still reasonably st rong in our Coatings
business. So yes, we will have a couple of bumps because there was a lot of projects that started

last year, which ends in May, June, but that notwithstanding -- timing notwithstanding, I think structurally, we are poised to continue to grow double digit.
Moderator: Thank you. We'll take the next audio question from Jeet Shah, an Individual Investor.
Jeet Shah: So my question is with respect to the new 11 experienced stores, which we have opened during the quarter. So by which time we are expecting revenue streaming from those new stores? And what is really

idea behind those stores? Because as far as I understand, business would be driving from interior decorators as well. So what is the idea behind those stores? And by which time we can expect the revenue would be streaming from those stores?
Rajiv Rajgopal: Yes. I couldn't hear the last part. So you said you opened 11 experiential stores.
Jeet Shah: Okay. So by which time we are expecting revenue to be streaming from those stores? And what is really the idea behind those stores? Because majority of business, I assume, would be driving from the interior consultants, like a typical consumer would hire a n interior consultant to get those paints. So what is really the idea behind those stores?
Rajiv Rajgopal: I think, Jeet, you've answered the question in a way. Thank you for that. I think the purpose of the experiential stores is, look, Dulux is best-in -class quality, international and has color expertise. These are the core values of what Dulux brings on the table. So what better way to enhance customer experience and have experiential stores.
To be honest, this is something that we've lifted from some of our overseas markets, primarily in Latin America and the United Kingdom, where we brought these experiential stores, our teams have, over the years, gone there and seen what they do. The idea i s also as we build our architect organization to make sure that consumers can walk in and have a preference, which is significantly superior in look, feel, etcetera.
Now 11 is a small number. So really honestly, for me to say the revenue will come out of it is not apt. Our idea is that over a period of time, we want to open hundreds of these stores. And we are not doing -- the entire capex is not on us. It's a shared model with the dealers with whom we've got great relationships. And the idea is to partake in it together to grow this business, yes. So that's the simple model. That's the idea. And the idea is to enhance customer experiences in markets where we really think that this can help the brand and to make sure that we are able to strategically get to the next level of the architects, interior designers. So that's really the answer, Jeet. Could we have the next question?
Moderator: We'll take the next text question from Mrunmayee Jogalekar from Asit C Mehta Investment. And the question is, can you give a sense of what are the EBITDA margins for the different segments within Industrial so far, Auto, Power, MPY and ICO. Also, can you give a sense of the revenue?
Rajiv Rajgopal: No, we do not give EBITDA margins by businesses. I'm sorry, we don't do that.
Rallapalli Krishna: We have a single reportable business.

Rajiv Rajgopal: Yes, we have a single reportable line. So what you see is what you get.
Moderator: All right. And the second, it's a clarification. Did you mention Deco revenue growth was flat in the quarter?
Rajiv Rajgopal: Yes.
Moderator: We'll take the next audio question from Santosh Keshri from SKK Huf.
Santosh Keshri: Great. Two questions from my side. One is that the volume -- from the volume front, if you can give the details of the sales without the Powder Coating business because we understand that, that is under the discontinued business -- discontinued operations in the balance sheet. So in the profit and loss account for this quarter, what is the volume growth for other than Powder Coating business?
Rajiv Rajgopal: I'm afraid we will not be able to give it because at this point of time, when we report the quarter report, the audited signed off numbers include Powder Coatings. Until the point of time that Akzo Nobel N.V. completes the elements of what the powder coating separation is, which is why we've taken two months extension, we would not be in a position to give you operations - wise numbers. We will, at appropriate time, do it. Your company is one of the best in g

overnance. So you can rest be assur ed we will inform the stock exchanges and not come to individual investors, but do it in a manner which is completely clean and above board.
Santosh Keshri: Okay. Understood, Rajiv. Second question is about the capex . Like in the -- if I exclude the discontinued operations assets that is classifie d as held for sale, that is INR 329 crores. And the fixed assets that's there -- the tangible fixed assets is INR 395 crores compared to the last year's INR436 crores. So what is the addition to the fixed assets in the continued business part for the year?

Rallapalli Krishna: So we have a couple of growth projects which are running in terms of capacity augmentation for some of the coating businesses. And then it is also the mixing machine placements to enhance the numeric reach and the distribution breadth.
Rajiv Rajgopal: So we will, in a couple of weeks or a month, in a month, make a massive announcement. We are going to change the way we -- the paint market operates. I'm not in a position to share that today, but you will hear an announcement come in the next month or so, which the team will make in terms of why we genuinely think we are now the unique and one of the best -in-class paints in the industry, yes.
So there's work happening and some of the investments, as Krishna has said, is in line with it. We are happy to take your question in the next call because by then, we would have informed all of you and the market and the stock exchanges of what we are unlea shing.
Santosh Keshri: Okay. Great, Rajiv. In fact, I have been your consumer for a long time. When we got our building painted in Mumbai. So we discovered that Dulux paint is among the best in business and the chemicals that it's been used is not bad for health unlike the other paint companies, which were some people pointed out that there were carcinogenic and other elements inside. So since then,

I have been tracking Dulux, and it's been more than 8 years. Then I was secretary of my building. Now I have out of AMC, but I'm still invested in your company. So I discovered your company through painting work that happened. Thank you so much.
Moderator: We'll take the next question from Dhiraj Dave from Samvad Financial Services LLP. And the question is how market regional growth is in different segments, say, urban and rural. Also next 2, 3 years, what is the management's view about growth in urban and rural market? And the second question is -- okay, sir, you may answer this, and I'l l ask you the second question.
Rajiv Rajgopal: Yes. So look, I think, as I mentioned, our urban growths are much faster. It's there in the deck. Our urban growth and premium grew significantly ahead. The reason is we took a bit of a pause in mass and economy, particularly from mid -Feb to end of March because discounting was going a little berserk.
And as you can see, that's the reason we've been able to hold our margins relatively better than it. We've come back in April without doing too much. And we've been able to, on a YTD basis, get back to -- on a year -to-month basis at the end of April, get back to growth. So for me, I think it's also of making sure that we are able to sustainably grow our business. So really, hopefully, that answers your question.
In terms of rural, look, upticks are there. But I think structurally, I said it in the last investor call, I expected post monsoons around before Diwali, what we call season typically, starting August is when you'll really get to see the pull of the rural economy. You're seeing all the players, different players have different results. But if you pull the FMCG together, you will still see that the rural uptick has been relatively -- of course, there are 1 or 2 outliers. But relatively, when you combine a b unch, you'll still see that rural is still relatively muted.

I think it will start improving because inflationary -- inflation has come down to 3%, 3.6% as headline. We believe that, look, I do think that there's going to be a lot of other positive factors driving the economy and consumption. And with the tax change , which has got implemented in -- from April, I think the smaller town incomes will start going up. And for people, they first spend on essentials and then come to discretionary. Since paints is in discretionary, that's the reason I expect this to be more in August rather than in April.
Moderator: Thank you, sir. The next question is how many retailer plus distribution points we reach as on 31st March 2025? And what have been the growth over last year?
Rajiv Rajgopal: Look, I think we continue to grow in the high single -digit in terms of distribution. We've added, as I said, about 3,200 outlets. So it takes it to 22 plus. We lo ok at in terms of also not just outlets, but outlets which transact to us on a periodicity, unlike just looking at number of outlets added in a year, right, because they have to transact with them, right? So that's what it is.
How do I see it? Look, I think we'll continue to grow. One of the reasons we've started -- we launched the economy segment in 2021 was to make sure that we partake in the growth in a meaningful manner, and that started doing well. I think the pricing pressures are higher with the new entrants in the mass economy, texture, putty and these segment s. And that's why you're seeing some erosion of margins in the decorative side.

But overall, I think after 2, 3 months, I think that sanity on pricing will prevail. And I think then

structurally, we should start coming back. Now whether it's 3 or 6 is a function of how the market dynamics continue to operate and how the new entrants decide to continuously play the game.
Moderator: Thank you, sir. The next question is from Yash D, an Individual Investor. The question is, what has been the volume growth in decorative business in quarter 4?
Rajiv Rajgopal: So decorative had a very minor drop. We've had flat revenue. And the reason, as I told you, we capped our growth on putty and some of these in the last month . But it's not worrying for me because, again, in April, we came back. So structurally, if you were to ask me, I think decorative is going to look at least getting back to a -- for the fiscal getting back to a single -digit growth in terms of revenue and th e volume should be a shade above.
Moderator: Thank you, sir.
Rajiv Rajgopal: Because there were price correction …
Moderator: I'm sorry, sir.
Rajiv Rajgopal: Yes. Now there were some price corrections since January to April. So hence, volume will start surging a little higher than value at some point, not hugely, but marginally from our perspective.
Rajiv Rajgopal: If you can ask the participants to remain on mute, because we can hear a lot of background noise.
Moderator: We'll take the next text question from Gaurav Kakkar from Balyasny.
And the question is, does political or national uncertainty affect any strategic conversations you might be having? Maybe the time lines, if not the subject matter itself.
Rajiv Rajgopal: Look, as far as the strategic review is concerned, Rajiv has said, look, all I can say is there may be a time line given by the Global CEO that the transaction will be affected by the end of this quarter, by June end, right? I do not have any information, as you know, because of regulations, etcetera. I'm not directly involved, but I'm certain that if that is the way, that's the sort of time line. And in terms of political uncertainties, etcetera, look, I think the uncertainty -- I think the dark clouds have moved out. I think the sun is shining bright again. So let's hope -- I'll keep my fingers crossed.
We've been through it months of this. And I think that the d

eal be, at some point of time, concluded successfully. And I'm sure that the buyer or the winning organization will see the value of this brand in the marketplace.
Moderator: The next question is from Rashmi Jajoo from Goldman Sachs. And the question is, what is the projected capex for next 3 to 5 years?
Rallapalli Krishna: We don't provide any forward -looking projection for the capex and financial estimates. Having said that, it will be in the normal trajectory, except for a couple of areas where we need to do some kind of capacity expansions in keeping in view of the growth trajectory of t he business.

Moderator: Sorry to interrupt. Sir -- Krishna sir, I would request you to repeat it because your audio was too low, and we couldn't hear you properly.
Rallapalli Krishna: Okay. So thanks, Rashmi, for asking this question. And we don't share financial projections forward -looking statements here. Having said that, the capex would be in the normal trajectory, except for a few areas where we need to augment our capacities and expand our capacities considering the growth trajectory of the business. This is all I can share at this moment of time.
Thank you very much.
Moderator: The next question is from Dhiraj Dave from Samvad Financial Services LLP.And the question is, FY '25 dividend payout is more than 100%. While it is good, in medium term, what would be dividend payout ratio medium term?
Rallapalli Krishna: So we have -- thanks, Dhiraj. We have the dividend distribution policy, which clearly outlines and which is in the part of the website and which mandates 85% of the retained profits can be distributed as a part of the dividend.
Of course, '24- '25 is the 70th year of Akzo Nobel being present in India. There, we took the -- we have distributed as a onetime special dividend in the month of November of INR70. Thank you. Hope this answers your question. Thank you very much.
Aniruddha : Aniruddha here. So I have 2, 3 questions from my side. So one question, we have seen we are doing well in B2B part of the business, which is also leading to market share gain for us. So what are the key things that we are doing right, which are helping to gain market share and do well also compared to the compet ition, if you can elaborate a bit more on that?
Secondly, now there is a reduction in crude oil price, which is a key raw material. But at the same time, there is some increase in anti -dumping duty on rutile also. So net -net, how do you see the raw material situation? And in case there is some savings o f, let's say, 50 to 150 bps, so what will be the strategy, whether to focus on margin expansion or whether to focus on -- invest that back to protect and gain further market share. So what will be the thinking on that process?
Rallapalli Krishna: So Aniruddha, thanks for the question. Regarding the growth trajectory, what is driving the growth in the B2B business is absolutely the focus and the disciplined execution of the pipeline. And the teams are completely focused in terms of ensuring that the customer needs are met and

through the innovative products and the services, -- which we have been telling over a period of time. So that at the end of the day, it's not a sale of a can of paint, rather it's a complete solution and the application, which is driving that growth trajectory and we would be able to largely retain and grow with the customers. Coming to the subsequent question in terms of, what was the second question, Aniruddha, if you can refresh?
Aniruddha : Sir, there is a correction in commodity prices, but some increase in rutile prices.
Rallapalli Krishna: So we are again consistent with our strategy in terms of that last year, if I refresh on these things, we will retain the profitability of the business, and we will invest back into the business in terms of ensuring that a sustainable

growth trajectory is back, which we demonstrated over a period of last 1 year and which we will continue further. Rajiv, would you like to add?

Rajiv Rajgopal: No, I think that's absolutely perfect. right? I think the fact is we've started moving towards positive trajectory in decorative. And the reason I use the word flat is because for me, a point 1 and point 2 is not meaningful. It's not a -- I don't call it is flat, right? But suffice to say that, look, I think we are moving the needle. If you look at our retail business in decorative, it's hugely improved, over the last 3 quarters, and we are slowly seeing an uptick across various states. We are doing a lot of pilots, as you -- as I mentioned, we're doing a lot of other experiments. You've seen the experiential stores, what you've seen. As I said, Aniruddha we will also be in a month telling you a game changer, at least from our perspective that the team is executing on. We'll talk about it, right? So it's in a sustained way to really build this business to the next level. For me, very clearly, the ambition is to become the number 3 player in the decorative. It's a bleeding statement at this point of time with so many new players coming in. But at the end of the day, I think if you look at the last 3 years, our records hopefully tell a story because I always believe that numbers tel l a story, yes.
Aniruddha : Yes. Sir, last question from my side. If you can share a bit more details on the experiential stores. So it's a FOFO what kind of a business model? And then what will be the, in a way, revenue potential out of these stores? Also, whether we would be restricting it currently to North India only or we would have plans to expand it to West and South and Eastern markets also, plus whether it will be Tier 1 and metro strategy or we will, in a way, launch in smaller parts of the India also or smaller cities of India also?
Rajiv Rajgopal: So let me start with the second part. I think we want to start in towns which are material to our business, both in terms of size -- shared size presence. And while we are a urban town metro -- seen as a metro brand, you'll be surprised that actually our s trength in some of our Tier 1 towns exceed some of the metros. For example, we are not really present in metros like Hyderabad or in a meaningful manner in retail, right?
So really, in places where our brand equity is strong and we are not present, we want to use the experiential store to drive reference. And why we're doing it? Because as I explained earlier, the idea is that we are -- the world has changed. We are now trying to make sure that the brand strength and the quality is also seen by some of our applicators, architects, interior designers, given the shift that's happeni ng in the way people consume paints at home, right? That's the broad picture.
In terms of -- we are not -- as of now, even in the 11 stores is not only in North, it's in North and East, and there are some towns in West and town s in South where we've already started making inroads. Our idea is to pilot it. We are first trying to understand what are the elements of the experiential that will be differentiated, how can we build a sustainable model.
These are dealer -owned outlets where we partake, we invest, partly invest, and that's how the model will be because really, our job is also then driving the traffic and making sure our dealers who invest, our partners who invest get the return on investment for the investments that we've asked them to make.

So that's the simple model, Aniruddha. And we will talk a lot about it in the near future, right? You will see an announcement, and hopefully, that will give you some clarity. Till then, I would rather hold and not take the -- steal the thunder from the tea

m which is working on it.
Moderator: We'll take the next question from Aditya Yadav from Abakk us.
And the question is, could you please shed some more light on the current supply and demand scenario? And what is the future outlook on the same?

Rajiv Rajgopal: Look, I think the paints industry is still seeing some early single -digit growth. It's very clear when you look at the industry with all the players in it. The question is that the margin profile of that growth, which is coming is at a lower profile than w hat we currently operate. So the trick isn't really putting strategies to make sure that we are able to carve out and partake in the incremental growth, which is really meaningful for us at this point of time.

Because I think the demand situation will start and I've been consistent. In my view, I see no reason why the second half of the year should not be better than the first half of the year, given that last year, at this time, we had elections and results cam e in June. I personally believe that, look, the second half should be better, unless there is an external event, which again, I cannot comment on.

Yes. So really, I think the future outlook, I would say that if you take a year from now, and I would not be very pessimistic, I would say within -- after a year from now, I do see demand uptick. This industry had gone from 1.2, 1.5 times GDP to 0.5 to 0.8 times GDP. I think it will slowly come back to 1 and then it will start creeping back to 1.2. For that, players with stronger brands, investments, distribution and doing the classical marketing will be the winners of it.

And it's not a -- it's a battle that one has to fight in different geographies, in different states in a differential manner. It's not like a one India sort of a model that will work everywhere, both in terms of the way consumers consume the paint, the way in terms of consumption, the way it is happening, right?

What works in Mumbai, for example, on exterior paint is very different from what is getting consumed even along the coast in Kerala, for example, the ask and what we are seeing now is there's a differentiated way, yes. So I think it's about really understanding -- for us, it's simple. I would just simply articulate , it's saying about how to bring the magic into the can.

Moderator: The queue is clear now. We may conclude the question -and-answer session, and I would like you to give the closing comments. Thank you, and over to you, sir.

Rajiv Rajgopal: Thank you. I would like to thank all our investors who've been very patient. A lot of you who have been supporting us, cheering us from the outside. I all -- I do understand that the single largest question to me is what's happening on the strategic review . I have great hope that the final buyer will be a person who is going to take this business to the next level. And as and when we know it and as soon as we have information, we'll first inform our stock exchanges and then obviously inform all of you.

We are quite excited at what we are doing right now. And really, that's the focus because this is a time to -- you can easily get distracted in this sort of a time. I think what me and my team over the last 8, 9 months have been doing is to walk the talk and trying to do it in a meaningful manner. It's not an easy battle. It's tough. But as you've seen, I think finally, as I say, the runs or the score has to -- and th e numbers have to speak for themselves.

With that, I'll leave it to all of you to decide. I think for a number 2 player with 13.6% EBIT margin, in the year with a 7%, 8% market share, I think, is quite unheard of. I don't think you hear too many number 4 players in any industry, first making the sort of profits that we do, having the sort of cash flows we have. And if you look at it, the journey from 2018 to now and more specifically from '22 to

now have become really -- we've really upped the walk in te rms of performances, yes.

I think that's what I leave all of you to judge, whether you want to run a business which has higher market share with 7% EBIT margin or 14%, 13.5% EBIT margin is your choice. I continue to remain focused with my team in delivering strong performances and making sure we take this brand and the business to the next level. With this, thank you very much. Thank you all for your time. Good luck. Bye -bye.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of ICICI Securities, that concludes today's session. Thank you for your participation. You may now click on the exit meeting to disconnect. Thank you so much. Have a great day.

Call: Aug 2025

Akzo Nobel India Limited
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Registered office: 801A, South City Business Park , 770, Anandapur , E M Bypass , Near Fortis Hospital, Kolkata – 700 107
CIN: L 24292WB1954PLC021516
8th August 2025

Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 500710 The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra- Kurla Complex
Bandra (E)
Mumbai – 400051
Symbol: AKZOINDIA
Dear Sir /Madam ,

Sub: Group Investor Call Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the group investor call conducted on 5th August 2025 with regard to the financial results of the Company for the quarter ended 30th June 2025 .

This has been uploaded on the Company website also and can be accessed through the link: https://akzonobel.co.in/investors.php#im

Kindly take the aforesaid information on record.
Thanking you.
Yours truly,
for Akzo Nobel India Limited

Rajiv L Jha
Company Secretary & Compliance Officer
Membership No. F5948
Encl: as above.

"Akzo Nobel India Limited Q1 FY'26 Earnings Webinar "

August 05 , 2025

MANAGEMENT : MR. RAJIV RAJGOPAL – CHAIRMAN & MANAGING DIRECTOR , AKZO NOBEL INDIA LIMITED

MR. KRISHNA RALLAPALLI – CHIEF FINANCIAL OFFICER
& WHOLE -TIME DIRECTOR , AKZO NOBEL INDIA LIMITED
MR. ROHIT TOTLA – WHOLE -TIME DIRECTOR , AKZO
NOBEL INDIA LIMITED
MR. RAJIV JHA – COMPANY SECRETARY & COMPLIANCE
OFFICER , AKZO NOBEL INDIA LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the AkzoNobel India Limited Q1 FY26 Earnings Webinar.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the conclusion of presentation and management remarks. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you and over to you, sir.

Manoj Menon: Hi, everyone and thanks for joining the call today. It is a warm welcome from the I-S ec Team, and it is an absolute pleasure as always for many years now to continue to host the AkzoNobel India quarterly call. Thanks to the Management for giving us the opportunity.

The management today continues to be represented by Mr. Rajiv Rajgopal – Chairman and Managing Director, Mr. Krishna Rallapalli – CFO and Whole -Time Director, Mr. Rajiv Jha – Company Secretary and Compliance Officer and we are also joined by Mr. Rohit Totla – Executive Director, Akzo Nobel India Limited.

I will hand over the baton to Rajiv Rajgopal for the i nitial remarks and then after that we will open the floor for " Q&A. " Thank you so much.

Rajiv Rajgopal: Thank you, Manoj. Good afternoon to all the shareholders. It is wonderful to get a chance to interact with all of you again.

We loaded the deck onto the website, so I am not going to run through a canned presentation because I think the real meat is in taking some of the questions you may have. You have seen our results and as I have always promised to you, it is not just when we have great or very strong quarters, but even like the one which we have just completed, we have had a relatively difficult quarter, we are here in front of you to be able to take questions and answer you to the best extent we can in all transparency.

On the quarter that has just gone by, as we have presented, we have had a revenue decline of about 4% and the volumes were of course a little lower, we were flattish in volumes.

In the decorative paints business, the decline was in line, marginally higher than the decline of the company and the coatings business, which has been really growing in a very high single digit, also we have witnessed a very low flattish low single digit growth. If you can see the numbers, you would see that between the revenue and EBIT, in the gross margins, there is a bit of dilution. That is largely because of two reasons. One, the mix of the businesses was more skewed towards the lower margin businesse s, particularly, some of our businesses like coil coatings and relatively on some of the low

margin products within the coatings business, while we had a sort of a flattish performance on a high margin business, particularly vehicle refinish, right.

In the decorative paints, our margins were pretty much flattish. Our challenge was more from a cost perspective and that is largely because we have made certain future investments for growth, which is the reason you see between the GM and EBIT and EBITDA, the drop because we worked on certain futuristic projects, particularly digital projects of really looking at creating the next wave on things like lead management, et c., where Rohit and team are working on and we have completed that project and now we are trying to take it across the country. So, that is really what we have.

I thought I will just give you some color to the way the businesses have gone. We have obviously continued our march. For us, if you look at the quarter, it was June, which was a huge aberration. In June, we saw a huge decline. And that perhaps had also to do with the strategic review, as I have said in the morning during my television intervie

w, saying that, look, we did see a bit of a decline. Some of it we had envisaged and anticipated. We did call our 700 dealers in Kolkata in the mid of June to reassur e them that at that point of time, before the final winner or the buyer was announced, that we would continue to serve you well. But again, during the last week when the announcement was made, there was a little bit of apprehension by our dealers and customers in terms of warranty, how that would be taken, etc ., Much of it has been sorted out in the month of July, which is why perhaps we have seen a good bounce back in July against what I think has still been a bit of a tepid growth for the industry. So , our bounce back has more to do with the fact that you have got average June and July, would also indicate to you how it is.

We continue to really be focused in our markets and we continue to make sure that we are addressing our customer issues and being able to solve them. And obviously, now that the entire strategic review is over and we are now working very closely to make sure that we get the revenue trajectory back to the areas and move back to becoming the top two on incremental growth and eventually start moving toward s becoming the fastest growth player. That is really where it is.

I will invite Krishna to say a few comments.

Krishna Rallapalli: I think Rajiv, you have largely summed it up. I think we will be back in the trajectory where we intend to be , and with that we can ask Manoj to open the question -and-answer.

Rajiv Rajgopal: Yes. So, if there is nothing else, of course, we are joined by Rajiv Jha who is sitting with us and Rohit who has dialed in from Calcutta. W e try to make sure that we win hugely in East. So, he is there. Right ? So, with this, Manoj, back to you.

Manoj Menon: Yes. Hi team, please. I can see one participant in the voice and I think the text as of now. But we will start Q&A, please.

Moderator: Thank you very much. We will now begin with the question -and-answer session. Our first question comes from the line of Lakshmi narayanan Ganapat hi from Tunga Investments. Please go ahead.

L Ganapathi: Yes. Hi Rajiv and team. Thank you. I just want to understand, I mean, what would be the management going forward, will there be a change in the senior management , I mean, how do you think about it? Did you see any increase in attrition a t the mid -management level in the last three to six months and how are you addressing that?

Rajiv Rajgopal: Yes. So, look, to answer, actually, first and foremost, the brief we have got from Mr. Par th Jindal, who actually came, was very kind enough to visit our office with our global CEO. He addressed the team. And I think his presence has lifted the spirits of the entire team with his high energy, clarity of thought and very clear in terms of the warm welcome he has given to the A kzo Nobel India family. So, I think with that itself, we will give you an indication of the fact that people are quite enthused. Remember that this is one of the most dynamic and fast -growing conglomerates in the country. So, I think it is a great opportunity for everybody. As far as the management is concerned, at this point of time, Parth intends to run the two companies separately for a period of time. So, everybody remains as is. And in a period of time, I think it will be more appropriate if he answers. But to the best of my knowledge, both the teams and obviously, all the great performers will be very much a part of the story. If I were to just of guess it. To your second part, as far as attrition is concerned, look, attrition had gone up about four or five months ago in the front line. And that the strategic review, only being one small reason of it. I think there are various other reasons, but that has now sort of tapered along. Our challenge was not in attrition. Our challenge was in the re

cruitment of people that we were, because a lot of people at the poin t of joining because of the company not being clear in terms of who the buyer is, were taking time, they wanted to be clear, etc. , that is also sort of now a little behind us. So, that is where we are. Are we seeing in the middle management and senior management any attrition? Senior management, in my reports, no, none. And in the middle management, there have been one or two, which is insignificant given the population that we have. But suffice to say that we have not really lost any heavy weights.

L Ganapathi: Rajiv, in particular, I think you are taking a larger role in Akzo driving from Asia Pacific to take on the entire Indian market, if I'm not wrong. So, how would role change? You would be a part global collaboration, or you would be a part from the Indian population?

Rajiv Rajgopal: Well, ye s, it is going to be a change for me because yes, I handle South Asia and Middle East. So, I will have to start disassociating from the boards of the Middle East companies in a phase d manner. It should be completed by the time the entire transaction is done end of December. Look, I always believe that a leader never quits and a leader, that is a message I got from one of my mentors who happens to be the C hairman & M .D. who retired from Nestle and he ran by his personal story where I went through those tough moments of life. I am blessed. I think I got a lot of good advice, and I am thrilled. Look, at the end of the day, this is my team , this is my organization, and Parth has been very welcoming. Obviously, w e have not got to discussing the cont ours and the role, etc. , But suffice to say, he has been very, very supportive. And obviously, I think, again, it is for him to outline what he

really would do. But for the moment, I think me and the team are very happy to be a part of the transaction and a part of the A kzoNobel India group, which is moving to the JSW group.

L Ganapathi: It is wonderful because I think I have been tracking A kzoN obel as an investor over the last couple of years and I have seen how the company has gone from strength- to-strength with the leadership, which I can see on my screen. I think it is good to have the entire team taking the company to the next level and to the new logo, if I can use the word. And the second question which I had is that, or the third question is that, did you roll out employee salary increases that happened in January or for you, it happened in April, May, b ecause that is how the employee process has actually kind of gone up, right? What kind of increment average has been given for the company across the globe ?

Rajiv Rajgopal: The average increment was approximately about 5.7%, just about between five points. But then we also had to make sure that particularly our frontline sales officers, etc., we rolled in, , because of the higher attrition, we wanted to make sure that we retain them. So, keeping all that in account, as Krishna said, the average would work out to approximately about 6.5%

L Ganapathi: Yes, got it. Thank you so much. I will come back in queue. Rajiv and team, it has been a pleasure to be with you.

Rajiv Rajgopal : But Lakshmi, I also want to tell you, the team at JSW Paints is also a very good team. Since Krishna, me and Rohit have had the fortune of meeting them. So, I think we are thrilled. I think you should look for exciting times ahead as a shareholder.

L Ganapathi: Thank you.

Rajiv Rajgopal: Thank you.

Moderator: Our next question comes from the line of Niharika Karnani from CapG row Capital. Please go ahead.

Niharika Karnani: Hi, good afternoon team. So, I had a question on revenue. So, what would be the revenue growth drivers from here on? And I mean, is the entire paint industry going t hrough a lull phase right now? Is our competition also facing

the same? And what do we plan to do differently to capture more market share, first? And second, I mean, both the companies would run separately as of now you told. So, in future, would there be a single brand going forward or how would be the intersection part?

Rajiv Rajgopal: So, again, I think first, let me address the first part of your question. Look, I think the listed players, you are seeing the growth, you can average it out , it is pretty flattish , when you take all the results, at least the top four players of all around, right? A nd if you take the last three, four quarters, with 52% of the industry having a decline, right? So, obviously, it was a decline. But I think things are improving. And I think that is what you heard from all my peers, from all my counterparts a nd that is fairly indicative. So, I think that is the first. The second is, look, I strongl y believe that except for

maybe one or two new players, I think the biggest battle we were having was with the newcomer who obviously put in a lot of volume and revenue into the market. What we are observing from the largest player and Rohit is o n the call, is the fact that we have started now in many markets seeing that the volume started averaging and revenue started averaging out, right? We believe that in our case, in many of the markets, both across West , East in particular, definitely in some parts of North, we are starting to get our lapse d dealers back, right? The program that Rohit and team are very well executing in terms of getting our lapse d dealers back. Yes, there are a few markets where there are still some challenges, particularly in the southern part of the country, and we are trying to address it. My belief is, look, th at fundamental ly in the Diwali quarter, which is the October -December period, you will see a bit of a growth, largely because of the spurt that would happen because of consumption, because consumption itself has been a bit low. It is not only paint . If you look at the consumption sector, right, today, we applaud 5% growth, right? And we come from a sector which used to be double -digit growth a year ago. So, I think that consumption itself will start seeing an uptick. We used to say that paint s will be ideally 1.2 x to 1.5 x GDP. Now you have come to half, 0.3 to 0.6 of GDP, right? So, my belief is it will climb to one and then go up. So, that will give you a bit of a tailwind. Second, what are we doing? I think if you look at the growth in the market, it is largely coming from mass economy, texture, putty and construction chem icals. We are not even present in construction chemicals . Rohit and team have just started launching it a nd I am talking on the Decoratives side in the projects, in a very small manner . Over the period of the year, you will see more of it. The team is working on a lot of launches and new product innovations a nd that will also give a huge imp etus in terms of growth. I believe that the growth will slowly come back as we have started seeing . But ye s, there is a lot in terms of execution excellence, which will also drive it. On the coating side, look, some of our businesses have come back. Marine and Protective is cyclical. The order book is strong, and we will see stronger growth in the next quart er. Because last year this quarter had a high base with a lot of projects, which were one -time, including the naval ships that we painted, etc. , for the Indian Navy, those were one-time projects which came in that last year this quarter. But we have got a good order book, and we should be back to growth not fundamentally why. In terms of the second part of the question on JSW brand, etc. , that is currently, we are kick starting that activity. It will take time in terms of what the company brand should be. Because AkzoNobel India can be used for a year. After that, we will have to mi

grate to a new name. And that is something that the JSW group and some of our team members are working together jointly, and we will come back to you when we have adequate information in this year . Hopefully, I answered all your questions. Thank you.

Niharika Karnani: Yes. Thanks for such a detailed explanation on all the questions. Thank you.

Moderator: Our next question comes from the line of Ma athangi Anirudh from Motilal Oswal Financial Services Limited. Please go ahead.

Maathangi Anirudh: Good afternoon. I just had a couple of questions in the retail segment. So, I think there are a couple of new players like Grasim and all and they have a good network of distribution and dealers as well

and they might be leveraging their Bi rla network for this as well. I was just wondering if A kzoNobel plans on bettering the distribution network. If yes, are there any numbers I can get on this one?
Rajiv Rajgopal: So, let me first check if Rohit. Rohit, can you take that on , and if you could answer that, I will add to what you sa y.
Rohit Totla: Yes. So, we have a very established network currently and we are expanding it continuously. So, what is A kzoNobel only which is where the route -to-market is quite different from the rest of the players in paint industry, where we have used classical FMCG model of a distributor because paint as an industry requires faster servicing. What we traveled in the last ten years, we have added 4,000 new towns to our journey. We traveled from 1,400 towns to 5,500- plus towns , and our ambition is to continuously reach close to 8,000 towns in the next two years. So, this is where we are expanding , and we are expanding our point -of-sale tinting network also, which is continuously ramping up. So , our aim is to reach close to 70% of our network of point -of-sale tinting.
Rajiv Rajgopal: Thank you, Rohit. See, there are two parts to this. One is, of course, the physicality of the distribution network being there. The second is to enable that you need a portfolio. Ultimately, outlets keep categories and portfolios. So one, what Rohit was talking about is the traditional paints outlets and distribution. What Rohit and team are also working is, obviously, there is a construction chemical s business where only 40% of the paint outlets actually caters to. So, the team is also look ing at scoping and looking at what are the outlets where we can incrementally add. Right ? And this is all standalone. I am talking of us as AkzoNobel India standalone , right? So, that is really the focus , Maathangi .
Maathangi Anirudh: Got it. Thank you so much for the detailed answer.
Moderator: We have the next follow -up question coming from the line of Lakshmi narayanan Ganapathi from Tunga Investments. Please go ahead, sir.
L Ganapathi: You mentioned that AkzoNobel name can be used only for one year.
Rajiv Rajgopal: That is right. Dulux has been brought over by AkzoNobel India.
L Ganapathi: What was the Dulux name?
Rajiv Rajgopal: The Dulux name and entire IPRs have been brought over by AkzoNo bel India. And it is a part of the entire transaction, which is getting acquired by the JSW Paints Company .
L Ganapathi: So, you can put the names.
Rajiv Rajgopal: Yes. It is a flagship. Let us wait for the transaction. So, that is the reason , Lakshminarayanan .
L Ganapathi: What about the other names like Interpon and all those things?

Rajiv Rajgopal: Interpon is a powder coating product which has now been a part of the transaction where we have sold it to AkzoNobel Global, which is the reason why we got the money and the dividend that we were able to give. Right ? That now is a separately privately owned company of AkzoNobel unlisted. Right ? International , Sikkens and Vehicle Refinish , these are the brands which will continue to be owned by AkzoNobel bu

t is a part of the transaction and will be manufactured and sold by the JSW - AkzoNobel or whatever we call th at new entity. Yes.
L Ganapathi: Yes. Got it. And what about the names like Weather shield Protect or Aquatech , all those -?
Rajiv Rajgopal: So, the first is the company brand. The second is the master brand. The third is the brand, which is under use, which is Velvet Touch, Weather shield. All that will continue. There is no change in anything at all.
L Ganapathi: Got it. And can you give a mix of your B2B, B2C and project business , because you mentioned in your presentation that -
Rajiv Rajgopal: Decorative is 80 -20 retail projects. Overall, paints coatings is somewhere between 57 -43. It can be 55-45. It can be 60 -40. It can even be 51- 49. Depends on the season, right? For example, now as we get into the decorative season ahead, it will be largely decorative. The quarter which has gone by, obviously, because of various reasons and because of the impact on decorative, it was obviously coating s did better. Fundamentally, that has been the ratio. If I take a three-year average, it is around 57-43 or 60- 40. Thank you, Lakshmi.
L Ganapathi: Thank you.
Moderator: The next question comes from the line of Diya Brijwani from White Whale. Please go ahead.
Diya Brijwani: Good afternoon. Hi. Thanks for the opportunity. I needed some color on the industrial side of the business. I got your point on marine being a little cyclical. And if you can give some color on whether in auto have we gained market share? How has the industry been and how are we performing? And secondly, do we also get some kind of synergy in the industrials as well with the J SW group or is it purely on the decorative side?
Rajiv Rajgopal: There w ould be some synergy on the industrial to take the last part of your question. The J SW group is very, very big in the industrial coatings, coil coating in particular. And they already have made foray into some of the other businesses. So, that is one. Two, in terms of the business, look, on vehicle refinish, we have had a very flattish quarter a nd obviously, that is an area where we have been gaining market share, b ut in the last quarter, obviously, I would need to wait for all the numbers to come to be able to address that specific answer. I think the good part in the vehicle refinish is our premium

business has grown very well. Right ? Our entire problem was in the mass and in the low -end products, which is what the team is working to address now as we move forward. Right ? I think we do not play in the OEM business, and we only play in the automotive plastic, both exterior and interior

of the vehicle. And we have got a good collaboration with some of the largest OEMs, whether it is Mahindra & Mahindra, Tata Motors, MG . We have got good sharing. I think we are now working together. I think one of the benefits and that is obviously post the synergy, post the entire deal being completed is we will obviously get to learn a lot from the JSW group, which is now established itself in the auto business. But it is early days. I mean, obviously, that is post the transaction. At this point of time, standalone are working with our existing partners, whom I mentioned, in trying to get a fair share of the market.

Diya Brijwani: Got it. That is helpful. Thank you and all the best.

Rajiv Rajgopal: Thank you.

Moderator: Our next question comes from the line of Aniruddha Joshi. Please go ahead.

Aniruddha Joshi: Sir, j ust one question. Now that powder coatings business is going out , so whether it will be possible to share pro forma numbers for Q1 FY26, assuming if the transaction was done on 1st of April ? So, what will be the indicative numbers that will remain with the existing shareholders of the Akz o? And secondly, also , royalty will also be reduced . So, what will be the i

ndicative net of royalty, other expenditure, if you can share these two things? That is on question number one. And question number two, now, I guess some of the trade would also have got im pacted because of the change of hands as well. So, there would be some amount of impact on the trade stocking as well. So, how do we see the trade stocking in a way changing, let us say in the month of July or has it come back to completely normal or still some impact or pain is still there in the trade also? So, if you can maybe share qualitative aspects on this, it will be helpful?

Rajiv Rajgopal: Yes. So, I will start. Rohit , you can add anything that I am saying. Look, our impact in June, Anirudh was largely, and I think you all have covered it well , you got your ears to the ground very well I must say is the fact that between the 15th and 30th, we saw a bit. And it is not that we did not address it. Rohit had already anticipated with his team. We had about 700 … I will allow him to talk through it and what we did. But what happened was, I think, obviously, there were many more quest ions to be asked and in a very short time in which we could answer. And it is a much larger universe. Remember, we cater to about 20,000 outlets. And our active is almost 14,000 on a monthly basis. So, it is a large number of the 700 that came in. So, obviously, it took a while. But by the second week of July, we have addressed it. Rohit and I have addressed a joint letter to all our customers saying that we stand responsible for anything till the transaction gets closed. And JSW paint s team has been very supportive in also acknowledging that they will obviously continue all the activities, including warranty that needs to be given, because anyway, the warranty is very, very low. So, to that extent, not much. Rohit, you want to add something? How is it in July?

Rohit Totla : Yes. Now the announcements are over and that entire anxiety is over. Over and above that, what Rajiv has just alluded, we went back to retailers, clearly assuring them. At the same time, in our B2B business, which is our project business, a lot of anxiety was there, whether the places where we are

issuing warranties will be honored or not. Even in our retail side of the business, where we do retail projects, those warranties were always a question mark and which we were able to solve. Second, Rajiv already alluded on the attrition front also, where even for the employees , a lot of questions got answered and a lot of stability started coming back and things are moving in the right direction.

Rajiv Rajgopal: I must say two things. First, of course, the dealer stock came down by about a week. But I think the relationship that the team has with the dealers is fantastic. And for the team, I again would like to thank Parth for coming down to our office and addressing all the sites. He addressed the entire team and I think the team really liked the energy and spontaneity and the clarity with which the answers were given and after that we have not had any issues till now .

Aniruddha Joshi: Okay. Sure, sir. This is helpful. And on question one?

Rajiv Rajgopal: On question one, I will leave it to Krishna because I think we have a governance.

Krishna Rallapalli: Anirudh, as far as question one is concerned, 30th September financials would include all the mandatory necessary disclosures as per the listing regulations and the rules. Okay? Thank you.

Aniruddha Joshi: Okay, sir. Just one accounting question. Now, I guess the powder coating will move to discontinued operations from 1st of July. So, accounting -wise, it will come as discontinued operations till the time it does not get out of the company. Correct?

Krishna Rallapalli: So, there would be some amount of reclassifications which will happen and that we will leave it to the auditors , and then, at the same time, the m

anagement presentations, we will give a like-to -like number.

Rajiv Rajgopal: So, we will give like -to-like numbers. Okay.

Aniruddha Joshi: That will be very helpful. Thank you. Thank you, sir.
Moderator: We have the next question coming from the line of Avi Mehta from Macquarie. Please go ahead.
Avi Mehta: Hi. Good afternoon, Rajiv. How are you? So, Rajiv, I wanted to kind of just check with you… I am sorry if I missed this earlier , but could you give me a sense on what is happening on the ground on competition? I do understand that you are trying to juggle the transition , but there is also a competitive landscape that has changed , the competitor has been trying to take away, influence our dealers, distributors. So, if you could give me a sense on how things have panned out ? There were some comments about by some other peers saying that dealers are coming back to them. Would love to know your take on these things, please ?
Rajiv Rajgopal: So, Avi, let me ask Rohit and then I will come back.

Rohit Totla: So, Avi, thank you for this question. Yes, t here is an aggressive competition which has entered. But by and large, thanks to all the work which we have put in, we were able to protect our channel largely. We had one good thing which was an advantage to us is we had a different route -to-market, which is our distributor model , and first we did distributor 1.0 and now distributor 2.0, which is to do with the distributor or a micro distributor. As a result, we kept on expanding. So, that particular aspect is there. The second thing, which is wherever we saw an action, we were very quick in talking to our retailers and bringing them back to the fold, what we call a program called "Ghar Wapsi". And that is where within a quarter we were able to bring back. So, I would be saying in the last five quarters, t his aggressive competit ion was there. But we were able to do better than the market. So, this is just a proof of the pudding.
Rajiv Rajgopal: So, Avi, let me just add . Look , if I break India into four regions, North, West, East and South, I think the impact of the new competition was highest in South, followed by a bit in West, Punjab and North largely, and East has been very minimal. We have the highest market share in East. So, to that extent, the impact in East has b een more for consumption and some internal execution issues and nothing to do with new competition. It is the existing competitors, particularly the number two player, etc., who had been doing well there. We believe that we again to get back to the top two growth, that is an area that we need to work a nd that is one of the reasons Rohit is there. If you look at South, we believe that in some of the states we have really come back. We have negligible presence in Andhra and Telangana. And we have taken a huge bet of now after many years putting down specific resources in specific towns to start win back. And Rohit is really trying to drive that aggressively. To the point that you made that some players said that, look, it is true. If you look at in some of the markets where competitive intensity was very high, we had dealer attrition. But like Rohit said, we saw this coming about two months ago. It is just that we have not articulated because our belief is that we are focused on our stuff in terms of how we can win back customers. And it is not about the statements we make, it is about the runs we score. So, we, yes, in some of the places, as I said, the competitive intensity of the most aggressive player amongst the newcomers obviously has tapered off a bit. And that is why dealers are coming back and a quotient of business has come back. But remember that for us, our strength has been premium and we continue to do well. Our challenge has been the middle economy. And that is where we are strengthening ourselves without diluting margins si

gnificantly.
So, that is an area that we are working on. We are working in terms of our entire propositions as far as painter and contractor. And as I said, we made a significant investment, right, with a top tier firm to really start this entire digitization on the lead management, which is going to drive both top line and help us in productivity over a long- term period. So, those are some of the things that we have done. And I believe that we have taken like the way we took distributor, which is a " Road Less Travel led". I believe in some of these things we have taken a road less travel led. But I do believe that in a short period of time, you will start seeing the results.
Avi Mehta: Got it, Raji v. Very clear. Very clear on that. Just if I may, just as we move now, you had A kzo, which obviously is very, very premium, gives it particular culture of how you essentially go about, approaching dealers and then you had J SW, who has been, in a way, a new entrant of sorts, who has been also very, very aggressive on the ground. I do appreciate the joining of strengths that are coming

in over here. One of the things that I worry about is the organization cultures. So, would love to hear your thoughts on how would you look to… what in your opinion would be the way forward to best integrate these different beasts, if I may say, while ensuring that they run together as a team? Sorry, I am not sure. I am just trying to understand how would you approach this? I am not looking for an exact answer here, but would love to know your thoughts on how you are looking at this.
Rajiv Rajgopal: Yes, look, culture is created by members in the team. I think as a leader of the person who is owning the organization, as Parth has clearly outlined, that ultimately it is about winning in the market, and JSW being a very aggressive and dynamic group, the expectation from unlocking the value of b rand Dulux and significantly putting investments behind it , is to unleash … is that, look, we believe that, look, if the brand is unleashed to its true potential, the ability of the brand to unlock growth will be signi ficantly higher. And I completely agree, having run this for over a decade in two stints, right,

that the constraint for us is as a global firm and it is something that my global CEO said so it is not something that I think which is different . The global firms are constrained by percentages, percent margin, percent EBITDA , right , not absolutes which Indian firms look at. So, I think that is the first . I think coming to your culture I think a lot of it is defined by the people who run the organization. As I said , Avi, to an earlier question we have got people who are well qualified on both sides of the table and remember that JSW Paints being a relatively new company , has got good, great talent from companies like Unilever , even from A kzoNobel by the way, right. So, I think it is to me having done this exercise in my years of Unilever I have been fortunate to do the Brooke Bond and Lipton integration, I have done the Unilever and Brook e Bond integration, I have looked at Castrol BP and Airtel combining of two circles . Ultimately as long as you know performance gets rewarded and you put a transparent system in place and the metrics are high , people love to be a part of a winning organization. So, culture to me is going to be defined by how we sort of win. What I can reassure you is that JSW has got the high standards of governance , right , and you woul d be pleasantly surprised at what we saw when we walked in. I myself , to be very honest , delighted to see speak up cards in almost every team rooms where vendors and suppliers meet . That tells you the transparency of the organization and organization for the future and I think it is a right fit and for me then culture becomes something which becomes a day job.

Avi Meh

ta: Got it, got it Raji v. Thanks Raj iv. That is all from my side. I look forward for the disclosures on ex - powder business in particular if it is possible , Krishna , whenever you do that , give us a sense on the royalty bit because that unfortunately will not get till the end of the year. That is my only request . That is all. Thank you very much.

Rajiv Rajgopal: Thank you.

Moderator: Ladies and gentlemen , we will move on to the text questions. Our first text question comes from the line of Mrunmayee Joga lekar from Asit C Mehta Investment, and the question is as the next quarter onwards financials will be e x of the powder coatings business, can you give color on the margin profile going ahead?

Krishna Rallapalli: So, next quarter disclosures would be in line with the Ind AS and which will be e x of powder coatings business for the current year. These statements are likely to happen . As far as the margin profile going ahead, it is a forward -looking statement which we refrain from giving it to the investors. Thank you.

Rajiv Rajgopal: Again, we do not want to give guidances but when you mean color , remember , that the highest margin business as I have always said is the vehicle ref inish business. So, it is not that the profile is going to get dramatically changed because of the separation of the part of business. We can definitely mention that. Yes. There are obviously some advantages , but look, the other businesses are also pretty strong.

Moderator: Thank you. Our next text question comes from the line of Dheeraj Dav e and the question is any view about dividend distribution policy? Would it be same as previous level distribution?

Rajiv Rajgopal: See, there is no change in the dividend distribution policy. What we have done is as we wanted to always delight our shareholders as a part of our promise to the shareholders that look , once the AkzoNobel decided to buy out the powder coating and the IRC business , net of the IP rights and the brand Dulux rights that we have got , net of the taxes is the dividend that has got distributed amongst all the shareholders in tot o. Right ? So, there will be no change to the policy and we continue to hopefully delight all our shareholders as we move forward.

Moderator: Our next question comes from the line of Rohan Kandare , an investor and the question is , what will be the revenue guidance for FY26 and the EBITDA guidance?

Rajiv Rajgopal: Look , I have said this , I was hoping that we would do a double -digit but obviously given the first quarter I have to be a little f irm, we have got an aggressive number which caters to about a high single digit growth. That is what we are now focused on. I think the ball is rolling on that . Right ? As far as the EBITDA guidance, I do not want to give anything . We will be in the same range that we have been over the last two , three quarters . We are not seeing a huge further dilution coming in. That is what I would like to say . Where we have a bit of a challenge is the fact that and I think this is true for the industry and different players are managing it differently is the fact that there is obviously an anti-dumping duty which has a bit of an impact on all the paint players , but fortunately we still got a bit of stock cover that will last hopefully till end of August, September and that is when we will have to look at in terms of how we manage , but it is not going to be very detrimental from what we have seen so far.

Moderator: Ladies and gentlemen, that was the last question .

Rajiv Rajgopal: I would like to thank all of you. To all the shareholders , all the participants in the call , we continue to stay focused. I think from our perspective execution is key, getting the momentum back , and moving into becoming the top two players on incremental growth and growth is the key, as I say growth is the el

ixir of life . What I would say is look , if I look at the last quarter because of the month of June I think it was a bit of a ephemeral sort of performance. But I do think that if I were to look at from a long -term perspective that is a bit of a blip because of something which is external which is strategic review , right ? And if I just want to keep it aside , I would only say that look, I think the momentum , the team is putting in the best they can. We are absolutely excited to be a part of the JSW family, and we are looking forward to the completion of all the due diligence , CCI approvals , the open offer, etc. , and we look forward to all your support and good wishes as we move ahead. Thank you very much. I wish all of you a great evening and we will stay connected . If you have any further questions at any point of time , do feel free to reach out to Rajiv Jha, our Company Secretary. T hank you. Good day .

Krishna Rallapalli: Thank you.

Moderator: Ladies and gentlemen , with this we conclude today's webinar . On behalf of AkzoNobel India , we thank you for joining us and you may now disconnect your lines .

Call: Nov 2025

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CIN: L 24292WB1954PLC021516
12th November 2025

Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 500710 The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra- Kurla Complex
Bandra (E)
Mumbai – 400051
Symbol: AKZOINDIA
Dear Sir /Madam ,

Sub: Group Investor Call Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the group investor call conducted on 7th November 2025 with regard to the financial results of the Company for the quarter and half year ended 30th Sept 2025 .

This has been uploaded on the Company website also and can be accessed through the link:
https://akzonobel.co.in/investors.php#im

Kindly take the aforesaid information on record.
Thanking you.
Yours truly,
for Akzo Nobel India Limited

Rajiv L Jha
Company Secretary & Compliance Officer
Membership No. F5948
Encl: as above.

“AkzoNobel India Limited
Q2 & FY '26 Earnings Webinar Call”
November 07, 2025

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ANAGEMENT : MR. RAJIV RAJGOPAL – CHAIRMAN AND MANAGING
DIRECTOR – AKZONOBEL INDIA LIMITED
MR. KRISHNA R. – CHIEF FINANCIAL OFFICER AND
WHOLE -TIME DIRECTOR – AKZONOBEL INDIA
LIMITED
MR. ROHIT TOTLA – WHOLE TIME DIRECTOR –
AKZONOBEL INDIA LIMITED
MR. RAJIV JHA – COMPANY SECRETARY AND
COMPLIANCE OFFICER – AKZONOBEL INDIA LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and FY '26 Earnings Webinar of AkzoNobel India Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you.
Aniruddha Joshi: Yes. Thanks, Yashasri. On behalf of ICICI Securities, we welcome you all to Q2 FY '26 Results Webinar of AkzoNobel India Limited. We have with us today senior management represented by Mr. Rajiv Rajgopal , Chairman and Managing Director, Mr. Krishna R ., CFO and Whole - Time Director; Mr. Rohit Totla, Whole Time Director; and Mr. Rajiv Jha , Company Secretary and Compliance Officer.
Now I hand over the call to the management for their initial comments on the quarterly performance, and then we will open the floor for question-and -answer session. Thanks, and over to you, Rajiv, sir.
Rajiv Jha: Okay. So good afternoon, everyone, and we welcome you all to this Q2 financial year '25-'26 investor call. As per our process, let me start with a safe harbor statement, and I'm reading that out to you.
This presentation contains statements which address such key issues as AkzoNobel's growth strategy, future financial results , market positions, product development, products in the pipeline and product approvals apart from potential synergies from partnering with JSW Paints. Such statements should be carefully considered, and it should be understood that many factors could cause these forecasts and actual results or outcomes to differ from these statements.
These factors include, but are not limited to, price fluctuations, currency fluctuations, developments in raw material and personnel costs, pensions, physical and environmental risks, legal issues and legislative, fiscal and other regulatory measures and approvals as well as significant market disruptions.
Stated competitive positions are based on management estimates supported by information provided by specialized external agencies. For a more comprehensive discussion of the risk factors affecting our business, please see our latest annual report of '24-'25.
Also, the company has been releasing the required disclosure or clarification/ updates from time to time as the case may be to BSE and NSE pertaining to portfolio review by AkzoNobel NV and the latest updates thereon.
And the management would not be responding to any general and/or specific query in this regard. However, the investors/public at large would be kept informed of any updates in this regard as per the listing regulations.
So, I would be handing the floor over to Rajiv, sir.

Rajiv Rajgopal: Good afternoon. I hope all of you can hear me.
Moderator: Yes, sir. Thank you.
Rajiv Rajgopal: So firstly, good afternoon to all of you and delighted to be back. I think one of the things we've always done over the last many years is to make sure that we stand in front of you i rrespect ive of the performance of the company and give you all an update of your company. Firstly, in the quarter that's gone by, I realize that it's not easy.
We had a Board meeting yesterday . Like we had explained our Board members , when you look at the P&L that one needs to understand certain intricacies. Otherwise, wrong deductions will be taken, particularly with the carve-out of the businesses and also because of a onetime gain.
So, what we'll do is we'll spend some time there, and Krishna will walk you through it, the

numbers, et c. We've already loaded the presentation on to the website. And for those of you who want, you could go through it. What I wi

ll do quickly is to run you through the business, and I'm joined by Krishna and Rohi t along with Rajiv Jha.

And when we come to Q&A, the 3 of us, Krishna, me, and Rohit will participate. But I'll give you a high level of how the performance has been, what are we looking at and where are we right now?

So firstly, I think what the strong news of the quarter, volume has come back on growth as an entity. So, if you really combine both on the Decorative side and on the Coating side, Industrial side, we've registered a 3% volume growth. So that's the first good news.

And in this, the even better news is if you look at, we've not really grown in categories like putty and all that. We've just played, and we are just about slightly below the base because we decided that in this quarter, we had a lot of other challenges.

We didn't want to accentuate that because those are businesses where if you get just play the price, you will get the volumes and the revenue and that we want to do really reset up. So that's the first thing. So, the first thing is volume growth across both the businesses, even in Decorative volume growth with challenges in some of the low -margin products.

The second is premium in Decorative Paints grew. It grew closer to mid -single digit. I think that's the great part, yes. And even in Automotive and Specialty Coatings in our Industrial business, we've registered a premium growth. That is the second, not just a good, it's a great news.

For us, we believe that in our, both in our towns , in large cities, premium is back, and that's the power of the brands like Velvet Touch, Weathershield and brands like Sikkens and Lesonal. So really, that's the great opening news.

Next, Decorative, where were we challenged? We were challenged for 2, 3 reasons, All our peers who've sort of looked at the numbers so far have talked about including weather disruptions and

competitive intensity. But an area where we have decided to reexamine given the journey that we are going t o get ahead is the mass market.

And in that journey, we obviously did not do well. There was a decline. As a result, the Decorative paints, while grew marginally, right, the overall revenue was a 1.5% overall entity decline, right?

On Coatings, we had registered both a volume and a revenue growth, but the issue was the mix. Our Industrial Coatings grew much faster, followed by Marine and Protective, and we had a bit of a challenge in our Automotive and Specialty Coatings, w hich is a high -margin business.

And in Marine and Protective, it was largely because in Marine, we had a huge base last year. Remember that we quoted some of the best Indian vessels, which are now in the sea, 3 of them, and that was a onetime order that came.

Our order book is very strong. Our order book is phenomenal actually for the next few months. So, it's a delay and with a bit of a lag effect, and we should see that between this quarter and more in the quarter ahead, we should see a complete recovery and back to a high single -digit, double -digit growth that we've been seeing. So that's as far as the performance is concerned.

Now if you break our numbers into volume, price and mix, volume has gone up. So where did we have an issue? We had a higher issue on price and why? We chose that journey because as all of you know, we are now going to be a part of the JSW Group in a few we eks' time. And the brief from Mr. Parth Jindal has been very clear to us as a team, the guys go, let's get after revenue and get back to high growth and get back to market share gain.

And so our endeavor starting from September has been to look at very, using the, a lot of scientific analysis to say that, look, where are we significant premium. So, we are in certain premium categories and in certain categories. We were op erating at premium of 7% to 9%. And

one of the things is we used a conjoint analysis done through a third- party expert to reaffirm that. And that's where we've been taking some price corrections in the month of September and October to make sure we are far more competitive because we bel ieve that we've got the right to win in some of these segments.

So that is the second. The third is many of you may remember, some of you have already commented. We were the first to launch what's called the Warranty or Assurance program in 2021, right? Of course, given our A&P spends being still a part of the AkzoNobe l system, we obviously put it. But obviously, when the larger player, the market leader and the challenger really put it, obviously, we look to.

So, we came with a new campaign where we are questioning whether it's quality or warranty and many of you have seen that campaign and committed. Thank you for that. It's called the "Lage Shaandaar , Chale Shaandaar " campaign, where we

believe that quality is as important as
warranty, and you've seen that campaign.

What have we been working on? We have been working on an entire digitization of road map because we believe in the journey ahead, productivity can be driven through digitization. And maybe in some of the Q&A, Rohit will answer that. So, we've worked with one of India's leading consultants, the Boston Consulting Group to develop a state -of-the-art lead management system, and maybe Rohit can cover that later and also on distribution.
So, we've achieved, as I told, a very strong growth in premium, which is unlike the rest of perhaps the industry with the sort of solid brands, and we've seen that, that's something that we
continue to grow in. We've enhanced our portfolio. We've relaunche d propositions in the mass, particularly on P romise and on Exterior Emulsions and Weathershield, and we've come in with certain new ranges, which we believe in the months ahead, we'll do.
On Decorative paints, I see that there is a bit of a bottom demand largely because of the fact that the months of September and October, we had rainfall, incessant rainfall across the country, but now getting back into good growth.
On the Coating side, it was largely Industrial Coatings led, as I told you, with strong orders coming in our coil business. And also, on AS C, as I mentioned, we grew in premium. We had new wins, exclusive partnerships, and we've also made some terrific gains in the auto OEM. In MPY, the Power & Mining businesses registered strong growth. And we are now seeing a pickup in the marine docking bus iness in October. So hopefully, we will start correcting that and moving forward.
We've had some specialized offerings like Inter dur, which is specialized solutions across industries, which is anticorrosive Coatings for applications across industries such as infrastructure, oil, gas and general industries. As I mentioned earlier, the order book is strong.
And really, for us, I think ve ry important for us to explain to you the construct of the P&L and the entire thing.
So, without much ado, let me hand it over to Krishna. Krishna?
Krishna R.: Thanks, Rajiv. Before we get into the details of our Q2 performance, it's worth spending some time on the business reorganization vis -a-vis the slump sale that took effect during the quarter.
As you are all aware, in February '25, we accepted the binding o ffer from AkzoNobel NV for the purchase of our Power Coatings business and International Research Center. After that, we have gone to the postal ballot and secured the shareholders' approval.
Both these slump sale transactions were undertaken through separate business transfer agreements and were concluded on 1st of July 2025. Therefore, our results for the Q2 FY '26 do not include P owder Coatings or Service Income and corresponding expenses from the International Research Center.

Given that these are material contributors to the business as a comparison with our last year reported numbers will not be the right indicator of our performan ce.
Accordingly, we have restated the last year numbers and transparently shared as a part of the investor deck, which excludes the Powder Coatings and the International Research Center numbers. These numbers are provisional, unaudited and based on our interna l estimates.

So, moving to the quarter performance, as Rajiv alluded in terms of the revenue development, what was reported number on a comparable basis is 1.5% lower than the last year and which stood at INR 834.9 crores. Gross margins, our gross margin percentage was 41.3% was impacted by the vertical product mix as some of the mid businesses reported the fastest growth in the B2B segments.
There were also some raw materials inflation experienced in our Coatings businesses. However, partly offsetting these factors was the improved product mix in retail business. Thus, the dilution was limited to the 1.6%. We continue to control the opex and while we provided the support to the marketing push to offset the seasonal volatility.
The stability in EBIT percentage at 11.1% reflects the disciplined cost management, which helped to offset the top line and the margin pressures. And we also had a significant amount of improvements in the working capital management, and which resulted in the cash generation of around INR277 crores and wh ich stood as of 30th September.
With that, I hand it over back to Yashasri , so that we can go to the question and answer.
Rajiv Rajgopal: Yashasri over to you, we will take all the questions now.

Moderator: Yes, sir. Ladies and gentlemen, we will now begin the question and answer session. We take first question from the line of Mihir Shah from Nomura.

Mihir Shah: Congrats on a good performance on the volume front and the premium end segment. Sir, just to understand a bit deeper on the price correction that you have taken. Any initial feedback that you can share from the dealers or from the consumers on how they are accepting the price correction and the positive effect that will have on your volumes? And what is the kind of pressure that we can expect on the margins because of the price corrections that have been put into the mark et? So that's my first q uestion?

Rajiv Rajgopal: So, look, I think the price correction cumulative so far has been in the region of about 1.5% to 2%. Remember that we already in the market, seen an aggressive discounting because of the new entrants, which have come in, right?

Now in terms of what have we seen, it's too early, Mihir, because really what we put in September because there's always pipeline stock, right, would really start bearing fruit actually from this month onwards. So, it's more from this month onwards for the September and from next month onwards for November price correction, I'll be able to give you a clear picture , but my understanding to the qualitative replies when we've spoken to trade, people feel we are aggressive.

I don't know whether your channel checks are also showing the same. They're generally saying that, look, I think post the acquisition by the JSW Group and the new direction that we've already started work on, they see a little bit of aggression coming in because that is also the sort of strategy that has been articulated by Mr. Parth Jindal and has also been agreed with Mr. Greg Poux -Guillaume, who is the CEO of A kzoNobel.

So, it's after taking Akzo in confidence that we are executing these strategies. And so far, my belief is , the real test of the pudding will come when the results of this quarter come and more, I think we'll really see the real, it will pan out in the fourth quarter if I were to

put it. Hopefully answers your question, Mihir.

Mihir Shah: Very clear, yes and our channel checks are also indicating that there is a new energy that is there with Akzo now. So that's why I wanted to check on the positive impact. So, in connection with that, how should one think about the competitive intensity in the industry now? We have seen the other larger players, probably the intensity has kind of reduced in some way is what we believe. But, and there's new aggressio n from your side?

So, from overall competitive intensity point of view over the next year or a couple of years, how should one think about it? Where do you think, do you subscribe to the view that a disruption in price points or any other disruption can drive share gains? O r do you think intensity will remain healthy and whoever puts their best foot forward in terms of efficiency, good product, good servicing will be the key winner out of this entire thing. Just wanted to share, get your views on the same?

Rajiv Rajgopal: So Mihir, I'm from the school that believes that good product, good and doing all the hygienic stuff in the long term give you better results. And when I say long term, it's 1 to 2 years, right? What does pricing do? And you look at industry by industry. I 've been very fortunate to work in FMCG, Lubricants, Telecom, Telecom with the highest intensity.

And my learning is simple that if you don't arrive at something which is sustainable, then it will work for 1, 2 years, you can really shore up, but then you do not build something which is very strong. I'll give you an example when I handled Airtel and Ta mil Nadu, we were the number 3 brand. I mean it was Airtel, Vodafone and then us, right?

And pricing was not the strategy in which we won, right? Similarly, I don't think pricing from a long-term perspective is a strategy. It is a short -term disruption strategy. It is where you can shore up a lot of volumes, particularly if the larger players are listed and have compulsions because of EBIT margin delivery, EBITDA margin delivery, you can do that up to a point.

And unless you build something sustainable there, it becomes very difficult to continuously do that. That's my answer. My question specifically, I don't want to make any announcements or any, I'm not in the same camp where I think that everything is over.

I think, look, there is a fight happening in the market between a market leader and a very strong challenger. Let's not kid ourselves in saying that it has had impact on the profitability of the industry and also the market shares of all the players, maybe lesser on some of us, more on a few others, right? But the reality is it has had an impact. And I would not want to celebrate early victory till I'm able to see proof of the pudding.

For us, we've been over the last few months, ourselves on a new journey. And our ask is to make sure that we are fighting like soldiers with a laser focus in the market to make sure that we come out winners, right, as AkzoNobel India. And really, that's re ally been the task. So really, for me

to summarize the question, I don't want to celebrate early victories of saying, look, something is over or not because I think the market takes a little bit of time to really do that.
Yes, it is true that the larger players, including us, are seeing a bounce back in many of the markets. Maybe Rohit, I'll just invite Rohit to articulate that a bit more, right? In what I call, what we call the high share geography, high stake geographies, where our contribution is high .
Rohit, if you can quickly give a quick color to the question Mihir asked.
Rohit Totla: So, same thing, which is, let me put it, execution. What we ended up doing on a pricing action is matching the prices wherever, especially in a channel category wherever we were premium, right? So, it's not that we were

really, really aggressive on a prici ng front from the market point of view.
Yes. What we are focusing completely is on the execution. We have selected set of markets, and that is those are the markets where we have enhanced our execution, starting, addressing all the stakeholders, be it architect interior designers, be it painters , be it retailers, be it contractors or the large projects. So, this is where our entire thrust is .
Rajiv Rajgopal: Mihir, hopefully, that answers all the questions you asked.
Mihir Shah: Yes. Great. Sir, if I can just push in one more if you allow me. Quickly on the demand environment. I know it's a bit early, but if you can crystal ball gaze for us a bit and the industry has been seeing pressure on the volumes in some time, while there are some early shoots, gr een shoots that you called out.
Should one think that from an industry demand, overall consumption environment point of view, with all the efforts that the government has also put through by income tax cuts, GS T cuts, lower interest rate, et c., positive effect on the consumption is likely to happen? Do you think that we are near the cusp where demand should start seeing improvement going forward? Or do you still see some headwinds for some more time to continue?
Rajiv Rajgopal: Well, so firstly, to your question, look, the GST reductions impacted certain industries and all of them are reporting better than others, right? If you look at it, we've also seen very strong growth in cement. And normally after cement, paint follows because remember, that a large percentage of our business comes through repainting, right? So, it follows.
Now what has impacted the industry is also, as you will agree, Mihir, is that the rains have been completely unexpected this year in terms of not the amount only, the fact that it's prolonged and even in different parts of the country, I hear occasionally it's raining.
So, it's impacted the season. My belief is, look, I think, yes, it will improve. Whether it will completely improve this quarter, again, it is something that we need to see. But yes, there will be an improvement. But if you ask me to take a view of a 6 mon th to 1 year, I see sharp improvement for a simple reason.

The repainting cycles occur in a span of 3 to 4 years or 5 years, right? The last repainting big blip we got was post -COVID in 2022 to a large extent, '21 and '22, right, where more in '22 and less in '21 because '21 came off a low base, right, but '22. So , if you look at it, technically by next year, early next year, which is the fourth quarter of this year to first quarter of next year, a lot of repainting will come in.
And I think, hence, you would start seeing the growth come in. And the growth will be in line with the sort of activities and like Rohit said, the execution excellence and for the brand activation that we do in the market.
Moderator: We'll take our next question from the line of Lakshminarayanan KG from Tunga Investments.
Lakshminarayanan KG.: Rajiv, one question is that if I just look at our long term, at least like last 18 months or so, the industry for some reason has been having a very, very low growth, if I just aggregate all the revenues put together, right, the stand alone revenues of all companies. Now what is that has actually, because we always thought that there will be some base effect which would come in, but it doesn't come in so far.
So, what makes, first is the industry growing, right, in the last 2, 3 years, I mean, from September '22 till now, if I just look at the quarters, it's been very benign in terms of growth. So, I just want to understand, is the industry growing in terms of revenue numbers? And second, what gives you confidence that there will be growth will come the next best time is ahead of us? I mean, of course, you alluded that there will be repa

inting cycle. Just that's my first question.
Rajiv Rajgopal: Yes. So, look, I think you're looking at listed entities. And if you look at the newer players and the newer entrants and at the total growth, yes, there has been growth in the industry. So, I don't want to take, now you may argue that, look, the growth i s below GDP growth. That's possible in a couple of quarters. But on an average, if you look at, there has been growth, just that the growth trajectory shifted to newer players who came with much aggressive price points.
If you look at 80% of the growth has come from mass market, economy, putty, textile, construction chemicals. And these are segments where some of the players who are established players obviously found it too difficult to react because it would dilute, it would be hugely dilutive to the margin and the profitability of the business.
So that is what has happened. However, obviously, there is a point in time in which you cannot allow other people to have your lunch. And that wake -up call you are seeing now amongst the larger players, which is what is now making sure that everybody gets aggressive.
So, in a way, I think what will change is, first, that the shape of the curve will change to where the sources of growth of various players came from. And in terms of the, where, which player was getting what growth, that I see a bit of a change.
Second, I think the fact is that there has been a correction, as Mihir asked in the earlier question.
And to that extent, the outlay of people with some of the savings will come in and people will go for home refurbishments and painting. And I believe that , look, in the months ahead, we

would see some sharp growth coming in on both the B2C and the B2B sites, right? Rohit, do you want to add something? Yes. So that's what I would say.
Lakshminarayanan KG.: Got it. And in terms of, there have been some price increase and corrections taken, right, across the industry, and there has been some resetting, I think, 2, 3 quarters back. So, if you just look at it from a volume growth point of view, what is the volum e growth one can actually expect for the industry in the next 1 year?
Rajiv Rajgopal: Look, again, it's a function of the segments which drive the volume growth. Volume growth for a couple of players already touching high single digit, mid- to high single digit. We are getting close to the mid -single digit. It will get to double digit in th e near term. But you have to understand that bulk of the growth is coming from these categories t hat I just talked about, right?
We've not launched our construction chemicals. I think Rohit is planning to launch it next month by end of the year, December is when we are launching, and our products are very superior compared to some of the offerings in the market.
So, we believe that we've got a right to win; and on the price increase, look, the price increase, I'm not even talking because it was offset by additional discounts in the market across some of these segments.
So really, there's nothing that could really come into the P&L because that just, it lasted for about a month and then aggression started back. So, I don't think the price increases at this point of time at this competitive intensity is something that's go ing to. I just hope that the discounting will get rational over a period of time.
But coming back to volume, I do see that at least now will start steadying at single digit, mid - single digit to high single digit, eventually double -digit growth in the very soon, I mean in perhaps between next quarter, this quarter and next quarter in a f ew months, it will start. I see next quarter definitely as a double -digit growth quarter for volumes and high single digit for revenue.
Lakshminarayanan KG.: So, Rajiv, and also for the next 2 to 3 years, what are the 3 pri

orities you would actually have for the company? And second, the Dulux name would be available for us till when?
Rajiv Rajgopal: No Dulux is now owned by AkzoNobel. It's for perpetuity it's owned by AkzoNobel as a part of the AkzoNobel India as a part of it, and that moves to the, obviously, now the new owner is the JSW family. In terms of top 3 priorities, look, I think we are, I t hink, amongst all the paint companies having a massive transformation, you would agree to that, Lakshmi, right?
So, my first job is to make sure that when you're in this to steady the ship and make sure that you're delivering on ground while making sure that the strategic direction is run. So, what do we need to do? Obviously, there's a lot of work going to be. I think it's not appropriate for me to talk about it. I would wait. I think Mr. Parth Jindal will talk about it at an appropriate time.
Moderator: Next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi : Yes. Sir, in terms of the entire commodity prices, we have seen most of the commodity prices are lower, even the antidumping duty on TiO2 is also kind of now rolled back. So, with correction in commodity prices, what can be the maximum potential for price cuts for the industry to remain at current margins?

Rajiv Rajgopal: 2 things. See, the raw material has been benign for now a small period of time. So really, I think, and it's equal for everybody. On the antidumping duty, yes, the order has got favorable, but it's not executed. So, we are still, I think most of the player s are still paying it under protest.

So, till it's completely called off, it's not going to come in into our P&L because we have to follow the law, and we are following, I mean, your company is highest on these things. So, we do not -- we obviously that we do the right thing, okay? So, till i t's completely called off in our books, it still reflects.

Now coming to the price, what is the, my belief is, look, it's very difficult to say what is the top of the table. But I believe that we are not too far from already being there, right? We can argue in certain categories; can y ou be a little more aggressive.

But my view is what will now do it, I think the pricing pressures have already started coming into play. And I think now the power of the brand, distribution and those things will start coming in. And that's where I'm certain that we will be pretty well placed.

Aniruddha Joshi : Okay. Sure, sir, in terms of any growth drivers as far as distribution is concerned or in a way some of the new products that we had introduced like the value for money emulsion or even waterproofing or even floor paint also. So, any update that you can share?

Rajiv Rajgopal: I’ll ask Rohit to answer that.

Rohit Totla: Okay. So, for us, what we are doing as far as distribution is concerned, we have a lot of white spaces and those are the places where we are going and appointing. The distribution is adding close to 4%, 4.5% kind of our revenue every year to us. And this y ear, it will be a little higher.

And that is what our strategy is.

As far as product categories are concerned, just Waterproofing products, be it Waterproofing or a Construction Chemical Products which are getting accepted across, and that is where the weighted distribution is coming in. Hope that answers.

Aniruddha Joshi : Yes, yes. Sure, sir. That is very helpful. And update on the multiple new products that we had entered into?

Rohit Totla: So almost everything is doing really well, especially the new launches, which has to do with Uber luxury premium products, which is to do with Velvet Touch Eterna, both in the Sheen variant and a Matt variant, especially the Matt variant has been accepted really, really well by architects and interior designers and really very much liked by the consumers. Second

, which is to do with the Entry-Level Emulsion high sheen for exteriors. It's where we had a remarkable success on the launch of those products.

Aniruddha Joshi : Sure, sir. Understood. Last one question from my side. I guess the royalty reduction is alre ady accounted for in Q2 results?

Rajiv Rajgopal: Yes. Yes. So yes.

Aniruddha Joshi : So, what is the total saving in the royalty if you calculate as a percent of net sales? That is one question. And secondly, we have seen logically the margin should have gone up, but I guess there will be certain costs related to so many corporate actions happening. So, if you can quantify on the overall margin and what should be considered as a sustainable margin going forward? Any indicative guidance if you can share?

Rajiv Rajgopal: So let me give you the guidance, and I'll let Mr. Krishna answer all. My guidance is very clear. We should be in the EBITDA margin of 14% to 16% on a sustained basis. That's what I've always maintained. Remember that still we are a number 4 player even with being a part of the JSW Group, position doesn't change except that we now become a clear number 4 and move to number 3 soon, right? So, Krishna, can I ask you to quickly just cover some of the other questions that Aniruddha had asked.

Krishna R.: Yes. I think, Aniruddha, we have fully factored in that the royalty, which we pay for the Decorative IP, ceased to exist effective 1st of July 2025. And the numbers of Q2 FY '26 doesn't include the royalty payout for the Decorative paints. However for the performance paints or the Industrial Coatings, the royalty IP lies with AkzoNobel, and we continue to pa y the royalty for that product.

As far as royalty utilization is concerned, if you see from the comparable results, the gross margin decline is INR193 million, whereas when it comes to the E BIT, the decline is only INR 22 million. So that means effectively, there is an operational efficiency which is there in the system. We are prudent in terms of the cost management. And the moment the revenue trajectory, as explained by Rajiv, we do see a significant uptick to happen from the Q3 FY '26 onwards, which will address the matrices and the guidance band shared by Rajiv.

Aniruddha Joshi : Sure, sir. I will just take one question from the chat box. So, is there any change in dividend

payment policy with the new team taking over?
Krishna R.: Aniruddha, at this point of time, we don't see any change there. And as and when it comes, we will inform the shareholders by way of the corporate disclosure.
Rajiv Rajgopal: Any changes in policies, we will come back to you at an appropriate time.
Moderator: We have a question from Avi Mehta from Macquarie.
Avi Mehta: Can you hear me?
Rajiv Rajgopal: Avi, maybe you need to change your voice settings. Avi, can you hear us?
Avi Mehta: I can hear you, but – I am not able to hear, sorry?

Moderator: Sir, are you able to hear him? Rajiv, sir?
Rajiv Rajgopal: Very feeble, but let me try. Go ahead, Avi.
Avi Mehta: Sir, I just...
Rajiv Rajgopal: A bit of both in the sense that, obviously, price checks happened with both consumer and with contractor, painter, right? But basically, what has happened is because of the price table in which the industry and certain key brands were operating in, our abi lity to grow the brands versus what we've done i n the prior year had come down.
And so, it's, that is, and we've done a complete conjoint analysis to really be able to address it to answer the question, Avi. And it's largely, it's across a little bit of the portfolio, but it's some of our heavy brands where we believe that it was tapering off because perhaps the premium was a bit too high. And so when you look at a moving annual total and, there it smoothen

s all the
curves, seasonality, etc., we look at that in the conjoin t analysis to put two together.
Avi Mehta: Fair enough. Fair enough, sir. Very clear. And sir, does that entail a sharper entry into the mass need?
Rajiv Rajgopal: No, I don't want to announce strategy on a call, but I think that's not, I would not like to answer that question, Avi.
Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand over the call to management for closing comments. Over to you, sir.
Rajiv Rajgopal: So first and foremost, once again, a big thank you. We do realize that perhaps this possibly could be the last investor call from an AkzoNobel India perspective. Of course, AkzoNobel India and all of us continue, but very, maybe in new shapes, colors, news as we move forward.
We are absolutely delighted and looking forward to being part of the JSW family. We've had a lot of, a few interactions, I think 4 or 5, Krishna, with Mr. Parth Jindal, and we are highly energetic because I think we, this is exactly what we've been wanting to, to get the ability to play in the market the way that you should play in the market.
There's no point of playing in T20 in a Test Match style. And that's what sometimes when you, with some of the constraints that we've had, and I'm very glad that even our global CEO had articulated that very well when he had when the announcement happened.
So, I think we are really looking forward to the journey. A lot of it lies at our end in terms of superior execution and taking it to market. And to me, the future leaders of this company will be in terms of those who are able to demonstrate superior performance, right?
So, thank you very much. Good luck. All the very best. Bye -bye. Thank you f or joining the call.
Thank you.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of ICICI Securities, that concludes today's session. Thank you for your participation. You may now exit the meeting.

Call: Feb 2026

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Gurugram – 122 011, Haryana, India

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CIN: L 24292WB1954PLC021516
9th February 2026

Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 500710 The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra- Kurla Complex
Bandra (E)
Mumbai – 400051
Symbol: AKZOINDIA
Dear Sir /Ma'am,

Sub: Group Investor Call Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the group investor call conducted on 3rd February 2026 with regard to the financial results of the Company for the quarter and nine months ended 31st December 2025 .

This has been uploaded on the Company website also and can be accessed through the link: https://akzonobel.co.in/investors.php#im

Kindly take the aforesaid information on record.
Thanking you.
Yours truly,
for Akzo Nobel India Limited

Rajiv L Jha
General Counsel, Company Secretary &
Compliance Officer
Encl: as above.

"AkzoNobel India Limited Q3 FY26 Earnings Conference Call"

February 03, 2026

MANAGEMENT : MR. RAJIV RAJGOPAL – JOINT MANAGING DIRECTOR
& CEO, AKZONOBEL INDIA LIMITED
MR. KRISHNA R – WHOLE -TIME DIRECTOR & CFO,
AKZONOBEL INDIA LIMITED
MR. RAJIV L. JHA – GENERAL COUNSEL , COMPANY
SECRETARY , AND COMPLIANCE OFFICER ,
AKZONOBEL INDIA LIMITED
MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and FY26 Earnings Conference Call of AkzoNobel India Limited hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you.

Aniruddha Joshi: Thanks, Yashas hri. On behalf of ICICI Securities, we welcome you all to Q3 FY26 Results Webinar of AkzoNobel India Limited , a JSW Group Company.

We have with us today Senior Management represented by Mr. Rajiv Rajgopal – Joint Managing Director and CEO, Mr. Krishna R – Whole-Time Director and CFO, and Mr. Rajiv L. Jha – General Counsel, Company Secretary, and Compliance Officer.

Now I hand over the call to Mr. Rajiv Jha to read out the disclaimer and then we will hand it over to Mr. Rajiv Rajgopal for initial comments. Post that, we will do the question -and-answer session.

Thanks, and over to you, Rajiv Jha sir.

Rajiv Jha: We welcome you all to this 3rd Quarter and 9 months ended 31st December 2025 Investor Call.

And as per our process, let me begin with the safe harbour statement that we usually do:

This media release contains statements which address such key issues as the company's growth strategy, future financial results, market positions, product development, products in the pipeline and product approvals. Such statements should be carefully considered, and it should be understood that many factors could cause forecast and actual results or outcomes could differ from these statements. These factors include but are not limited to price fluctuations, currency fluctuations, developments in raw materi al and personnel costs, pensions, physical and environmental risks, legal issues and legislative, fiscal, and other regulatory measures and approvals, as well as significant market disruptions. Stated competitive positions are based on management estimates supported by information provided by specialized external agencies. For a more comprehensive discussion of the risk factors affecting our business, please see our latest annual report.

And with this, I am handing over to Mr. Rajiv Rajgopal. Thank you.

Rajiv Rajgopal: Thank you, Rajiv. Thank you to the ICICI S ecurities team and everyone on the call , wish all of you a very good afternoon.

As always, every quarter, post our results , I think this has been a ritual for us that we get to speak to you. We have loaded the investor deck onto the website and stock exchanges . So as always we do, we will not run you through a canned presentation because we would like to leave more time for the questions you may have.

I will begin by giving a short summary and will request CFO and W hole-Time Director , Krishna , to also just run you through in terms of any observations on the financials. S uffice to say that last quarter, if you really look at it, our revenue reported was 907.7 crore which was approximately a 1% decline. However, I would quickly like to add that in the revenue, the standalone business, domestic business grew almost by about 2% and t he reason for that is while you all understand that there are large parts of AkzoNobel or there is a part of AkzoNobel that got carved out which is specifically in the powder coating entity and the IRC business, our International Research Centre, there are certain other elements of the business which also got retained by the AkzoNobel Powder Coatings India private limited entity which is an unlisted company by the earlier parent, which includes specifically a couple of customers in the coil coating business. And also, we used to export a lot of our D ramatone and now the A cotone, which is the colorant into parts of Southeast Asia and Middle East and as a part of the deal for now, this has ceased since the early part of the quarter. So hence, like to like, the total amount that got netted off was in the range of about approximately 200 crores. So roughly about 25 crore a quarter is the impact that one would need to keep in mind other than the divestitures, which already have been shared with you. So hence, when you look at it, we had a volume growth of 6% blended for both decorative and industrials and a revenue growth of close to 2%.

Decorative alone, I think it was fantastic news to see the volume coming back. We grew at 8%.

I think the highlight was the fact that we started growing almost in single digit in the premium segment. Our challenge continues to be what we call the MEP, which is a Mass Economy Primer and certain actions have been put in place starting this quarter to look at really enriching some of our premium primers and also to fight the battle in a more strategic manner with some of the new entrants at reasonable margins. So that's the strategy that we have employed.

I just want to highlight both across the paints and coatings with the new owner and one of the things that we have done is to really say that, look, how do we really play in India? How do we play across segments? How do we make sure that we are winning across our consumer bas es, customer bas es? And that's really been the mantra of saying, how do we really drive revenue growth? And while doing so, make sure that we don't dilute margins in a huge manner. And we are doing it in a very intelligent, strategic manner. We are not doing it just tactically. We are making sure that we use a lot of science in the way we play. I'll give you an example. When we looked at with the new mandate, I think it's wonderful for people like us because we are quite enthralled to see that now volume growth and revenue growth is the first mantra in the business. Typically, it's not the same in an MNC business as many of you would agree. And one of the things that we looked at was to look at our pricing across our premium brands and some of our other offerings in the market versus some of the lead players. And we did see that we were usually overpriced between 5 % and 9 % which is what had led to volume erosion. We have

addressed some of those and we have also started looking at how do we really look at the whole franchise of the customer bas es and where we need to play. So that's what I mean. We do price elasticity studies to see that if there is a price of what's the volume elasticity we get and till we are certain, we don't take any actions. And it's been very limited, but we are seeing some early actions and also as we start doing a far more disciplined way to sell in order to try and grow the business. So, that's on t he revenue side.

Our coatings business , the challenge in the mix was that we grew faster in our coil coating business and in our automotive and speciality coating business. We had a bit of a challenge because of a high base last year because we had done many of the ships for the Indian Navy last year. So that was a one -time base direction which will get restored back in this quarter.

Suffice to say that I am fairly buoyant and confident as we progress into the last lap of this fiscal. And at this point of time, we are looking at various strategies and plans of really seeing now under the aegis of Mr. P arth Jindal, how we can have a larger play.

Let me just hand it over to Krishna to say quick words on the financials and then we will hand it over to Aniruddha for the Q&A.

Krishna R: Thanks, Rajiv. We have uploaded the de ck in terms of the details, and we have also given the like-to-like comparison of the results on a comparable basis which excludes the powder

coatings and International Research Center business. And Rajiv has completely given a 360 -degree view in terms of what's happening in the business and definitely it's an exciting journey for us in terms of how are we rewiring into the growth trajectory back into the business. At the same time, happy to say that we did protect our gross margins largely and there is a sequential improvement of 80 basis points compared to the last quarter. And as Rajiv alluded, we deployed the royalty savings back into the business to support the growth initiatives and to move the revenue trajectory. And at the same time, we also maintain our double -digit profitability and EBITDA stood around 14.9 before the exceptional items. As most of you might have seen the notes to the accounts, there are quite a few exceptional items which has impacted during the last quarter. One among that which is a significant impact in terms of the impact of labor codes , which we clearly called out. Resultant excluding exceptional items, the PAT grew by around 5.9% on a year -on-year basis.

With that, Aniruddha , I think I will hand it over back t o you to see the question and answers.

Moderator: We will now begin the question -and-answer session. We will take a first question from Abneesh Roy from Nuvama.

Abneesh Roy: My first question is on the demand side. November, December, I guess was much better than October. October, the rain season was there and early Diwali. So very little days to really paint house to capture the festival related kind of a behaviour . So how do you see Q4? Because the other paint companies are saying that Q4 is likely to be better than Q3 in terms of volume in terms of the decor . Would you also share similar thoughts?

Rajiv Rajgopal: Yes, Abhneesh, very much. Two reasons. One, you are absolutely right. I think in our view, even for us, October was very muted, in fact, it was a decline. But we really bounced back in November, and we had reasonable growth in November, which is where we are. And you take out the like -to-like business of what we don't now operate in. And our volume growth was pretty good because, you know, 8% in Decorative, we are seeing it. And when you look at that, it was fairly secular, actually like by premium. We were pretty happy with what came in. Yes, in my view, this quarter, unless there are again any external events or hopefully no climate change impacts but other than that, it should be a pretty strong quarter from a volume perspective. You are right, in Decorative s.

Abneesh Roy: One follow up question on demand side, what is the gap you are seeing between the volume growth and sales growth?

Rajiv Rajgopal: See, from an industry perspective, we expect it to be between 5 and 6. And however, what's happening, Abneesh, is that the two reasons why you cannot exactly sort of pinpoint. One, because there is excessive discounting happening in the market, something that particularly in the mid economy sort of segments where we have not had great success and we are reworking our strategy with that. Second is, as far as we are concerned, as I mentioned we did, as I told you, some of the conjoint pricing analysis and we took some actions given that we were at significant premiums to our market , so we will be at about maybe 1% or 2% a little higher in terms of the volume value gap for about a couple of quarters till it cools down.

Abneesh Roy: A final question in terms of the new player, Birla Opus, we saw a very minor hike of 1% to 3%. When you see the raw material side and when you see the heightened promotional intensity in industry and the new player has also reversed 10% extra in the four litre pack, would you say that the worst of the promotional intensity, competition intensity is now kind of at the fag end, or do you think that this can continue at least in the next few quarters? This remains as high as to the peak level.

Rajiv Rajgopal: Firstly, what I would love to believe is that the worst is behind us, but I think what the reality of the picture is that I think it will still take 2 -3 quarters for it to really play out because at this point, let's understand the math . You are talking of a new entrant which has come at prices which are anywhere up to 12% lower than the prices at which we operate in addition to that additional discounts and then there was the 3 litre which while you say it’s been called off, it's still ther e in a few markets, still running pretty much. So , you are talking of a band between 12% and 18% lower pricing which is not a small sort of a negate. And what we are seeing is , you see, pricing is a lever in this industry, it works to a point. The problem is, if repeat demand doesn't come in at that pricing, it will be very difficult for any new player to take up the margins. Sort of cost cutting, etc., that one will have to do is going to be immense. We have seen it. We have seen it being a relatively, I am saying when I joined the company in 2013, you would remember Abneesh, Akzo India profit was le ss than 80 crores. L ook at where we are. It's taken a huge amount of effort, a lot of work on costs, structural costs, procurement, raw material, logistics. We put a new route to market using the distributor which you know we went through a lot of

pangs when we did it. So , I think it will require out of box thinking. It's not just going to be cyclical. I do expect the competitive intensity to continue for a couple of quarters. But hey, I think we are in it and now as a part of the new group, I think the mantra is very simple, Abneesh, you will see us definitely. I mean, now as JSW G roup in the paint s business, I think we are already number four. I think Parth has given us a very clear intent and signal that we should get to number two in 3 to 4 years when we would want it even faster perhaps. So, we have got a very clear plan. I think what we are doing is focusing on our executional excellence and looking at our innovation basket to see how we can get products which will be slightly different from what we have been able to craft in the back. Dulux, as you know, enjoys a huge quality advantage and that's what we are relying on to take us through.

Moderator: We will take our next question from Manoj Menon from ICICI Securities.

Manoj Menon: Good performance, I must say, in the context of the market and also maybe rationality in parts of competition, etc. , plus the transition. I've got a few things, but the most important thing comes to my mind is the revenue synergies . If you could talk a bit about whatever you can speak in a public domain subject to confidentiality on the revenue synergies , let's say, Dulux brand gaining from the JSW paint distribution or vice versa, or both, or just that you have got a far bigger scale today, yo ur ability to accelerate numeric. So just please talk a bit about revenue synergies would be super helpful. Thank you.

Rajiv Rajgopal: Thank you, Manoj, and I think it's a little too early for me to talk, to be very honest, not for any other reason, because everything is in scope right now. And there are obviously certain elements of confidentiality that I am bound by. So, if you permit, I think the appropriate time would be to talk about it but at a very high level, if you were to ask, look, obviously, if you look at Dulux, Dulux has got markets where we have got greater than 10 %, 15% market share in different states , whether it's Bengal, parts of Gujarat, we have got multiple states. And in JSW P aints, I think the team has created a very good presence in the southern markets and a few other markets like West , Maharashtra, etc. So, we need to look at in terms of what the combined offering will b

ring,
and we need to create those value propositio ns which will make sure that the dealers, wherever there is a third brand in the outlets which have a higher shop share for either one of the two, we have a clear strategy for it. So that's broad thinking, Manoj. Also, there is a lot of synergy and in our industrial business there are obviously scopes, maybe on a coil business and a little bit in our protective business. So those are the areas where synergy will really pan out. But too early, I think it's not appropriate because work has just started and ma ybe at a later stage, Manoj, I think it'll be more apt for me to talk about.

Manoj Menon: The second and last one for today is that Rajiv and team, again, if you could talk a bit about the integration aspect beyond the people side of it, the culture side of it, and where are we currently . I know that it's a work -in-progress kind of , but you could talk about the people and the culture side of it. Thank you.

Rajiv Rajgopal: Look, I think for people, I think there is a reality check in terms of the fact that people will be used to working in a particular way of life in an MNC organization when you move to an Indian organization. But bulk of us people around the table, among the leadership have worked in both, we have worked in Indian business houses and in MNCs. So I think the nuances, if you were to ask me, first and foremost, I must say this, Manoj, that we have been given a very warm welcome by Mr. Sajjan Jindal, Mr. Parth Jindal, and I think Parth in particular has be en very caring in terms of making sure that right from the word go when the leadership team came to J SW Centre , by the way, we are in J SW Centre Mumbai today taking the call . The team is really welcomed and there is very clear ways of working. Of course, the re would be like in any business when a business gets acquired, there'll be some challenges. I think the key for us as leaders is to make sure that our key talent, our key people are retained and value propositions are there on both sides, because I think JSW Paints has also got a very good set of team members. So, I think that's the thing that we will start doing . Again, as I said, Manoj, very early days. I think these are questions, it feels like you just got married and entered and you were asking me how is it going to be two years from now? It's a difficult question to answer, but my answer to that is, look, I think as in Indian customs the first thing you do is to make sure you come in and be a part of the family and that's what we are trying to do.

Moderator: We will take our next question from Lakshminarayanan Ganapathi from Tunga Investments .

Lakshminarayanan G: Rajiv, I think there are two or three number questions, and one is very conceptual question. So, first, I want to understand from a decorative volume growth, 9 months to last 9 months, like -for-like, what has been the volume growth? Second question is what are the cash levels we actually carry right now, approximately? And the third is you talked about royalty. I think royalty was around 140 crores or so. So how does the company intend to use it, whether it will flow into the bottom line or you would actually use it for business expansion? How do you think about it? These are the three questions from a number point of view. Conceptually, I want to understand, looking out three years, what will you call a s markers of success for you and the management? It could be market share, it could be revenue growth, or it could be margins or ROC E. When you say that, look, we are successful three years out, what are the two or three markers you like to use and say, okay , we have done well? I think these are the questions, Rajiv.

Krishna R: As far as the royalty is concerned, there are two portions of royalty. One is pertaining to the decorative paints and

second is pertaining to the industrial coatings. In the month of June 2025, we acquired the decorative IP, and the Dulux brand is now owned by Akzo Nobel India Limited listed entity. So, the royalty ceased to exist which translates to roughly around 60 crores to 65 crores depending on the revenue trajectory. And that amount, as Rajiv alluded in the initial comments, we are committed to redeploy towards the growth initiatives and to gain the market shares. So that explains. And as far as the industrial coatings is concerned, AkzoNobel will continue to be the technological partner and we continue to pay the royalty as per the previous agreements. Hope this will answer the royalty question. C oming back to the cash position , ballpark is roughly around 200 to 225 crores of free cash is available in the balance sheet, which is earmarked for the growth initiatives and the CAPEX for the near future.

Lakshminarayanan G: And volume growth on decorative like -for-like for the 9 months.
Rajiv Rajgopal : 9 months would be between 1% and 2%. So clearly, Lakshmi, two parts. First, of course, there's been a huge bounce back. And the reason for that is there were two issues, of course, the July, August, September, as you know, once the announcement happened, there were a few challenges which I mentioned in that quarter in the call , particularly in the project segment in decorative, we face a lot of challenges from repainting societies in terms of continuance of some of the various actions that w e had committed to in terms of warranties, etc. , all of which has got addressed. So, I think now we are slowly bouncing back. O n the decorative retail side we are starting to do well a nd secular growth across geographies.
Lakshminarayanan G: I think that answers all the number questions . Can you move on to the other one which I asked in terms of what you define success and what are the markers you like to use?
Rajiv Rajgopal: First and foremost, success for me is , we are now thinking what's good for JSW is good for JSW Dulux. And as all of you know, we have informed the new proposed name of the company with the Stock Exchange. It's gone to all our shareholders, all of you for vote . We hope you like the name. We believe that I think it's the name for the future where it captures, as Parth rightly says, the agility and the nimbleness and the power and the strength of JSW and really the epitome and the entire premiu mness , luxury feel of Dulux . So, we are bringing Dulux right up there in the company. So JSW Dulux. Now, I think in terms of goalposts, look, I think the first is obviously how over the next couple of years we start integrating the companies. And while doing that, we make sure that the companies are really growing well and actually gaining from other players in the market. The larger goalpost, as I mentioned to you, is we are clear number four now with the combination. There's no doubt on that. And the quick cla rity is to say that how do we quickly move to number three and then beyond. So really, how do you really progressively start moving ahead . I think that's really it. In coatings, I think we have now got all the recipes to start moving towards first being a number two and then a number one player. I think that's again the areas where we are, because I think now the mandates would be really how do you drive growth in India for India and made by India? And as we do that also, we will start looking at attractive opportunities that come our way. Lakshmi, hopefully that addresses all the questions you asked
Moderator: Next question is from Pratik Gothi from HSBC.
Pratik Gothi: A quick question on the numbers. Employee expenses were down, I think, to 55 million quarter - on-quarter. I think these are the continuing business numbers. So, any clarification on that, please? That's my first question.

Krishna R: Thanks for asking this question. As we clearly mentioned in the disclosures, the last year number is not comparable. And last year includes the Powder Coating and IRC. If you roughly see, ballpark number is around 12%.
Pratik Gothi: I am sorry, sir. Quarter-on -quarter. Q3 versus Q2.

Krishna R: Q3 versus Q2. It's a combination of the attrition and then the refill rate of the company and there is no structural change per se in that Q3 versus Q2.
Pratik Gothi: Second question is, are we thinking about changing the business model to becoming a direct distribution play instead of a distributor play as we currently hold?
Rajiv Rajgopal: Pratik, I'll look at that. Look, I don't think there's a perfect solution. There will be markets. Let's go back. Why did we move to distributor? We moved to distributor for two reasons, as all of you know. Global companies measure themselves on EBIT percent margin and not on absolute EBITDA or absolute EBIT. That was a bit of a challenge. And when you look at that bottle and look at in terms of service and when you want to have a vision of becoming a larger player in the country, we believe that distributor would have been it. And this journey started in 2013. We are in 2026. We have got 153 distributors and more than 82 % of our distributors are more than 10 years old. So, they have grown the business with us. Now, obviously, what we will look at is there are certain markets where we still believe because of the fact that we need to further invest in the brand to drive offtake when you are starting to play the bigger players , we will need to look at being direct. So, there will be a combination , and they will also continue to be our distributors. Our distributors will continue. That we will come back. We will take a couple of quarters to see what is the best model and we will come back to you.
Pratik Gothi: On a decorative side, can you elaborate a little bit more on the competitive intensity? You talked about this higher discounting, but do you see competitive intensity in certain segments? Do you see higher competition in the economy segment where you are not especially strong, but say premium segment, for example, is there more competitive intensity there or anything? If you

could put some colour on that please.
Rajiv Rajgopal: I think where all the new players have been able to really impact is in the mass and the below , mass, primers, economy and then even in some of the new categories, waterproofing and woodcare. I think in premium, I don't think that the order is really reversed While p eople have tried. I can just give you examples that one of the fastest growing newer emerging players, when they got into the project business, they started getting consumer complaints and we started getting some of those businesses back. So, I think ultimately, look, I think what will play out is the quality of products because paint there is a lot of engineering in paint. And being a chemical engineer, I can tell you very proudly that there is a lot of engineering in paint. And so it's not that we create recipes and we start putting in the market. That said, to answer your question, yes, the competitive intensity is more in these segments of the market. But I would also suggest that look, in the premium, because everybody knows that that's what gives them better margins , there will be a lot of action in premium too, though a little lesser than the other segments.
Moderator: Next question is from Mrunmayee Jogalekar from Asit C Mehta Investment Intermediates .
Mrunmayee Jogalekar: My questions are mainly related to the coating segment. I think you did refer to the fact that you expect Q4 to be strong, and you also expect to become the number two player and then gradually

number one

player on the coating side. So , first part of the question is, in the near term what will really drive the growth? Is it broadly the industry wide growth or you are seeing some kind of market share or some new products or something like that? And the second part of that is on the medium term what strategy you are thinking about from the coating perspective? The medium term strategy when looking at the coatings business now going ahead.
Rajiv Rajgopal: I think in coatings , we have been playing largely in the premium space while we entered the mid-market , in each of the business, I think mid -market is a huge opportunity, again, because of the challenges of being a part of AkzoNobel’s looking at margins, we never looked at it. I think that's one area where we are now looking at and we are doing it in a very careful manner. It's not that we are just generally dropping prices. We are looking at are these sustained growths before making those c ommitments, one. T wo, obviously our real focus is around R&D, ensuring technical expertise and really making sure that our products are going to be competitive in the mid segment. So that's where the second leg is. Last but not the least, in all our coatings B2B businesses, I think it's also understanding customer and consumer insights, really understanding how you can get in deeply into the business, understand the customer businesses and that's what the teams are right now engaging in to. So hopefully I've answered your question.
Mrunmayee Jogalekar: On the near term, like the next couple of quarters, if you can talk about because you did say Q4 you are expecting strong performance in coatings .
Rajiv Rajgopal: Yes. Look, I think, again, you have got to keep in mind the fact that coating business has been an outperforming business for us over the last, if I take a three -year CAGR . So, yes, I think the key is we will obviously continue to grow. And in the near term, what we are trying to do is to win customers across different businesses and make sure that while driving growth, we are also able to keep an eye on profitability. Because that's also been a key lever in the coding business
and using tec hnology as the tool to drive that.
Moderator: We will take our next question from Aniruddha Joshi .
Aniruddha Joshi: Two questions, one in terms of now there are royalty savings . Secondly, over a period of time may not be, let's say in H1 FY27, but post that we may see strong synergy benefits. A lso, the company in its new avatar wants to invest more in brand building and overall growth of the busines s. So how should we think about the margins? Means earlier there used to be a band in which we used to look at the margins. There was a minimum kind of a band. So how should we think in terms of the margins? That is question number one. And question number two, in terms of new product launches , how should we again see . Will the brand shift to JSW Dulux or it will remain Dulux because the company name is also getting changed to JSW Dulux . That's it from my side.
Rajiv Rajgopal: Aniruddha , the brand work is just about to commence. The company name is JSW Dulux . In terms of brands, obviously, there's a lot of clarity that Parth has made a significant investment to buy the brand of Dulux . So obviously, the endeavour will be to try and use it. But there are

certain areas or segments where Dulux has not been very, to be honest, we have not been able to stretch the brand enough. O bviously we have got a good brand in JSW Paints . So, when we look at it, we are studying it very closely to see , how the combination of the two starts really gaining significantly from the other players in the market. So that's one. L ook, the guidance that

I've given, my view is, as I said, as we enter the mid -market and some of it, you'd see an initial slight erosio

n of about a half point, etc. We are operating in the 14 to 15, 14.5, 14.8 EBITDA margins . I am not talking any synergy. I am saying, whatever synergy will come, will come outside this and at an appropriate time. But without synergy, I think our endeavour is to be in that band of more towards the 15. But the range I would give you is between 14.5 to 15 . And then to take it up to 15 to 16, but at this point of time, I would say around 15% is where really I want to keep the focus. As I said, t he first task is really driving revenue growth. And Aniruddha you will agree, I think really driving growth ahead of competition is most critical for us at this point of time .

Aniruddha Joshi : In terms of some of the pricing actions, if you can indicate which we would have initiated in the market and how has been the trade response, because the transition is also underway. But we have seen India decorative volume growth is pretty strong at 8 %. So how is the trade feedback , maybe just initial 1-2 months, but whatever you can share.

Rajiv Rajgopal : This is something that the trade has been asking us for the last couple of years, it is just that our ability to do that with AkzoNobel was very difficult because Akzo runs on global pricing modules . The response has been good. It's a bit across the portfolio, starting from super premium right up to, some of our mass …and the reason for doing that is because we were completely off in terms of market operating prices. As I have told you, we have looked at pricing elasticity studies which we have done, we have done third party and all also done a bit of in -house work to really look at what is the elasticity across different brands, across the segments of dealers, painters and consumers. We have done it across three segments and based on that study; we started taking the decisions . Initial response is good, but we will have to wait and watch, because for me, pricing is something which you need to be in a particular range versus competition and there is a certain price premium. But I think there are a lot of other actions which are happening, just to say, pricing is not the only driver for growth.

Moderator : We will take a last question from Akshay Krishnan from ICICI Securities.

Akshay Krishnan : You clearly mentioned that you wanted to scale up the ladder on the ranking aspect , what will be the guardrails that you will be looking at? And let it be on the brand positioning or the pricing power or the channel economics, which means that you will protect yourself despite having a slower growth, even certain phases of the entire life cycle.

Rajiv Rajgopal : Very good question, Akshay. First and foremost, I think to answer Anirud dha's one point, at least the start in January has been very good, so we are hoping that we continue. Second, I think it's a very good question. What are the guardrails? U ltimately when you want to get into the top zone on growth, but you also need to maintain profitability, i t's absolutely essential that your

premium, your luxury brands and premium brand s also grow, at least in line with GDP or outperform competitive landscape. So that's one . You know what are the drivers for it. So, I am not going to enumerate that, but suffice to say, hence brand, making sure that we are able to drive productivity on our tinting machines. We are able to make sure that we are engaged appropriately with our painters and our contractors, making sure that we are driving not just the width but also the depth of sharing an outlet is critical with the distribution and depth both. So, the guardrail would be to make sure that we are not dialling in into one area or one vector of growth. We are looking at playing it across the segments. That's one. A nd the same thing, both in decorative and in coatings, t o make sure that we get a fairly secular gr

owth across our businesses and making sure that it's not the lowest margin business that grows the highest and hence a high performing business are there. So that would be one. The second guardra il would be to ensure that while doing this, we continue our focus in terms of innovation. We are entering into a period of integration, etc. I remember an example, when y ears ago that I was told that it's like making sure that you are still running the F1 Race with a bit of a flat tire. So, you don't have the luxury of getting out of the race and you have got to wait to make sure that you are able to change the wheels at the right appropriate time. Or you are in a house where there's something which has got electrocuted, you don't have the luxury of switching off the mains. So, t hat's the situation we are in. I think it's a very competitive market, but I also believe it's a very exciting market. For me, I think the beginning of the new journey, the beginning of the family that we went, gives me adequate confidence and backing to say that go for the moon. T hat's the sort of thought that we are working with. Hopefully I answered your question.

Akshay Krishnan : Yes. W e have many growth levers in the paint industry; let it be on the pricing or let it be on the adjacencies or the distribution integrities . It looks very attractive in an isolation path. But how do you evaluate the second order effect of these choices when you make on brand equity or the channel distribution or the return of capital on a full life cycle , so w hat is the trade -off point that

you are consciously looking on to accept in today's point in time?
Rajiv Rajgopal : I will be very honest, t he only reason I love this business is because the business I was in earlier, before I came into paints business was telecom , and the company was Airtel and you know what we have created. I ran the data business from 2G to 4G , I launched a 5G and you have seen what that business did. F or me, I think, cash is king. The reason Krishna and I get very excited about this business is because this business delivers cash. And as the number four player, we have been able to do it, i magine the power of what we can do as we scale up . So, t hat's the most exciting part, that it's a very cash business. T he brand commands an equity. I don't think many players in the industry, other than a couple including the market leader and us and maybe, number two player are able to debit dealers , etc., for wrongdoings in the market. We do that . We have consistently done that for 14- 15 years of existence. So that tells you the strength of the brand, that tells you the strength of the relationship. We are very transparent in the way we work. I think wh ere we lacked was firepower. In India, t o win in India you need firepower , and you need a micro market battle strategy which keeps articulating . Those are some things that we are fine tuning and now really entering and that's what I am most excited about , for me . This is really the

excitement that we are really wanting to win in India. We are really wanting to be a part of the larger story. I think let the performance speak Akshay.
Akshay Krishnan : Post the merger what do you think will be the most critical to get in right at an early point in time? Is it more on the impact of the long -term growth valuation or is it more on the distribution aspect that you would?
Rajiv Rajgopal : I think a combination of both, because there is no long term without managing the short and medium term. F irst and foremost, managing all stakeholders, managing employees , our channel partners, our customers, I think those would be the critical part during the integration part. How do we together? Because remember that the two teams have been also in a way, not in a huge way, competing in markets. So how do you rea

lly bring the best of both? How do we really integrate into the families, the join in the family now? And how do we really make sure that the two brands …for me, it's today I am very clear in the role that I do, what's good for JSW is what's good for D ulux. I am very clear. Ever since I've moved into the family from July, so I think a s long as every employee understands that they are first thinking India, then thinking JSW and then thinking D ulux, I think we will be on the right path.
Moderator : That was the last question for today. I now hand the conference call to the management for closing comments. Over to you sir.
Rajiv Rajagopal : First and foremost, thank you once again. We are delighted and we know that we have each of your support. If you have any further clarifications, do reach out to Rajiv Jha, our C ompany Secretary, and we would be happy to engage. One of the things that I am most fascinated about is that engagement with all of you. Over the last couple of years, we have had the opportunity also physically meeting some of you and our B oard yesterday in the board meeting also encouraged us to continue that exercise. So, w e look forward to not just having these calls but on a structured manner getting an opportunity for you to also meet some of our leaders and at an appropriate time also our Chairman. We are quite excited. Everybody in the G roup, Board, would like to thank each one of you for your incredible support. A s I always say, this industry is a very exciting industry to be in. That's the reason why people like me have spent so long, I have completed 14 years last week now, time flies. I wish all of you the very best. You can count on us; we are the sort of team that works 24 x7. We understand that many of you made significant investments in the company, on the brand and you can be rest assured that's what we will keep in our mind as we progress ahea d. Thank you very much. Have a great day.
Moderator : Thank you sir. Ladies and gentlemen, on behalf of ICICI Securities, that concludes today's session. Thank you for your participation. You may now exit the meeting.

Call: Feb 2026

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CIN: L 24292WB1954PLC021516
9th February 2026

Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 500710 The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra- Kurla Complex
Bandra (E)
Mumbai – 400051
Symbol: AKZOINDIA
Dear Sir /Ma'am,

Sub: Group Investor Call Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the group investor call conducted on 3rd February 2026 with regard to the financial results of the Company for the quarter and nine months ended 31st December 2025 .

This has been uploaded on the Company website also and can be accessed through the link: https://akzonobel.co.in/investors.php#im

Kindly take the aforesaid information on record.
Thanking you.
Yours truly,
for Akzo Nobel India Limited

Rajiv L Jha
General Counsel, Company Secretary &
Compliance Officer
Encl: as above.

"AkzoNobel India Limited Q3 FY26 Earnings Conference Call"

February 03, 2026

MANAGEMENT : MR. RAJIV RAJGOPAL – JOINT MANAGING DIRECTOR
& CEO, AKZONOBEL INDIA LIMITED
MR. KRISHNA R – WHOLE -TIME DIRECTOR & CFO,
AKZONOBEL INDIA LIMITED
MR. RAJIV L. JHA – GENERAL COUNSEL , COMPANY
SECRETARY , AND COMPLIANCE OFFICER ,
AKZONOBEL INDIA LIMITED
MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and FY26 Earnings Conference Call of AkzoNobel India Limited hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you.
Aniruddha Joshi: Thanks, Yashas hri. On behalf of ICICI Securities, we welcome you all to Q3 FY26 Results Webinar of AkzoNobel India Limited , a JSW Group Company.
We have with us today Senior Management represented by Mr. Rajiv Rajgopal – Joint Managing Director and CEO, Mr. Krishna R – Whole-Time Director and CFO, and Mr. Rajiv L. Jha – General Counsel, Company Secretary, and Compliance Officer.
Now I hand over the call to Mr. Rajiv Jha to read out the disclaimer and then we will hand it over to Mr. Rajiv Rajgopal for initial comments. Post that, we will do the question -and-answer session.
Thanks, and over to you, Rajiv Jha sir.
Rajiv Jha: We welcome you all to this 3rd Quarter and 9 months ended 31st December 2025 Investor Call.
And as per our process, let me begin with the safe harbour statement that we usually do:
This media release contains statements which address such key issues as the company's growth strategy, future financial results, market positions, product development, products in the pipeline and product approvals. Such statements should be carefully considered, and it should be understood that many factors could cause forecast and actual results or outcomes could differ from these statements. These factors include but are not limited to price fluctuations, currency fluctuations, developments in raw materi al and personnel costs, pensions, physical and environmental risks, legal issues and legislative, fiscal, and other regulatory measures and approvals, as well as significant market disruptions. Stated competitive positions are based on management estimates supported by information provided by specialized external agencies. For a more comprehensive discussion of the risk factors affecting our business, please see our latest annual report.
And with this, I am handing over to Mr. Rajiv Rajgopal. Thank you.
Rajiv Rajgopal: Thank you, Rajiv. Thank you to the ICICI S ecurities team and everyone on the call , wish all of you a very good afternoon.

As always, every quarter, post our results , I think this has been a ritual for us that we get to speak to you. We have loaded the investor deck onto the website and stock exchanges . So as always we do, we will not run you through a canned presentation because we would like to leave more time for the questions you may have.
I will begin by giving a short summary and will request CFO and W hole-Time Director , Krishna , to also just run you through in terms of any observations on the financials. S uffice to say that last quarter, if you really look at it, our revenue reported was 907.7 crore which was approximately a 1% decline. However, I would quickly like to add that in the revenue, the standalone business, domestic business grew almost by about 2% and t he reason for that is while you all understand that there are large parts of AkzoNobel or there is a part of AkzoNobel that got carved out which is specifically in the powder coating entity and the IRC business, our International Research Centre, there are certain other elements of the business which also got retained by the AkzoNobel Powder Coatings India private limited entity which is an unlisted company by the earlier parent, which includes specifically a couple of customers in the coil coating business. And also, we used to export a lot of our D

ramatone and now the A cotone,
which is the colorant into parts of Southeast Asia and Middle East and as a part of the deal for now, this has ceased since the early part of the quarter. So hence, like to like, the total amount that got netted off was in the range of about approximately 200 crores. So roughly about 25 crore a quarter is the impact that one would need to keep in mind other than the divestitures, which already have been shared with you. So hence, when you look at it, we had a volume growth of
6% blended for both decorative and industrials and a revenue growth of close to 2%.
Decorative alone, I think it was fantastic news to see the volume coming back. We grew at 8%.
I think the highlight was the fact that we started growing almost in single digit in the premium segment. Our challenge continues to be what we call the MEP, which is a Mass Economy Primer and certain actions have been put in place starting this quarter to look at really enriching some of our premium primers and also to fight the battle in a more strategic manner with some of the new entrants at reasonable margins. So that's the strategy that we have employed.
I just want to highlight both across the paints and coatings with the new owner and one of the things that we have done is to really say that, look, how do we really play in India? How do we play across segments? How do we make sure that we are winning across our consumer bas es, customer bas es? And that's really been the mantra of saying, how do we really drive revenue growth? And while doing so, make sure that we don't dilute margins in a huge manner. And we are doing it in a very intelligent, strategic manner. We are not doing it just tactically. We are making sure that we use a lot of science in the way we play. I'll give you an example. When we looked at with the new mandate, I think it's wonderful for people like us because we are quite enthralled to see that now volume growth and revenue growth is the first mantra in the business.
Typically, it's not the same in an MNC business as many of you would agree. And one of the things that we looked at was to look at our pricing across our premium brands and some of our other offerings in the market versus some of the lead players. And we did see that we were usually overpriced between 5 % and 9 % which is what had led to volume erosion. We have

addressed some of those and we have also started looking at how do we really look at the whole franchise of the customer bas es and where we need to play. So that's what I mean. We do price elasticity studies to see that if there is a price of what's the volume elasticity we get and till we are certain, we don't take any actions. And it's been very limited, but we are seeing some early actions and also as we start doing a far more disciplined way to sell in order to try and grow the business. So, that's on t he revenue side.
Our coatings business , the challenge in the mix was that we grew faster in our coil coating business and in our automotive and speciality coating business. We had a bit of a challenge because of a high base last year because we had done many of the ships for the Indian Navy last year. So that was a one -time base direction which will get restored back in this quarter.
Suffice to say that I am fairly buoyant and confident as we progress into the last lap of this fiscal.
And at this point of time, we are looking at various strategies and plans of really seeing now under the aegis of Mr. P arth Jindal, how we can have a larger play.
Let me just hand it over to Krishna to say quick words on the financials and then we will hand it over to Aniruddha for the Q&A.
Krishna R: Thanks, Rajiv. We have uploaded the de ck in terms of the details, and we have also given the like-to-like comparison of the results on a comparable basis which excludes the powder

coatings
and International Research Center business. And Rajiv has completely given a 360 -degree view in terms of what's happening in the business and definitely it's an exciting journey for us in terms of how are we rewiring into the growth trajectory back into the business. At the same time, happy to say that we did protect our gross margins largely and there is a sequential improvement of 80
basis points compared to the last quarter. And as Rajiv alluded, we deployed the royalty savings back into the business to support the growth initiatives and to move the revenue trajectory. And at the same time, we also maintain our double -digit profitability and EBITDA stood around 14.9 before the exceptional items. As most of you might have seen the notes to the accounts, there are quite a few exceptional items which has impacted during the last quarter. One among that which is a significant impact in terms of the impact of labor codes , which we clearly called out.
Resultant excluding exceptional items, the PAT grew by around 5.9% on a year -on-year basis.
With that, Aniruddha , I think I will hand it over back t o you to see the question and answers.
Moderator: We will now begin the question -and-answer session. We will take a first question from Abneesh Roy from Nuvama.
Abneesh Roy: My first question is on the demand side. November, December, I guess was much better than October.
October, the rain season was there and early Diwali. So very little days to really paint house to capture the festival related kind of a behaviour . So how do you see Q4? Because the other paint companies are saying that Q4 is likely to be better than Q3 in terms of volume in terms of the decor . Would you also share similar thoughts?

Rajiv Rajgopal: Yes, Abhneesh, very much. Two reasons. One, you are absolutely right. I think in our view, even for us, October was very muted, in fact, it was a decline. But we really bounced back in November, and we had reasonable growth in November, which is where we are. And you take out the like -to-like business of what we don't now operate in. And our volume growth was pretty good because, you know, 8% in Decorative, we are seeing it. And when you look at that, it was fairly secular, actually like by premium. We were pretty happy with what came in. Yes, in my view, this quarter, unless there are again any external events or hopefully no climate change impacts but other than that, it should be a pretty strong quarter from a volume perspective. You are right, in Decorative s.
Abneesh Roy: One follow up question on demand side, what is the gap you are seeing between the volume growth and sales growth?
Rajiv Rajgopal: See, from an industry perspective, we expect it to be between 5 and 6. And however, what's happening, Abneesh, is that the two reasons why you cannot exactly sort of pinpoint. One, because there is excessive discounting happening in the market, something that particularly in the mid economy sort of segments where we have not had great success and we are reworking our strategy with that. Second is, as far as we are concerned, as I mentioned we did, as I told you, some of the conjoint pricing analysis and we took some actions given that we were at significant premiums to our market , so we will be at about maybe 1% or 2% a little higher in terms of the volume value gap for about a couple of quarters till it cools down.
Abneesh Roy: A final question in terms of the new player, Birla Opus, we saw a very minor hike of 1% to 3%. When you see the raw material side and when you see the heightened promotional intensity in industry and the new player has also reversed 10% extra in the four litre pack, would you say that the worst of the promotional intensity, competition intensity is now kind of at the fag end, or do you think that this can continue at least in the next few quarters? This remains as high as to the peak level.
Rajiv Rajgopal: Firstly, what I would love to believe is that the worst is behind us, but I think what the reality of the picture is that I think it will still take 2 -3 quarters for it to really play out because at this point, let's understand the math . You are talking of a new entrant which has come at prices which are anywhere up to 12% lower than the prices at which we operate in addition to that additional discounts and then there was the 3 litre which while you say it’s been called off, it's still ther e in a few markets, still running pretty much. So , you are talking of a band between 12% and 18% lower pricing which is not a small sort of a negate. And what we are seeing is , you see, pricing is a lever in this industry, it works to a point. The problem is, if repeat demand doesn't come in at that pricing, it will be very difficult for any new player to take up the margins. Sort of cost cutting, etc., that one will have to do is going to be immense. We have seen it. We have seen it being a relatively, I am saying when I joined the company in 2013, you would remember Abneesh, Akzo India profit was le ss than 80 crores. L ook at where we are. It's taken a huge amount of effort, a lot of work on costs, structural costs, procurement, raw material, logistics. We put a new route to market using the distributor which you know we went through a lot of

pangs when we did it. So , I think it will require out of box thinking. It's not just going to be cyclical. I do expect the competitive intensity to continue for a couple of quarters. But hey, I think we are in it and now as a part of the new group, I think the mantra is very simple, Abneesh, you will see us definitely. I mean, now as JSW G roup in the paint s business, I think we are already number four. I think Parth has given us a very clear intent and signal that we should get to number two in 3 to 4 years when we would want it even faster perhaps. So, we have got a very clear plan. I think what we are doing is focusing on our executional excellence and looking at our innovation basket to see how we can get products which will be slightly different from what we have been able to craft in the back. Dulux, as you know, enjoys a huge quality advantage and that's what we are relying on to take us through.
Moderator: We will take our next question from Manoj Menon from ICICI Securities.
Manoj Menon: Good performance, I must say, in the context of the market and also maybe rationality in parts of competition, etc. , plus the transition. I've got a few things, but the most important thing comes to my mind is the revenue synergies . If you could talk a bit about whatever you can speak in a public domain subject to confidentiality on the revenue synergies , let's say, Dulux brand gaining from the JSW paint distribution or vice versa, or both, or just that you have got a far bigger scale today, yo ur ability to accelerate numeric. So just please talk a bit about revenue synergies would be super helpful. Thank you.

Rajiv Rajgopal: Thank you, Manoj, and I think it's a little too early for me to talk, to be very honest, not for any other reason, because everything is in scope right now. And there are obviously certain elements of confidentiality that I am bound by. So, if you permit, I think the appropriate time would be to talk about it but at a very high level, if you were to ask, look, obviously, if you look at Dulux, Dulux has got markets where we have got greater than 10 %, 15% market share in different states , whether it's Bengal, parts of Gujarat, we have got multiple states. And in JSW P aints, I think the team has created a very good presence in the southern markets and a few other markets like West , Maharashtra, etc. So, we need to look at in terms of what the combined offering will b

ring,
and we need to create those value propositio ns which will make sure that the dealers, wherever there is a third brand in the outlets which have a higher shop share for either one of the two, we have a clear strategy for it. So that's broad thinking, Manoj. Also, there is a lot of synergy and in our industrial business there are obviously scopes, maybe on a coil business and a little bit in our protective business. So those are the areas where synergy will really pan out. But too early, I think it's not appropriate because work has just started and ma ybe at a later stage, Manoj, I think it'll be more apt for me to talk about.
Manoj Menon: The second and last one for today is that Rajiv and team, again, if you could talk a bit about the integration aspect beyond the people side of it, the culture side of it, and where are we currently . I know that it's a work -in-progress kind of , but you could talk about the people and the culture side of it. Thank you.

Rajiv Rajgopal: Look, I think for people, I think there is a reality check in terms of the fact that people will be used to working in a particular way of life in an MNC organization when you move to an Indian organization. But bulk of us people around the table, among the leadership have worked in both, we have worked in Indian business houses and in MNCs. So I think the nuances, if you were to ask me, first and foremost, I must say this, Manoj, that we have been given a very warm welcome by Mr. Sajjan Jindal, Mr. Parth Jindal, and I think Parth in particular has be en very caring in terms of making sure that right from the word go when the leadership team came to J SW Centre , by the way, we are in J SW Centre Mumbai today taking the call . The team is really welcomed and there is very clear ways of working. Of course, the re would be like in any business when a business gets acquired, there'll be some challenges. I think the key for us as leaders is to make sure that our key talent, our key people are retained and value propositions are there on both sides, because I think JSW Paints has also got a very good set of team members. So, I think that's the thing that we will start doing . Again, as I said, Manoj, very early days. I think these are questions, it feels like you just got married and entered and you were asking me how is it going to be two years from now? It's a difficult question to answer, but my answer to that is, look, I think as in Indian customs the first thing you do is to make sure you come in and be a part of the family and that's what we are trying to do.
Moderator: We will take our next question from Lakshminarayanan Ganapathi from Tunga Investments .
Lakshminarayanan G: Rajiv, I think there are two or three number questions, and one is very conceptual question. So, first, I want to understand from a decorative volume growth, 9 months to last 9 months, like -for-like, what has been the volume growth? Second question is what are the cash levels we actually carry right now, approximately? And the third is you talked about royalty. I think royalty was around 140 crores or so. So how does the company intend to use it, whether it will flow into the bottom line or you would actually use it for business expansion? How do you think about it? These are the three questions from a number point of view. Conceptually, I want to understand, looking out three years, what will you call a s markers of success for you and the management? It could be market share, it could be revenue growth, or it could be margins or ROC E. When you say that, look, we are successful three years out, what are the two or three markers you like to use and say, okay , we have done well? I think these are the questions, Rajiv.
Krishna R: As far as the royalty is concerned, there are two portions of royalty. One is pertaining to the decorative paints and

second is pertaining to the industrial coatings. In the month of June 2025, we acquired the decorative IP, and the Dulux brand is now owned by Akzo Nobel India Limited listed entity. So, the royalty ceased to exist which translates to roughly around 60 crores to 65 crores depending on the revenue trajectory. And that amount, as Rajiv alluded in the initial comments, we are committed to redeploy towards the growth initiatives and to gain the market shares. So that explains. And as far as the industrial coatings is concerned, AkzoNobel will continue to be the technological partner and we continue to pay the royalty as per the previous agreements. Hope this will answer the royalty question. C oming back to the cash position , ballpark is roughly around 200 to 225 crores of free cash is available in the balance sheet, which is earmarked for the growth initiatives and the CAPEX for the near future.

Lakshminarayanan G: And volume growth on decorative like -for-like for the 9 months.
Rajiv Rajgopal : 9 months would be between 1% and 2%. So clearly, Lakshmi, two parts. First, of course, there's been a huge bounce back. And the reason for that is there were two issues, of course, the July, August, September, as you know, once the announcement happened, there were a few challenges which I mentioned in that quarter in the call , particularly in the project segment in decorative, we face a lot of challenges from repainting societies in terms of continuance of some of the various actions that w e had committed to in terms of warranties, etc. , all of which has got addressed. So, I think now we are slowly bouncing back. O n the decorative retail side we are starting to do well a nd secular growth across geographies.
Lakshminarayanan G: I think that answers all the number questions . Can you move on to the other one which I asked in terms of what you define success and what are the markers you like to use?
Rajiv Rajgopal: First and foremost, success for me is , we are now thinking what's good for JSW is good for JSW Dulux. And as all of you know, we have informed the new proposed name of the company with the Stock Exchange. It’s gone to all our shareholders, all of you for vote . We hope you like the name. We believe that I think it's the name for the future where it captures, as Parth rightly says, the agility and the nimbleness and the power and the strength of JSW and really the epitome and the entire premiu mness , luxury feel of Dulux . So, we are bringing Dulux right up there in the company. So JSW Dulux. Now, I think in terms of goalposts, look, I think the first is obviously how over the next couple of years we start integrating the companies. And while doing that, we make sure that the companies are really growing well and actually gaining from other players in the market. The larger goalpost, as I mentioned to you, is we are clear number four now with the combination. There's no doubt on that. And the quick cla rity is to say that how do we quickly move to number three and then beyond. So really, how do you really progressively start moving ahead . I think that's really it. In coatings, I think we have now got all the recipes to start moving towards first being a number two and then a number one player. I think that's again the areas where we are, because I think now the mandates would be really how do you drive growth in India for India and made by India? And as we do that also, we will start looking at attractive opportunities that come our way. Lakshmi, hopefully that addresses all the questions you asked
Moderator: Next question is from Pratik Gothi from HSBC.
Pratik Gothi: A quick question on the numbers. Employee expenses were down, I think, to 55 million quarter -on-quarter. I think these are the continuing business numbers. So, any clarification on that, please? That's my first question.

Krishna R: Thanks for asking this question. As we clearly mentioned in the disclosures, the last year number is not comparable. And last year includes the Powder Coating and IRC. If you roughly see, ballpark number is around 12%.
Pratik Gothi: I am sorry, sir. Quarter-on -quarter. Q3 versus Q2.

Krishna R: Q3 versus Q2. It's a combination of the attrition and then the refill rate of the company and there is no structural change per se in that Q3 versus Q2.
Pratik Gothi: Second question is, are we thinking about changing the business model to becoming a direct distribution play instead of a distributor play as we currently hold?
Rajiv Rajgopal: Pratik, I'll look at that. Look, I don't think there's a perfect solution. There will be markets. Let's go back. Why did we move to distributor? We moved to distributor for two reasons, as all of you know. Global companies measure themselves on EBIT percent margin and not on absolute EBITDA or absolute EBIT. That was a bit of a challenge. And when you look at that bottle and look at in terms of service and when you want to have a vision of becoming a larger player in the country, we believe that distributor would have been it. And this journey started in 2013. We are in 2026. We have got 153 distributors and more than 82 % of our distributors are more than 10 years old. So, they have grown the business with us. Now, obviously, what we will look at is there are certain markets where we still believe because of the fact that we need to further invest in the brand to drive offtake when you are starting to play the bigger players , we will need to look at being direct. So, there will be a combination , and they will also continue to be our distributors. Our distributors will continue. That we will come back. We will take a couple of quarters to see what is the best model and we will come back to you.
Pratik Gothi: On a decorative side, can you elaborate a little bit more on the competitive intensity? You talked about this higher discounting, but do you see competitive intensity in certain segments? Do you see higher competition in the economy segment where you are not especially strong, but say premium segment, for example, is there more competitive intensity there or anything? If you

could put some colour on that please.
Rajiv Rajgopal: I think where all the new players have been able to really impact is in the mass and the below , mass, primers, economy and then even in some of the new categories, waterproofing and woodcare. I think in premium, I don't think that the order is really reversed While p eople have tried. I can just give you examples that one of the fastest growing newer emerging players, when they got into the project business, they started getting consumer complaints and we started getting some of those businesses back. So, I think ultimately, look, I think what will play out is the quality of products because paint there is a lot of engineering in paint. And being a chemical engineer, I can tell you very proudly that there is a lot of engineering in paint. And so it's not that we create recipes and we start putting in the market. That said, to answer your question, yes, the competitive intensity is more in these segments of the market. But I would also suggest that look, in the premium, because everybody knows that that's what gives them better margins , there will be a lot of action in premium too, though a little lesser than the other segments.
Moderator: Next question is from Mrunmayee Jogalekar from Asit C Mehta Investment Intermediates .
Mrunmayee Jogalekar: My questions are mainly related to the coating segment. I think you did refer to the fact that you expect Q4 to be strong, and you also expect to become the number two player and then gradually

number one

player on the coating side. So , first part of the question is, in the near term what will really drive the growth? Is it broadly the industry wide growth or you are seeing some kind of market share or some new products or something like that? And the second part of that is on the medium term what strategy you are thinking about from the coating perspective? The medium term strategy when looking at the coatings business now going ahead.
Rajiv Rajgopal: I think in coatings , we have been playing largely in the premium space while we entered the mid-market , in each of the business, I think mid -market is a huge opportunity, again, because of the challenges of being a part of AkzoNobel’s looking at margins, we never looked at it. I think that's one area where we are now looking at and we are doing it in a very careful manner. It's not that we are just generally dropping prices. We are looking at are these sustained growths before making those c ommitments, one. T wo, obviously our real focus is around R&D, ensuring technical expertise and really making sure that our products are going to be competitive in the mid segment. So that's where the second leg is. Last but not the least, in all our coatings B2B businesses, I think it's also understanding customer and consumer insights, really understanding how you can get in deeply into the business, understand the customer businesses and that's what the teams are right now engaging in to. So hopefully I've answered your question.
Mrunmayee Jogalekar: On the near term, like the next couple of quarters, if you can talk about because you did say Q4 you are expecting strong performance in coatings .
Rajiv Rajgopal: Yes. Look, I think, again, you have got to keep in mind the fact that coating business has been an outperforming business for us over the last, if I take a three -year CAGR . So, yes, I think the key is we will obviously continue to grow. And in the near term, what we are trying to do is to win customers across different businesses and make sure that while driving growth, we are also able to keep an eye on profitability. Because that's also been a key lever in the coding business and using tec hnology as the tool to drive that.
Moderator: We will take our next question from Aniruddha Joshi .
Aniruddha Joshi: Two questions, one in terms of now there are royalty savings . Secondly, over a period of time may not be, let's say in H1 FY27, but post that we may see strong synergy benefits. A lso, the company in its new avatar wants to invest more in brand building and overall growth of the busines s. So how should we think about the margins? Means earlier there used to be a band in which we used to look at the margins. There was a minimum kind of a band. So how should we think in terms of the margins? That is question number one. And question number two, in terms of new product launches , how should we again see . Will the brand shift to JSW Dulux or it will remain Dulux because the company name is also getting changed to JSW Dulux . That's it from my side.
Rajiv Rajgopal: Aniruddha , the brand work is just about to commence. The company name is JSW Dulux . In terms of brands, obviously, there's a lot of clarity that Parth has made a significant investment to buy the brand of Dulux . So obviously, the endeavour will be to try and use it. But there are

certain areas or segments where Dulux has not been very, to be honest, we have not been able to stretch the brand enough. O bviously we have got a good brand in JSW Paints . So, when we look at it, we are studying it very closely to see , how the combination of the two starts really gaining significantly from the other players in the market. So that's one. L ook, the guidance that

I've given, my view is, as I said, as we enter the mid -market and some of it, you'd see an initial slight erosio

n of about a half point, etc. We are operating in the 14 to 15, 14.5, 14.8 EBITDA margins . I am not talking any synergy. I am saying, whatever synergy will come, will come outside this and at an appropriate time. But without synergy, I think our endeavour is to be in that band of more towards the 15. But the range I would give you is between 14.5 to 15 . And then to take it up to 15 to 16, but at this point of time, I would say around 15% is where really I want to keep the focus. As I said, t he first task is really driving revenue growth. And Aniruddha you will agree, I think really driving growth ahead of competition is most critical for us at this point of time .

Aniruddha Joshi : In terms of some of the pricing actions, if you can indicate which we would have initiated in the market and how has been the trade response, because the transition is also underway. But we have seen India decorative volume growth is pretty strong at 8 %. So how is the trade feedback , maybe just initial 1-2 months, but whatever you can share.

Rajiv Rajgopal : This is something that the trade has been asking us for the last couple of years, it is just that our ability to do that with AkzoNobel was very difficult because Akzo runs on global pricing modules . The response has been good. It's a bit across the portfolio, starting from super premium right up to, some of our mass …and the reason for doing that is because we were completely off in terms of market operating prices. As I have told you, we have looked at pricing elasticity studies which we have done, we have done third party and all also done a bit of in -house work to really look at what is the elasticity across different brands, across the segments of dealers, painters and consumers. We have done it across three segments and based on that study; we started taking the decisions . Initial response is good, but we will have to wait and watch, because for me, pricing is something which you need to be in a particular range versus competition and there is a certain price premium. But I think there are a lot of other actions which are happening, just to say, pricing is not the only driver for growth.

Moderator : We will take a last question from Akshay Krishnan from ICICI Securities.

Akshay Krishnan : You clearly mentioned that you wanted to scale up the ladder on the ranking aspect , what will be the guardrails that you will be looking at? And let it be on the brand positioning or the pricing power or the channel economics, which means that you will protect yourself despite having a slower growth, even certain phases of the entire life cycle.

Rajiv Rajgopal : Very good question, Akshay. First and foremost, I think to answer Anirud dha's one point, at least the start in January has been very good, so we are hoping that we continue. Second, I think it's a very good question. What are the guardrails? U ltimately when you want to get into the top zone on growth, but you also need to maintain profitability, i t's absolutely essential that your

premium, your luxury brands and premium brand s also grow, at least in line with GDP or outperform competitive landscape. So that's one . You know what are the drivers for it. So, I am not going to enumerate that, but suffice to say, hence brand, making sure that we are able to drive productivity on our tinting machines. We are able to make sure that we are engaged appropriately with our painters and our contractors, making sure that we are driving not just the width but also the depth of sharing an outlet is critical with the distribution and depth both. So, the guardrail would be to make sure that we are not dialling in into one area or one vector of growth. We are looking at playing it across the segments. That's one. A nd the same thing, both in decorative and in coatings, t o make sure that we get a fairly secular gr

owth across our businesses and making sure that it's not the lowest margin business that grows the highest and hence a high performing business are there. So that would be one. The second guardra il would be to ensure that while doing this, we continue our focus in terms of innovation. We are entering into a period of integration, etc. I remember an example, when y ears ago that I was told that it's like making sure that you are still running the F1 Race with a bit of a flat tire. So, you don't have the luxury of getting out of the race and you have got to wait to make sure that you are able to change the wheels at the right appropriate time. Or you are in a house where there's something which has got electrocuted, you don't have the luxury of switching off the mains. So, t hat's the situation we are in. I think it's a very competitive market, but I also believe it's a very exciting market. For me, I think the beginning of the new journey, the beginning of the family that we went, gives me adequate confidence and backing to say that go for the moon. T hat's the sort of thought that we are working with. Hopefully I answered your question.

Akshay Krishnan : Yes. W e have many growth levers in the paint industry; let it be on the pricing or let it be on the adjacencies or the distribution integrities . It looks very attractive in an isolation path. But how do you evaluate the second order effect of these choices when you make on brand equity or the channel distribution or the return of capital on a full life cycle , so w hat is the trade -off point that

you are consciously looking on to accept in today's point in time?
Rajiv Rajgopal : I will be very honest, t he only reason I love this business is because the business I was in earlier, before I came into paints business was telecom , and the company was Airtel and you know what we have created. I ran the data business from 2G to 4G , I launched a 5G and you have seen what that business did. F or me, I think, cash is king. The reason Krishna and I get very excited about this business is because this business delivers cash. And as the number four player, we have been able to do it, i magine the power of what we can do as we scale up . So, t hat's the most exciting part, that it's a very cash business. T he brand commands an equity. I don't think many players in the industry, other than a couple including the market leader and us and maybe, number two player are able to debit dealers , etc., for wrongdoings in the market. We do that . We have consistently done that for 14- 15 years of existence. So that tells you the strength of the brand, that tells you the strength of the relationship. We are very transparent in the way we work. I think wh ere we lacked was firepower. In India, t o win in India you need firepower , and you need a micro market battle strategy which keeps articulating . Those are some things that we are fine tuning and now really entering and that's what I am most excited about , for me . This is really the

excitement that we are really wanting to win in India. We are really wanting to be a part of the larger story. I think let the performance speak Akshay.
Akshay Krishnan : Post the merger what do you think will be the most critical to get in right at an early point in time? Is it more on the impact of the long -term growth valuation or is it more on the distribution aspect that you would?
Rajiv Rajgopal : I think a combination of both, because there is no long term without managing the short and medium term. F irst and foremost, managing all stakeholders, managing employees , our channel partners, our customers, I think those would be the critical part during the integration part. How do we together? Because remember that the two teams have been also in a way, not in a huge way, competing in markets. So how do you rea

lly bring the best of both? How do we really integrate into the families, the join in the family now? And how do we really make sure that the two brands …for me, it's today I am very clear in the role that I do, what's good for JSW is what's good for D ulux. I am very clear. Ever since I’ve moved into the family from July, so I think a s long as every employee understands that they are first thinking India, then thinking JSW and then thinking D ulux, I think we will be on the right path.
Moderator : That was the last question for today. I now hand the conference call to the management for closing comments. Over to you sir.
Rajiv Rajagopal : First and foremost, thank you once again. We are delighted and we know that we have each of your support. If you have any further clarifications, do reach out to Rajiv Jha, our C ompany Secretary, and we would be happy to engage. One of the things that I am most fascinated about is that engagement with all of you. Over the last couple of years, we have had the opportunity also physically meeting some of you and our B oard yesterday in the board meeting also encouraged us to continue that exercise. So, w e look forward to not just having these calls but on a structured manner getting an opportunity for you to also meet some of our leaders and at an appropriate time also our Chairman. We are quite excited. Everybody in the G roup, Board, would like to thank each one of you for your incredible support. A s I always say, this industry is a very exciting industry to be in. That's the reason why people like me have spent so long, I have completed 14 years last week now, time flies. I wish all of you the very best. You can count on us; we are the sort of team that works 24 x7. We understand that many of you made significant investments in the company, on the brand and you can be rest assured that's what we will keep in our mind as we progress ahea d. Thank you very much. Have a great day.
Moderator : Thank you sir. Ladies and gentlemen, on behalf of ICICI Securities, that concludes today's session. Thank you for your participation. You may now exit the meeting.

Call: May 2026

21st May 2026
Department of Corporate Services
BSE Limited
1st floor, New Trading Ring
Rotunda Building, P J Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 500710 The Listing Department
National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Bandra- Kurla Complex
Bandra (E)
Mumbai – 400051
Symbol: JSWDULUX
D
ear Sir/Madam,
S
ub: Group Investor Call Transcript
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the group investor call conducted on 14th May 2026 with regard to the financial results of the Company for the quarter and year ended 31st March 2026 .
This has been upl oaded on the C ompany w ebsite al so and ca n be acce ssed through the l ink:
https://akzonobel.co.in/inves tors.php#im
Kindly take this information on record.
Thanking you,
Yours t ruly,
For JSW D ulux Li mited
(Formerly Akzo Nobel India Limited)
Ra
jiv L. Jha
General Counsel & Company Secretary
E
ncl: as above.

"JSW Dulux Limited
Q4 FY '26 Earnings Conference Call "
May 14, 202 6

MANAGEMENT : MR. RAJIV RAJGOPAL – JOINT MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – JSW DULUX
LIMITED
MR. KRISHNA RALLAPALLI – WHOLE -TIME
DIRECTOR AND CHIEF FINANCIAL OFFICER – JSW
DULUX LIMITED
MR. ROHIT TOTLA – WHOLE -TIME DIRECTOR – JSW
DULUX LIMITED
MR. RAJIV JHA – GENERAL COUNSEL , COMPANY
SECRETARY AND COMPLIANCE OFFICER – JSW
DULUX LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to JSW Dulux Q4 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, Mr. Joshi.
Aniruddha Joshi: Yes. Thanks, Michelle . On behalf of ICICI Securities, we welcome you all to Q4 FY '26 and FY '26 results webinar of JSW Dulux Limited, formerly Akzo Nobel India Limited. We have with us today the senior management represented by Mr. Rajiv Rajgopal, Joint Managing Director and CEO; Mr. Krishna Rallapalli, Whole -Time Director and CFO; Mr. Rohit Totla, Whole -Time Director; and Mr. Rajiv Jha, General Counsel, Company Secretary and Compliance Officer.
Now I hand over the call to Mr. Rajiv Jha to read out the disclaimer and then take call forward.
Thanks, and over to you, Rajiv, sir.
Rajiv Jha: So dear, all investors. Good morning to all of you, and we welcome you to this Q4 and financial year ended 31st March 2026 post earnings call. And as far our process, let we begin with our safe harbor statement that we used to give in every investor call. So this media release accounting statement, which address such key issues as the company's growth strategy, future financial results, market positions, product development, products in the pipeline and product approvals.
Such statements will be carefully considered.
And it should be understood that many factors could cause forecast, and that results or outcomes to differ from these statements . These factors include, but are not limited to, price fluctuations, currency fluctuations, developments in raw material and personnel costs, pensions, physical and environmental risk, legal issues and legislative fiscal and other regulatory measures and approvals as well as significant market disruptions.
The stated competitive positions are based on management estimates, supported by information provided by a specialized external agency. For a more comprehensive discussion of the risk factors affecting our business, please see our latest annual report and wait for our upcoming annual report for this year.
So with this, I'm handing it over to Mr. Rajiv Rajgopal to take it forward.
Rajiv Rajgopal: Good morning to all of you. We've -- as is the usual practice, we will not -- we have circulated the deck on the net. So it's already on the stock exchanges. So I'm sure all of you had a good chance to look at it. What I would quickly do is to quickly run by in terms of how the company has at a high level performed and hand it over to the CFO, Mr. Kr ishna to wa lk you through the performance.
And then we are open, we would like to spend a little more time on the Q&A if you have any further questions that you may have for us. Yes, I think first and foremost, I think quite excited to be a part of the JSW Dulux journey. As all of you know, with the ownership change, there's a lot of positions, transformations, a lot of activities which are happening. As all of you have

figured out first for the team, there's a shift from the headquarters from Gurgaon to Mumbai.
There's a massive transformation journey.
And as a result, I think one has to keep in mind that this performance comes keeping in mind multiple other things, which are also happening on the background, yes. And of course, the work of the integration has also in a way it started, yes.
So coming to the performance of the quarter, I think, by far, obviously, the change in ownership gives you a sense of the performance. It is the JSW way of doing things. We've had a record volume growth of 23%, both on the deco

rative and industrial vertic als. We've had very solid growth.
Two reasons driving it. I'm sure you must be wondering why there's a gap between volume and revenue, let me take that upfront. The gap is largely because of price and mix. As many of you remember, in September, October, we had reduced the price premiums. In many of our premium categories, super -premium categories, even in mid -market.
We were having premiums of almost close to 7% to 9%, because our earlier parent Akzo Nobel, and we used to measure performances on EBIT percent and EBITDA percent or absolute and unfortunately, the market like India, that has always been the challenge.
And hence, what was agreed was that we would do actually a lot of work in terms of correcting our price premiums and over indexing particularly on the consumer and customer, where we were under -indexed versus the challenger brands and even versus sometimes the market, yes.
So that's where you see a bit of it. It's largely price and mix, which led obviously as you see in a couple of quarters ahead, this will -- obviously, the gap will get bridged because we started journey in September last year and then you will start seeing , of course, the revenue and the

volume sort of almost matching.
So we've had a 6.2% revenue growth, and that's one of the strongest performances that we've had in the last 4 quarters. Suffice to say, the building blocks are slowly getting in place. And while from a -- if other things being equal, I think we are positio ned well, yes. However, let me quickly cover the performance of the 2 verticals.
In Decorative, we've had a very strong volume growth amidst very competitive pressures. We have taken some pricing corrections also in Jan and Feb on certain categories, primarily just to
make sure that we were benched to competition, and that's something that we do across many of our metros. And that was the attempt, of course.
Then obviously, the script changed somewhere in March because what then happened was obviously, the raw material prices, which was benign, in Jan, Feb, suddenly saw a massive escalation more in the recent months than in the last quarter, but obviously, it went up and you started seeing a price increase.
As we speak today, till the 15th of May when tomorrow, when the last tranche of a price increase gets executed, we would have taken close to about 9.7% of price increase. But keep in mind,

that the RMC inflation is quite elevated, and it's hovering between 24% and 25%. And if you take a 55% of that is raw material, right, it translates to almost about close to almost about 13.5%.
So there's still about a 3% to 4% pricing from an industry perspective that we need to take, right?
We, in our Decorative, had some very good work. You're seeing some good work at Dulux Velvet touch. I was in a few markets in the last few days and particularly in Mumbai, etc. Good to see that the brand is really starting to get some traction, but we've got a long way to go, right?
We also launched finally our luxury finishes portfolio under the Velvet Touch umbrella. And this is a part of the change that we did. We've also started getting a little more aggressive on our mass and economy progress. So really, suffice to see on premium, we had good growth and retail and semi urban geographies grew faster.
As far as industrial paints is concerned, we've seen all -around growth across all the 3 verticals, all the verticals in our Automotive and Specialty Coatings, vehicle refinish, we've had some good tie -ups. You see that in the investor deck, the photograph of Porsche with whom we have tied up. We've had some pressure more in the mid -market, and that's something that we as a team are working on. We also are taking new wins with leading OEM manufacturer s in India.
Marine and Protective, we've had one of the highest revenues in the month of Ma

rch. It's -- we've
got strong order book in oil and gas infrastructure and both on blade and dry-dock business.
In our coil business, as you can see, we won a lot of marquee projects, includ ing the Navi Mumbai Airport, et c., and that's something that we are delighted to be a part of India's infrastructure growth and also because of a high quality of paint, you would see that we are typically winning in most of the marquee sites across the country. So hence, when you look at
revenue, we've had a 6.2% growth at an EBITDA on a like -for-like, we've had approximately about a 2% growth.
And in PAT, in PBT, there was a slight decline. However, suffice it to say that, look, a large part of the business is now shaping well. We've seen that traction also in April. So the only concern
would be the elevated the raw materials because that's the one which is slightly leading up margins, and we'll talk more about that in the Q&A. Krishna, over to you.
R. Krishna: Thank you. I think you summed up the whole performance of the company. And notable few comments from myself is that the trajectory started strengthening , and we have getting towards some market share. And all the cylinders, both the industrial as well as the decorative paints have been fired up and showing well, stellar performance and despite of the price corrections and then the elevated spends, we could largely protect our EBITDA percentages last year comparable which is and we are at around 14.4%.
So this is acting in terms of well for us in terms of how do we deploy our spends and how do we generate the revenue -- additional revenue with the deployment of the spend. Opex control measures are in force, and we are channelizing the spend towards our growth initiatives. And finally, the additional thing, which I would like to add on here is that the last of the real estate sale, for which we took the Board approval w as completed in March 2026, which translated to INR64.8 crores of income from the real estate assets.

And taking into account of the business performance , the Board has approved a final dividend

of INR50 per share, the financial year at '25 -'26, which is subject to the shareholders' approval.
With this, I hand it over back to Aniruddha and then you can go for the Q&A.
Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question and answer session. The first question is for the line of Abneesh Roy from Nuvama.
Abneesh Roy: My first question is on the cultural integration, frankly, and on the software integration and dealer integration, is it largely done? And any impact adverse you have seen till now because of these 3 aspects of the business because th ere is still some EBITDA margin…
Rajiv Rajgopal: Abneesh, could you repeat the question?
Abneesh Roy: Am I not audible?
Rajiv Rajgopal: Abneesh, could you kind -- I think your early part of the question we missed, can you kindly repeat?
Abneesh Roy: Sure, sure. I'll do that. I wanted to check on cultural integration, dealer integration and the systems and software integration. Is it done? And was there any adverse impact? Because when I see the P&L, the EBITDA margins are still down on a like-to -like basis, when I see Burger Paint results, there is a margin expansion, and we expect the same for Asian Paint also. Pidilite also saw that. So broadly these 3 targets will be in the broader home decor space. So if yo u could discuss these 3 aspects?
Rajiv Rajgopal: So thank you, Abneesh. Thank you for the question. First and foremost, on the culture integration, look, I think the teams have come together and now currently based out of Mumbai.
So yes, the cultural integration, to my mind, so far, early days, is going well.
On the second part, which is on the dealer integration, we've only integrated our projects business . Starting in Mumbai and the

n now in 7 metros in the later of this month, will be integrated teams selling both JSW Dulux and JSW Paints. As far as retail is concerned, that plan is envisage d only early next year because we want to keep the teams at this point of time separate because we have been selling both the brands separately.
And also from a governance perspective, the 2 companies will run separately. So we are obviously watching it. On the back end, as all of you may have read, we've integrated the HR function to start with. So HR integration and Ritika Chopra has assumed the Head of HR for JSW Dulux. S he's also heading the JSW Paint.
So that's on the -- on where we are. On the EBITDA margin to -- and so dealers at this point of time are not impacted, Abneesh. As we said, we will be doing a few pilots in the next months to test various hypothesis. Remember the 2 business are 2 very dist inct business ones. JSW Paints is a direct model like many parts in the industry, but we have to model.

And I think we'll have -- we are working on looking at what are the strengths and weaknesses and before making a step. So that's why we need a bit of time. We are not rushing it. Projects was easy. Projects was a direct model, so it was easier to sort of shift into it.
On the EBITDA margin, as I explained to you, there is -- as I said in the earlier part of the meeting, the price because of the price drops that we have taken in the quarter -- quarter 3 and quarter 4, September October, and a little in January because at that point of time, as you know, Abneesh crude was operating at a very different level. It was $70, right?
So our message was to really say that, look, how do we get more competitive and really drive volume growth across our segments. So that is what has done it also because Dulux, as you are aware, a higher share of premium. So premium contribution to our ove rall business is in mid - 40s.
And as a result, whereas the market premium contribution is 22, right? So obviously, there is going to be at the end play the other segments, which is where the others are very strong. There's going to be slight changes in the mix and which is what was anticipated and that's what's happened.
And that is the shift. So that is why you see a bit of it. As I mentioned to you, some of this correction will be there in the coming quarters in the quarter ahead. But by September, this will all get neutralized between August and September, this will get neutralized because the impact will be very low. Yes.
I hope I've answered your question, Abneesh.
Abneesh Roy: Absolutely. My last question is on pricing. So your over -indexed in terms of premium at 40% versus 22% for industry. So if you could tell us now with the reduced prices in premium, are you at the market leader in premium? And in the mass end, clearly, there's a very big opportunity for you?
Would you be at a now similar pricing with number 2 player Berger? Why I'm asking is the pricing is now very similar to B erger. And given this is an opportunity for you, would you operate at a lower pricing versus budget or a similar B erger.

Rajiv Rajgopal: So first part to your first part of question, we -- at premium levels in certain brands, we still have about a 2% sort of, which is the desired premiums for the sort of the brands have and that's one thing. On the mid-market, we are pretty much now almost equal to B erger. Of course, some of our competitors are operating higher discounts. That's something that we are cognizant of and higher inputs.
But other than that, it's not benched, right? So I believe that, look, I think with this, we have -- as you rightly say, we got a stronger area to grow. And that's the reason why in some of these segments also, we've introduced or are making some reductio ns to make sure that we are competitive Abneesh.
Moderator: The next question is fr

om Darshit Vora from Asit C . Mehta Institutional Equities .

Darshit Vora: So I just wanted to get a sense that we had this target of retail overall market share of somewhere about 8%. How is the ramp- up going on? And have you been able to be on track to achieve that?
Rajiv Rajgopal: Yes. So the 8% is a blended number between d ecorative and industrial. So let me start with we've discussed a lot in d ecorative and d ecorative, yes. But we are on the journey. We've got a way to go. I don't think it's a 1 -quarter journey because price actions will take a period of time for consumers to get the confidence that JSW Dulux, what we are now doing is sustainable.
The challenge in the earlier tenure was because obviously, being a part of a global company, the EBITDA percent pressures were very high. So some of the actions were not sustained, and that was the feedback we go t from our channel partners, et c.
And hopefully, in this part of the journey, we have seen it. So that's to the first part on decorative. It will take a while. But yes, we are on the journey towards building consumer confidence. At least becoming a strong number 3 player to start with from 4 and then move the journey up.
On industrials, very clearly, we are gaining traction. Automotive and Specialty Coatings, there are tie-ups with some of the marquee OEMs, et c., We do not have a play, as you know, in Auto OEM space. That's a technology that we are working on. In the past, the global parent not bothered about it, but with new ownership, we are very clear that something that we want to play and we are going to work o n it.
It will take some time, but we believe that towards the later part of the fiscal, we should be in a position, at least by the last quarter to have serious play. On the Marine protective and industrial side and marine protective, I believe that, look, we are on the journey. Again, we are winning a good number of projects. And hopefully, on that journey on industrials per se, we should be able to inch our market s hare in the coming year itself.
Darshit Vora: All right. Got it. Got that. If you can quantify in terms of if that's what a some kind of a relative play between the rest of the income groups?
Rajiv Rajgopal: If you can quantify the relative play between the rest of the income groups?
Darshit Vora: Yes, I think the market share, if you can quantify in terms of…
Rajiv Rajgopal: Would you like me to comment on. Look, I think in terms of -- and are you talking about absolutes or you're talking about incremental?
Darshit Vora: Incrementally.
Rajiv Rajgopal: I mean are you talkin g about the quarter incremental. So look, in Ma y as far as the market share is -- see, look, I think the market share is for different players, you already covered very well. So I don't think it's a bit of a surprise. But what we see, and I think directionally, what you're asking me is how is the play going on?
We believe that, look, we are gaining at the cost of suppliers. I don't think it's fair for me to comment on the names, et c., but I'm sure when you're doing your market in channel checks, you're picking it up, right?

My belief I think between the market leader and the challenger, there's tussle. I think the number 2 player has also announced its results. I think after that, there is going to be a serious play between the various players. And I think we are well positioned between as JSW Dulux will play a key role in trying to fortify market share at the cost of some players . Sir, does that cover it?
Darshit Vora: Yes, yes. And secondly, just my final question is that just to develop sense on how the upcoming fiscal is going to be FY '27. Any guidance or some kind of just picking a brain how the volume...
Rajiv Rajgopal: That's the toughest question for me to answer now becau

se let's understand what's happening today is very unpredictable. We are seeing a lot of message coming from the countries -- the
country leadership. So very, very difficult for me to say exactly how this will navigate. We had assumed that the entire war would sort of end, but obviously, correct.
We need to do a bit of scenario planning, Darshit , in terms of now assuming that things are going to remain at this level. It's going to be quite tough because I think the journey ahead, if it continues at these elevated levels, we'll see a bit of compression maybe for a quarter on the margins.
But structurally, I don't think there is any issue. I think once that is sorted, I think things will really bounce back from the -- from an industry perspective itself.
Moderator: Rajiv sir, we can't see you right now. I mean your video is off ?
Rajiv Rajgopal: Actually, my camera is on. So I don't know why I'm not being able to be seen.
Moderator: Now you are visible. Thank you so much. Ladies and gentlemen, we'll take the next question from the line of Pratik Gothi from HSBC.
Pratik Gothi: Sir, my first question is, so 23% volume growth, just a clarification on that. Is that entirely in the Deco business o r is that a blended figure?
Rajiv Rajgopal: It's a blended figure. It's not decorative. When we report our numbers, both volume and revenue is for both the verticals.
Pratik Gothi: Great. So any color on the Deco business itself? And also, did you see any…
Rajiv Rajgopal: No, look, it's similar. So there's no major difference in both the business have had very strong volume growth to start with. In terms of pre -buy, yes, I mean, look, at the end of the day, the
dealer pre-buy is to an extent of some times a week to 10 days because remember, the shops are not the sort of shops where you can stock. So yes, there is a bit of pre -buy. That's happened.
So really from a March perspective, obviously, there has been a bit of a pre-buy, but we need to wait and see how this shapes up.
Pratik Gothi: Understood. And in terms of offtake itself, in terms of -- yes. Any color on that?

Rajiv Rajgopal: Yes. So Rohit, who looks after our decorative business, I'll invite him to say a few words. And after that, I can say it. Rohit?
Rohit Totla: Pratik, thank you for the question. Basically, we see offtake also on the similar line. And as a result, yes, though there is a little bit of pre -buy, but offtake which we capture through is also on
the similar lines.
Pratik Gothi: Yes, I hear -- that helps. Last question from my end -- sorry, please go ahead.
Rajiv Rajgopal: No, I was just adding to Rohit. I said in this, you can't do a huge difference between -- remember that we are -- in decorative, we've got about 20% of our retail business, which is direct and 80% is distributor, 75%, 25%. So project is direct, right, whi ch is 20% of the overall business. So within that 80%, almost 75% is distributor. So you can't really sell in if you really don't sell out.
So hopefully, that answers your question. Yes, please go ahead with the next question.
Pratik Gothi: Yes. And my last question would be any more color on the competitive dynamics in the sector? How are you seeing dealer incentives being reduced by everyone?
Rajiv Rajgopal: It is very competitive. There's no doubt. The situation is extremely competitive. I think the difference we see is obviously the fact that different players would have different stock levels, which is going to impact the margins.
People who had elevated stock levels at lower prices would see a little more margin pressure coming a little later than those of us who had relatively lower stock level. But other than that, competitive pressures will continue in the industry...
Moderator: Excuse me, sir, we are not able to hear you now.
Rajiv Rajgopal: Are you able to hear me?
Moderator: Yes. Please proceed

.
Rajiv Rajgopal: So the industry will obviously see a lot of aggression from all the players in the market for the coming few quarters. I think this is a year where clarity will emerge in terms of market positions towards the end of the year, towards the end of the fiscal.
Moderator: We'll take the next question from Aniruddha Joshi from ICICI Securities.
Aniruddha Joshi: Sir, congrats for a great set of numbers as far as volume growth, 23%. So 2, 3 things. One, if you can indicate, is there any channel check filling in that, one at March end? And secondly,
there was some issue with the dealers when the merger was announced, and we had seen probably some destocking happening at that end.
So I guess those worries are behind us and those dealers have also come back on to upload the inventory. So is that also a reason for such a strong volume growth? Secondly, how should we think about volume growth on a normalized basis over next 1 year, FY '27? Question number one.

Question number two, considering the price cuts, price hikes and maybe trade spend restructuring. So how should we think about the effective adjusted price hike? Question number two. And third, is the paint industry also completely out of the woods now?
I mean last 3 years have been really tough for the entire industry as far as revenues or margins are concerned. So do you see both the things...
Rajiv Rajgopal: Aniruddha , quite a lot of questions loaded into one. Let me start with...
Aniruddha Joshi: Yes.
Rajiv Rajgopal: That's quite a lot questions you've loaded into you've loaded a lot of questions into one question. But suffice to say on the volume growth first. Look, the volume growth, firstly, has been in both the businesses, and it's very secular. We do see, obviously, as we move ahead, that this would come to a double -digit sort of a growth from a long-term perspective to answer your first question.
Yes. On your -- and really, the volume growth has been led, as I mentioned a couple of times before, that we've taken some price corrections, which is long overdue because we believe that it's important to have the right pricing strategy for our brands.
And once that has got done, we are able to see a little bit of a bounce back and the confidence is seen in the dealer channels. On the dealer channels per se, look, there's been no -- yes, there was a lot of challenges when the strategic review got announ ced. There was a lot of pushback, both on the retail and the project side in decorativ e, where a lot of societies, et c., were asking us and the team in terms of whether the warranties would get altered . I think all that is behind us.
So obviously, now we are seeing a bit of a stronger uptick coming in. Obviously, Dulux being the best quality paint in the market always helps, right? And that's something that consumers are always aware of. Painters are also aware of. I think our work in terms of making sure that consumers are able to -- we are able to beat that into the consumer story is the most critical element.
On the adjusted price hike, yes, the 9.7% that I talked about is not the -- is the price hike without the adjustments. The adjustment, as I mentioned to you, there is a price correction. Now obviously, in the quarter that the price drop impact was about 1.5% to 2%, and that would be in the quarter ahead too.
So that would need to be taken up from the price increase that we've taken, and that's the only difference that we see, right? In terms of volume growth for the coming quarters, I do -- as I mentioned earlier, it will be -- we are looking and targeting a double -digit growth.
Aniruddha , have I missed anything? On the paint industry, sorry, I think -- look, I think on the paint industry, I think the demand is coming back. What is going to be a challenge for the paint industry is the 2 biggest variables are crude and

forex .

So that needs to be studied very closely. What we are seeing is, obviously, the larger players' ability to be able to manage this entire game g iven the sort of cash flows, et c., is a little better than the smaller players. But look, players with deep pockets would be able to manage this a little better. Aniruddha hope I answered the question.
Aniruddha Joshi: Yes, sir.
Moderator: We will take the next text question from Abneesh Roy from Nuvama, and the question is how is company dealing with aspects like cultural and system integration are these over?
Rajiv Rajgopal: So I mentioned on the cultural integration that a lot of work is in progress. The teams are -- we've already -- I've already indicated that that work is on. And I think it's positive so far. So I don't see any issue on the systems integration. I think tha t work is being done. We are working with industry experts to work on it.
And that will something that will be more seen towards the end of the year. We are planning to have an integrated SAP, etc. , being done post -- around post Diwali just to make sure that because it takes time. We ar e studying both the systems, et c. It's not like the system of the erstwhile Akzo Nobel India, JSW Dulux is cut off and moved in. The systems are slightly different in terms of -- even within SAP what's getting used. So that's planned towards end of the year, Abneesh.
Moderator: Thank you, sir. We will take the next text question from Darshit Vora from Asit C. Mehta Institutional Equities. And the question is any capex client and if you can give a sense on capacity utilization?
Rajiv Rajgopal: Yes. Good point. So two things that is happening is as a part of the integration, we are looking at working on cross manufacturing, right? So we -- as you are aware that the JSW Paints was

only made in in Vijayanagar now we are going to manufacture it acr oss our plants.
And similarly, vice versa, some of the products or some of the southern states, which were manufactured in Hyderabad and Thane will start moving into Vijayanagar. So we are doing working on that and some early work has been done on product trials and the f irst set of batches have got sort of made.
So to that extent, the capacity utilization that is going to talk about does not consider it.
Currently, we operate anywhere between 55% to 60% on decorative paints and on performance on our industrial products, we are even as high as 70%, 80%. We've added some additional capacity.
And the capex is -- we are going to be see investing in the capex . Again, other things being equal, we are to sort of look at capacity expansion and localization as a part of our agenda moving forward. Hopefully, I answered your question.
Moderator: Next question is from Jeeva Bharathi , an Individual Investor.

Jeeva Bharathi: So my question will, what are the future upcoming projects and brand activation like marketing spends or brand collaborations?
Rajiv Rajgopal: So, thank you for the question. I mean, look, this is a little competitive. So I'm sorry, I'm not in a position to disclose. But at high level, I think what we are trying to do is to -- the challenge on Dulux is really and I assume you're speaking decorative now. So the challenge in Dulux is really we've got a very high how do you really convert it to making sure that we are able to get higher purchase into it.
So the communication and all other programs are really working towards it. And our campaign is something that we'll work out, which will be seen perhaps around the Diwali time. So that's really on the first slide. In terms of product launches, obviously, look, Dulux, we work on what
we call feel the difference in terms of the fact that we like to show demonstrable superiority versus other players in the market. And that's what the mark

eting and R&D team and business
teams are currently working on.
Moderator: We will take the next question from Mano j Menon from ICICI Securities.
Manoj Menon: So only one question that you actually from a brand point of view in the last few years, at least in a couple of years, you've tried to reposition as a younger brand, Yash as an ambassador , etc.
Do you think there's more work to be done or you kind of done that and just a bit of on the brand where it is and the relevance for the current audience?
Rajiv Rajgopal: Yes. Look, I think the positioning of Dulux and remember now we have 2 brands to work for in a larger scheme of things. But really, the positioning of Dulux is really in terms of best -in-class quality international, et c. So that's something that we are consistently working on, right? And to your question, there is lots more to do.
I think the idea is to really have campaigns that are memorable to really make sure that we get the higher amount of new users and ties to adopting the brand. When we did a brand equity study Manoj, the brand equity study clearly shows that we've got a long way in terms of making the brand more contemporary, useful.
I think in terms of product quality, clearly, it came out that amongst all the players. Even if you ask painters who've sort of done it they perhaps because of slightly lower incentives that we gave are not really driving conversions.
But when you ask the painter and we've had this -- it was -- while it may sound anecdotal, the reality is when you really approach the painters and ask them, which is the best brand, they will tell you perhaps D ulux is in the forefront of it.
So I think that's the trick. The trick is you've got a brand, which is now over the years really build quality. I remember when I joined this company in 2013, there was an issue coming the ICI legacy into Akzo Nobel and the quality is the biggest.

I'm glad that the team, R&D, the marketing teams, etc. , have corrected it. We've still got a long way to go. And that's what the t eams -- the marketing teams, et c., are working upon. Can we take 1 last question, and then we can close ?
Moderator: Sure, sir. Ladies and gentlemen, this will be the last question for today from the line -- the text question is from Anuj Sehgal from Manas Capital. The question is, is the decorative paint industry expected to see double -digit volume growth this year with the inflation we have? And how is it that every player will gain market share?

Rajiv Rajgopal: Look, two things we are right now, as we speak, I think the situation is slightly different from the last quarter because what we are seeing is elevated raw material and Krishna, Rohit, please feel free to add if you have by the end of what I see. I think my view is, look, I think the players with deeper pockets players who got the right strategic intent and the ability to win and execute will be the people who deliver higher market shares, right?
We want to be on the forefront of it. I think this is a huge transformation as far as JSW Dulux. I'm glad that I'm part of the journey and really look forward to at an appropriate time next year this time, really feeling proud that the team has very pulle d off a solid market share gain. Yes. Krishna or Rohit, do you want to add any?
Yes. So that's it. So I really want to thank all our investors, again, once again, for all the support they've given us. Thank you. Wish you good luck and do stay in touch. We will -- you can do get in touch with Rajiv Jha, if you would like to sort of have any further questions or meet up. Till then, thank you. Stay safe. All the very best. Good luck. Thank you very much.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. We thank you for joining us, and you may e xit the me

eting now.
Thank you.